

HCL Technologies Ltd. (HCLTECH)

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July 18, 2022

The General Manager

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400 001

BSE Scrip Code: 532281 The Manager

National Stock Exchange of India Limited

Listing Department

Exchange Plaza

5th Floor, Plot No. C-1, Block -G

Bandra -Kurla Complex, Bandra(E)

Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on July 12 , 2022

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on July 12, 2022, post the announcement of the financial results of the Company for the quarter ended June 30, 2022, has been uploaded on our Company's website <https://www.hcltech.com/investors/results-reports>.

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand

Company Secretary

Encl.:a/a

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"HCL Technologies Limited's Q1 FY'23 Earnings Conference Call"

July 12 , 2022

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR , HCL TECHNOLOGIES LIMITED

MR. PRATEEK AGGARWAL – CHIEF FINANCIAL OFFICER , HCL TECHNOLOGIES LIMITED

MR. APPARAO V V – CHIEF HUMAN RESOURCES OFFICER , HCL TECHNOLOGIES LIMITED

MR. SANJAY MENDIRATTA – HEAD, INVESTOR RELATIONS , HCL TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HCL Technologies Limited Q1 FY'23

Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Mendiratta – Head, Investor Relations. Thank you. And over to you sir.

Sanjay Mendiratta : Thank you, Aman. Good morning and good evening everyone. A very warm welcome to HCL Tech 's Q1 Fiscal '23 Earnings Call. Trust you all are safe and in good health.

We have with us today Mr. C. Vijayakumar -- CEO and Managing Director , HCL Tech; Mr. Prateek Aggarwal -- Chief Financial Officer ; Mr. Apparao – Chief Human Resources Officer , along with the senior leadership team to discuss the performance of the company during the quarter followed by Q&A.

In the course of this call, certain statements that will be made are forward -looking which involves a number of risks, uncertainties, assumptions and certain other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on information presently available to the management, and this company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the safe harbor statement in the investor release document and all the factors that can cause the difference .

Over to you , CVK and thank you .

C. Vijayakumar: Thank you, Sanjay. Good evening, everyone and thank you for joining us today.

It was great meeting many of you in person a few weeks ago at our investor day in Mumbai. As I said there , we at HCL Technologies continue our forward journey with very clearly defined strategic objectives. These are leadership through differentiated services and products , employer of choice across key geographies, preferred digital partner for global 2000 enterprises in our chosen markets, weaving ESG into our business strategy through act , pact, impact philosophy and achieve top quartile TSR over the medium term.

I'm happy to share that we've started FY'23 on a strong note. Our revenue growth this quarter came in at 2.7% sequentially, and 15.6% year -on-year in constant currency.

Our services business continues to have robust growth momentum, growing at 19% year -on-year, and 2.3% quarter -on-quarter in constant currency.

This growth momentum continues to be led by our engineering services business and our digital application business with cloud transformation being a central theme across all services and verticals.

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We strongly believe that the market continues to look at technology to drive enterprise change , be it for acquiring new clients or business or to optimize costs or to execute upon environmental and sustainability visions. This leverage and reliance on technology continues beyond and despite the economic trends.

We also saw a strong recovery in our products and platforms business which grew 5.6% quarter -on-quarter and 1.4% year -on-year in constant currency after considering the CFT business that we exited last year.

When it comes to margins, we posted an EBIT performance of 17% this quarter . Margins in services was under pressure mainly due to increase in talent cost and transition cost. Prateek will explain the margin walk later in the call.

We have undertaken appropriate actions to improve our profitability profile , results of which would start reflecting in the coming quarters. These include both

revenue and cost levers and are

led by innovative pricing rate increases and optimization of operating costs through upskilling , increased fresher addition , and many others.

From a segmental performance perspective , our engineering and R&D services business led the charge with a 3.7% growth followed by our IT and business services at 2% quarter -on-quarter growth in constant currency.

We are seeing a number of end-to-end engineering services deals in this space. We signed two large ones this quarter: one with a European ISV and another with a global ISV.

Within IT and business services, the growth was driven by digital applications business, and the digital process operations services, which continue to ride the wave of new enterprise spending in CX transformation, IT operating model transformation, and our cloud smart consulting offerings which have become a differentiated proposition for us.

Indeed, our front -runner credentials in cloud continues to pay rich dividends to our ITBS service line.

Please note starting this quarter , we are aligning our metrics disclosure for the services business. In case of services business, we would be providing you the split of geographies and verticals

instead of the overall business.

In terms of geographies, services growth was led by US at 2.8% quarter -on-quarter in constant currency, followed by Europe at 1.6% quarter -on-quarter in constant currency . Our growth in the US and Europe was led by our engineering and R&D services segment. Among the verticals, technology & services , and telecom & media were top performing sectors with 10.9% and 4.3% quarter -on-quarter growth in constant currency respectively in the services business . Our life sciences and healthcare business grew 2.7% sequentially in constant currency .
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We signed a number of significant deals, such as a large global European bank selected us as a strategic partner in its cloud transformation journey, and also entrusted with us all the cloud operations, including the hybrid cloud operations . One of the largest healthcare providers in the US selected us to help transform their infrastructure landscape by kick starting its cloud journey. This is one of the largest deals that we signed this quarter. A Europe -based leading consumer groups and retail company selected us to deliver its digital and IT roadmap through cloud migration, digital workplace transformation , and direct -to-consumer multi -channel platform development. A Europe -based health and biosciences company selected us to help it transition into a product -based IT operating model , underpinned by a cloud first strategy. Here , we are becoming the prime service provider where the customer is consolidating from many service providers into one core strategic supplier. We have had a strong growth in bookings this quarter ; we signed 16 large services and product deals in this quarter across diverse industry verticals , led by life sciences and healthcare, manufacturing, financial services, and technology & services . Our bookings grew 23.4% year -on-year, with a good mix of large and midsize deals. Our pipeline continues to remain close to record highs. It's well distributed across various dimensions of the business. Our talent acquisition and development focus has continued on an accelerated note. This quarter we added nearly 2 ,000 plus net new employees and trained 22,000 plus employees on digital skills. We continue to leverage entry level talent globally and are planning to hire 10,000 plus freshers this quarter. Over the last few years , we've evolved a robust train -to-deploy model that helps us to have the best talent in client locations at short notice . This should start showing results over the next few quarters. We are investing in emerging technologies to further strengt

then our future competitiveness. This quarter , we announced to acquire two companies who will strengthen our vertical digital capabilities. One acquisition is Confinale, a Switzerland -based digital banking and wealth management consulting specialist and an Avaloq premium implementation partner . Through this strategic acquisition , we will increase its footprint at the global wealth management market with emphasis on Avaloq consulting, implementation and management capabilities.
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And the second is our intent to acquire of Quest Informatics , an Aftermarket Industry 4.0, an IoT company which will further bolster our industry 4.0 in the fast growing aftermarket space. Similarly, we continue to expand our local delivery footprint across the world. This quarter , we opened a new state -of-the-art delivery center in Vancouver, Canada, which will significantly expand our presence in Canada to serve clients, primarily in the hi tech industry. We also inaugurated a new SAP Offshore Development Center in Bangalore. This dedicated offshore development center will help enterprises harness cloud transformation experience of HCL and SAP and accelerate their intelligent enterprise journeys. During the quarter, we won several awards and recognitions across various business segments. Just to mention a few of them , HCL Technologies won the Microsoft Partner of the Year Award for 2022 for Healthcare and Life Sciences Global Winner . We also won the UK Microsoft Partner of the Year Award . And the 2022 Microsoft Supplier Prestige Award for Amplifying Accessibility through the power of data , technology , and partnerships. We were accorded the honors for demonstrating excellence in innovation, and implementing customer solutions based on Microsoft technology. We also won Google Cloud global Breakthrough Partner of the Year 2021 award, recognizing our expanding partnership with Google Cloud, resulting in outstanding customer and revenue growth last year.

Moving on to our corporate sustainability agenda, continuing our commitment to be net zero by 2040, our GHG emission reduction targets for 2030 were updated by the science-based target initiative to be aligned to a 1.5 deg. pathway.

We also remain committed to leverage technology through sustainable and sustainability enabling products and solutions for our clients. On this journey, we launched our first comprehensive sustainability focused solution. Net-Zero Intelligent operations or NIO as it is called, which helps organizations collect real-time data around energy consumption, and analytics at scale to deliver actionable insights to our clients.

Overall, in closing, we remain confident of the buying sentiment and our relevance in the market.

As digital transformation is becoming paramount for our clients, we are optimally positioned to support them through their digital journeys. We are evolving our services mix to better align with the IT spend patterns, leading to rapid growth of our digital business.

We aim to deliver organic growth in the most capital-efficient way, employing the most sustainable profitability improvement strategies. We look forward to FY '23 with optimism and confidence, ready to harness the disruption and seize the many opportunities that are ahead of us.

With that, I will ask Prateek to cover finer details of our performance.

Prateek Aggarwal: Thank you, CVK. Good evening and good morning, everybody. Just to add on the financial color to the briefing, HCL delivered healthy revenue growth of 2.7% sequentially, 15.6% on a year - HCL Technologies Limited

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on-year basis in constant currency. The highlight obviously is the 19% growth year-on-year in constant currency from the services business. And even the P&P business, though the reported number is minus 6.5% year-on-year,

if you exclude the divested or discontinued IP partnership

we had with DXC which was discontinued last year, if you adjust for that, it is a growth of 1.4%.

Q1 EBIT came in at 17% and net income for the quarter was 14% of revenue. The effective tax rate for the three months is at 24.3%, which is in line with the range I had indicated last quarter.

The last year normalized ETR was around 23%, so ETR has increased a little bit by 1.3% points because of some units moving to higher tax slabs with the change of the financial year.

The second highlight of the performance this quarter is the strong booking growth of 23.4% coming in at US\$ 2054 million, most of it was from services; 1,950 million out of it, and 104 million from product deals.

The net hiring was at about 2,100. Last 12 months net hiring was at 34,000 employees.

Interesting to note 19% is services growth and the growth in headcount is about 19.5%. So, it's pretty much in line. Obviously, there are quarterly differences.

Good account mining resulted in 100 million customer category growing by 3 customers on a year-on-year basis and similarly 50 million customers grew by 5 customers on an annual basis.

Looking at it from a vertical and geography perspective, Europe grew the fastest in geography at 22.5%, Americas at 17.5% and the rest of the world at 18.2%. In verticals, technology & services was the highest growing at 34% year-on-year, TMT and publishing and entertainment was at 29.2%, manufacturing at 19% and so on, most of the verticals grew at significant double digit levels.

Moving to the margins, the quarter-on-quarter margins declined by about 90 basis points. The services margin drop was higher; it was around 130-140 basis points which got compensated by the margin gain in the P&P business. So, that offset the large part of it. And the services margin dilution is driven by the seasonality of the first quarter. As most of you know, the first quarter for us is replete with a number of customer contracts where we have productivity commitments, etc., so, the revenue line does dip a little bit compared to the consecutive 5% growth we were showing on services in the last three quarters. So, that obviously drops down to the EBIT margin as well. And supply side pressures continue. There is also increased travel and H1B visas this quarter. And we are seeing outsourced services going up as can be seen in the cost detail that we've provided. To put that all in basis points, outsourced services and subcontractor third-party providers affected our margin by 100 basis points. There was an additional 50 basis points impact of basically attrition and retention and costs of managing the employee base. The travel and visa cost amounted to another 35 basis points and there was exchange gain of about 40 basis points to offset some of that impact. And the seasonality impact is also recovered partially from operational efficiencies as well.

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We have continued the guidance at 12% to 14% in constant currency for the top line and the margin guidance continues at 18% to 20% at the same level. Against the continued pressure on

the supply side, we have started seeing some results from our coordinated efforts on both the top line as well as the cost side. Bill rate enhancements, successes in pockets are expected to pick up steam in the next few quarters and cost initiatives in terms of fresher billing and pyramid optimization as well as utilization improvement, offshoring of work, automation initiatives, and optimizing the outsource spend/subcontractor costs are the levers that we are banking on to get back into the guided range on margins. We remain optimistic to end FY'23 within our guided EBIT margin range albeit towards the lower end of the range. Moving on from the EBIT line, we had higher other income this

quarter due to some property disposals and FOREX gains of 10.5 million helped prop up the net income for the quarter. Cash generation over the last 12 months came in at a (OCF) operating cash flow of \$2,013 million to be precise, and free cash flow of \$1,762 million, which, as a percentage of net income is 112% and 98%, respectively. The balance sheet remains strong with gross cash at \$2.25 billion and obviously we have our work cut out to improve on the DSO in the coming quarter. From a shareholder return perspective, the diluted EPS for the last 12 months is Rs. 50.06 to be precise, which is an improvement of 0.6% on a sequential basis, and 2.8% on a year-on-year basis. And the board has approved dividend of Rs.10 for the quarter, which was the rate we were running at for the last three quarters of the last fiscal year. The record date for the dividend is July 20th and the payment of the same shall be on August 2nd.

With that, I finish my commentary for the quarter and over to moderator for Q&A.

Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Sandip Agarwal from Edelweiss. Please go ahead.

Sandip Agarwal: CVK, I have two questions. One, if I recall correctly, we have earlier a fresher intake estimate of 34,000-35,000. Now, we are talking about 30,000. And this is when you know our attrition numbers have actually gone up. So, is there a kind of indirect caution which is there in terms of recruitment, that is number one? Number two, our IT services margins have fallen 180 basis points quarter-on-quarter. There is quite a sharp margin. I understand that our attrition has gone up and it is not showing up so badly because products and platforms has helped us a lot. So, what are the components there, why we are getting so badly impacted, and when do you see, what are the levers by which we will be able to recoup this because we did a great start, but this quarter looks really a little weak in terms of both our recruitment number and also our margin number, so if you can elaborate a little bit on that?

C. Vijayakumar: I will provide you a commentary on the recruitment and headcount addition and Prateek will get to the next level of details on margins. If you see, our year-on-year growth in headcount is close to 20% and our year-on-year revenue growth is also in a similar range. Over the last few quarters, we've been hiring both lateral talent and fresh talent and we think we have some additional HCL Technologies Limited
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capacity and that was the reason net hiring was lower than what we had in the past. We have not moderated any hiring based on any demand environment. It's really to increase our utilization and better deployment of freshers. That was the main reason. And we continue to have the same 35,000. We had indicated 30,000 to 35,000 and we stay with the same range for freshers. In fact, this quarter, we plan to onboard 10,000 freshers, which will be one of the highest number of freshers that we've onboarded in the past five or six quarters. So, with that, maybe Prateek, you can explain the margins.

Prateek Aggarwal: I pretty much covered most of the response to your margin question. As you can see from the walk that I provided, outsourced services is the largest contributor to the 130-odd basis points drop, which is roughly 17.6 dropping to 16.3 on the services side. And 100 basis points is just from outsourced services and subcontractor. Some of this is driven by our entry into some of those new frontier and focus countries, the seven plus five countries that we've been talking about over the last year, year and a half, where we've had to go for outsourced service providers at least to start with and over a period of time we would look to optimize and some third-party contractors have also gone up.

So, that has been the biggest one and we talked about the ongoing supply side pressures related to attrition and retention cost and just managing the workforce, which has become pretty standard over the last one year at least, and the return of some of the travel and visa cost. So, those are the reasons. Equally, I read out a long list of five or six levers that we are banking on to improve the margins. And that's the reason we have kept the margin guidance same as what we provided at the beginning of the year. So, we are looking to get back into the margin range that we provided.

Moderator: The next question is from the line of Yogesh Agarwal from HSBC. Please go ahead.

Yogesh Agarwal: Just a couple of questions. If I look at the six, seven of the verticals, at least four of them are either down or flattish, especially larger ones, like manufacturing, financial services, even retail.

So, that doesn't look encouraging in a seasonally decent quarter. So, were you expecting this, is it reflective of any kind of slowdown in spending? And secondly, you guys talked about pricing. I mean, all of us are expecting a slowdown now going forward. Isn't it a little late in the cycle for asking price hikes versus maybe clients are looking for discounts now going forward?

C. Vijayakumar: Yogesh, best is to look at the year-on-year growth numbers. All the numbers are very impressive. Tech at 34, telecom at 29, manufacturing at 19, financial Services at 16. There can always be some quarterly variations. Nothing to really point out as a trend or some slowdown or anything. If at all anything to point out, we remain more bullish than what we were when we started the year, based on the pipeline and the very good booking that we had in the first quarter. Our pipeline looks robust and we feel pretty confident of the overall growth momentum that we're seeing. Pricing, yes, I think it's not that we have not initiated, we have had conversations with a number of clients and we've seen some modest success, some of which will materialize or we have some agreements, which will kind of start in the coming quarter or this quarter. We've gone through a very logical reasoning on what we need from our clients on the current increased wage inflation and our customers are very considerate and are either changing a little bit of the delivery model or are giving us some additional pricing. Most of the customers maybe 70% -80% of them

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have always had a very patient hearing and they are looking at us and working with us to see how to kind of help us through this increased wage inflation.

Moderator: The next question is from the line of Surendra from Citi. Please go ahead.

Surendra: So, just one question for Prateek. Prateek, you have obviously maintained the guidance for margins at 18% to 20%. But did I understand you right, when you also said that you are hoping to finish the year at the lower end of the band? Because mathematically, both those things don't imply or seem to imply the same thing. So, could you just help us understand that a little better, please?

Prateek Aggarwal: Yes, Surendra. I did say we would be in the margin band of 18% to 20% albeit at the lower end of that band, yes.

Surendra: For the full year or for the end of the year?

Prateek Aggarwal: Full year.

Surendra: Full year, okay. So, one question for CVK. What kind of price increases at a blended portfolio level are we really talking about? Just want to understand how significant they can be for margins.

C. Vijayakumar: See Surendra, it's very difficult to call it out. We are looking at the managed services deals where we give a year-on-year productivity benefit, we are obviously having some provisions to negotiate the cost-of-living adjustment, so, obviously, that is a lever that we can emphasize a lot more because contractually the

are provisions. And of course, a good part of our Engineering and R&D services and the Digital business, there is a significant amount of capacity based in time and material kind of operating models. So, there, we are obviously selecting right skills where we need more and in some areas across the board. And we see clients are open, but it is taking time to conclude some of these things.

Surendra: And just one last clarification CVK. So, this quarter did not have any one-offs in the form of pass-through revenues or anything like that on services which might have impacted margins?

C. Vijayakumar: No.

Moderator: Next question is on the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Sorry to harp on this matter of margin, but last quarter, we gave guidance of 18% to 20% range, and now we expect closer to the lower end. And productivity benefit related headwind, etc, was kind of well-known from a 1Q perspective. So, just trying to understand what really surprised us negatively. Did the attrition numbers and the cost of backfilling attrition come in higher than what we expected?

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C. Vijayakumar: See, when we did the planning for the year, there were certain broad assumptions, which included getting the rate increases as well as a part of our overall model. And some of that has taken more time. We expected certain things to happen in the first quarter which did not happen. And the attrition and the overall hiring and backfilling costs also continue to remain high. We were expecting that to moderate a little bit. But as we see in the first quarter, the situation was more or less the same, if not higher, in the first part of this quarter and more or less across the quarter as well. And then as Prateek talked about some of the outsourcing costs are also a little bit reactionary steps that we had to take to continue to fulfill some of the commitments in certain geographies where we could not do the right people mobility solutions. So, we had to resort to

some higher price for outsourced services, which also had some significant impact in the quarter.

Gaurav Rateria : So, should one assume 1Q to be bottom for the margins? And this is in context of the wage hike that we are likely to see through in the coming quarters. Are we likely to absorb all of that and 1Q should be the bottom for the margins? How should we think about the progression going forward? Keeping in mind the puts and takes that we have.

C. Vijayakuma r: Yes, I think you can see our margin trends in the past 3 years. It does take kind of a trajectory. Usually, Q1 has been the lowest margin quarter across the last 2 -3 years. I think that's a similar trend that we will see. And whenever we have had the salary increase, that quarter, mostly, we have offset the salary increase spend through optimization, because if you just see the sequence, in April, the productivity step downs happen, and some of the related cost outs also start happening at that time. And they really start showing more results in the Q2, when the salary increase also hits. Generally, we've seen an improving trend from Q2 onwards, and we hope to see the same this year as well.

Moderator : The next question is from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.

Mukul Garg : CVK, really sorry to just continue on the margin part, but I'm still a bit unclear on how the margin trajectory will show through for next 3 quarters given that as requirement for you to meet the lower end of your guidance. A - do you expect the pricing impact to compensate for the wage hike, which is going to come up over next 2 quarters in addition to the usual Q1 seasonality reversal? And also, while you just mentioned that Q2 to Q4, you should continue to see margin improvement, you also will have the P&P seasonality impact in Q4,

which obviously impacts

our overall profitability. How much is our confidence, sir, on meeting the lower end of the guidance band given the numbers we have delivered in Q1 and the potential impact in Q4 from P&P?

C. Vijayakumar : As Prateek said, we expect to be in the lower end of the 18% to 20% band. So, I think it's quite achievable and we feel confident of the trajectory.

Mukul Garg : So, there are enough levers for you to kind of bake in both the impacts, including the Q4 impact and reach the 18%.

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C. Vijayakumar : Yes. I think for Q4, we have a couple of more quarters for all the levers to play out. So, obviously, Q4 will always be a little lower than Q3, but Q2 and Q3 will see an uptick. There could be a little moderation in Q4.

Mukul Garg : And the second question, again, sorry, just a clarification on your earlier comment about utilization improving. I know you don't share the figure, but in the context of, low employee addition this quarter, higher attrition and elevated fresher intake, was there a meaningful positive directional movement in utilization in Q1? And should we assume that there will be a moderation in next quarter as you ramp up the fresher onboarding?

Prateek Aggarwal : So, Mukul, since we don't publish the number, I'm not going to give you a quantitative answer for that. Utilization continues to be a lever for us to improve because we have hired 34,000 people, which includes a lot of laterals as well as a lot of freshers. So, as you can imagine, the training and deployment of those freshers does take a little bit of time. So, utilization continues to be a lever that we are looking at to deliver some of that gains in margin that we talked about.

Mukul Garg : Just one final clarification of, what was the revenue shift, which happened to P&P from IT in Q1? If you can just share the quantum.

Prateek Aggarwal : Yes. So, Mukul and everybody, that is just some of our products. Actually, DRYICE is the brand, which is the internally developed products, which we have moved under P&P because that's the nature of the products. It's a software product. So, when we do that inter -segment transfer pricing, that \$13 million that you see in the inter -segment eliminations as negative 13, that 13 is appearing both in P&P revenue as well as in the ITBS revenue. And potentially that number will continue increasing not only because of DRYICE, but also as ITBS and potentially ERS start selling more and more of our software products, that number would continue to go up.

Moderator : We take the next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Just the first question in terms of the margins. So, Prateek, what can go wrong in achieving the lower end of the guidance of 18%. And just a follow up on that. In terms of dependence on your margin levers, which you called out, is it the dependence on a price hike higher versus the other levers which you called out. And third, do you believe most of the margin uptick will happen in 2Q, 3Q as CVK has called out?

Prateek Aggarwal : Sandeep, we are at 17%, right? We have all guns blazing to move that number up. That's the simple answer. Now, how much will come from barrel 1 versus barrel 2, is a planned number. How much will come we'll tell you next quarter when we come and the quarter after that how much has come. At this time, it is a planning number. We are going all out on all the levers. Let's

leave it at that for now.

Sandeep Shah : So, Prateek, just wanted to understand, do you believe is there a risk to achieve the lower end? Or do you believe it's fairly achievable looking at the planning?

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Prateek Aggarwal : We believe it is achievable. That's why we have stayed with the guidance.

Sandeep Shah : And just second quest

ion in terms of the this quarter's FCF generation. Just a follow up in terms of this quarter's free cash flow generation has been weaker in this quarter. So, what is the reason for the same?

Prateek Aggarwal : That's something which is a momentary thing. Some clients' collections got delayed. Almost half of that del ay, we have already caught up in the 10 days, 11 days that have gone by in July itself. So, that's something which will come back. Most of it should come back next quarter itself. Hopefully most of it will be back in July. So, that's just a small thing.

Moder ator: We take the next question from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra : My question initially is on the guidance of margin. You did say you're looking at the lower end right now. Just curious what will lead you to change your margin guidance if you think you're already looking at the lower end at the end of Q1?

C. Vijayakumar : Of course, Ankur, that is heavily influenced by Q1 performance. So, we have to recognize the realities, that is the Q1 performance. So, that's really the primary factor. Some of the things that we expected did not happen. So, we're just factoring that and then kind of looking at a lower end of the guidance band.

Ankur Rudra : Just looking at, CVK, in the last 1 -1.5 years, has there been any change in the threshold margins or type of business you've been accepting as new orders?

C. Vijayakumar : No. As we speak, w e have significantly increase d our pricing. Of course, with a lot of digital businesses execution , it needed us to invest a little bit more upfront in some of the transformation deals. And that, of course, has an impact on the margins. And that would also slowly come off as these programs reach into a normal execution cycle. So, we've had some tremendous growth. We've had a 19% growth year -on-year in Services. It's probably close to the highest growth in the industry. A large part of it has come from our Engineering services and our Digital business. So, some of them will, because of the uniqueness of the programs an d the criticality of the client relationships, we have done a few things to ensure that we execute very well. And we've also invested a little more consulting effort to make sure these transformation commitments that we've made, like the whole IT operating model change, has required a significant amount of effort on change management. And our positioning here is quite different from a lot of other similar service providers. So, all of that has meant that we've built some extremely good client roster, very, very impressive digital transformation programs. It's coming at a slightly higher cost to start with, and we know exactly where the levers are to optimize. And we are working on that.

Ankur Rudra : Just to change track lastly, given what your portfolio is today, how do you think this would weather a slowdown or a recession if it happens in the key markets?

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C. Vijayakumar : I think we have the best balanced portfolio. I think P&P first of all is extremely distributed across geographies and verticals. And the pas t trends also indicate that in any kind of slowdown P&P will still continue to deliver. So, it's very neutral to some economic slowdown. And the rest of the services business I think are mixed between change and run are quite balanced. And as we see, we see a sign ificant number of large deals in the pipeline. And we believe our booking momentum will continue and we will do much better in booking this year, given the solid start that we've had in the first quarter. And that obviously means it's helping us to do well in the subsequent quarters and probably in FY24 as well.

Moderator : The next question is from line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : First question is on the Product & Platform business. I th

ink we're hoping to get some metrics

to help track the transition to the subscription. I don't think we found that in the release. So, wondering if you are planning to provide that in Q1 as you said earlier ?

C. Vijayakumar : We will start providing this in the future quarters. We could not have the right metrics, so we will provide them in the future quarters.

Ravi Menon : And secondly, how should we think about your fresher hiring? As this is a new thing that you have done and you are traditionally a natural heavy hiring company. So, having take n a large number of freshers last year, have you found that you're taking probably longer than your peers

to train and deploy them? Is that why you've decided to go a little slow on hiring this quarter?

Should we read as that rather than any demand side changes?

C. Vijayakumar : I think we've built up some capacity, and they were getting ready to get into primetime and we leveraged that. But we have a big plan for this quarter. We plan to add 10,000 plus freshers.

Even last quarter, we hired 6000 plus. It is true that for us it's taking a little longer, if you take the average time to make a fresher billable or productive; in some parts of our business, it's taken longer. And there also we've adopted a number of steps to reduce it. And in this batch that we are onboarding the 10,000, we think the outcomes will be much better.

Ravi Menon : It sounds like you have an idea to structurally move down the overall cost. If we take a medium-term view, should we think that you are looking at gross margin expansion from current levels?

C. Vijayakumar : Yes. I think 18% to 20% is what we think we should get to and I think we have some work to do. And I'm very confident that all the levers that we're working on will enable us to improve overall margins.

Ravi Menon : And one last thing. Are you factoring in the rupee depreciation in this at all or this is as of the current currency?

C. Vijayakumar : We've factored in what it is as of 30th June. Beyond that, I don't think we've done any factoring in of that.

Moderator : The next question is from the line of Manik Taneja from JM financial. Please go ahead.

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Manik Taneja : My question was for both CVK and Prateek. In the recent quarters you have been suggesting that we should probably think about our services growth tracking the headcount increase. Now in the current quarter, the headcount increase has been relatively subdued. So, how should we be thinking about this trajectory going forward?

C. Vijayakumar : I think some additional capacity that we had built up got utilized. And if you look at the year-on-year employee headcount additions, it's quite in line with the revenue growth. So, I don't think you should read anything into this quarter's dip in net hiring.

Prateek Aggarwal : I think given the 10,400 number that we've already given for just for freshers for next quarter, that itself tells you the way the wind is blowing.

Moderator : The next question is in the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh : CVK, my first question was to you. A little longer term over the last year or so, we have been one of the most proactive company in terms of employee management. We were among the first company to move to work from home. We also rolled out one-time bonus. Wage hikes have been consistent and also paid out pretty lenient paid leaves. But when it comes to attrition, over the last one year, despite all of this, our attrition has doubled. I understand this has been a very unique experience for the industry how our attrition has panned out. But what is our learning at the end of this entire exercise and this transition?

C. Vijayakumar : Rakesh, great question. I think you have to take some comfort in the fact that attrition numbers for HCL are significantly lower than the industry. And all

the initiatives that we took has helped

us reduce our attrition. Our attention on employees and all the care that we took all through the last maybe 9 or 10 quarters has definitely helped reduce it, but you have to see the systemic trend in the industry. I think that you have to kind of weigh this with respect to that. If you take industry attrition, we are significantly lower than the industry. But it is still not desirable and we do believe it will start stabilizing. Maybe we'll have one more quarter of pain, but after that it should stabilize.

Kumar Rakesh : If I could just understand one part on the margin side, so couple of main levers for our margin one is the aggressive fresher hiring and hence managing the pyramid to benchmark it against larger peers and also the price hike. Now both of these could come at risk if the demand slows down. So, in such a scenario, are we confident that rest of the levers are enough to support our margin? Or there could be a potential downside to this margin in case there is a demand slowdown?

C. Vijayakumar : Rakesh, we have 3 primary levers, which is your average people cost, that's one lever. The second lever is utilization. And the third lever is realization. So, I think we have all the 3 levers working. And I don't see the demand slowing down because if I look at the pipeline and the large deals momentum, I feel pretty positive, maybe slightly there could be a change in the demand pattern. But I think overall demand outlook is really looking good. Our pipeline is near all-time

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high. And we also feel good about the outlook for this quarter in terms of booking. So, I don't see a slowdown kind of scenario at least in the near future.

Moderator : The next question is from the line Sudheer Guntupalli from Kotak Mahindra AMC. Please go

ahead.

Sudheer Guntupalli : Prateek, you guided for 18% to 20 % margin 3 months back, and now adding a caveat that you will be towards the lower end of the band. And possibly we are now entering a period where the relative visibility is lower due to issues like macro, etc. So, why not cut the guidance band and make it more prudent/realistic in line with the changed situation? Why that inertia in the guidance now?

Prateek Aggarwal : I guess that's more about how to handle communication. We are keeping the same guided range. We're just giving you additional color th at given the way Q1 has turned out, we are obviously 1% lower than the lower end of the guided range. So, that's the reason for the additional color. We didn't see any real reason for tinkering around with the range itself. I don't know if that answers you or you're looking for something else.

Sudheer Guntupalli : Fair enough . And secondly, CVK, we do agree that year -on-year numbers looks optically good. But we also need to note the point that our recovery from COVID lows happened relatively later than some of our compet ition, and especially first half of FY22 was not very great for us like it has been for the rest of the industry. And more so in the case of June '21, which was impacted by second wave of COVID also in India. So, if you keep aside the year -on-year trends for a minute and look at the sequential trends, don't you see or isn't it correct to interpret that there is a significant slowdown that we are seeing in the momentum?

C. Vijayakumar : No, numbers don't reflect that. Because if you take out the Q1 of last year, Q2, Q3, Q4, we grew 5% plus sequentially in services. Now followed by that, we've 2.3% sequentially. So, I mean, year-on-year trend is just math, right? Over the last 4 quarters we have grown 19%.

Prateek Aggarwal : Equally, I think we nee d to keep certain, I mean, I don't know, call it seasonality, but there are these productivity commitments that we've given to several of our clients which kick in April for us. This is not this year, n

ot last year, this has been there for several years together. So, I mean, world over, growth is best seen on a year -on-year basis. And that's why we always look at that. Of course, we look at sequential also, but because of this seasonality that I already mentioned, it is expected that the June quarter woul d be a little lower than the going in rate that we saw in the previous 3 quarters.

Moderator : Thank you. Ladies and gentlemen, due to paucity of time, that would be our last question for today. I now hand the conference over to Mr. C. Vijayakumar for closi ng comments. Thank you, and over to you, sir.

C. Vijayakumar : Thank you, everyone, for joining us for our first quarter commentary. As I said earlier, we remain very optimistic about the demand pattern supported by our all-time high pipeline and the
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bookings that we've seen in this quarter. We have some work to do on the margin front, which we are working very diligently on, and I'm very confident of improving the trajectory from here on. With that, thank you for your time and have a good evening.

Moderator : Thank you. Ladies and gentlemen, on behalf of HCL Technologies Limited, that concludes today's call. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2022

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 0120 6120 25000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India

October 17, 2022

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on October 12, 2022

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on October 12, 2022, post the announcement of the financial results of the Company for the quarter and half -year ended September 30, 2022, has been uploaded on our Company's website <https://www.hcltech.com/investors/results-reports>.

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

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"HCL Technologies Limited's Q2 FY'23 Earnings Conference Call"

October 12, 2022

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR , HCL TECHNOLOGIES LIMITED
MR. RAHUL SINGH – CHIEF OPERATING OFFICER ,
CORPORATE FUNCTIONS, HCL TECHNOLOGIES
LIMITED
MR. RAMACHANDRAN SUNDARARAJAN – CHIEF
PEOPLE OFFICER , HCL TECHNOLOGIES LIMITED
MS. JILL KOURI – CHIEF MARKETING OFFICER , HCL
TECHNOLOGIES LIMITED
MR. PRATEEK AGGARWAL – CHIEF FINANCIAL
OFFICER , HCL TECHNOLOGIES LIMITED
MR. SANJAY MENDIRATTA –HEAD, INVESTOR
RELATIONS , HCL TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, Good day and welcome to the HCL Technologies Limited Q2 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. I now hand the conference over to Mr. Sanjay Mendiratta, Head, Investor Relations . Thank you. And over to you , sir.

Sanjay Mendiratta : Yes, thank you, Aman. Good morning and good evening, everyone. A very warm welcome to HCL Tech's Q2 Fiscal '23 Earnings Call. Wishing you all a very happy festive season.

We have with us Mr. C. Vijay akumar -- CEO and Managing Director , HCL Tech; Mr. Rahul Singh -- Chief Operating Officer , Corporate Function; Mr. Prateek Aggarwal -- Chief Financial Officer ; Mr. Ramachandran Sundararajan -- Chief People Officer ; Ms. Jill Kouri -- Chief Marketing Officer along with the broader leadership team to discuss the performance of the company during the quarter followed by the Q&A.

In the course of this call , certain statements that will be made are forward -looking which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on the information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the safe harbor statements in the formal investor release document and all the factors that can cause the difference. Thank you , and over to you , CVK .

C. Vijayakumar : Thank you, Sanjay. Good evening, everyone and thank you for joining the call today. I'm very excited to be here surrounded by the new vibrant look and feel of a new brand , our new brand positioning , which is , supercharging progress.

Before we get into the quarter business performance, I want to take a couple of minutes to update you on the key organizational changes we've had this quarter :

Rahul Singh, after being President of our Global Financial Services business for many years, has been appointed as the Chief Operating Officer for Corporate Functions . Corporate functions include people , IT, marketing , risk and compliance and administration. I want to thank Rahul for growing our financial services vertical, which also is the largest vertical and has an annualized run rate of 2.3 billion.

Srinivasan Seshadri will be taking over the role of Head of Financial Services now. He's been with HCLTech for more than 20 -years , and recently he was the Head of Financial Services for Americas prior to taking on this role.

We have a new Chief People Officer, Ramachandran Sundar arajan or Ram, as he is more popularly called. Ram is a HCLTech veteran , takes over this role after successfully heading HR HCL Technologies Limited

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for our Americas region, and the global go-to-market HR function globally. Ram has been integral to the conceptualization and development of a recently launched employee value proposition. I'm confident he and his team would help us achieve our strategic objective of being the "Employer of Choice" in the professional services across key geographies.

Appa Rao, who's been our CHRO for the last five years, is moving on to an exciting new role as the Chief Delivery Officer, Near Shore. Near shore has been a very important strategic component of our delivery model, and today includes Brazil, Mexico, Guadalajara, Costa Rica, Bulgaria, Hungary, Poland, Romania, and a few other countries. During the last five years, Appa has been

the CHRO. We've grown tremendously, both in terms of people, employee experience and the geographical footprint. I want to thank him for his great contributions to our success, and compassionately steering us through some of the most difficult times the world has seen.

Jill Kouri – our CMO, is also here with us. Jill and the team have been the force behind our amazing brand transformation, articulating our purpose, our positioning, and our employee value proposition.

Now, over to our results. It's been a spectacular quarter. I'm happy to share that we delivered 3.8% constant currency growth and 15.8% year-on-year constant currency growth, which is broad-based across all segments, all sectors, and geographies, and also a healthy margin performance.

Our services business continues to deliver strong numbers growing at 18.9% year-on-year and 5.3% sequentially in constant currency.

The growth momentum was led by both engineering and R&D services and IT and business service segments, which continue to ride the market trend of technology-led business model transformation.

Our Products and Platforms business now rechristened as HCL Software, declined 7.8% in constant currency sequentially, which was expected of a seasonally weak quarter. Excluding the impact of DXC, CFT divestiture, the decline is about 2.7%.

As I said earlier, our margin performance has significantly improved during the quarter. We posted an EBIT of 18% which is in line with our desired recovery plan. It's a result of significant operational efficiency measures, good outcomes from the bill rate enhancement program that we've been driving with our clients as well as planned deployment of freshers.

Important to note is that the wage hikes are going as per our regular plan, we have achieved our margin growth without compromising on any of our wage hike principles and policies that we have followed and are continuing to pay the variable compensation as per plan and not taking any reductions whatsoever.

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From a bookings and pipeline perspective, we had a very good quarter. Our bookings crossed \$2.4 billion, eight large services deals and three significant product wins. Our bookings growth was 23.5% on ACV basis on a YoY basis, and 6% YoY on a TCV basis. Our pipeline remains healthy and well distributed across large and medium-sized opportunities.

We won a mega deal this quarter. This will have minimal impact in FY '23. We expect this deal to give us an average ACV of US \$125 million per year from FY '24. We are constrained to share the details due to client confidentiality reasons.

Apart from this, we won some more significant wins. A Fortune 100 company which operates one of the largest retail chains in North America has selected HCLTech as its strategic IT services partner for business operations transformation, and setting up intelligent automation platforms and experience-centric end user services. The scope also includes application and infrastructure support, modernization, and the retail stores operations.

A US-based Fortune 100 financial services firm selected us as a preferred partner for the transformation and modernization of their IT landscape, which included data, applications, cloud migration across annuities, life insurance, health insurance, advice and the CRM portfolios.

A leading US-based healthcare provider expanded its partnership with HCLTech for software testing services for its entire suite of applications and products. Our automation solutions will enable the company to mature to an automate first DevSecOps-aligned continuous testing model, which will accelerate their journey towards a product-based organization.

A US-based global technology company selected HCL Tech to manage its enterprise applications. We will set up a global delivery model to support the company's

enterprise

portfolio, consisting of SaaS, commercial off-the-shelf applications, and several homegrown applications.

As you can see, these deals are a good proxy to our capabilities, which is very broad-based and the trust and confidence that our clients have in HCLTech's ability to digitally transform their IT operating models in line with the business operating models.

In Q2, we also had handsome additions to our client mix. We added 2 in the \$100 million client category, and 1, 19 and 30 in the 50 million, 20 million and 10 million categories on a year-on-year basis.

Our headcount ramp up, we had net addition of 8,359 people to our family in this quarter, while we added 10,339 freshers during the quarter. We continue to work towards an optimal mix of experienced and entry level professionals that helps our long-term delivery model. This is not just being done at offshore, but in all geographies, including onshore and near shore locations. From a segmental performance, ITBS grew 5.3% sequentially, followed by engineering and R&D services at 5% sequential growth in constant currency.

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In terms of verticals, as you would know, starting Q1 FY '23, we've been aligning our metrics disclosure to the services and products business separately. In services business, we're providing you the split of geographic and vertical mix as well as the growth rates.

In geographies, our growth was led by Europe at 6.9% sequentially in constant currency, followed by Americas which posted 4.7% QoQ in constant currency.

In terms of vertical segments, manufacturing, energy, utilities and public services were top performing vertical segments, with 10.9% sequential growth and a 6% sequential growth respectively in constant currency. All other verticals had healthy quarter-on-quarter growth as well as year-on-year growth. Notable year-on-year growth performance comes from our telecom vertical, which significantly grew year-on-year 25%-plus, same is true with technology and services vertical.

At this moment, we see every client continuing to accelerate their digital transformation journey.

And digital transformation journeys serve two objectives. They definitely provide significant business benefits, while also simplifying the tech landscape and reducing the operating costs.

So, depending on the deal nature of deals, we see continuing acceleration in the sweet spot that we're playing in, where digital transformation delivering significant business outcomes, while also reducing the operating cost. It's the Venn diagram of these two which is really the powerful driver for our growth, be it in applications, data modernization, hybrid cloud, digital engineering, all of this have this sweet spot of the Venn diagram that I talked about, and we stand to gain from these investments through this business cycle.

Just talking a little bit about our brand transformation. As you all know, we unveiled a new brand identity and logo, underpinned by distinct positioning of supercharging progress that reflects our commitment to our clients, our people, communities and our planet. Supercharging progress captures the essence of what we do today, and the aspiration of what we want to do more of, at scale and at speed for our clients, for our people, our community, and the planet.

The new HCL Tech brand, logo and positioning are at the heart of our go-to-market strategy, and represent our differentiated portfolio of services and products that supercharge digital transformation for enterprises at scale. The new branding was displayed in a massive theater in the US this quarter, as HCL Tech was named an Official Cornerstone Partner for MetLife Stadium, and the Official Digital Transformation Partner for New York Giants, New York Jets and MetLife Stadium.

Through this partnership, MetLife Stadium, the

Giants and Jets can benefit from HCL Tech's

deep experience in platform-driven business transformation, supported by market-leading capabilities to supercharge the adoption of best-in-class technology advancements.

I invite you all to visit our website to experience this new vibrant look, feel, and manifestation of our brand.

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Looking ahead, we remain very positive of our near-term growth. Confidence is generated by our strong bookings and pipeline numbers across every segment. While there are variables in the external world and those have an impact to our clients business, during such times, we narrow down to those clients markets and opportunities and work out a strategy, that is mutually beneficial. As I look at our bookings and pipeline, I'm very confident that we would gain market share as we have done in the past.

Now, coming to the outlook for FY '23, we are now guiding for 13.5% to 14.5% constant currency revenue growth for the full fiscal. Basically, we had a 2% guidance range at the end of one quarter, we are narrowing it down to a 1% guidance.

We're also confident of our services business which continues to demonstrate strong growth. Of the five past quarters, four quarters we've delivered 5% -plus sequential growth, and the bookings and other pipeline performance will enable us to deliver a strong growth, and we are guiding for 16% to 17% in constant currency in our services business for this fiscal.

Operating margin, earlier, our guidance was 18% to 20%. We said we will come in at the lower end of the guided band. But with the improving success with our margin initiatives, we are now giving a guidance of 18% to 19% for the full year.

In parallel to this business momentum, we also continue to aggressively focus on delivering supercharged progress to our key stakeholders, our clients, people, communities and planet at large.

Finally, before I hand it over to Prateek, I want to wish all of you a happy festive season, and wishing you and your loved ones a very happy and prosperous Diwali in advance. And I will hand it over to Prateek to share more insights on our financials.

Prateek Aggarwal: Thank you, CVK. Let me start with wishing all of you a happy festive season. Good evening, good morning, whichever part of the world you're joining from.

We have an exciting bunch of numbers here. So, I'll go through them. HCL Tech Services is what led the revenue growth this quarter, 18.9% year-on-year in constant currency, 5.3% sequentially, and overall HCLTech delivered 3.8% sequentially and 15.8% year-on-year.

EBITDA margin came in at 22% and EBIT margin at 18%. And this is despite wage increase that we had planned and executed w.e.f. 1st July 2022 for the largest portion of our population.

The EBIT improve with several levers at play, billing rate enhancement, that is better realization from existing projects as well as the new projects that we've been winning over the last few quarters. Pyramid optimization, then better utilization as well as operating leverage, have driven the operational efficiencies and a little bit of help from Forex changes during the quarter as well.

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The net income for the quarter came in at \$436 million, which is 14.1% of revenue and it is an increase of 2.8% sequentially, though in dollar terms down 0.9% year-on-year, which in rupee terms is positive 7%.

I will spend some time explaining the new disclosures that we have provided on page 9 of our factsheet, it's a new page titled "Return on Invested Capital." We've added further information differentiating our P & P business vis-à-vis our Services business to provide deeper understanding of their respective profitability and return on investment perspectives. So, the page is divided into three sections. A

As you can see, the top part is really the P & P P&L. The revenue and EBIT is something we have been providing you consistently for last almost three years now. We have added EBITDA as a new metric, and therefore that gives you the amortization, depreciation being very small, it's basically the D & A, the difference between EBITDA and EBIT as you know. So, that is the additional information on the EBITDA side on the P & P P&L.

We've also added a term called, NOPAT, net operating profit after tax, which is nothing but EBIT after charging the ETR for that respective business. So, in a way, we have divided the total depreciation and amortization between P & P and our Services business because the balance is services.

And similarly, the tax charge, which is without the other income, and those kinds of things in between, but the tax ETR is what you can figure out for the P & P business based on this additional information that we have provided.

The middle section then gives the estimated invested capital for this quarter and the previous four quarters. So, the first two rows give the invested capital in P&P business versus the HCL Tech Services business.

And then of course, to tie it up to the balance sheet in the respective quarter, we have also given the cash and treasury balance which is the net cash that we carry on our balance sheet.

The invested capital, it shows you that as far as HCL Services is concerned, has been flattish across the five quarters between \$3.8 to \$4 billion and the average for the five quarters is \$3.903 billion.

As far as P & P is concerned, however, it has continuously been dropping, for the simple reason that there is a significant amortization charge for the intangible assets as well as there is a Forex impact, because when we capitalized the acquisition of those seven products from IBM, they will capitalize largely in rupees in the India books, and therefore, that is also giving a Forex benefit as the rupee has depreciated over the period. So, as you can see it has reduced from 2.2 billion at the end of September last year, to now less than 1.8 billion, that's a reduction of 434, which means if we continue to deliver good EBIT, EBITDA and NOPAT, the ROIC should hopefully continue to be good in future.

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And at the bottom section of the page, we've calculated our definition of return on invested capital, which gives the EBIT and tax and the NOPAT calculated for both the Services and the P&P business, and using the average estimated invested capital in the middle section, it calculates the ROIC for the two businesses separately, and also for HCLTech as a whole. So, this hopefully provides you deeper understanding and this is useful to understand, you know how the two different businesses behave differently obviously, HCL Tech Services delivering 36% plus ROIC is the higher ROIC business, also the higher growth business. Like CVK mentioned, in the last five quarters, we've delivered more than 5% sequential growth in four out of five quarters.

P&P is a seasonal business, more volatile. But despite this accounting metric of ROIC, which includes the hit of the amortization charge, which is a non-cash charge, even in accounting terms is delivering 14.3%. And like I'd shared in the investor day, that means the IRR, whichever way you sort of look at IRR, whether return of capital back in the bank balance or in terms of IRR, both continue to be very good.

Moving on, about the mega deals that CVK already talked about, I do want to mention this. Again, since I was talking about P&P, that we could sign that mega deal and we got the entry into that, we were invited by that client only because that client is more than existing client of P&P. We got this client membership through the acquisition of those seven pr

ducts in June

2019. And this is the first large synergy benefit that we've got, of course, it will not probably show up in meaningful numbers on the P&P side, but this is really what synergy is, if anything, where ACV of \$125 million over five years has been made possible, because we were a vendor to this customer. And that's the beauty of the synergy that we are experiencing. Better account mining has resulted in 2 customers being added in the \$100 million category on a year-on-year basis. So, we go up from 15 to 17 customers, more than 100 million each last 12 months. And in the 50 million plus category, we've added 1 more customer over the year. To give you the mandatory margin walk, EBIT walk. So, as you know very well, as we had also announced, we have given competitive salary increases to the largest portion of our population this quarter, effective 1st July. Our margins improved despite that by a factor of 93 basis points at overall HCL Tech level despite those headwinds.

And with the continued focus and efforts on both the top line and cost optimization levers, Services margin actually improved sequentially by 134 basis points. So, if you include the 92 basis points of the increment impact, and the 134 basis points net increase, the gross increase for the quarter in the Services business was a factor of 226 basis points. That is the size of what has been delivered by this business in one quarter as opposed to the previous quarter.

And there are three basic points that I will highlight, which has contributed to that. The biggest factor is the realization that we could increase from our customers, both existing customers, existing projects, where we could go back and get more from the same customers for the same HCL Technologies Limited

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project, as well as the benefit of having increased realizations in the deals that we signed in the previous quarters. As those deals become more meaningful, composition every quarter, that is also starting to improve our realization and utilization. So, the total impact of realization and utilization was more than half of that 115 basis points.

The second big factor was the operating leverage from SG&A scale. As we grow the business, the SG&A has virtually stayed flat and other operational efficiencies. SG&A benefit itself is 45 basis points.

And last, but not the least, also, we have been helped by exchange gain of about 55-60 basis points as well on the Services business.

Moving on to the next topic, which is cash conversion, we continue to have a robust OCF and FCF; OCF came in at \$2.05 billion and free cash flow at \$1.82 billion. OCF was 114% of net income, and FCF at 102% of net income. Our balance sheet continues to strengthen. Despite the dollar being appreciating against every currency, gross cash is at \$2.3 billion, \$2.290 billion to be precise and net cash at \$1.765 billion. From a shareholder perspective, the diluted EPS for the last 12 months is now virtually at Rs. 51, Rs. 50.94 to be precise, which is an increase of 3.7% year-on-year and 1.8% sequentially. The Board has declared a dividend of Rs. 10 for the quarter, same as last quarter and the record date for which is 20th of October, and the payment date will be 2nd November.

So, that's it. Over to operator for the Q&A please.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Sandip Agarwal from Edelweiss. Please go ahead.

Sandip Agarwal: CVK, I have just 1 question. While you have highlighted that the global macros and uncertainties

are there, and you are keeping a close watch on that. But I wanted to just understand, have you really seen any kind of caution or any kind of red flag within your client universe who are material to you where you can sense that there is some sense of caution

ness in them or they

would like to take a delayed decision rather than an immediate decision on things which are discretionary in nature, number 1.

Number 2, what are you seeing as a new development on the hyperscaler side? Is the implementation on that front picking up faster than earlier? Or you see the same pace of implementation? And finally, how much more dip we expect in the product and platform? While I understand that it gives us synergy like the way it gave it in the current quarter where we were able to get a client. But other than that, where do you see that these revenues will stabilize from where we can expect that the whole growth of IT services will reflect on the overall growth of the company?

C. Vijayakumar : So, Sandip, thank you for a number of questions. Of course, the macro uncertainty is weighing on a number of clients, and they are definitely prioritizing the areas where they need to spend.

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So, accordingly, there could be projects where they are ramping down and they are prioritizing some other projects. So, that's a constant trend that we see in such situations.

But if I look at our overall demand, it is still a very supply-constrained market, right? Even if people are moved out of 1 project because of some ramp down, we have very strong opportunities to redeploy them, and there is definitely the number of open requirements, number of internal fulfillment, all of that, it is possibly a little bit moderated, but it is still very strong.

So, I would say it's a very supply constrained market.

So, a little bit alteration in demand from 1 client to another, 1 project to another. I think it can be very easily navigated. That's one. The second is, of course, there is some prioritization of the spends, all our clients recognize that some of the transformation projects, especially around operating model change and things like that, which is where we've been phenomenally successful over the last 18 months, they are believing that there is no going back. And the operating model has certain velocity of changes to be delivered for their business. And right now, we don't see any change in the velocity of the change work that we're doing for our customers. The second question on hyperscalers. Again, there is a very interesting observation. If you really see the hyperscalers, their bookings continue to grow quite handsomely.

It has happened in the last 2 years or 3 years. But while they all have signed up for a certain consumption with hyperscalers, a lot of clients are lagging behind in consuming the capacity that they've subscribed to, and they all have subscribed to a certain capacity over a certain time period. So, they need to accelerate consumption of this capacity. It's like a perishable commodity, right? They bought certain capacity and they need to consume. So, that is also accelerating some of the transformation work that we have seen. So, at this point, I'm really not concerned about a little bit of slowdown in growth rates for hyperscalers because the book capacity is what we need to consume by accelerating the cloud migration for our clients.

On the P&P business, I think we are seeing some level of stability in the recurring revenue. We could not share the data this quarter. We are surely sharing that in the next quarterly report. Right now this quarter the comparison is a little difficult because of the CFT exit that was there last year. So, I see some level of stability. And I mean, we expect this to be a flat kind of business for probably this year and maybe some time to come. But I think what is very exciting is the products where we are focused on, we are seeing very strong analyst recognitions and we are seeing good adoption and growth in those products. And the synergy is something which we should not underestimate. While this was the large mega deal that we talked

about, there are a

few deals which we've signed in the past as well, where our client access across the world has significantly increased because of the P&P business and the clients that we onboarded. So, I would tend to think of this as a total package. It might reflect in Services sometimes and sometimes it might reflect in Products.

So, to help you analyze it better, we have given you a guidance on Services. Services margins are also very clear. So, I think that should give you a good view on how to look at it in the future.

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Moderator : The next question is from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead, Mukul.

Mukul Garg : First of all, CVK, Prateek, a great performance on the operational side, especially on the margins.

I have one question for both of you. CVK, on the growth guidance, 16% to 17% services growth implies continued strength in the second half in especially volatile environment? Is it fair to assume that you are getting some gains from shift in spend towards cost efficiency work or has the demand environment remained broadly unchanged versus what you were seeing earlier this year? And Prateek, on the margin side, you spoke about 100 basis points increase in realization. It stands out across what we're hearing from your peers. What steps have you undertaken to achieve this? And did this require any difficult discussions or decisions at your end on your client base? Were you kind of refocusing on people where you guys can undertake price increase or margin improvement?

C. Vijayakumar : So, let me take the first question, Mukul. See, if you look at the growth in H1 in Services, it's about 19% constant currency growth. And for the full year, if we have given you 16% to 17%, obviously, there is some moderation we have assumed to get to the average of 16% to 17%. And this is driven by a little bit of furloughs in Q3. And even in Q4, we have factored in some furloughs and that's little bit reflected in the numbers. And I keep repeating this, it's about focusing on the right opportunities.

The market is very big. There is definitely some churn that's happening across vendor landscapes. And there is critical transformation work that customers are undertaking. Two of them are like the cloud migration and operating model change. And there is definitely sustenance, product sustenance, new product development. I think there is a good balance between these 2 in our portfolio, which is also keeping our engineering and R&D services quite optimistic about the growth. So, all of this is baked into what we are talking about. And to summarize, we've actually baked in some slowdown in services in the second half to get to 16% to 17%. But I think what we are confident of is to get to a good exit as we exit this year.

Prateek Aggarwal : Mukul, to your second question, yes, the realization increase is there what I have mentioned. As I also mentioned, it's driven by some renegotiations, COLA and those kind of things, which is for existing customers' existing work. You can call it a difficult discussion, but I would like to look at it as a cooperation between partners in business, where I don't think we are putting a gun to their head or anything dramatic like that. It is a realization at their end as well that costs have significantly gone up. For the last 1 year, the churn in the supply chain, the tariff war or whatever the words you use is very visible to them in their IT departments and I presume other vendors are also asking for that.

So, that's where I leave it. A substantial portion is also coming from the deals that we've signed in the last, say, 9 months. January onwards, we revised our rate card. And as those deals become a greater percentage of the total revenue of the quarter, that is also delivering the dividend.

Mukul Garg : I think, that clearly

has worked out quite well.

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Moderator : The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : I saw exceptionally high growth in Manufacturing. So, are there any mega deal ramp-ups or one-off factors that has led to this growth or any large deals that came out of transition?

C. Vijayakumar : I think it's broad-based. I mean, definitely, our Engineering Services has got a good exposure to manufacturing. And a lot of clients across the board had incremental ramp ups. If at all, I have to call out one, I mean one of the deals that we had won in France, which scaled up significantly coming out of transition. We had announced the deal as well in the past, and that contributed a little bit more, but it is more broad-based.

Ravi Menon : Great. And Prateek, are there any reversal of provisions or any such one-offs that have helped control SG&A QoQ apart from the normal seasonal factors like visa costs that are onetime costs every Q1?

Prateek Aggarwal : Simple answer, Ravi. No.

Ravi Menon : Thank you and Excellent performance on margin still.

Moderator : The next question is from the line of Manik Taneja from JM Financial. Please go ahead.

Manik Taneja : Just wanted some inputs on the fresher hiring strategy. While you had record fresher intake in the current quarter, how are you thinking about, from a second half standpoint, in terms of hiring?

C. Vijayakumar : I will request Ram to address this.

R. Sundara rajan : You'll see that this quarter, our fresher hiring has been higher than all the other previous quarters that we have done. We're on track to reach the plans that we have for this year. So, the trajectory of what we have planned out for this fiscal, we think we will be close to achieving that by following the plans that we have for the next 2 quarters.

Manik Taneja : If you could help us understand, because we were initially looking at close to about between 30,000 to 35,000 freshers for the year, so, does that target still hold true for the year?

R. Sundara rajan : It does.

C. Vijayakumar : It will be more closer to 30 than 35.

Moderator : The next question is from the line of Mihir Manohar from Carnelian Capital. Please go ahead.

Mihir Manohar : My question was primarily on the Europe side of the business. On a global front, we are living with challenges. But despite that, I mean, we have given good growth, specifically in Europe.

So, if you could quantify what is driving the growth in Europe? And how should we see this

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panning out over the next 2, 3 quarters? Or what is your sense when you have interactions with clients in Europe? And my second question was on the IT Services business. I mean, we have seen margins coming back this quarter, largely led by operational efficiencies and operational improvements. Could we see ourselves scaling back to 20% -21% kind of number, which we used to have some 5 -6 quarters back. And how long could that number be? So, yes, those are the 2 questions.

C. Vijayakumar : We will try and answer this to the best possible extent. I think Europe growth is driven by, as I said, Manufacturing and some of the new geographies that we had invested in the deals that are getting into execution. I think that's 1 big contributor from a Europe perspective. And from a margin perspective, yes, we have executed well, multiple levers, realization, as Prateek talked about, in existing engagements and all the new deals that we have won since January, we had a significant price increase. In spite of the price increase, we've been able to continue to accelerate our bookings. So, I think that, that gives us a little more confidence on the margin trajectory. At this point, we are not in a position to give you any long -term outlook on the margins. First ha

If,

we are at 17.5%. Full year, we are saying 18% to 19%. So, you will see incrementally margins improve. Even excluding the spike that we may have in the Product business in December quarter, we expect the margins to continue to improve.

Mihir Manohar : So, just on the Europe side, given the interactions that we are having, would you still continue to have double -digit kind of number over the next 2 -3 quarters, I mean, just your sense on it.

C. Vijayakumar : Deal wins, yes, I think it's our aspiration to win between \$2 billion to \$2.5 billion every quarter.

Europe, yes. I mean, if I were to do a comparative North American pipeline and deal momentum and conviction of conversion and timelines is more than Europe. But Europe, there are focused opportunities where we are engaged, where we feel reasonably confident. So, U.S. will obviously lead the growth momentum, and Europe may be a little slower than US.

Moderator : The next question is from the line of Abhimanyu Kasliwal from Choice India Limited. Please go ahead.

Abhimanyu Kasliwal : I know you spoke about the margins, you would not be able to give a lot of detail on it. But could you give an insight on at least the new deal wins and the margin outlook for those because some of the deals could be longer term, and we could extrapolate a trend of revenue and margins, whether they were up or downward or they're flat. If you could just help us out so we could make our estimates.

C. Vijayakumar : Actually, it's a very difficult question to answer. But all that I can tell you is since January, we had increased the prices, and we continue to win deals, which are at a higher margin than what we would have won in the previous fiscal. And when you win large deals, depending on the deal type, and we've have generally been engaged in deals where we don't have to take any major upfront kind of investments. That's been the strategy as well. So, there will be a little moderation to start with and then the margins will pick up in large deals.

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Abhimanyu Kasliwal : Any more details, please?

C. Vijayakumar : Unfortunately, no, because I think we have given everything that we can.

Moderator : We take the last question from the line of Chirag Kacharia from Ashika Institutional Equities. Please go ahead.

Chirag Kacharia : Sir, I want to know your expectations with respect to the attrition moderation. And also on outsourcing cost side, what trends you are observing on ground check because now industry has slowed the pace of hiring as well. So, your outlook on attrition as well as outsourcing cost rate.

C. Vijayakumar : So, maybe Ram can address the attrition and Prateek can give some comment as well.

R. Sundara rajan : So, attrition this quarter is 23.8%. If you see, compared to last quarter, it has already stabilized. We think that's hit the peak. While the previous 4 quarters, you would have seen the trend, we have seen an increasing trend, that has stopped. So, the early indication from that trend is very clear as to where we are. And also if you look at the current quarter number on an annualized basis, which is the indicator of what is the outlook going forward, there's a significant drop that we see. So, we think in terms of managing attrition, we are in a good space now.

Prateek Aggarwal : Chirag, on your second question, we have disclosed on Page 22 of our factsheet, a detailed breakup of the cost. If you look at the second line item, that's the outsourcing costs, which

includes both third -party subcontractors as well as the work that we outsource to some of our partners. That number has for this quarter come in at 15% of our total revenue, which is virtually the same as what it was in September last year, but has reduced over the previous quarter, June quarter , by 30 basis points.

So, it was 15.3 %, it's come down to 15 %. That is what I think we had

spoken about last quarter

also. It had increased last quarter, and we've been able to bring it back to the sort of average levels that we've had over a longer period of time.

Chirag Kacharia : Sir, my question, what I want to know is that on ground, the hiring activity, the intensity of hiring has reduced as well as the freelancing work opportunity is also reduced. So, is this phenomena giving players like you a more bargaining power with outsourcing provider?

C. Vijayakumar : Not really.

Chirag Kacharia : And what levers we should consider for margin expansion?

C. Vijayakumar : We've guided for 18% to 19% for the year. So, that should be your reference point.

Prateek Aggarwal : I think the levers that you're asking, Chirag , continue to be the same levers. We have talked about realization improvement as the newer deals become a greater percentage of the total that will help. And we continue to work on the other customers as well where we haven't already got .

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Apart from that, utilization continues to be a lever that we expect quite a bit out of. And as we keep bringing in the 30,000 odd, 30,000 -35,000 freshers that improve the pyramid and the overall cost. So, all those levers are there. And SG&A leverage again is something we would like to draw up on. So, all these factors are there to improve the margins.

C. Vijayakumar : So, in closing, thank you, everyone, for joining us today. I know it's been a long day for all of you. I also want to highlight that we have an Investor Day scheduled on the 8th of December in New York. We look forward to seeing some of you there during the Investor Day. And in closing, it's been a great quarter. We have delivered on all fronts . It gives us a lot of confidence for the rest of the year. And thank you for all your support and look forward to connecting with you in the future. Thank you.

Prateek Aggarwal : Thank you.

Moderator : Thank you very much. Ladies and gentlemen, on behalf of HCL Technologies Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Jan 2023

HCL Technologies Ltd.

January 17, 2023

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on January 12, 2023

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on January 12, 2023, post the announcement of the financial results of the Company for the quarter and nine-months ended December 31, 2022, has been uploaded on our Company's website <https://www.hcltech.com/investors/results-reports>.

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

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"HCL Technologies Limited's Q3 FY23 Earnings Conference Call"

January 12, 2023

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR , HCL TECH NOLOGIES LIMITED
MR. PRATEEK AGGARWAL – CHIEF FINANCIAL OFFICER , HCL TECH NOLOGIES LIMITED
MR. SRINIVASAN SESHADRI – GLOBAL HEAD (FINANCIAL SERVICES), HCL TECHNOLOGIES LIMITED
MR. VIJAY GUNTUR – PRESIDENT , ENGINEERING AND R&D SERVICES , HCL TECHNOLOGIES LIMITED
MR. RAMACHANDRAN SUNDARARAJAN – CHIEF PEOPLE OFFICER , HCL TECHNOLOGIES LIMITED
MR. SANJAY MENDIRATTA – HEAD (INVESTOR RELATIONS), HCL TECH NOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HCL Tech nologies Limited Q3 FY'23 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. I now hand the conference over to Mr. Sanjay Mend iratta, Head, Investor Relations . Thank you , and over to you, sir.

Sanjay Mendiratta: Thank you, Aman . Good morning and good evening, everyone. A very warm welcome to HCLT ech's Q3 Fiscal '23 Earnings Call. A very happy new year to all of you.

We have with us Mr. C. Vijay akumar -- CEO and Managing Director , HCLTech ; Mr. Prat eek Aggarwal -- Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the quarter followed by the Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number o f risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on information presently available to the manage ment, and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the safe harbor statement in the formal investor release document and all the factors that can c ause the difference.

Over to you C VK and thanks.

C. Vijayakumar: Thank you, Sanjay. Good evening, everyone. Thank you for joining us for HCLTech 's Q3 FY'23 Earnings Announcement. A very happy new year to all of you from the entire HCLTech family.

Now to ou r results for the quarter, I'm very happy to share that we've delivered strong performance this quarter across all key metrics ; revenue growth, margin expansion, booking growth, and people metrics.

As you would have seen, our revenues grew 5% in constant c urrency sequentially, and 13.1% constant currency year -on-year. The growth was attributed to our strong momentum in the HCLSoftware business, as well as our momentum in our Services business. Our Services business gr ew 15.4% year -on-year and 2.2% sequentially in constant currency . We posted an improved EBIT of 19.6% driven by improvements in our services business, and seasonal ga ins due to the peak performance in the software business.

Overall, we're continuing to see demand on themes like IT opera ting model transformation, cloud adoption. Both of these are helping clients accelerate their digital transformation journey.

We continue to see great potential for vendor consolidation, cost optimization and large integrated opportunities in the near -to-medium term. And these opportunities have really contributed significantly to the bookings that we delivered this quarter.

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We also enjoy unique position as the only IT service provider globally to be rated as a leader in all six Gartner IT Services Magic Qu adrant. This when combined with the strong propositions and people skills, i s reflected in a strong growth over the last many quarters and our future outlook. This is also a big acknowledgement of the effort HCLTech ies have invested over the last few year s to address every need of our clients. It tells the market very clearly that HCLTech has the 360 deg . propositions to address the IT services needs of Global 2000 clients. Today , be it clients sourcing advisors or analysts , acknowledge what we can bring to the table as a total package for digital transformation of our clients for employee value chains, be it cloud adoption, application or data modern

ization , or digital engineering , and digital workplace needs. This achievement is well aligned to the first of our strategic objectives, which is leadership through differentiated services and products.

In terms of segmental , vertical and geography performance, our HCLSoftware business delivered an outstanding performance growing 30.5% quarter -on-quarter in constant currency. HCL Software business scaled up impressively this quarter and has built good momentum in new type of deals with 26 new software as a service deals.

From a services perspective , our ERS business led the pack this quarter with 2.5% sequential growth in constant currency, followed by our IT and Business Services at 2.1% sequential growth, again in constant currency. This growth came up despite furloughs that were higher than anticipated at the start of the quarter, and higher than what we saw in the previous year.

HCLSoftware signed seven new clients across Fortune 500, Global 500 and Global 2000 clients in the last quarter. You may be aware that more than 25% of the Global 2000 companies are HCLSoftware clients and we see synergy benefits for our Services business as we get more clients here.

HCLSoftware announced a multi -year partnership with the legendary Formula One team ; Scuderia Ferrari . The deal with Ferrari sees HCLSoftware become a strategic partner to the historic racing team with a focus on supplying high performance precision technology. The HCLSoftware logo will make its debut on Scuderia Ferrari racing cars. This follows our partnership as an official digital transformation partner of MetLife Stadium, New York Jets , New York Giants in the US. These are part of our brand transformation programs that we initiated last quarter to take HCLTech , the industry's best kept secret , closer to our clients, partners, communities and employees.

Now to verticals and geographies , our geography growth was once again led by Europe at 7.2% sequentially in constant currency, followed by Americas at 0.5% QoQ in constant currency.

Our top performing verticals were Life Sciences and Healthcare , Manufacturing, and Telecom and Media , delivering sequential growth of 5.5% , 4.9% and 4.5% in constant currency respectively.

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In Q3, we also made good additions to our clientele ; we added 3 in the \$50 million category and 2 in the \$20 million category on a QoQ basis. As you would remember, another of our strategic objectives is to be a preferred digital partner for Global 2000 enterprises in chosen markets. In line with that , a good number of clients we've grown to the next category, or new additions to our client list belong to the G -2000 category.

One of the highlights of the quarter is our booking performance. Our bookings increased 10% year-on-year on a total contract value basis, and 2% on an annual contract value basis, with 17 large deals across services and products among the large seven services wins , I want to call out a few.

I also want to call out that the top three deals that we won this quarter gave us a TCV of close to a billion dollars in this quarter. A US headquartered Fortune 300 Financial Services firm selected HCLTech to lead its global technology transformation program. This program includes modernization of clients IT landscape by building and operating a hybrid cloud infrastructure platform in collaboration with AWS .

We also announced the ODP Corporation deal. ODP, a leading provider of products, services and technology solutions, selected HCLTech as its primary IT partner . HCLTech will manage end-to-end IT operations and enterprise -wide digital transformation to enable ODP 's business strategy in its office depot, ODP business solutions in their business units.

We also announced a new deal which we signed last quarter . We announced the deal today ; Mattel, a leading global toy ma

nufacturing company, and owner of one of the strongest portfolios of children and family entertainment franchises in the world , selected HCLTech to enable Mattel's future direction and product operating model , along with continued digital transformation journey . As the primary IT partner , HCLTech will drive transformation across Mattel's global technology landscape, cutting across applications , infrastructure and infrastructure security domains. These are some of the wins on the services side that sets us well for future growth.

On the Software side , we have 10 large wins , healthy mix across the portfolio as well as some good wins on a subscription or a SaaS model. A Global 50 automobile major has expanded its partnership with HCLSoftware to support its dealer portal and parts provisioning in North America, while enabling a secure environment to guard against potential cyber security threats. A Fortune 200 company has selected HCLSoftware to provide a modern and seamless digital experience to its customers and business partners. A Fortune 500 hospitality company has selected HCLSoftware to enable multiple business functions including HR , employee training, as well as customer -facing programs as a part of its growth strategy. Over all, our pipeline

continues to remain healthy, well distributed across large and medium sized deals. In terms of people metrics, we are making good progress to become an employer of choice and professional services across all key geographies. Our headcount ramp up continues ; we had 2,945 net new additions to our family in this quarter, and 5,800 freshers during the quarter were HCL Technologies Limited
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onboarded. Our people ramp up plants be it freshers or near shore or new vistas, are progressing in line with what we had announced as a medium-term plan during our Investor Day in May '22. We're starting to see moderating attrition and talent cost across the globe, unlike last year, where we saw an abnormal behavior on these metrics. I'm happy that we are making incremental progress towards hybrid operating model just as we had planned in a consistent and predictable manner. Our model continues to be flexible to address the needs of all stakeholders without constraining the business objectives.

As we mentioned in our medium-term objectives, weaving ESG into our business strategy is key to our success, we launched the HCLTech Sustainability School, and its first Comprehensive Climate Literacy Learning Series for all 220,000+ employees. This should help our employees to better understand our relationship with the planet and how we can make it a better place to live.

Looking ahead, we believe, there is near-term impact to a few industries, specifically, technology industry clients, as they optimize while they will end up as great growth opportunities in the medium-term with the right propositions. In this context, our propositions, global delivery, talent, position and the new capabilities will continue to give us an edge in the mid-to-long-term. Q4 will be a seasonally weak quarter as our P&P performance peaks in Q3 with renewals and new Deal signings.

Looking ahead, we remain positive of our medium-term growth, with confidence generated by good bookings and pipeline across every segment. I have no doubt that if we achieve the four strategic objectives and the progress we have made towards them, the fifth one to deliver top quartile TSR over the medium-term should logically follow.

Once again, I wish you all a great year ahead. With that, I will hand over to Prateek to provide More Details on our Financials. Over to you, Prateek.

Prateek Aggarwal: Thank you, CVK. Happy New Year to Everybody on the Call. To give you some quick wrap up of the growth and then I'll get into how the EBIT has moved, etc.

Year-on-year in constant currency, we grew 13.1% ;

our Services grew 15.4%, and on a sequential basis in constant currency, we grew 5%, led by Software, growing at 30%+; and services also reported a robust 2.2% sequentially in a seasonally soft quarter. During the quarter, we also crossed significant milestones in terms of profits ; INR 5,000 crores in EBIT and INR 4,000 crores in net income. The EBITDA margin came in at 23.9% and EBIT at 19.6% which is a healthy growth of 165 basis points QoQ and 57 basis points YoY. Our return on invested capital continues to improve ; At a company level, we hit close to 30% and Services came in at 37.4% as compared to 36.2% last quarter.

Moving on to EBIT walk from last quarter to this one, we gave our second phase of increments this quarter for the middle management, and that is an impact of 70 basis points. At overall level, EBIT has improved 165 basis points, out of which 157 basis points has been contributed by HCL Technologies Limited
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HCLSoftware, being most of the revenue flows down, the extra seasonal revenue flows down to the EBIT as you know.

Services margin improved by 8 to 10 basis points after absorbing the salary increment of 70 bps that I talked about. Furloughs and holiday season also impacted by about 60 basis points. And our margin improvement initiatives have been yielding results last quarter and this quarter as well. This quarter, we gained 40 basis points through pyramid optimization, deployment and billing of freshers as well as 30 basis points on top by realization improvements and other efficiencies, and FOREX gain was another 70 basis points as well. So, that's how the 19.6% got delivered, large portion coming from Software as I said.

On Guidance, we gave three data points. We've narrowed all three of them. So, the revenue guidance at overall company level, we are at 13.5% to 14%, which is the same as what we had indicated at our US Investor Day. So, all the three narrowing of the ranges is in line with that. Services is now at 16% to 16.5% and margin guidance is at 18% to 18.5%.

It was a good quarter for cash generation as well and cash conversion ratios. Overall DSO including the unbilled revenue current is flattish QoQ. But you will notice that our unbilled has reduced significantly in this quarter and over the last two quarters as we have billed faster, and

this should help improve the collections in Q4, because what we have billed already by December -end, will get collected sometime in February .

Last 12-month Operating Cash Flow was at \$2,041 million and Free Cash Flow at \$1.8 billion . OCF being 111% of net income and FCF being virtually equal to the net income. Our balance sheet remains strong with gross cash at \$2.5 billion and net cash close to \$1.95 billion to be precise.

For shareholders, the last 12 -months diluted EPS increased to INR 53.36 , which is up 4.8% quarter -on-quarter and 13.1% year -on-year without the one timers in Q4, so, we are taking the tougher compare there .

As per our continuing steady practice of quarterly dividend , the board declared INR 10 per share as the dividend for the quarter. The record date of the same is 20th January and payment date will be 1st February.

With that, I hand it back to the operator for Q&A .

Moderator: We will now begin the question -and-answer session. First question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : As HCLSoftware product growth is even stronger than what we saw last year , we thought that was exceptional. So , are you confident that you will now see the segment being stable to growing from here on, your exit for the usual strong Q3 seasonality?

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C. Vijayakumar: So, yes, we had a good growth and our expectation is the trajectory will continue. But however, it is early days for us to really provide

any concrete guidance . We have put several foundational blocks in place, and they seem to be working in the right direction. But this is not a trend yet. So, we would be a little cautious , before calling out a trend, we will see a few more quarters before seeing a trend .

Ravi Menon: Any particularly large deals in this we might want to be aware of , difficult to repeat ?

C. Vijayakumar: Are you talking specifically about the Software business?

Ravi Menon: Yes, yes , Software .

C. Vijayakumar: In Software, we had 10 deals, which we consider as large deals . And I think in a seasonally strong quarter , it's a little more than what we would have expected , number of customers increased their consumption, some new clients got added as we called out some of this, I mean, three or four new top logos got added who are going to consume the product for the first time. So, it's more broad -based , it's not because of one big deal or anything like that.

Ravi Menon: And Financial Services had a decline this quarter. CVK, I think you said in December, at the Investor Day in New York that you are looking at higher furloughs in Financial Services , so will this bounce back next quarter? And also, retail and hi tech, that is also little weakened. Here , was it due to furloughs or customers being distressed and should we think there were some projects being put on hold or even being cancelled in these other verticals ?

C. Vijayakumar: Let me take it one -by-one. Financial services, largely due to furloughs , I think , we took the biggest hit in furloughs in Financial Services . So, I see good growth coming back in Financial Services . And this also is going to be enabled by two large deals ; one, we had announced last quarter, one more half a billion dollar plus deal, which we signed in this quarter , both are Financial Services . So, I think we feel pretty confident of a very healthy growth in Financial Services as we move forward. And it also gives us good visibility of Financial Services for the next financial year. Coming to retail CPG , it's really due to certain clients who are stressed, which had an impact , and that 's kind of little bit continuing which is causing the ramp downs in this client . Tech and services , as I called out, I think our concern really came from , we did not see furlough kind of impact in tech and services in the past , but this year, we did see especially some large techs trying to kind of optimize their spend for the year. So, we took some hits in some big clients , that's why it's flattish from a quarter -on-quarter perspective . I see a good mix of opportunities in tech . While they are being a little bit more frugal about what they're spending on, but there is also an increased propensity to offshore . In fact, a couple of large big techs which had a 50 :50 ratio for onsite -offshore , they are significantly moving to a much higher offshore adoption. And there is also one vendor consolidation deal which we signed this quarter where there are three vendors who are going to take the lion's share of business. So , I think these trends that we've seen will help us stabilize and grow the tech vertical . The year-on-year growth is still very strong and we expect to continue growing here.

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Ravi Menon: Margins for IT services is still 100 basis points below the pre-COVID , 3Q, 17.8%. So, with the attrition now starting to come off , do you think we can get back to the margin levels for IT

services or are there any structural challenges that we should be aware of ?

Prateek Aggarwal: At the company level , we said , we do want to get back to the pre -COVID level . The comfort band of 19 % to 20% that we've had over a long period of time for four, five-plus years. So , that is the intent and aspiration and we are all working towards that .

C. Vijayakumar: If you s

ee this quarter , while the Services margin is only 10 basis points up, but we have taken the impact of salary increases, as Prateek called out earlier, we've taken an impact due to the furloughs. Then, FOREX has benefited , but still I think on both fresher adoption and all the operational improvements, we've got 70 basis points benefit. So , Services margins are improving , and we will continue to see that kind of a trajectory as we move forward.

Moderator: The next question is from the line of Gaurav Rateria for Morgan Stanley. Please go ahead.

Gaurav Rateria : So, two questions. Firstly, what's been happening on the top-10, top-20 accounts? If I look at that as percentage of revenues, it's declined not just in this quarter, but actually for last several quarters. So any particular phenomena going on there?

C. Vijayakumar: There's a technical reason . I think it's largely because some of the revenue which was getting accounted under IBM due to the revenue which was coming through the transfer of contracts, that has now come into our books. So, basically, there 's one continuing factor which keeps reducing. That's one . And FOREX is also another reason . I think these are the two . Otherwise , there are normal client movements up and down , but quite healthy growth , in fact, we see our top client categories grow very well. If you see , I think top -20 has grown faster than the company services growth rate.

Gaurav Rateria: Secondly, how is your portfolio growth skewed towards Europe both in terms of your order booking as well as in terms of your pipeline, just trying to understand that the concerns on macro is actually more weighed more towards Europe, so if macro were to deteriorate, how much of risk that maybe from your orders or the pipeline perspective?

C. Vijayakumar : So, I think we did not say that booking is skewed towards Europe. Our booking is a lot more skewed towards US, North America so that's one. Now the second aspect is Europe had pretty strong growth this quarter, followed by a previous quarter, which was also good. This is really coming from the execution of one deal, which we had won some time back, and that too in the telecom vertical. So, that is one reason. And there were also some projects where we had certain assets that were involved so , some of the supply chain easing, so they were planned to be delivered this quarter. So, these two elements helped almost a significant increase in the telecom business in Europe, and that caused this big uptick. But you will see that our overall telecom business is not showing the same type of growth, because we had some significant reductions in one large telecom account, which kind of neutralized that.

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So, now in terms of macros our booking has been very strong in the US, in the last two quarters. And as I had mentioned earlier, the decision-making delays are visible in Europe. So, that should kind of maybe moderate Europe for some time. However, the pipeline in Europe is still very good. Some of the deals which have been delayed for some time, we expect the conversions in this quarter or even early next quarter. So, I think we will see Q2, Q3, next year , we will see continued traction . There may be a little softness in the interim.

Gaurav Rateria : Last question, CVK, on the bookings front, you last time gave an outlook that you expect very good bookings in December quarter. Any kind of visibility that you might be able to provide for March quarter bookings, if possible?

C. Vijayakumar : It's difficult to call it out, but I do feel confident , on a year -on-year basis, we are probably up 13%, I think YTD, 13% up from TCV perspective. I am hoping to maintain that, but it's difficult to I mean, there can always be spikes, right , some things which we expect to happen in March, could happen in April. So, it's difficult to

commit to a number. But pipeline is good. And in fact, the number of deals which are coming into our unqualified pipeline , that is the deals which are coming in where we have not yet qualified to the shortlist, there is a very strong traction there. And I think that will kind of compensate for some kind of softness in the discretionary spend . So, that's why overall whether it is vendor consolidation or cost takeout kind of deals and Cloud adoption, I think we are starting to see large transactions in Cloud adoption. Financial Services sectors has not kind of migrated a lot of workloads to Cloud. And I think we are starting to see good traction around that. So, all of this is giving us confidence that the pipeline and the order, the type of deals that we are winning, and the market share we are gaining all of them is giving us some level of assurance that bookings will continue to be good. And then that will eventually translate to revenues.

Prateek Aggarwal : I think, Gaurav, if I may just add, if you see our last five, or even six quarters, it's been very steady sort of numbers between \$2-2.5 billion in all of these quarters, so I think and as you know

very well, these are all new bookings, new incremental booking net wins, there is no renewal in that. I think the steadiness is what I would like to call out in addition, which I think is a good way to keep the clock ticking.

Moderator : Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja : Prateek I just wanted to pick your brains around the aspiration to get back to that 19% to 20% EBIT margins that you suggested during the US Analyst Day. If you could help us understand how you are seeing the situation evolve from a wage hike standpoint going into next year. And if you could also call out the different levers that you think will play to your advantage in terms of margin improvement over the foreseeable future.

Prateek Aggarwal : Manik, you know, there are two buckets I would delve into. One is the bigger things which are sort of translating into revenue and EBIT every quarter, bit-by-bit, including this quarter and the HCL Technologies Limited
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previous quarter. And then there is a long list of all the other metrics, right. So, the first one is, our constant hiring of freshers, if you take the last 12 months, we are at around 30,000, those freshers coming in at a steady clip, not bunched up in one quarter for example. And they are being trained and deployed on projects and start to bill. And the time to bill improvements that we have been making progressively is the first lever. And it is basically quarter-after-quarter, year-after-year as we keep building those layers, it is a layered strategy if you like, and that really forms the bedrock, the bottom of the pyramid over three-four years, and that is what we have been doing and that is starting to pay off.

The second one is obviously utilization of not only the freshers, but also the laterals that we have. Our entire workforce really and that utilization came under stress due to multiple reasons. One is the supply chain tightness. The second is a very heightened attrition, because when you have that much of attrition you are forced to keep a few extra people to backfill that, right. So, as our attrition is moderating, quarterly annualized attrition has significantly come down over the last two quarters actually, last 12 months doesn't show that to be honest. But in QAA terms, Quarterly Annualized Attrition, that has come down quite a bit. And that gives us the levers to reduce the unbilled people on the projects, and so on so forth.

So, utilization, to my mind is one of our biggest levers continuing. And then, of course, all the offshoring of the work, nearshoring of the work and improvements in the nearshore locations that have started expanding

g, and we are optimizing them, all those things will play into it. And

I mean, whatever you may say about the environment, but we continue to see improvement in our billing realizations as well. So, last quarter was a 1%, this quarter, it's that 30 bps that I called out. Those are continuing and as more and more deals of the last 12 months come, some more percentage of the total will keep on improving I believe. So, those three, four things are the biggest levers, and then there is all the rest of it, which includes automation, and all the optimizations that we do, which obviously need to take care first of the salary increment, and then deliver higher EBIT and all the other metrics thereafter.

Manik Taneja : And one last clarification question with regards to the typical seasonality that we see around our Services business between the 3rd Quarter and 4th Quarter. Typically, 4th Quarter tends to be higher in terms of sequential growth do you expect that trend to sustain in FY'23, given the current macro backdrop?

Prateek Aggarwal : So, yes, I mean there is some bit of catch up that a lot of the teams do during the last quarter, but that is all baked in to the guidance that we have given. So, 16% to 16.5% kind of captures that quite adequately.

Moderator : Thank you. Next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : CVK, just wanted to understand within the TCV, which has been healthier for us, is there any major change in terms of proportion of deal wins, which are cost takeout, vendor consolidation led deals versus the discretionary transformational digital led deals? And will this trend continue
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and the proportion may keep increasing, which may give us confidence that FY'24 could be again healthier especially in our services business?

C. Vijayakumar : Yes, so Sandeep, in fact, the three large deals in this quarter, none of them are really driven by cost takeout. One is really realigning a product operating model. And right now, the client is already outsourced in an onshore/offshore model. So, it's really not a cost led deal. It's really a transformation deal, where we will lead with the changes in the overall IT operating model, that's number 1.

Number 2 is, again, vendor consolidation opportunity and it's really not so much driven by cost. The third deal is again, really transitioning from vendors or service providers who are struggling or who are not looked at by the clients as futuristic, right. So, these were the opportunities that we won.

Now the cost takeout deals, we are seeing a lot of them come into our unqualified pipeline at this point in time. So, only when we get shortlisted into three or four kind of shortlisted vendors, then we add it to the qualified pipeline. I see them coming into the pipeline in this quarter and next quarter, and they will really result in some kind of bookings in Q2, Q3 of next year.

Sandeep Shah : And just last question, do you witness any slowness in terms of the Cloud adoption or Digital adoption for clients entering into CY'23, because that could be what has been implied from some of the hyper scalers where they see the last two years has been very great in terms of Cloud migration, which can normalize going forward now.

C. Vijayakumar : No, I think, see, there is this whole hybrid operating model which was driven by or remote operating model which was driven by COVID , I think that definitely gave a huge spike to Cloud consumption. But that is just only one leg of opportunity and that was really led by more consumption and not much of a transformative services like modernizing applications or data and things like that.

Now, as I mentioned, even earlier and even during the Analyst Day, a lot of big customers have signed up for sizable capacity with the hyper scalers. And these are all just booking numbers for

the hyper scalers. So, the customer wants to also make the best use of the booking commitments they have given. And the hyper scalers are also encouraging them to accelerate migration. So, I think that's creating a good opportunity pipeline for us.

I see it only accelerating , because big companies, with a committed spend on Cloud providers, they need to really leverage the capacity that they have contracted. So, I see more and more urgency to really drive this. However, it is still not, lift and shift is not very high. Unless they have a very aging infrastructure , they kind of look at it as an easy solution to do lift and shift, and they can do modernization and optimization later, but most large clients are looking at application modernization and re -architecting the landscape to perform financially in an optimal manner on the Cloud environment. So, I see that trend continuing, and I see it only accelerate.

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Moderator : Thank you. The next question is from the line of Surendra Goyal from Citigroup. Please go ahead.

Surendra Goyal : Any early Thoughts on IT budgets, timing, direction, what are your client conversations suggesting?

C. Vijayakumar : See Surendra, it is early days to get a sense of the budget . There are two things , one is the discretionary spend and I don't think anybody has a good grip on what is the level of moderation that can happen in discretionary spend. But what we saw in the last quarter was, wherever the projects were not critical , clients had kind of deprioritized that, but a lot of work that we are doing in Financial Services for example, we don't see clients kind of rushing to reduce any thing, I think they are all continuing with the Digital Transformation program. So, I think that's one aspect where we have to go more into this year to realize what the impact will be.

However, a lot of deals are going to come out of the current spends customers are doing, either vendor consolidation or cost optimization. So, I think that's not going to be driven by what budgets they have. It's really a close to \$115 billion worth of vendor consolidation opportunities that are expected in the next two and a half years. I think that's where we are going to get a good outcome for ourselves.

Surendra Goyal : And just one more follow up. I think Prateek did talk about realization improvement. So, I just wanted to understand about realization for the deals which have been signed in the current quarter because obviously the realizations you are seeing today are from deals which were signed a while back. Has there been any change in direction from that perspective over the last few quarters?

Prateek Aggarwal : No, Surendra like I think we discussed maybe in the last call, we made a definitive change in our rate card somewhere, January last year. So, basically all deals signed since then have been at better rates, and there has been no change in that in this quarter or the previous quarter.

Surendra Goyal : And that includes the vendor consolidation, cost take out kind of deals, right.

Prateek Aggarwal : Yes, like CVK said, we have not had too many of them till now.

C. Vijayakumar : At least this quarter is driven by 3 deals, which has nothing to do with cost take outs.

Surendra Goyal : Just one last point on Software, obviously, you had a great quarter. And I don't want any numbers. But would you be comfortable to say that it's a growth business going into next year?

C. Vijayakumar : So, Surendra as I said, I mean, two data points really does not constitute a trend, we will have to wait for some more data points before we make that conclusion. So, I would leave it at this.

Moderator Thank you. The next question is in the line of Girish Pai from Nirmal Bang Institutional Equities.

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Girish Pai : The ACV numbers for the quarter on a year -on-year basis grew by just 2% versus in the first half it grew by approximately 20%. So, how should one read into the slowing number? Is it because the tenure of the deals you won in the quarter is larger?

C. Vijayakumar : Yes, so the large deals are slightly longer tenure, I mean a couple of them are five years, in one of them, one part of it is eight years, the rest of the part is five years. So, I think that has a skew. But one thing if you have to look at our YTD booking, and you were to do ACV growth, Girish, the ACV growth is 13% on a YTD basis. So, that's a pretty strong growth from an ACV perspective. This quarter, maybe the mix of deals was a little different so ACV was soft.

Girish Pai : Do you see the mix of deals, continuing the way you saw in 3Q, I mean will this mix continue into the next few quarters?

C. Vijayakumar : Difficult to call, I mean, deals come in all kinds of shapes and forms and tenures. We feel there is a reasonable market opportunity to at least create a 10% ACV increase so I will leave it there. I mean, what is not happening in Q4 could happen in Q1. But on a rolling 12 month basis I think that would be a good expectation and goal for us to go out.

Girish Pai : The third party hardware and software that you kind of incurred in the cost part, do we see a situation where customers are pushing more of this on to the vendors unlike say 12 month back, is that a phenomenon that you see amongst customers?

C. Vijayakumar : No Girish, I don't see any specific phenomenon, but I think what's happening is supply chains were very tight. And some of this hardware delivery and all started getting a little bit easier in the maybe September -October timeframe. So, that kind of helped us to kind of finish some of the project deliverables, which was all planned, it was expected, either it was to be included in Q2 or Q3. So, it really happened in Q3.

Moderator : Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar : I just wanted your view on the ER&D services, given the fact that they generally tend to be more towards the development side, and also hi-tech is seen in some kind of pressure. What's our view on ER&D over the next few quarters?

Vijay Guntur : You are right, some of the decisions on product lines and the products discontinuing, are impacting. But we have a large set of business, which is about sustaining existing products, and also transforming. So, that, in a way, is giving us a cushion to take care of some of the headwinds that we see. And this is not across all of our engineering services business in the tech space, we see a little more, whereas in our asset heavy business, we don't see this kind of a trend.

Abhishek Kumar : Just for my understanding, how would, I mean, what percentage of ER&D roughly would be technology? Is it like the largest one or it's not very large?

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Vijay Guntur : It'll be a little over 11% of our total ER&D.

Moderator : Thank you. The next question is from the line of Komal Ladha from Yellow Jersey Investment Advisors. Please go ahead.

Komal Ladha : Yes, I wanted to ask, do you face any major challenges with employee costs as startups are having higher packages?

C. Vijayakumar : No, I think that was an issue two quarters ago and even last quarter, but this quarter, we are already seeing a little bit moderation in the talent cost and attrition and all that. Attrition came down significantly. So, the situation has improved quite significantly in this quarter.

Komal Ladha : And what kind of fresher hiring are you looking at in coming quarters?

R. Sundararajan : Our fresher numbers, whatever we have planned for this year, we will be getting pretty close to the planned numbers. There will be some slight

moderation as the attrition has started dropping quite significantly. We will be making some small moderation to that otherwise, we will continue with the plans that we have made for the year.

Moderator : Thank you. Next question is from the line of Kshitij Saraf from Tusk Investments. Please go ahead.

Kshitij Saraf : Wanted to know on the ACV for the Software wins, so could you shed some light on the size of the deals with Ferrari, and any indication you would like to get there on general size, tenure for the new deals you are winning?

C. Vijayakumar : We don't give deal specific numbers on both the Services and Software business. Wherever we could call out where permissions we have already given an indication. But usually the Software ticket sizes are small it could be anywhere from \$100k to maybe \$10 million, kind of ticket sizes.

That's what we typically see.

Moderator : Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference to Mr. C. Vijayakumar for closing comments. Thank you and over to you sir.

C. Vijayakumar : So, overall, we have had a fabulous quarter on all dimensions - revenue growth, improving margins, strong booking performance, and very good people metrics. We continue to remain positive about the overall tech spend of the clients. There can always be one or two quarters where there can be some moderation, but the strength of our propositions which is really very well balanced, and the very impressive recognitions that we have from analysts and the very satisfied clients that we have, we are very confident to weather any economic storm with a mix of vendor consolidation opportunities and continuing to double down on Cloud adoption and our digital engineering strategies. So, overall, I remain positive about the outlook for the future and thank you for joining us and have a great evening.

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Moderator : Thank you very much. Ladies and gentlemen on behalf of HCL Technologies limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Apr 2023

April 25, 2023

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on April 20, 2023

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on April 20, 2023, post the announcement of the financial results of the Company for the quarter and year ended March 31, 2023, has been uploaded on our Company's website <https://www.hcltech.com/investors/results-reports>.

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

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"HCL Technologies Limited's Q4FY23 & Annual FY23
Earnings Conference Call"

April 20, 2023

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER &

MANAGING DIRECTOR , HCL TECH NOLOGIES LIMITED
MR. PRATEEK AGGARWAL – CHIEF FINANCIAL
OFFICER , HCL TECH NOLOGIES LIMITED
MR. SRINIVASAN SESHADRI – GLOBAL HEAD,
FINANCIAL SERVICES , HCL TECH NOLOGIES LIMITED
MR. VIJAY GUNTUR – PRESIDENT, ENGINEERING AND
R&D SERVICES , HCL TECH NOLOGIES LIMITED
MR. MANAN BATRA – SENIOR MANAGER , INVESTOR
RELATIONS , HCL TECH NOLOGIES LIMITED

HCL Technologies Limited
April 20, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the HCL Technologies Limited Q4 FY'23 & Annual FY'23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manan Batra, Senior Manager, Investor Relations. Thank you, and over to you, sir.

Manan Batra: Thank you, Aman. Good morning and good evening, everyone. A very warm welcome to HCLTech's Full Year Fiscal 2023 & Q4 Earnings Call.

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCLTech; Mr. Prateek Aggarwal – Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the year and the quarter followed by Q&A.

In the course of this call, certain statements that will be made are forward-looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward-looking statements. All forward-looking statements made herein are based on information presently available to the management, and the company does not undertake to update any forward-looking statements that may be made in the course of this call. In this regard, please do review the safe harbor statement in the formal investor release document and all the factors that can cause the difference.

Over to you C. V. K. and thanks.

C. Vijayakumar: Thank you, Manan. Good evening and good morning, everyone. Thank you for joining us for HCLTech's FY'23 & Q4 FY'23 Annual Earnings Announcement.

When we started the year, there was good optimism around growth supported by strong market momentum but within an uncertain geopolitical environment. When we started the year, there was high attrition and increasing resource costs industry-wide. I'm pleased to share that we've managed to deliver good growth with good control over profitability during such a volatile period.

Our overall revenue growth 13.7% in constant currency year-on-year. The strong growth is attributed to good momentum both in our services as well as our software business. This was on back of strong and healthy growth across segments, sectors and geographies with a healthy margin performance.

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As a company, we're very proud to cross the 100,000 crores revenue in INR terms. And I want to thank 225,000-plus HCLTechies all over the world, who contributed to make this very impressive milestone happen.

In FY '23, we delivered industry-leading growth for our services. We grew 15.8% year-on-year in constant currency. Almost the entire growth was organic. In the process, we've gained market share in the year in the services business.

HCL Software business grew 1.8% excluding divestitures in constant currency on a year-on-year basis.

Our operating margins came in at 18.2% for the full year. If you recall, we had started at 17% in the first quarter, and have improved significantly to 18.1% in the latest quarter. I think this was the lowest EBIT dilution among our peers when the resource cost was under stress initially. Things are starting to look better now.

In terms of our segmental performance, IT and Business Services grew 15.4%, Engineering Services grew 16.8% and HCL Software grew 1.8% during the year on a year-on-year basis.

Our software business continues to exceed expectations for the second consecutive quarter with 8.2% growth year-on-year, of course, excluding divestiture during the year. And this is

S a

traditionally weak quarter. We are also very proud to announce that we've crossed an (ARR) Annual Recurring Revenue of \$1 billion, which is a very important milestone. And we've also disclosed more metrics around our software business in our investor release.

During the quarter, our ERS business degrew and it is attributed to two verticals; Tech and Telecom, which contributed to this degrowth. We do have the capability to navigate this dynamic kind of environment, primarily based on a resilient business model, and more importantly, our portfolio mix.

Our geography growth was led by Europe at 20.5% year-on-year in constant currency, followed by Americas at 14.4% and ROW 11%, again year-on-year in constant currency.

Top performing verticals primarily due to the significant performance in the first half. Tech grew 22.5%, Telecom, Media grew 22.4% and Manufacturing 18.3% on a year-on-year in constant currency. During this quarter, Financial Services grew the maximum on good demand for cloud and data as well as ramp up of large deals. All of them were executed very well in a timely manner to ensure we transition clients as per the timelines that we had committed to.

Manufacturing segment was impacted due to a one-off program coming to an end and associated SI work on that program.

We have had very impressive client additions during the year; we added 3 \$100 million clients, now we have 19 \$100 million clients; we have 46 \$50 million clients where we added three clients during this year. Overall, \$1 million client now stands at 939, which is an impressive HCL Technologies Limited

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addition of 57 clients during the year. These metrics reflect the strength of our mining, cross-selling and up-selling in each of our clients. And also it provides visibility into the potential in a significant number of \$1 million clients that we have signed up during the last financial year.

From a booking perspective, our bookings grew 4.3% on an ACV basis, and 6.6% on a TCV basis year-on-year with 13 large deals across products and services. As you would know, the booking numbers that we call out, which is roughly \$2.08 billion in this quarter. These are all net new booking, which is all the incremental business that we signed in existing customers and new customers.

We also want to note that our total bookings, which includes net new booking, and renewals, grew 19% during the year on a year-on-year basis. We've had excellent renewals. We've had 99% renewal in our portfolio during the last 12 months.

We continue to expand our reach in G-2000 clients, which is one of our strategic objectives. We believe we have a great opportunity to address the larger market with increased reach. I want to call out a few things that are really helping us in this context.

Our brand transformation is starting to give us the edge, from being the best kept secret to the best-in-class service provider. Started seeing good synergy opportunities for the services business from a few of our product clients. You would remember the mega deal I mentioned earlier in the year.

Presence in many geographies through our focus and new frontier countries from a go-to-market perspective. The deal I'm about to mention is one such deal. This is also the largest deal in this quarter for us and a big one as we look beyond our core geographies.

A Global Top 100 Banking and Financial Services firm in our new frontier markets, who's obviously a new client selected HCL Tech to transform its customer relationship channels. We will implement a modern Salesforce CRM and an omni channel solution to enable the bank to deliver hyper personalization to its clients.

It's also a deal during a period when Financial Services globally is in a state of flux. We won a few other large deals both in the US and Europe in the sector, which is a sign of our pro

positions,

which are seeing good demand in this market in Financial Services.

Another deal that reflects our goals, a Fortune 500 existing client expanded their partnership with us to accelerate digital transformation across its operations through convergence of IT and OT. We will modernize the OT environment to drive automation, enhance the safety of employees and productivity of equipments, leading to more sustainable operations.

On the product side, one deal I want to call out is a US based digital solution provider for healthcare providers. They expanded their partnership with HCL Software for use of portal and content management software to meet the growing demands of its clients. The application on HCL Technologies Limited

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HCL digital transformation DX platform is at the core of the client's business. Our pipeline continues to remain close to a record high and is well distributed across the service lines.

After a period of optimization, I believe, clients know the value of technology and what it brings

for the overall business. Still early days for some green shoots, but I'm optimistic of the future outlook.

Our people ramp up continues ; we had 3,674 net new additions in this quarter and 4,480 freshers during the quarter, which is lower than the last quarter, adjusting for the market conditions.

Overall headcount crossed 225,000 people . We've added more than 25,000 freshers in the year, the highest in our history. While we're scaling fresher intake, we still have an opportunity here. We will have a sustained focus on this over the next two to three years to improve this further. Our attrition started trending down and continued in the right direction . On an LTM basis , our IT Services voluntary attrition is now at 19.5% , which we believe is one of the lowest in the industry.

We now have dedicated leadership to drive the growth in nearshore locations, which is a very important component of our business strategy. It's starting to show results both as people and revenue ramp up and as profitability improvements.

Morocco is a new near shore center for us aligning with the opportunities that we are seeing in Europe.

In the last quarter, we won many awards . Some notable ones : We've been recognized as the Fastest Growing India Headquartered IT Services Brand among the top 10 IT Services Company Globally according to Brand Finance . HCLTech positioned as a Leader in Avasant SAP S4 HANA services. We were positioned as a Leader in Avasant Digital Commerce . We were positioned as a Leader in Gartner's Magic Quadrant on Outsourced Digital Workplace Services . We are also positioned as a Leader in the Forrester Waves , Multi Cloud Managed Services Providers . We have also received Gold Award at the Economic Times Human Capital Awards for Innovative Hiring and Unique Practices for our TechBee Program , which is HCLTech's early career program.

I'm also glad that the progress has been very good with the dedicated leadership that we have in place on the ESG front. A few recognitions we received this quarter for our efforts : MSCI has rated HCLTech as an ESG Leader in the Software and Services Industry and upgraded our ESG Rating from A to AA. We've also been included in the S&P Global Sustainability Yearbook 2023 as an Industry Mover , for demonstrating sustainable business practices.

In terms of the overall demand environment, there is still evergreen demand for a lot of relevant services, be it the IT operating model change proposition, data modernization, cloud and cybersecurity. We have successfully embedded CloudSMART as a part of all our propositions and leveraging the ecosystem strategy. More than 90 CloudSMART services offerings built HCL Technologies Limited

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existing services across service lines are also mapped to support the CloudSMART factory delivery

very model.

We also wanted to remind you that we are the only service provider in all 6 IT Services Gartner Magic Quadrant to be positioned as a leader, a great pole position to be in for next year's race. We were anticipating a cyclical trend change from early last year and we are well prepared for this section of the economic cycle as we move forward .

Though there has been some stress and uncertainty from the system , be it as booking delays or ramp up delays, it's largely restricted to the discretionary spend. While modernization is running into some near -term headwinds due to cost pressures, this is also the right time for clients to look at optimizing mature digital estates and optimize cloud costs.

We don't see so much stress on the run the business side, and it gives us good confidence given our spend in a number of areas, which are very, very mission-critical in running the business for our clients.

There is obviously a huge uptick in the efficiency -led large deals . Cost optimization and vendor consolidation continue to be very, very strongly visible in our pipeline. We also believe the spending will increase in areas like applied AI and analytics, edge computing, sustainability, supply chain optimization, and data and app modernization.

Amidst all the volatility, I want to call out Financial Services , which the industry has been very concerned about. We've had very strong growth , 6.9% sequentially. And we continue to remain very optimistic about our outlook for Financial Services . We see good opportunities with clients seeing relevance of our propositions, especially taking over existing digital foundation landscapes and modernizing them and the target state of hybrid cloud or predominantly public cloud kind of solutions. Our recent wins in this space of course spans across all geographies, Americas, Europe and even Latin American countries.

To summarize, there is a slowdown, but still, we believe there is a floor level which will be higher than the pre -pandemic cycle. And the time to recover also should be shorter. And this message about recovery being shorter is based on the pipeline and the decision timelines that we've seen in all the opportunities that we're working on.

In terms of FY '24 guidance, we believe the technology spend which has continued over the last many quarters, it's time to kind of review and consolidate for our clients to consolidate to the most efficient and impactful technologies and the most efficient and scalable service providers. And we are gaining significantly in vendor consolidation opportunities, not only in our existing clients, but also as a differentiated challenge in a few of the clients where we are not there. So, our guidance for FY '24, we expect the revenue growth to be in the range of 6% to 8%. Our operating margins to be in the 18% to 19% range.

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And I will request Prateek to cover some more details about the financials and then we will take questions. Thank you.

Prateek Aggarwal: Thank you, CVK. So, wish you all good evening, good morning, good afternoon, wherever, whichever time zone you are.

From our perspective, the key milestone for the quarter and for the year really is the one lakh crores of revenue in rupee terms.

So, having mentioned that key milestone, let me go on to the Q4 overview, and then I'll follow it up with the full year numbers – a lot of numbers to be discussed, so I'll try to make it as rapid as possible.

HCLTech revenue for the quarter stands at \$3.2 billion, which is a reduction sequentially due to the seasonality of HCL Software, which hits a peak in the December quarter.

For the quarter, services revenue stood at \$2.9 billion, which was an increase of 0.6% sequentially in constant currency. The year-on-year growth in CC is 10.6%.

ITBS reported decent growth of 1.6% sequentially and 11.4%

year-on-year in constant currency.

ERS, however, showed a sequential decline of 3.8% due to customers cutting back on some of their discretionary spends, leading to project ramp downs and paused or delayed programs. But in year-on-year terms, they continue to show 7.3% increase in constant currency terms.

HCL Software reported a year-on-year growth of 7.9%. But if you exclude the divested business from the base, that growth was actually 8.2% in year-on-year constant currency terms.

In the software business, we have been talking about publishing some additional metrics. So, we have a new page that we've added to this quarter and the annual investor release.

So, apart from providing the revenue by type of sales, we have also added the annual recurring revenue as a new metric, ARR, which I'm sure you know that typical software businesses and relevant stakeholders tend to focus a lot on. So, we've started publishing that from this quarter. As on 31st March, the ARR stands at \$1 billion plus and has shown a growth of 5.2% on a year-on-year basis in constant currency.

For the quarter, EBITDA margin came in at 21.9% and EBIT at 18.1%. I will shortly explain the quarter-on-quarter variance in EBIT. Net income for the quarter came in at \$481 million, which was 14.9% and up 1.3% year-on-year.

The walk from the previous December quarter to the current March quarter is actually a very simple walk. HCL Software seasonality in fact itself is about 125 basis points, which basically reflects most of what changed. There was an additional 30 bps drop in the services margin and

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that was entirely due to ER&D margins coming in lower by 50 basis points, which was partly recouped from operational efficiency and improvement in EBIT in the ITBS segment, which grew by 30 basis points, at a services level that contributed 20 basis points. So, 50 minus 20, 30 bps is what the services QoQ margin walk was sequentially.

You will see that ERS basically had \$18 million revenue impact towards the last month of the quarter, and basically flew down to EBIT without providing the ability to sort of really manage cost in the last few weeks. So, that's something which will obviously improve going forward, but for this quarter, the \$18 million pretty much flew down to the EBIT margins.

On the ROIC front, which is the other additional metric that we have been publishing in the last two-three quarters. We are focused on improving ROIC. The Last Twelve Month (LTM) ROIC is now at 30.4%, which has increased 150 basis points on a year-on-year basis, and services now is at 37.3% and software given the good quarter is at 15.5%. Additionally, I would like to indicate that the incremental ROIC, so incremental growth in margin, divided by the incremental additional capital deployed is in the last two-years and three-year periods is more than 50% -plus. So, that's an additional factoid I thought I would share with you. We've been publishing the ROIC and incrementally it has grown at 50% -plus.

I also wanted to share, there have been questions about some of the events that have happened in the banking sector in the last month. In the current operating environment, there are concerns

on the stability of some banks . We want to clarify that our exposure to these events and risks to our business and projected growth is frankly minimal. As per our health assessment of our banking clients, based on the credit rating and detailed working that we have done, including the impact of mark -to-market hits on held -to-maturity investments etc., our banking clients with below average or lower credit rating is about 1% of the Financial Services business that we have, which as you know is about 20% -odd of our overall revenues. And the discretionary spend is even smaller than that 1% data point that I shared.

red.

Moving on then to the full year numbers, just a few bullet points. The full year revenue came in at \$12,586 million , so \$12.5 billion , revenue growth of 13.7% in constant currency terms , somewhat in the middle of the last guided range that we had given you , 13.5% to 14 % . HCL Software grew at 1.8% excluding divested business. Services growth came in at 15.8% year-on-year in constant currency. EBITDA margin came in at 22.3% for the full year and EBIT at 18.2%, again, somewhat in the middle of the guided range of 18 % to 18.5 % that we had given. Net income for FY '23 is \$1.8 billion, which is 14.6% of revenue, which is up 1.7% year -on-year. Our guidance for the year is services at 6.5 % to 8.5 % and for the company as a whole it is 6% to 8%.

I would just like to point out that this is constant currency and based on the exchange rates at the end of March , there is an additional 70 basis points that we expect in reported US dollar terms.

So, the constant currency guidance translates to 6.7 % to 8.7% for the company as a whole and HCL Technologies Limited

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for the services part it is 7.2% to 9.2% . And EBIT as you know we've guided to an 18 % to 19% , a narrow range.

On the operating margin guidance , assumes dollar -rupee currency rate of about Rs.82 per dollar , and other currencies at average FY '23 exchange rates .

The tax rate for FY '24 will go up ; we expect it to be between 25.5 % to 26.5 % . The last year FY'23 came in at 23.9%. So, at the midpoint it's going to be an increase of about two percentage points. We will see increased ETR simply because of certain new units moving to different slab in the SEZ regime and some coming out of the SEZ tax benefits as well.

However, the important point, which I've always maintained with all of you is, the cash tax rate will be significantly lower by about five percentage points. So , in cash tax terms, we will continue to be in 20.5 % to 21.5 % , say, 21% at the midpoint. So , there is a 5% point difference between the cash that we actually pay out as we will continue to pay MAT in India , using about half of the accumulated MAT that we have in the balance sheet as on 31st March, which is about \$225 million. So, we expect to use that over the next two years; about half of it in FY'24 and the balance half in FY'25. So, I just want to flag off once again that the ETR in the P&L and the ETR in actual cash flow terms is going to be wide variance of that five percentage points.

Cash generation for the year came in at \$2,230 million for operating cash flow on a last 12 months basis, which is at 121% of net income. So, that continues to be at that range of 120% - plus that we have been mentioning in both of our investor days in the last year and as per the promise that we have made to you. And free cash flow as well came in at \$2 billion plus ; \$2,024 million to be precise , and that comes in at 110% of net income. So, both those metrics are extremely good to look at .

Our balance sheet therefore continues to strengthen with gross cash now at \$2.8 billion and net cash at \$2.5 billion. Remember, in this quarter, we actually retired \$248 million worth of bonds that we had issued two years back and that reduces the gross cash. Without that , the gross cash would have been \$248 million higher and therefore is \$3,058 million to be precise. But net cash obviously remains the same because it is post reducing the impact of borrowings . Overall DSO reduced by two days on a sequential basis, including (UBR) unbilled revenue, it now stands at 88 days.

Shareholders aspects. Ultimately , the net income or profit after tax on a EPS basis, diluted EPS for the last 12 -months comes in at Rs. 54.79, which is a 10.1% increase on a year -on-year basis. And looking at that, and all the financials and projections, the board is happy to declare dividend at Rs.18 for the quarter, that

brings up the full year dividend to Rs.48 per share as we have paid

Rs.10 per share per quarter in the first three quarters so, 30 plus 18 for this quarter makes it 48 , and against the 54.79 of EPS the payout ratio stands at 87.5%. We had promised a minimum of 75%. So, we are staying fairly high compared to that. So, hopefully shareholders should be happy with that.

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I just want to take a minute more on explaining the deal wins narrative because there have been some questions and everybody does it a little differently, so I want to be clear on how we in HCL Tech publish these. So, bookings for the quarter have been \$2.1 billion, that is on a constant currency basis. And ACV growth of that number, the annual contract value, has actually grown by 7.6% on a sequential basis. Just for clarity and for your understanding, we have what we call budgeted exchange rates. We refresh the currency rates at the beginning of the year based on our study of the last quarter and the last year and what projections are available. So, based on that we refresh the currency rates and booking numbers and the deal win numbers that we report are carried at the same rate throughout the year. So, there were some questions on that. That is the reason I'm getting to that level of detail. And also, FY'23 budgeted exchange rates were the same as the FY '22 budgeted foreign exchange rate. And therefore, all the \$8.9 billion of deal wins that we've published are actually at constant currency rates because the budgeted numbers were exactly the same, the forex rates.

So having clarified that, let me elaborate on some of the other attributes. So, as I hope all of you already know, the TCV that we report includes only the net new deals. We do not include any renewals in that except, of course, if there is any incremental work that comes in as part of the renewal, we'll report only the incremental part. And this includes large, medium, small, all kinds of deals.

We don't sort of differentiate, but all the numbers that we report are only the net new deals for both services and products. And this number comes in only when they are committed by the customers. So, we don't take projections given at the time of RFP and during the discussions and we don't publish that till it actually converts into a signed SOW or purchase order. So, rate card deals, we don't publish any TCV upfront. Only when the work actually is granted, I mean when the purchase order or the SOW comes in, that is when we publish the TCV and related ACV.

And also, we do use the term large deals. So, large deals, the threshold that we use for that characterization is, for the services business, it's greater than \$25 million and for the products business, it is \$2.5 million. So, in the year, we signed 57 large deals. So, 32 in services were all individually greater than \$25 million each and 25 in software were each individually greater than \$2.5 million.

So, with those list of clarifications, I am happy to sort of take a pause here and open up for questions and answers. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. First question is from the line of Girish Pai from Nirmal Bang Institutional Equities. Please go ahead.

Girish Pai : I wanted to know the 6% to 8% guidance you've given. Is this front loaded or backloaded? And what is the volume size mix that you have?

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C. Vijayakumar : At this point, we don't want to call out how it is going to pan out on a quarterly basis. But I think the best reference point will be to look at our past year's performance. We do believe it will follow a similar trend. Usually, you see our quarterly growth rates, low in the beginning of the year and it starts from JFM, it's probably at the lowest and then it keeps going

going up and it will

peak in December. That's the trend that you've seen in the past and I do think that will reflect.

Girish Pai : And in terms of the volume price angle to your guidance, is it completely driven by volume?

C. Vijayakumar : Yes. I don't believe there is going to be a price expansion in this environment, and I don't think we have baked in that in the revenue or the margins. It's primarily due to volume.

Girish Pai : On the margin side, what do you think are going to be the key headwinds in FY24? Because the general impression has been that there are going to be lot more tailwinds for you to expand margins in FY24, but that doesn't seem to be kind of coming through?

Prateek Aggarwal : So, I think Girish, we are factoring in the fact that it is a very different macro that we are facing at the beginning of this year as compared to last year. We do hope and expect to some extent that it will change for the better fairly quickly as it has the last few times that we've seen this kind of turbulence. So, we are factoring all of that and we've given you a pretty tight range.

There are tailwinds expected and foreseeable from the supply side. But at the same time, there are potential headwinds that we might have to factor in. So, that's all factored into the guidance that we've given. And we will see how it plays out and see if there's a need to correct later on.

Girish Pai : Just to push this a little bit more. Besides salary increases, what else do you see as headwinds?

Prateek Aggarwal : I think I don't want to really get that specific, Girish. I think there is an environment that I already called out. Beyond that, what do you want me to say?

C. Vijayakumar : Yes. I mean, apart from regular wage related dynamics, there is also productivity benefits and things like that. And I think these are the 2 things which we think are significant to be called out, nothing more.

Girish Pai : Lastly, on HCL Software, it seems like you're kind of building in a little bit of decline in FY24.

Can you throw some light or color on the product space?

C. Vijayakumar : I don't think we're building in a decline. I mean, we do believe it's been a great year for the software business. From a negative trajectory, we are well into a positive trajectory. And our general expectation is we will continue that kind of trend. Obviously, there are always lots of puts and takes, and we provide some kind of easy numbers from a guidance perspective rather than going to the second decimal and things like that.

Moderator : The next question is from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

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Kawaljeet Saluja : Just a couple of questions from my side. First is on the guidance. CVK, what gives you the comfort on guidance when you're coming off bookings growth which was just 4% in ACV in FY23? I remember when you gave guidance for FY23 at the end of FY22, it was coming off of fairly robust bookings including \$3.1 billion somewhere in March 2021, whereas the bookings trends are fairly muted at this time around. So, I just want some qualitative color as to what gives you that comfort.

C. Vijayakumar : So, Kawal, first is that \$3.1 billion has really kind of contributed to the growth in FY22. And if you look at the bookings during FY22, I think on a year-on-year basis, it has grown probably about 10% or just in that range. As you know, we report only net new deals. So, renewals are not counted. So, net new deals really, technically, they add to the overall revenue. But the headwind there is, there could be project completions and there could be ramp downs and things like that. Now, what gives me the confidence, I think, even from an exit perspective in the services business, I think we would have a tailwind of about 2.8%. So, with that kind of an exit, 6% to 8% really factors in a very modest sequential growth

rate. Even if you assume Q1, which

is a little softer for us. Even if I factor this in, Q2 to Q4 is a very manageable kind of sequential growth rate for upper and lower end of the guidance.

Kawaljeet Saluja : I understand that CVK. But that's just math, right? Because for 4Q, in December, you called out a growth rate of 1.5% to 3% and you came in at 0.5%. So, this definitely can change depending on the environment. But okay, nonetheless, I'll drop this topic. I mean, the other aspect and basically just a couple of related questions is that the first is you mentioned the time to recovery could be shorter this time around. Now what gives you that comfort, any data points, any anecdotes basically which you can relate to the past cycles, which gives you that comfort that time to recovery should be shorter. And a question for Prateek that does this quarter include, I mean, does Q1 revenue include that contribution from mega deal or has that contribution come in in the fourth quarter itself?

C. Vijayakumar : So, Kawal, let me first address the first one. See, first is in our business, we feel Financial Services will continue to deliver strong growth. So, let's keep the outlook for Financial Services outside this. So, the recovery is really focused on Tech because Tech is the vertical where we saw ramp downs in the last two quarters. And usually, I mean, what we've seen in Tech is, there is obviously significant layoffs and things like that which happened. And then when projects need to be done, we see customers using lot of external vendors. And we've already started to see that in some pockets. And that's at least in 1 very large kind of client, like in those kind of clients we're already seeing. They start consolidating. Where they cannot hire, they use external providers like us. And usually, I think this kind of trend as you've seen in one or two quarters, we keep seeing this thing coming, not only when there is a cyclical thing. Even if one particular client goes through some restructuring, we've just seen in 3 to 4 months, lots of external service providers are used. So, I think that's the basis and we are also seeing some of that visible vendor consolidation opportunities in big Tech, which is one of our forte, and we believe that's definitely going to help us.

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Kawaljeet Saluja : There was a mega deal signed which was supposed to contribute in 1Q. Is it slated to contribute in 1Q or has the contribution come in 4Q itself?

Prateek Aggarwal : So, Kawal, there are actually multiple mega deals. So, just to refresh, there was 1 mega deal we talked about at the end of September, which is what I think you're referring to which we said would start towards the end of Q4, which has started pretty much exactly on the dot where it was planned. So, yes, that has come in in this quarter itself, albeit for the last month of the quarter. So, the next quarter is going to be the full quarter impact of that. Also, you will remember there were large deals in Financial Services that we had talked about in the December quarter. So, those are going to be starting now and going pretty much as per plan. And that will again come in the Q1 of FY24.

Kawaljeet Saluja : Just a final question actually. Thanks a lot, Prateek, for those additional disclosures on products. I mean, I see that subscription and support has that quarterly volatility. Is it largely consumption - based volatility on a sequential basis? Or is there more to that of quarterly volatility in subscription and support, which is an annuity -based revenue in products ?

Prateek Aggarwal: So, the volatility comes from the revenue recognition principles as per ASC 606 and the similar IFRS 15 kind of standards, which is why we've started producing the ARR metric for which we've given a definition, which I'm sure you would look at, but to put it very simply

stically, it is

more like an (ACV) Annual Contract Value , which is a term all of us are familiar with. So, that volatility is more related to the revenue recognition principles. But ARR is more like AC V just to put it very simplistically.

Moderator : The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : Your revenue margins have come in below expectations and probably that's behind why the margin guidance doesn't seem to factor in your ambition to get back to pre -COVID margins. So, do you see a pause to that over the next few quarters? And should we think about this margin guidance as conservative and probably factoring in any further ramp downs or unexpected cancellations?

Prateek Aggarwal: So, Ravi, thanks for that question. Because I think I would like to reiterate, as we have been discussing in the last several quarters, our aspirational range of EBIT continues to be 19 % to 20%. So, let not the guidance that we have given, tone down that medium term expectation and aspiration that we have. When we give guidance, we are obviously expected to be realistic. And given the environment that we are going through, especially in the first half of this year or whatever, we have factored all that in into the guidance. But over the medium term, our aspiration continues to be that 19% to 20% band. So, there is no walking away from that. We have to get back to that. It is only a question of when, not whether.

Ravi Menon : You spoke about ER&D margin recovery being a bit gradual. So, should we think about this as the pipeline has started converting into revenue as quickly, so redeployment of the people is not easy? Is that how we should think about ER&D margins and growth?

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C. Vijaya kumar : If you look at the revenue drop in ER&D this quarter , it is almost flowing into the margins almost entirely , the \$19-20 million drop in revenue is almost visible in the bottom line as well. So, obviously, when customers ramp down or there are certain costs that we continue to carry, and we have various ways to redeploy and attrition backfill and all of that. So, we have some levers, but it may not be very quick because some of the skills are unique and things like that. So, there are location intricacies involved in this. So, it would recover more gradually.

Moderator : Next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.

Sudheer Guntupalli : On the IT services piece , one of your competitors recently raised an alarm on unprecedented, unexpected and broad -based ramp downs and cancellations, which impacted the March quarter.

Post that the industry perception which got built was that it's a blanket IT services industry wide trend, some companies may see the impact early on, and some may see later on maybe in the June quarter. Clearly, your March quarter results do not reflect any such trend. Two questions on this. First, apart from a general sense of caution which is quite well known, are you seeing any macro led shocking change in terms of the client behavior versus September and December quarters? Second, are you worried that if not in March, we may have to see some of it in the subsequent quarters over and above the normal seasonal weakness we usually see in June?

C. Vijayakumar : Sudheer, while I don't want to comment on any specific providers in the industry, I think the biggest indicator of how the spend pattern is going to play out is normally dependent on the client budgets. And in Q1, most clients have visibility to what their budgets are. And that's why you would have seen a little muted growth in Q1 because whatever plans that kind of got rolled out, customers were very quickly trying to kind of readjust their spend to be in alignment with their budget. So, a lot of our planning is informed by whatever v

isibility that we have, from our

clients on the specific programs. And that's what we have factored in. And I do think, I mean, most of whatever pain has been factored in their client IT budgets. And if they had to inform us of some program for which they don't have funding, they would have definitely done it in the first quarter because that saves them more money throughout the year. So, I think we've done a pretty good analysis, especially in our Tech and Telecom verticals. We think the budgets have been defined and most likely that will continue.

I think the Financial Services between Banking, Capital Markets and Insurance , we feel very, very confident of the trajectory in both Insurance and Capital Markets . Banking could be a little muted based on the spend patterns and the understanding that we have. So, that's what we see.

And I want to just be limited to our commentary at this point, rather than providing an industry outlook.

Sudheer Guntupalli : Just 1 more follow up since you mentioned about budgets. So, if you look at the budget trends that your customers would have defined in the first quarter and sort of contrasted with what the trends would have been a year ago, so are they significantly different or it's just a bit of moderation? What exactly you're seeing?

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C. Vijayakumar : I think it's moderating for sure. In some segments, there is more moderation, especially where inflation impact is very high, the moderation is significant. And that's also the reason you're seeing a lot of big deals in the pipeline. We have many \$0.5 billion plus deals in the pipeline across many verticals - Financial Services /Telecom . It is actually sectors where we see more pressure is there, we're seeing large deals.

Moderator : Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : CVK, two questions. So, one is we seem to be seeing a very different trend in your results compared to those who have reported so far. So, the US appears to be very strong while, Europe seems to be weak. What's driving that differential? That is one.

And the second is I remember in the last quarter, you basically said that the way discretionary spends will move is anybody's guess. What are your thoughts on that now? And do you think that should sort of turn at some point. So, just wanted your thoughts on both?

And finally, on the margins, earlier, I think well, you did mention, Prateek, that it is not a question of whether it will happen, but when it will happen. For this year, is it more driven by the cost take out and large deals? Is that why you are relatively maybe a little more cautious versus what we thought maybe last quarter? These are the 3 questions.

C. Vijayakumar : So, maybe I'll take the first 2 and Prateek will take the third question. So, I think why Europe is weaker than the US . I think I did call out last quarter and even in the previous quarter, the booking has been stronger in the US than Europe then some of the decision making has been slower in Europe. And I did call out that that will start reflecting in revenue slowdown in Europe, and that's what you're seeing. I think it will take another quarter. I mean, we still have a good pipeline. I don't have a lot of near-term confidence on some huge bookings in Europe, but maybe the second quarter, we're likely to see something. But the US continues to remain very strong. Different trends compared to other industry players. I don't want to comment and as I said, I'm looking at my pipeline, my clients, the programs which we are working on, are they going to continue on those programs during this year. So, we have a good feel of projects which are ramping down and at least part of that is in the JFM numbers.

Discretionary spend, yes. Last quarter, definitely we had a lack of clarity on where things will

move. But as we started working through this quarter, looking at our top 50 clients and all the key programs , there some ramp downs have been there and some comfort that other programs will continue has also been there. And then added to that are the large deals that we won in the last two quarters. So, I think some of this is all playing into our slightly better growth outlook for the coming year.

Prateek Aggarwal: Nitin, on your third question. The simple answer is yes. Yes, we are banking on cost take out projects and large deals. So, some of that is also reflected in the margin guidance that we have given.

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Moderator : Next question is on the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria : So, a couple of questions. Firstly, if you could deconstruct for us the outlook within Financial Services in US versus Europe, are there different trends? Secondly, you mentioned about market share gain. Have you seen any benefit from vendor consolidation opportunities? And is it specific to any 1 or 2 key verticals? And last question. You also mentioned about run the business being very resilient versus discretionary spending. Any color on what part of our business is more akin to run the business versus discretionary?

C. Vijayakumar : We have our Head of Financial Services, Srini Seshadri, on the call. Srini, would you like to respond to this.

Srinivasan Seshadri : So, I think CVK mentioned already the Financial Services results are on the back of good execution that we've done over the last 2 quarters. Prateek also mentioned that things went as per plan. So, we've already had significant successes in North American Financial Services. And Europe is also showing good signs right now, the pipeline despite what the macroeconomics might be is showing good signs. North America is definitely leading Financial Services . Europe probably is trailing. But we still see a good sense from there as well.

C. Vijayakumar : You talked about market share gains. So, which verticals we have gained market share? At least two good call outs. Financial services, definitely we are gaining market share based on the two large wins that we had announced. And even in this quarter, I mean, at least three wins have been in Financial Services actually in three different geographies, so it's more broad-based. And also, in one of the large Capital Markets players, we are consolidating another provider who is at least 1/3 rd of our presence. So, that's, again, a very large consolidation in Financial Services . The second vertical where we are gaining some market share from a wins perspective, it's still not reflected in revenue is Retail -CPG, where we had some wins. So, now it's going to start reflecting in revenue during this year. And Tech and Telecom , I think in both we're already in the midst of a number of consolidation opportunities, some of them consolidation from a number of small vendors into 1 large vendor. And again, it's not just vendor consolidation. It's also about how can we bring some of the newer automation levers in providing much better cost structures for the client is really a good challenge some of our clients have kind of given us and we are working through some of them and we are seeing some encouraging results.

Telecom - In all the large players, there are definitely big opportunities which we are participating in. And we do believe we will gain some market share in Telecom this year. So, four verticals, FS, Retail -CPG, Tech and Telecom is where we expect to gain market share during this year. I think we have RTB spend across all 4 service offerings. Whether it is infrastructure, a lot of applications also. In fact, see, a lot of customers have expanded their digital landscape, and today they're looking at how can they optimize their digital landscape. Like, some of them have

ave 200

plus SaaS providers providing lot of niche vertical solutions. So, can that be rationalized? It's

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very similar to what you will see in a traditional landscape, we're seeing that in digital landscape as well.

Similarly, what are the ways to optimize the Cloud consumption spend and the operating costs around that. So, I think this means sometimes it's a small, fine-tuning program. But quite often, it's about making some significant changes in the applications to see how the consumption can be more optimized, which means there is a one-time program. Or sometimes they are even signing up ongoing fin ops where financial operations of the cloud spend which is contracted as a percentage of the cloud consumption to kind of provide some good revenue visibility. So, those types of opportunities are there .

Even though it's cloud consumption, we still see that as run the business kind of spend where we have a play in it. And similarly, in the engineering services, the product, sustenance, product professional services, all of them, we treat them as RTB, and we see some good opportunities there as well.

Gaurav Rateria : Thank you for the detailed answer. If I can squeeze in 1 more. The deferral in discretionary spend that you mentioned, which happened probably towards the end of the quarter in March, is this something which is still continuing and kind of likely to have the impact in June quarter as well?

C. Vijayakumar : So, I think largely that is in ER&D, you will see that in Tech and Telecom is where we had this challenge. We think in some clients, the pain is behind us, there is a little bit more in a couple of clients. We expect that to stabilize during this quarter based on all the ramp ups and execution that's happening. And some of this is also related to offshoring. While we continue to have people onshore delivering services, we have a commitment to kind of transition this to offshore and some of the higher end work does take some time. So, that also has some impact on this.

Moderator : Next question is from line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja : Just wanted to prod you further with regards to that ER&D weakness that you've seen. When you have highlighted that hi-Tech and Telecom essentially have accounted for the bulk of the decline in the current quarter, how should we be thinking about other segments within ER&D?

C. Vijayakumar : I have Vijay Guntur who is the President of our Engineering and R&D services. I will ask him to provide a little more color.

Vijay Guntur : The spend in technology and Telecom , these are the 2 areas where we've seen some softening of that spend, mostly discretionary spend that we have seen softening in. And that's in specific accounts and areas. Some of it has been expected and we factored it most of that I would say. There will be a little more continuing in that in specific accounts this quarter. Other verticals, I don't think there is a big discretionary spend that we see coming in and getting hurt by softness. We think those are reasonably good.

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Moderator : Ladies and gentlemen, due to paucity of time, that will be our last question for today. I now hand

the conference over to Mr. C. Vijayakumar , for closing comments. Thank you, and over to you, sir.

C. Vijayakumar : Thank you for joining the call. In FY23, we delivered the industry leading services growth with the lowest dilution in EBIT margin, a number of our people metrics has come in much superior to our industry peers. In FY24, it's our aspiration to drive towards delivering industry leading growth. In the current macro environment and also if the macro environment improves, we want to be prepared to make sure we are able to capture all the opportunities and deliver superior organic growth

with an improving margin profile. And we want to do all of this by being efficient in how we use capital, focus on organic growth, improving margins trajectory, right sizing our cost structures, continuous focus on all the 3 levers that we have, at least two major levers which is around continuing adoption of freshers and improving utilization and kind of streamlining the pyramid. So, we will continue to work on all of this. And we remain pretty confident of our outlook for FY24. And thank you for your support. I am looking forward to connecting with all of you in the subsequent quarters. And thank you for joining us today.

Prateek Aggarwal: Thank you very much.

Moderator : Thank you very much. Ladies and gentlemen, on behalf of HCL Technologies Limited, that concludes today's call. Thank you all for joining us. And you may now disconnect your lines.

Call: Jul 2023

July 18, 2023

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on July 12 , 202 3

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on July 12 , 202 3, post the announcement of the financial results of the Company for the quarter ended June 30, 2023 , has been uploaded on our Company's website <https://www.hcltech.com/investors/results-reports> .

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

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"HCL Technologies Limited
Q1 FY24 Earnings Conference Call "
July 12, 202 3

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – HCL TECHNOLOGIES
LIMITED
MR. PRATEEK AGGARWAL – CHIEF FINANCIAL
OFFICER – HCL TECHNOLOGIES LIMITED
MR. RAMACHANDRAN SUNDARARAJAN - CHIEF
PEOPLE OFFICER – HCL TECHNOLOGIES LIMITED

MR. VIJAY GUNTUR – PRESIDENT , ENGINEERING AND
R&D SERVICES – HCL TECHNOLOGIES LIMITED
MR. SANJAY MENDIRATTA – HEAD, INVESTOR
RELATIONS – HCL TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HCL Technologies Limited Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Mendiratta, Head Investor Relations. Thank you and over to you, sir.

Sanjay Mendiratta: Thank you, Aman. Good morning and good evening, every one. A very warm welcome to HCL Tech Q1 Fiscal 24 Earnings Call. We have with us Mr. C. Vijayakumar , CEO and Managing Director at HCLTech, Mr. Prateek Aggarwal, Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the quarter, followed by Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on information presently available to the management, and the company does not undertake to update any forward -looking statement that may be made in the course of this call. In this regard, please do review the safe harbor statements in the formal investor release document and all the factors that can cause the difference. Thank you, and over to you, C VK.

C. Vijayakumar : Thank you, Sanjay. Good evening and good morning, everyone, and thank you for joining us today for HCLTech's first quarter FY24 Earnings Call. Getting into our business performance for the quarter, Q1 is seasonally a soft quarter for HCLTech. As you would know, a lot of productivity benefits for a number of deals kick in during this quarter. Our revenues declined 1.3% sequentially and grew 6.3% on a year -on-year basis in constant currency. Our services revenue was down 1% quarter on quarter.

Having said that, though we did expect this to be a soft quarter, our performance was lower than our expectation in our Services business. I'll go over some of the details on the factors influencing these in a few minutes. In terms of our operating performance, our EBIT came in at 17%. This is at the same level as our Q1 last year. On a sequential basis, it has declined from 18.1% to 17% this quarter. In terms of segmental performance, our IT and business services had a good momentum on new deals signed. But most of these gains were offset with reduction in discretionary spend on digital.

This has resulted in our ITBS business being flat in constant currency. Our ERS business has continued to be soft. Again, primarily driven by a couple of large verticals. ERS reported a decline of 5.2% sequentially in constant currency. HCL Software revenue was stable year on year in constant currency. The annual recurring revenue, the ARR metric, has grown nicely at 4.7% year on year, and is now US\$ 1.04 billion, which augurs well for the future. In terms of industry verticals, our three largest verticals are Financial Services, Manufacturing, followed by Life Sciences .

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We've delivered strong double digit growth in all the three verticals on a year on year basis. Financial services business grew 5.1% sequentially and 14.4% year on year in constant currency. Manufacturing grew 3.6% sequentially, and 16.5% year on year. Life sciences grew 13.4% year on year. These have been due to great execution of large deals, which translated into revenue. This has helped significantly offset the discretionary spend reduction in these verticals. We

saw significant declines in our Tech and Telecom verticals, primarily driven by cuts in discretionary spend and some associated ramp downs. The pipeline in these verticals are strong and they're in advanced stages. We expect the growth to pick up in the coming quarters in these two verticals. In terms of geographies, US reported flat, while Europe and APAC reported a negative growth on a constant currency basis sequentially. Over on a year on year basis, Europe

grew 10.5%, followed by Americas at 7.3% and rest of the world 6% decline in constant currency.

Before I get into our bookings and pipeline, I want to talk about two key topics. One is Gen AI and the second one is HCL Software. In terms of Gen AI, I would like to give you a quick update on our Gen AI initiatives. Our approach to Gen AI has been driven by engineering and innovation spirit. Given a tool as powerful as Gen AI, all our efforts are geared towards harnessing its power to bring exponential innovation to our products, solutions, and services. We are also an early adopter of Gen AI technologies as a client at the same time.

Our philosophy of consulting, creating, embedding and integrating AI within Silicon to infrastructure, apps, data, and business processes. With our engineering heritage, we've been involved in co-creating AI technology stack for the last two decades. Currently, we have 140 plus external and internal projects in Gen AI at various stages of maturity from proof of concept to implementation. We've deployed at scale AI option or operations and engineering business for over a decade and have carved those IPs to fuel the intelligent automation which is DRYICE product line in HCL Software.

We implemented an AI tech solution, a Generative AI-powered human-like voice conversation bot for a global healthcare company specializing in medical devices, diagnostics, nutrition products and pharmaceuticals. We also implemented an enterprise open AI search using Power Virtual Agent Co-Pilot for a federal corporation responsible for supplying the state's bulk water needs. We're also working on an intelligent aggregator for automated data collection from health authority sites, trial registries, news company websites and regulatory sites.

The information thus collected will be automatically summarized using a Gen AI-based large language model and the summary will be shared with select recipients via email alerts. A few pharma medical devices and technology multinationals have signed up for this solution as pilot programs. Talking a little bit on HCL Software, we are making good progress with our go-to-market strategy.

We are primarily focused on customer success as a key strategy through a customer success organization. There is a strong renewal focus through a focused approach under senior leadership. There is a dedicated organization to drive partner ecosystems. Four routes on go-to-market with partners have been established, which is GSI, Hyperscalers, OEM ISVs and HCL Technologies Limited

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Business partners. We now have sharp focus on Business partners for big market segment, resulting in a clearly defined pipeline for partner-generated leads. About 10% of new license booking this quarter has come from partner-generated leads. We continue to emphasize on large deals in Software, 11 large deals have been signed this quarter.

All this has led to our ARR growth, which continues to grow at 4.7% year-on-year on a constant currency basis. In terms of product strategy, we are moving forward with a four-cloud strategy around our products. This includes Business Cloud. Products in our Business Cloud portfolio are designed to support the entire user lifecycle by providing industry-leading system integration from applications to endpoint.

The second cloud is AppDev Cloud, from securely collaborating and automating an organization's core processes to creat

ing great omni-channel and contextual multi-experiences.

Our AppDev Cloud helps companies around the world transform digitally. The third is Intelligent Automation Cloud. We transform and simplify IT and business operations by leveraging AI and Cloud.

And the fourth is Hybrid Data Cloud, where customers demand a data platform that is dependable, adaptable and simple to use. We deliver on that promise with our Analytics Database and Cloud Data Platform. We continue to create partnerships and alliances on Gen AI in our HCL Software business. We have recently signed partnerships on Gen AI with Hyperscalers to strengthen our offerings through partnerships and alliances.

We are infusing and plugging Gen AI capabilities into our products using HCL Prompt O, which is HCL's enterprise-grade orchestration and prompt engineering platform and partner collaboration. Example, Unica, Marketing Automation: these products are creating generative AI capabilities with our Hyperscaler partners on Co-pilot and Duet AI. Some of our products are already with Gen AI features.

Just moving to bookings. As you will remember, our bookings for previous quarters have been in the range of 2 billion-plus for the last seven quarters. This quarter, our bookings came in at US\$ 1.6 billion, which was soft. Bookings are normally lumpy. We expect some spikes in the coming quarters that will more than make up for the drop in Q1.

I want to call out a few important deals that we signed this quarter. A Fortune 50 healthcare company selected HCLTech as a strategic partner for managing its end-to-end IT infrastructure,

modernizing the infrastructure through cloud and security services. HCLTech will consolidate these services from multiple vendors and streamline them to transform business operations for the client.

A global financial services company has selected us as a digital transformation partner. We will help the client accelerate their journey to a hybrid cloud environment and build a secure and resilient technology architecture in new technologies to serve customers with digital -first experiences.

A U.S. -based healthcare company selected HCLTech for large digital transformation and managed services mandate. HCLTech will enhance the client's customer experience and

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business productivity by modernizing IT -enabled and order -to-cash processes. This is one of the largest deals signed in this quarter, greater than US \$ 250 million.

On the product side, a large Asian stock exchange selected HCLSoftware 's DX platform to support their digital transformation journey and the growing trading volumes. A Euro -based financial services firm has expanded its partnership with HCLSoftware for its Latin American operations.

The client will leverage the Unica marketing automation platform to serve its growing customer base through digital -first banking services. In terms of pipeline, I'm happy to report that our pipeline continues to grow. Like last quarter, our pipeline this quarter has increased significantly. So the last two quarters have seen growth in efficiency -led programs, which is a combination of transformation that is leading to cost efficiency and global delivery models driving cost efficiencies.

So these deals have shaped up quite well, and we see several of them in the advanced stages in the pipeline. And this is what is giving us confidence about our ability to convert these large deals in the coming quarters. And these deals are well distributed across U.S. and Europe and in APAC. It is also distributed across our service lines and verticals. So we see this as a fairly broad -based trend in our pipeline, and the maturity of the pipeline is good.

So forward -looking, I'm optimistic because of the strong pipeline, and many of these projects are in advanced stages. We continue to invest and gear ourselves to execute

well on these

projects, even though it has resulted in a dip in utilization to cater to the deals we are expecting in the coming quarters.

In terms of people, our net headcount reduced approximately by 2,500 people during the quarter, while we added 1,800 freshers in line with our plan. Our headcount has reduced primarily due to the fact that we've consciously not backfilled some of our attrition. Our attrition is continuing to come down. Last 12 -month attrition is at 16.3%, down 7.5% year -on-year.

One of the important decisions we take during this quarter, during this time of the year, is about compensation reviews for our employees and the budget required for that. This year, we've made a decision to skip the compensation review, starting with the management layer, which is E4+, and also defer for junior to mid -level people by a quarter, which is E3 and below levels. While we do this, we will continue to closely monitor the industry trends and, as appropriate, take measures as required.

Looking ahead, we are retaining our revenue and margin guidance, for FY '24. In spite of the decline in revenue and low booking in Q1, we expect to meet the guidance based on strong pipeline with a healthy mix of large deals in advanced stage. We are expecting a strong booking in quarter two. We continue to invest and gear ourselves to execute well on these projects.

We are also taking incremental actions to reduce our cost, which will enable us to meet the margin guidance. With that overall commentary, I would request Prateek to share some more details on our financial numbers.

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Prateek Aggarwal: Thank you, CVK, and good evening and good morning to all the listeners. Just to recap the top line numbers, overview, HCLTech revenues stood at US\$ 3.2 billion, which was down 1.3% sequentially. Increase of 6.3% year -on-year in constant currency terms. Services revenue stood at US\$ 2.9 billion, down 1% sequentially and up 7.1 % year-on-year in constant currency again. And within services, ITBS was basically flat sequentially and year -on-year growth was at 9.1% in constant currency again. ERS, as we had discussed in the last con call also, had the full quarter impact of the cuts in the last month of the previous quarter and showed up sequential decline of 5.2% in constant currency.

And Software, on the other hand, was flat year -on-year and the annual recurring revenue in software went up 4.7% year -on-year in constant currency. The EBIT came in at 17%. I will just share the walk in a few minutes. And the net income is at US\$ 430 million, which is 13.4% of the revenue, which is up 1.5% on a year -on-year basis.

We continue to focus on improving the Return on Invested Capital (ROIC). And as the page on ROIC shows, the last 12 months ROIC is now at 31.1%, which is a healthy increase of 2.6% or 260 basis points on a year -on-year basis. And within that 31% , Services ROIC stands at 38% and Software at 15.9 %, just touching 16%.

The EBIT movement on a quarter -to-quarter basis is 110 basis points, 18.1 % declined to 17%. Within that, the Software segment revenue decline of about 11 odd million was offset by the one-time benefit in the intangible reversal that we got this quarter. And therefore, the margin on the software was pretty much flat year -on-year and quarter -to-quarter. The Services margin is what drove the decline. Services margin itself dropped by 120 basis points, which had an exchange impact of about 10 basis points.

The balance 110 bps was operational. Lower utilization contributed to about 36 basis points out of the 110. Travel and other one -time type of costs, which we have at the beginning of the year, contributed about 33 basis points. We did have some one -time benefit in the previous quarter which became a headwind in this quarter of about 42 basis points.

CVK has already spoken about the guidance.

Just to give you some more bullet points, the

pipeline is at an all-time high. And on a sequential basis itself, it has increased by 18% quarter -on-quarter on top of a very decent growth last quarter as well. On a year -on-year basis, the pipeline is up 26%. So, like we said, part of it is in advanced stages and which we hope to make up the booking in the next quarter and which should therefore flow into delivering the revenue and the margin guidance for the full year.

Cash generation is the other bullet point I should point out, which continues to be very robust.

The last 12 months operating cash flow is at almost US \$ 2.5 billion and the free cash flow at US\$ 2.33 billion being 135% and 126% of net income respectively. Our balance sheet continues to be very strong despite paying out almost US \$ 600 million of dividend in this quarter. The gross cash is at US \$ 2.664 billion and net cash at close to US \$ 2.4 billion.

On a diluted basis EPS for the last 12 months is now at INR 55.70, which is up 11.3% year -on-year. And the board has declared a dividend of INR 10 for the quarter in keeping with our past HCL Technologies Limited

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practice. The record date for which is 20th July and the payment date shall be 1st of August, 2023.

And with that INR 10, we continue the last 12 months to be INR 48 per share, which works out to 86% payout ratio on our LTM EPS of INR 55.7, which is obviously in line with our capital payout policy.

With that, operator, back to you for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is on the line of Ankur Rudra from J.P. Morgan. Please go ahead.

Ankur Rudra: Thank you for taking my question. My first question is on how the demand and revenue performance played out in the first quarter versus your expectation. Is this what you were anticipating given that you've maintained the guidance and also if you could characterize the enterprise tech spend environment, despite seasonality and the strong deal wins that you had in the past?

C. Vijayakumar : Ankur, as I said in my initial remark, while we expected the quarter to be soft, it came in lower than our own expectations. While all the large deals that we won, we really executed extremely well. They all ramped up. They've all delivered good revenue growth as you can see in both Life Sciences and Manufacturing verticals. And even in Financial services we've seen good growth. Tech and telecom is where we saw more drops than what we had expected and we were expecting some projects to go online, but towards the second half of the quarters, that did not happen. So we did have people, we were ready and they did not really move forward. There were a couple of instances, one Tech and Telecom. So it was disappointing for us to have that situation, which not only declined our revenue, but it also had a big impact on our margins. Having said that, obviously this whole cycle, the way I'm seeing is - the discretionary spend is moderating and it is probably stabilizing at a certain level and the cost and efficiency led programs have to fill in the gap and create net incremental growth. We believe that the state has achieved in three of our verticals, Manufacturing, Financial services and Life Sciences. And the other verticals are a little bit lagging behind.

So we are also tracking the pipeline and the maturity of the pipeline a portion of the large cost efficiency deals. And they seem to be on track. While our booking has been soft, we think we

will deliver a strong booking in Q2.

And if I look at the revenue translation of the deals that we expect to sign in Q2, there is a certain nature which helps us get revenue quickly. So I think that's really what we're seeing. And it's really a new cycle that's evolving, which is really offsetting the moderation in discretionary spend with growth

and efficiency led programs.

Ankur Rudra: Understand. I understand that it's very uncertain, the demand environment is difficult for you to spread it to play out exactly as you predicted at the beginning of the year. But do you think,

maybe by maintaining your revenue guidance, you are potentially backing yourself into a corner

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if the uncertainty persists? And while you have large deals, if the softness in smaller deals continues, you might be at risk of at least reducing the upper end of the guidance?

C. Vijayakumar : We've had a pretty good track record of looking at our pipeline, looking at our conversion and kind of, giving a guidance and meeting the guidance. So whenever we've given guidance in the last five years, we've delivered to it. So we believe, all the math behind it and all the judgment behind it is very robust. And it does factor in some of the challenges in the macro environment, which we did even when we gave the annual guidance. So I remain confident of delivering to the guidance this year.

Ankur Rudra: Okay, appreciated. Maybe one last question on Gen AI and thank you for all the color you've shared. Just curious about how you're seeing this playing out in the marketplace in contracts.

Given you have a high participation in some of the cost takeout deals, maybe on the cloud side, is this showing up in discussions as a source of price deflation that maybe you or competitors are driving and hence might impact your contract profitability going forward?

C. Vijayakumar : So, Ankur, at this point, most of the conversations on Gen AI are more innovation-led and we have not seen, I mean, obviously customers are always challenging us to demonstrate the art of the possible. And at this point, I don't see anyone trying to take the contractual position of how much we have to deliver through this technology because there are too many dependencies. So I think, there is definitely a lot of hype in the short run, but we do believe it will have some meaningful benefits in the long run.

Now, I think, one of the key benefits are going to be around efficiency. So which means there will be some deflation, but I think it's at least two to three years away. And I do believe, it will get offset with so many projects in a few weeks, you have 140 projects, some of them pilots, some of them implementation, some of the examples that I shared earlier as well. So, I think there is going to be a little more uptake on small projects, which are really looking at proof of concepts and some implementation. And maybe gradually as it matures, there's going to be some more focus on how much efficiency it can drive. And I see that at least two to three years away at this point.

Ankur Rudra: Appreciated. Thank you and best of luck.

C. Vijayakumar : Thank you.

Moderator: Thank you. The next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.

Kawaljeet Saluja: Hi, thank you for the opportunity. CVK, my question is again related to your guidance. Now, when I look at your guidance, right, across the last three quarters, in December, you had to come and indicate that after raising guidance, that your revenues will be the lower end of the band. In March, you ended up missing your services revenue guidance, wherein the services revenues came in at 0.6% growth. In June, again, the numbers came in lower than what you expected. Now, I understand that the demand environment is uncertain, but any aspects that you have seen in your revenue forecasting process, which perhaps needs strengthening or something of that sort?

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And a related question on it is that when you look at the hurdle rate, actually last quarter, when I did ask you this question, you did mention the CQGR hurdle rate. I mean, it was fairly modest. Now, that seems to have go

ne into a fairly unrealistic level. So why persist with the guidance when the math in itself is working against you?

C. Vijayakumar : Yes, so maybe I'll ask Prateek to answer the revenue forecasting question, and then I will come back to you on the guidance.

Prateek Aggarwal: Maybe I'll take a shot at both, and then you can add, CVK. So, Kawal, you're absolutely right.

The ask rate has certainly gone up. And as CVK covered right up front, the first quarter actuals have come in lower than what we had planned on. Therefore, the ask rate which - let's say, at the lower end of the band - for example was somewhere around 2% - 2.5% odd, has now gone up to about 3.2% .

But we have done the math, and we have done the numbers I shared and CVK shared on the pipeline are what is giving us that confidence, and the stage of the deals in the pipeline is what is making us stick with the guidance. Yes, the pipeline is one factor which we have penciled in. Things could go better, things could go worse. We obviously do a probability of timing, probability of winning, and all of those metrics that I'm sure everybody does. At this point in time, we still want to retain and we are confident, as CVK already said, that we will meet the guidance.

Like you also pointed out, there are other factors. So if at a later point in time it becomes better, then that's good for us. If it becomes much worse, which practically we don't see happening because we've already seen, like you pointed out in your question itself, we have seen the last two or even three quarters being softer than what anybody would have imagined, say, one year back or nine months back. So these are estimates and we'll see where we go. So that's what I wanted to say.

On the forecasting piece itself, I think, we do have a fairly robust way of forecasting. Obviously, like I just described, forecasting does work on certain estimates and if the environment changes during the quarters, like the last three quarters, estimates can go wrong. I'm sure it's going wrong pretty much across the board, given the way the environment is and that's where I'll leave it. I don't think there is something seriously broken or anything. At the end of it, ultimately it's a judgment. There is some hope, there is some practicality, and there is some buffer that you build in and those are the elements we continue to play with.

C. Vijayakumar : Yes, so Kawal, one thing from a revenue forecasting perspective, there's one aspect which we believe, I think the industry itself is struggling with there's really forecast this drop in discretionary spend. So I think that's where I think we've got it wrong a couple of times. So we continue to get the feedback and input into our planning process. I think, there is a lot of volatility in that, and that's the only element which we believe we can improve a little bit more, based on what we've seen in the last two -three quarters.

Coming to the guidance, I think, the ask rate has gone up. It essentially boils down to how much booking we can deliver in Q2 and what we can do in the next 45 days will determine the course
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of the year. We have some reasonable level of confidence on accomplishing the outcomes that we expect.

Kawaljeet Saluja: So, CVK, I should thank, and Prateek, thank you for that fantastic color. I really appreciate it. The question really is that for you to achieve the guidance, you need a big spike up in the second quarter itself. Do you have that confidence? And the second related question to it is that normally in the cost takeout deals, consolidation deals, there's a free transition offered, there are timelines, like that sort of deal that you announced in insurance vertical in October, started ramping -up towards March, right? So even if let's say the pipeline converts, isn't it too late to meet the hurdle rate that you have f

or your guidance?

C. Vijayakumar : So I think, the deals are different, nature of deals are different. Some of them have an ability to convert to revenue faster and that's the nature of deals that we have and that's what is driving this.

Kawaljeet Saluja: All right. That's the final question on profitability. Prateek, what is the kind of a tailwind that you'll get from profitability through possibly, change in the compensation revision cycle for this year?

Prateek Aggarwal: I don't want to really talk numbers on that, but E4 and above is a significant portion of the wage bill. I don't want to get in to exact numbers, but like I said at the press conference also - we have made a plan. We have revised that plan based on the numbers that we see for Q1. Obviously, we have revised it by baking in more actions and more cost cutbacks that we need to do. I think, the leadership team is all apprised of the situation. The numbers gap is obviously visible to all of us and everybody. I think as a leadership team, we are committed that we will take the actions to meet the numbers.

Kawaljeet Saluja: Yes, and then normally if you see the past year's wage hike, generally have an impact of 50 basis points to 100 basis points, depending on how much increments we gave. So we do believe there is some of that will flow into the savings.

Moderator: Mr. Saluja, may I request you to join the queue for any follow -ups?

Kawaljeet Saluja: Yes, thanks so much.

Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal Financial

Services. Please go ahead.

Mukul Garg: Yes, hi! CVK, first, just a clarification on the whole discussion about guidance. You mentioned about some large deal wins. Are you factoring in a quick scale-up in these deals? And does that mean that there is a bit of a rebadging which is involved here? If not, then what is your degree of confidence that the muted environment won't push out the ramp-up, as Kawal also asked?

C. Vijayakumar: Mukul, I don't want to call out the very specifics about the nature of deals but given all what we have said in the last 10, 15 minutes, we should assume that the significant part of this advanced pipeline can convert into revenue relatively quicker than what you've seen in the last two, three large deals that we've done.

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Moderator: Thank you, Mr. Garg. Please join the queue for any follow-up.

Mukul Garg: Sure.

Moderator: Thank you. The next question is from the line of Gaurav from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hey, thanks for taking my question. So, CVK, the question is around the verticals of Tech and Telecom. You talked about uncertainty. So, was this largely deferrals or some cancellations, and are these behind us, or you think this will continue to be an issue in the near term? Thank you.

C. Vijayakumar: From all what we are seeing, we think it is stabilized, but this has been so volatile, so I won't be able to give you more color on that. It looks like these are stabilized.

Gaurav Rateria: All right, thank you.

C. Vijayakumar: Thank you.

Moderator: Thank you. Next question is from Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, thanks. Thanks for the opportunity. Just the clarity in terms of the guidance, CVK, so do you believe the 2Q conversion of deal pipeline into deal wins will also result into a better growth from 2Q onwards, or do you expect the growth to pick up from 3Q? Because historically, to achieve the guidance because of the high hurdle rate, even fourth quarter is being softer. So in that scenario, 2Q has to do a heavy lifting along with 3Q as well?

C. Vijayakumar: So Sandeep, we don't give a quarterly view, but as I said, even in the beginning of the year, the quarters will get incrementally better. That was the commentary that I made even

when we

presented the guidance. So, you should see incrementally better growth and obviously, this means there's going to be a spike in one of the quarters. So that's to be expected.

Sandeep Shah: And just last book-keeping, Prateek, what was the one-time benefit in the intangible amortization? Is it worth, how much basis point in this quarter and will it reverse in the second quarter?

Prateek Aggarwal: No, so it will certainly not reverse in the second quarter. It is a one-time benefit. This is the impairment, we had taken a couple of years back in one of the products. And the product has done well in the last two years, and we have been able to increase the royalty we get on that. So the revenues are significantly up; therefore, as per the accounting rules, we needed to write it back - write the impairment back. So, it's just a one-time benefit in this quarter and there are no repercussions on any of the next subsequent quarters.

Moderator: Thank you, Mr. Shah. Request to re-join the queue for any follow-ups. The next question is on the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Yes, you could give just one clarification on the decline in tech and telecom. So did you allude to the fact that, this is largely within the ER&D, this can be mapped to the ER&D segment?

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C. Vijayakumar: No, if you see the decline, the numbers are quite high and of course, ER&D bore the brunt of it. It definitely had impact on the ITBS as well.

Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: Hello, what type of orders are we taking into ER&D segment?

C. Vijayakumar: So I have Vijay Guntur, who heads the engineering services. Vijay, if you can hear, could you just give some color on the type of orders that we are taking?

Vijay Guntur: Yes, thanks, CVK, and thanks, Chirag, for the question. We are seeing two kinds. One is consolidation in each of the Tech and Telecom segments. We are seeing more consolidation deals, and hence a pipeline that is growing. To what CVK said earlier, that is helping us gain more confidence that, when these deals fructify, realization to revenue will be quicker. So that's one we are seeing that consolidation is on. The second we are seeing is decision-making, which used to be reasonable, is getting a little delayed. Those are two trends we are seeing in terms of

pipeline and order booking.

Moderator: Thank you. The next question is in the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Hi, thank you for the opportunity. As you said, it looks like the Tech and Telecom declines are more than just ER&D. So I wanted to check, are these over pretty much? Should we think these verticals will return to growth? That's the first and the second follow-up on the nature of ER&D work that you do versus pure-play ER&D firms. Most of the pure-play ER&D firms, I think haven't seen this sort of Q-o-Q decline and now you've seen this for two successive quarters. So just wanted some color on what led to this decline?

C. Vijayakumar : Ravi, it's our exposure to tech vertical, which is primarily, which has contributed to it, Tech and Telecom on the ER&D side. Maybe most others have exposure to some of the other industries. I cannot comment on others, but that's our kind of hypothesis. And maybe, Vijay, you can add a little bit more on this.

Vijay Guntur: Yes, CVK. Certainly, our tech exposure is more, especially big tech and we've seen a lot of consolidation and rationalization of spend. I think, from what we see in the market, that consolidation and rationalization of spend is stabilizing now. We expect the deal pipeline that we are having now to convert. That's what we are seeing.

Mod

erator: Thank you. The next question is on the line of Surendra Goyal from Citigroup. Please go ahead.

Surendra Goyal: Yes, thanks, sir. CVK on ER&D, is the worst over? And should we expect it to be back into growth trajectory going forward?

C. Vijayakumar : Yes, Surendra, that's what we believe.

Moderator: Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

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Manik Taneja: Hi, thanks for the opportunity. While my question on the ER&D outlook essentially has been answered, just wanted to understand, your hiring plans in the backdrop of some of the near-term challenges that you've seen?

C. Vijayakumar : Probably, Ram, could you answer this?

R. Sundararajan : I think our hiring plans, quarter-on-quarter, we do moderate our plans to be in line with our forecast for the quarter, the revenue forecast for the quarter. Next quarter is typically the quarter, where the fresher intake will be higher. So that will continue as planned. So, basis that, we will moderate our requirements for lateral hires.

C. Vijayakumar : There is also some amount of productivity-based releases that we expect to happen. So that will also feed into some of the growth. To that extent, we are not dependent on a lot of hiring for growth in Q2.

Moderator: Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Yes, thanks. So my question is, on the revenue growth guidance the ask rate differential. What I'm trying to understand is, the top end of the guidance, are you factoring faster acceleration? So between the top end and the bottom end, are you factoring in faster acceleration in H2 or a spike starting Q2? I ask this as you are entering with headwinds in Q2, as you stated earlier that, the weaker than expected second half in the first quarter in the Telecom vertical will play out full quarter for Q2 as well as the weaker booking. So, how should we look at the difference between the lower and the top end?

C. Vijayakumar : I don't want to comment on where we will land in the guidance at this point, we will just stay with the guided range and obviously because of weak Q1, we must deliver a much stronger H2 to deliver growth.

Moderator: Thank you. Next question is from the line of Surendra Goyal from Citigroup, please go ahead.

Surendra Goyal: Yes, last quarter you had shared that the ACV for the year was plus 4% year over year. What is it on a TTM basis at the end of 1Q?

Prateek Aggarwal: Surendra, I don't have a number on a TTM basis, but for the quarter, it is 21% lower year-on-year.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital, please go ahead.

Rahul Jain: Yes, hi, thanks for the opportunity. I just wanted to understand your thoughts on the ERS space. What led to this kind of an impact and how you see this segment to perform in the coming quarter? Is there any trend related to vertical or specific to any discretionary spend thought process or these are just one-off for now?

C. Vijayakumar : Yes, we covered some of those in the previous commentary, but maybe I'll request Vijay to share it again.

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Vijay Guntur: Yes, sure, CVK. I think we talked about the deal pipeline is stronger. That is the first indicator for us, and we expect that to convert to order book and hence to revenue. The conversion cycles in our business are shorter in the R&D space. So we expect that, we will perform better in the next quarter.

Rahul Jain: So these are your general thoughts, but is it any different from a sub-vertical perspective or this is an overall thought process that you see?

Vijay Guntur: No, the Tech and Telecom part of our ER&D business, which got impacted quite a bit, like we've been t

alking about, those we see conversion and we see back to growth situation in it.

Rahul Jain: Sure, thank you.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to Mr. C. Vijay Kumar for closing comments. Thank you and over to you.

C. Vijayakumar : Yes, thank you everyone for joining us on the first quarter earnings announcement. We do take our commitments very seriously. So, in spite of a weaker performance in Q1, we are confident of delivering to the commitments that we have made, and we look forward to your support and look forward to talking to you during the quarter and at Q2 results. Thank you everyone.

Prateek Aggarwal: Thank you all.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of HCL Technologies Limited, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines.

Call: Oct 2023

October 17 , 2023

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on October 12, 202 3

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on October 12, 202 3, post the announcement of the financial results of the Company for the quarter and half -year ended September 30, 2023 , has been uploaded on our Company's website
<https://www.hcltech.com/call-transcripts>

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl.:a/ a

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"HCL Tech nologies Limited 's Q2 FY24 Earnings Conference
Call"

October 12 , 2023

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR , HCL TECHNOLOGIES LIMITED
MR. PRATEEK AGGARWAL – CHIEF FINANCIAL
OFFICER , HCL TECHNOLOGIES LIMITED

MR. RAMACHANDRAN SUNDARARAJAN – CHIEF
PEOPLE OFFICER , HCL TECHNOLOGIES LIMITED
MR. ANIL GANJOO – CHIEF GROWTH OFFICER ,
AMERICAS , TMT AND RCPG INDUSTRIES , HCL
TECHNOLOGIES LIMITED
MR. KALYAN KUMAR – CHIEF TECHNOLOGY OFFICER
AND HEAD, ECOSYSTEMS , AND CHIEF PRODUCT
OFFICER , HCL SOFTWARE
MR. SRINIVASAN SESHADRI – CHIEF GROWTH OFFICER
AND GLOBAL HEAD, FINANCIAL SERVICES
MR. SANJAY MENDIRATTA – HEAD, INVESTOR
RELATIONS , HCL TECHNOLOGIES LIMITED

HCL Technologies Limited
October 12 , 2023

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Moderator: Ladies and gentlemen, good day and welcome to the HCL Technologies Limited Q2 FY'24 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Mendiratta – Head (Investor Relations). Thank you, and over to you, sir.

Sanjay Mendiratta : Thank you, Yash . Good morning and good evening, everyone. A very warm welcome to HCLTech 's Quarter 2 Fiscal '24 Earnings Call.

We have with us Mr. C. Vijay akumar – CEO and Managing Director , HCLTech ; Mr. Prateek Aggarwal – Chief Financial Officer, along with the broader leadership team to discuss the performance of the Company during the quarter followed by the Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on information presently available to the management, and the Company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the safe harbor statements in the formal investor release document and all the factors that can cause the difference.

Over to you , CVK and thank you.

C. Vijayakumar: Thank you, Sanjay . Good evening, everyone. Thank you for joining us today for our Second Quarter Earnings Announcement.

Let me start with the "Business Performance ":

This was a strong quarter across all dimensions. We executed very well. It's reflected in our revenue growth, significantly improved margins despite the challenges in the industry. We also recorded our highest bookings ever, which set us up well for the growth in the second half of the year.

During the quarter, our revenue grew 1% quarter -on-quarter and grew 3.4% on a Y -on-Y basis in constant currency . Our services revenue grew 1.6% Q -o-Q in constant currency. Both our services segments, Engineering and R&D Services , and IT and Business Services grew 5% and 0.9% Q-o-Q this quarter respectively in constant currency. Our ERS business grows strong on a Q-o-Q basis even after considering the ASAP acquisition that got integrated for a month during this quarter.

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I want to take a minute to talk a little bit about our ASAP acquisition :

Last quarter, we could not share details about these acquisitions as it was signed right after the meeting. Our Engineering Services business historically has been very strong across many verticals, but not to the desired levels in Auto Engineering where there is a lot of growth spend . ASAP should be able to address the demand with 1600 employees and serving top automotive OEMs and Tier-1 suppliers in Germany. ASAP works in areas such as autonomous driving, E - mobility and connectivity. Our plan is to take these capabilities to other geographies and drive synergy.

HCL Software revenues grow 3.6% year -on-year in constant currency and the ARR, annual recurring revenue has grown at 3.9% year -on-year, which is a good indicator for the future. Our operating margins recorded 154 basis points improvement over the last quarter led by a number of initiatives. We drove a lot of efficiency in our managed services operations driven by our

automation and AI Ops capability . A lot of freshers who we have hired in the past 18 months got trained and finally got deployed

operated in an economic manner during the last quarter.

Our subcontracting cost also got optimized during the quarter resulting in our EBIT percentage reaching 18.5%.

In terms of verticals, we had very strong growth sequentially in Retail, CPG as well as Telecom and Media. Our Financial Services business had a healthy growth along with Life Sciences and Healthcare both sequentially and on a year-on-year perspective . Technology vertical continues to be weak , though we're hopeful of growth coming back here in the coming quarters.

Another good accomplishment last quarter was in terms of client count. We added 3 accounts in the 100 million category and 7 accounts in the 50-million category on a year-on-year basis. What is also very encouraging is our addition of 46 clients in the 5 million category and 81 clients in the 1 -million category . Amidst the current uncertainty in the industry, adding 12 and 24 clients in the 5 and 1 million categories sequentially is also a very good indicator of the broad-based relevance of our proposition and really expanding our market share .

Bookings , as you will remember, our bookings for previous quarters have been in the range of \$2 billion. This quarter , our bookings hit a record high of \$4 billion , \$3.96 billion to be precise. During the quarter, we signed a mega deal with Verizon that is unlike all other deals signed in the industry, which are very internal IT and internal centric. The partnership with Verizon Business is a strategic business partnership where we become the primary service provider for deploying all their managed services globally for their enterprise customers while Verizon Business will lead sales solutioning and client acquisition. We will lead post sales implementation and ongoing support where clients will benefit from our managed network services offerings . We also see huge opportunities for us to reach out to some of the Verizon's global clients for the first time and help them experience the rest of HCLTech's offerings.

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I wanted to call out a few other wins we signed during this quarter. US Financial Services firm partnered with us to expand its scope for data services. HCLTech will lead cloud migration , platform modernization, data management and data governance for their insurance division . We expanded our partnership with Fortune 50 communication services provider to transform its billing operations , superior activation to billing experience to its customers. This would be done by leveraging advanced digital technologies, including GenAI. A Europe based global leader in smart, safe, and sustainable building solutions selected HCL Tech as a transformation partner to transform the clients' end-to-end order to cash process using Oracle Fusion Cloud and Salesforce. The new platform will enable operations as a single unified business globally. A US based healthcare technology company selected us to set up an advanced product development and testing center by leveraging our Med tech product development and digital engineering capabilities.

I also want to mention a few opportunities that we signed this quarter in emerging areas like GenAI and Sustainability . One of the largest global technology companies has selected HCL Tech as a preferred partner for their product developer support lifecycle optimization using AI and machine learning . We will help the client deploy next GenAI technology across various product cycles to result in faster triage and improved product quality and enhanced developer ecosystem satisfaction. A Europe based Financial Services firm selected us to leverage GenAI to strengthen its global compliance framework. We will deploy large language models along with machine learning technology for proactive surveillance and risk detection.

A global manufacturing company has partnered with

us to accelerate its sustainability agenda.

HCL Tech will leverage its comprehensive suite of sustainability solutions in assisting the client build a robust, sustainable strategy, regulatory and compliance framework. These wins give us comfort and conviction that we have the relevant offerings to address future tech spend of clients and I'm sure these would set us for many more and larger deals in these emerging areas.

In terms of pipeline, I'm happy to report that our pipeline continues to remain very healthy while it is a little lower than earlier as the mega deal is now converted into booking. What is more important is that we are working with clients on hundreds of opportunities in emerging areas like GenAI and Sustainability, which is very critical for our future growth and continued relevance in the market. Some of them have already been converted to wins as I mentioned earlier and are in the implementation phase.

In terms of people, we continue to adjust our people's strength by 1% during this quarter.

Primarily a lot of attrition has been backfilled with freshers who were already trained and also some of the new work got done with people whom we had internally. Our investments over the last few years in freshers have really started showing results and that's visible in this quarter's

profitability numbers. Our attrition continues to come down. LTM attrition stands at 14.2%, down almost 10% on a year-on-year basis.

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On GenAI, I would like to give you a quick update on our internal initiatives where we have a 2-pronged strategy, one client phasing where we are working on generating early stage opportunities as well train our delivery organization to leverage GenAI for core development, deployment, testing and managed services. Our Software offerings continue to embed AI into their product offerings. I believe it's still early days as clients are still evaluating them as PoCs while ensuring their data strategy is right as well as establishing the guardrails to ensure data governance and compliance requirements. The second aspect is we are leveraging internally GenAI across all our corporate functions primarily to improve our employee experience and productivity. Various programs are in pilot phase across our people function, finance, risk and compliance, sales and marketing functions.

With respect to ESG, we had some very good accolades this quarter. We remain very committed to our ESG goals as called out in our medium-term strategic objectives. I'm happy to report that EcoVadis has rated HCLTech Global and placed us in the 94th percentile for our advanced sustainability performance. As you may know, EcoVadis is a well-recognized sustainability assessment and benchmarking platform used by many of our clients to assess our sustainability practices. During this quarter, we also launched the HCLTech Grant in the Americas and have committed \$5 million over the next 5 years towards this program, which is focused on climate action and funding NGOs with disruptive ideas with respect to tackling the climate challenge the world is facing.

Looking ahead, based on the bookings and all the deals that we have signed, we expect very healthy growth in Q3 and Q4. This growth in Q3 and Q4 would be extremely good growth even in normal circumstances. But even in today's challenged macro environment, we expect to deliver very strong growth in Q3 and Q4. For the entire year, when you combine it with the weak Q1 and a reasonably good Q2, it adds up to 4.5% to 5.5% growth organically for services in FY24. While we have won some large deals and have been successful on gaining share on the cost optimization led deals, the market is still weak on the discretionary spend. At the start of the year, we had expected it to come back at least partially by now but given the macro it has not

yet come back.

When I include ASAP's inorganic contribution and HCL Software growth, we would end up with 5% to 6% growth at a company level in FY24. On the operating margins, we are confident that we would be able to come within our stated guidance of 18% to 19% for the year.

With that, I will hand it over to Prateek for some more details.

Prateek Aggarwal: Thank you, CVK. So, before I get into the numbers, there is an announcement I need to make.

First of all is the change in the IR Head (Investor Relations Head). As some of you already know, Nitin Mohata has joined us couple of months back and will be taking over as the new IR Head while we continue to have Sanjay with us until 31st Jan of 2024, when he will be superannuating, and we thank him for his 15 plus years of dedicated service to HCL Tech and vision. All the very best for his future endeavors. And at the same time, I welcome Nitin, who I'm sure a lot of you would know before from his days in Goldman Sachs, Macquarie and LTIM and he's just joined HCL Technologies Limited

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us recently in the last few weeks and wish you all the very best, Nitin as you assumed this important position and thanks Sanjay again.

Getting into the numbers then, HCL Tech revenue \$3.225 billion, up 1% sequentially, 3.4% in constant currency terms that includes 50 basis points from ASAP contribution of one month during the quarter. As you probably saw, we announced the acquisition closed on 31st August. So, it's one month of revenue therein. HCL Software was up 3.6% year-on-year in constant currency terms and ARR, annual recurring revenue continues to be at \$1 billion plus and in this quarter grew by 3.9% year-on-year in constant currency terms again. Services revenue stood at \$2,922 million, up 1.6% Q-on-Q and 3.4% year-on-year in constant currency terms. And the ASAP acquisition on the services revenue base had an impact of close to 60 basis points. ITBS came in at \$2,406 million, up 0.9% sequentially and 4.6% year-on-year in constant currency. And ERS, after a couple of tough quarters showed good 1.6% constant currency growth organically during the quarter and including ASAP grew at 5% in constant currency sequentially. The EBIT came in at 18.5%, which is an improvement of 154 basis points Q-on-Q and 50 basis points on a year-on-year basis. In many ways, that is one of the highlights of the quarter and sets us well on our way to meeting the 18% to 19% of EBIT guidance that we had

given and continue to maintain. The services margin on a sequential basis, Q-on-Q actually increased by 212 basis points and also the growth on a year-on-year was also very healthy. The net income, the profit after tax for the quarter, came in at \$463.5 million, which is a 6.4% increase over the previous year in dollar terms. In rupee terms, it is up 9.8% and that was 14.4% of the revenue numbers for the quarter.

I would like to spend a minute on ROIC, return on invested capital. As you know, this is one of the big metrics we are focused on, especially in the last couple of years. The last 12 months ROIC is now at 32.2% for the Company, which is up 3.5% year-on-year, 350 basis points and services ROIC is now at 39.4% and Software at 16.2%. We have also been calling out incremental ROIC over 2-year and 3-year time frames in some of our interactions. Over the last few quarters, we have actually reduced our capital deployed significantly so much that the incremental capital deployed over the 2-year, or 3-year period is now negative at a Company and at a Software level, thereby showing very favorable incremental ROIC. I mean mathematically it will be negative, but it's actually increased NOPAT (Net Operating Profit After Tax) at a lower capital deployed. So, very, very favorable.

As far as Services business is concerned, it has kept on growing and

the incremental ROIC in

services over the 2-year and 3-year period is now 73% and 85% respectively.

To give you some color on the movement of the EBIT from last year to the current quarter, the margin walk as we call it, 150 bps has been the improvement sequentially. Services margin up 212 basis points like I said. Most of it coming from productivity and utilization about 100 basis points, largely from reduction in 3rd party contractors, which you might see has reduced by 70 basis points sequentially and close to 200 basis points over the year ago period. And other

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discretionary cost optimization largely travels, recruitment, legal costs and so on and so forth gave us another 50 basis points on a services level itself and overhead reduction gave us additional 70 basis points. The acquisition ASAP as the purchase price allocation goes and intangible amortization goes actually gave us a hit of 10 basis points, which was offset by a minor exchange benefit of 10 basis points. So, that is the margin walk for the quarter.

The guidance, CVK has already talked about it. So, at a Company level, it's 5% to 6% for the full year and 4% to 5% being the organic growth at a Company level. At a services level, it's 4.5% to 5.5% and EBIT between 18% to 19%.

Cash generation is another highlight I would like to focus your attention on. Cash generation continues to be very robust. Last 12 months, operating cash flow is at \$2.8 billion, \$2,820 million to be precise. And free cash flow is at \$2,662 million, \$2.7 billion almost, which is 151% of net income and 142% of net income respectively. Very proud to have delivered that kind of cash flow to the Company's shareholders. The balance sheet continues to remain very strong. Gross cash is now \$2.85 billion and net cash of \$2.56 billion. The cash generation improved substantially this quarter as we reduced the DSO by 5 days including unbilled DSO now stands at 83 days, which is an improvement of 5 days Q-on-Q and 6 days Y-on-Y.

From a shareholder's perspective, last 12 months diluted EPS is at Rs. 56.95, which is an increase of 11.8% year-on-year and 2.3% on a Q-on-Q basis. Given the improvement in EBIT and net margins and the improved cash flow generation, the Board has declared dividend at an enhanced rate of Rs. 12 from the quarter, up from the typical Rs. 10 per quarter that we have followed for the last couple of years now. So, Rs. 12 per quarter, the record date for the dividend is 20th October, next Friday and the payment date for the same is 31st October. With this increased dividend, the last 12 months' payout ratio will continue to be at 88%, which has been the run rate in the last couple of years. So, we maintain the same run rate.

That's all I have for now and happy to go into the Q&A.

Operator, back to you. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Vibhor Singhal: Sir, my question was mainly on the overall IT Services segment excluding the ER&D. So, from the ER&D segment, of course, we have seen a good ramp up in this quarter including the ASAP acquisition results and, of course, we were recovering from the bottoming out in the last two quarters.

In the IT Services segment, just wanted to understand apart from, of course, the strong deal wins that we have seen, what is the overall status on the discretionary spend in the existing deals, are we seeing continuous ramp downs as some of our peers are kind of basically suggesting that the discretionary part of these existing deals is being put on hold. Is that the considering traction, are we seeing an acceleration or deceleration in that process vis-à-vis in the last few months or

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last couple of quarters and what is the outlook on that

, when do you think this could maybe start tapering off in near or near-to-medium term future ?

Prateek Aggarwal : Vibhor, thank you for that question. I think it's none of those things that you kind of mentioned. And this is pretty visible from our notes to the accounts, our assets revenue has actually gone down by \$25 -odd million which at a Company base is 75 basis points.

So, yes, it is 0.9% reported, but if you sort of add that back then the number would be very different. And more importantly I think the guidance that we've given for Q1 and Q2 - it is what it is, but in the CQGR terms for the balance half of the year, there are three numbers. So, I'll just sort of stick to the Services number.

It does translate to about 3 % to 4% between organic/inorganic . So, even if you take just the organic, I think the number is 2.6% to close to 4%. So, we are confident of delivering that. That is the revised guidance we have given.

Like CVK covered in his opening remarks 3 % to 4% is a very good growth at any point in time, especially in these kinds of macroeconomic scenarios .

Vibhor Singhal: Sir, I think we are absolutely right that I think CQGR that we are targeting for the second half is definitely very strong, but my question was more to understand the overall demand environment that we are kind of facing. Of course, our deal flow has been quite strong. But overall are we seeing the client conversations around more holding back or cutting discretionary spends as CVK mentioned in the opening remarks or the situation is stabilizing. Just basically trying to understand the direction in which the discretionary spends is moving at this point of time .

C. Vijayakumar : Vibhor, the discretionary spend continues to be there and obviously a good part of the booking that we have done contains some of the discretionary spend. But I think the spend is a little lower than what we would normally see and that reflects in some kind of reprioritization or optimization, and that's what you see.

And we still think discretionary spends is not anywhere closer to what it used to be. So, that's what I would say on the discretionary spend at this time. But our pipeline continues to remain very strong. Obviously, it is not at the highest because we've got a tremendous booking last quarter, but it's probably maybe 10% below our peak.

So, which is also a very strong position that we are in, and we have a number of deals in the final stages. We will continue to deliver strong bookings in the rest of this year, which will all feed into the next year.

And just one more element I want to keep in mind is when we talk about booking , we do not include rate card deals where the ramp -ups are relatively slow . We only consider them as booking after the ramp up has happened.

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So, all the bookings that we have are firm TCVs with the committed transition timeline and execution timeline in all net -new because renewals are excluded from these numbers.

Moderator: We have a next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Both for HCL and the industry we are seeing record high deal wins , but for the reasons well known it is not immediately translating in to revenue growth trend. So, the question here is given the strong order backlog pipeline and the fact that some of these mega deals are ramping up towards the latter half of FY'24 , is it fair to assume FY' 25 could be potentially a COVID period kind of high growth year if the macro stays stable henceforth, just looking for your directional qualitative assessment, I appreciate that you don't give FY'25 guidance yet?

C. Vijayakumar : Sudheer the overall environment is quite volatile . So, if you see, I mean every 2 months, 3 months, the overall commentary is also changing. So, I would

hesitate to take a view on FY'25.

But, of course, given where we are and the growth that we anticipate in Q3 and Q4, we will have a strong exit here is no doubt about that. But, of course, how FY'25 pans out will depend on, of course, the deal wins in these two quarters. But again, the client spending, which is largely the discretionary spend of which I think it's very early to even get a sense. And I doubt even if we will get a sense of what the discretionary spending, client budgets will look like even in the calendar Q1 next year.

So, I think we'll have to take it one step at a time and it's very difficult to do a long-range planning in these circumstances.

Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: So, the first question is just to understand if things really worsened on flow business towards end of the quarter which is leading to the guidance cut and like what really have you factored in,

in the flow business in your second half, is that one of the reasons for driving a strong CQGR that you mentioned about or is it largely driven from purely from your order book converting into revenues?

C. Vijayakumar : Yeah, I don't think there was anything which happened in the end of the quarter which made us change the guidance. Of course, Q1 was weak which makes the Q2 subsequent part of the year challenging. We expected a little more growth in Q2. We would have ideally loved our 2% -plus Services growth, which obviously was impacted due to some more strain on the discretionary side.

Now coming to the second half, there are three components which really make up the second half of this year's. First is, of course, the large deal ramp-up which we expect to go live on 1st October 2023
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of November, which is absolutely on track. I think this will contribute to significant growth in Q3 as well as Q4.

The second aspect is Q3 is a strong quarter for our Software business. You will see a spike in revenues and that definitely adds, and the third component is the ongoing business, which is a combination of deals that are under transition, which will go into steady state and some amount of discretionary spend.

And I think one more aspect which gives us confidence is, even if you see the Q2, our couple of deals really clocked in revenue only in September. So, that will also give us some kickers in Q3.

Moderator: Thank you. We move on to our next question from the line of Surendra Goel from Citi Group. Please go ahead.

Surendra Goel: So, CVK just one question on the guidance again. You delivered a decent 2Q and are guiding to a strong 3Q and 4Q and yet the upper end of the guidance is revised down by 300 basis points.

So, just wanted to understand what changed between July when you had retained the guidance and today when you have lowered the guidance at the upper end by 300 basis points. And secondly, what gives you the confidence that this guidance is going to hold?

C. Vijayakumar : Weak Q1 primarily contributed to this, and we did have a little bit more optimism on some of the things that was expected to happen in Q2. So, weak Q1 and even though maybe our Q2 performance met market expectations probably, it was a little below our own expectations.

So, just adding up mathematically the ask rate becomes quite high for Q3 and Q4 and we did a realistic estimate of all that is possible and then, of course, as the first half is over, second half you will obviously narrow down the range. So that narrowing down the range probably upper end has become lower by 3%. But the facts are what it is Q1 and Q2, but our Q3, Q4 will be very strong. Our Services organic growth to achieve the guidance will be between 2.6 % and 3.8% and a good part of it will be contributed by the large deal ramp up and

and of course including

ASAP it will be between 3.3 % to 4.5 %. So, I think with these numbers we feel reasonably confident, they are safe numbers for us to go after.

Moderator: Thank you. We have a next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: CVK on Software side we've seen year-on-year growth of 3.6%, but still the margins are down slightly, wanted to understand is this because some sales investments or is there anything else because on the R&D front I don't see much of an increase in spending?

Prateek Aggarwal : I'm not sure whether you're looking at year-on-year or sequentially. Sequentially, it is the weakest quarter in the year for Software historically and also in this quarter. So, sequentially it is but natural. As far as the year-on-year is concerned that also was a tad weaker, but that's

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largely on the back of initiatives that we are driving, which should hopefully continue to give us the 3.6% kind of growth and even beyond.

Ravi Menon: Can we say that the margins for Software could expand with continued growth that we are at a steady state of expense?

Prateek Aggarwal : Our guidance is obviously at a Company level EBIT guidance, don't necessarily want to lock myself up with the segment wise margin guidance, but it would be in the similar range as what we delivered last year is all I'll say.

C. Vijayakumar : I think when Ravi Menon said a significant comforting factor this quarter all our assumptions on how we will deploy freshers, how will we optimize on our managed services engagements. All of that actually we had started sometime in March itself, all of them delivered results.

So, I think our long term as we have been talking about 19 % to 20%. I think it feels much more realistic based on the accomplishments of the quarter. So, I think that that's what you should really look for while this year is 18 % to 19 %, but we do hope to continue all our initiatives with

the significant focus to improving our margins. That's one of the strategic objectives that we continue to drive.

Moderator: Thank you. We have a next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: The first question is generally in Q3 with seasonal strength in the Products & Platform business the margin also takes a big lift. This time we will have a Verizon cost deal ramp up related to same, so do you expect still despite that the margin will have an upward bias on a Q-on-Q in 3Q. And Prateek just based on my estimate, it looks like there is implied guidance downgrade in the Products & Platform from earlier upper end of 3.6 % to now 1.5%. Is it true if you can give us what is the implied Products & Platform growth guidance for this year?

Prateek Aggarwal : So, Sandeep, let me take your second question first. We are not really giving you a P & P guidance. We are giving Company guidance and Services guidance. But if you do back calculation, it will be around the same percentage increase which they showed last year. I'll leave it there.

So, it's like the previous question was on margins, your question is on Software growth. I would expect the same kind of growth, the same kind of margins. I don't want to get more specific than that.

The simple answer to your first question is - yes and I don't know why this question keeps arising about Verizon, but it's a huge deal. It's giving us good revenue and we are going to deliver the 18% to 19% with that. So, I don't think there's any reason to sort of look a gift horse in the mouth.

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Moderator: Thank you. We'll move on to our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Just wanted some color on the costs. So, I think

this quarter the fall in a lot of cost items seem

very sharp, almost like there's an intentional cut on these costs, so travel for instance, is down almost 30% sequentially and 13% year-on-year. Similarly, we have seen that in training and a lot of other things. I was just wondering what is the context to this? Is there anything specific?

Was it macro or was it just about or something has really changed here in terms of the way we are doing things?

Prateek Aggarwal : So, Nitin, let me simplify it for you, I mean, last year Q1 was 17 % and so was it this year. The Q2 last year was 18 % and it is 18.5% this year. You can ascribe a large part of that 50 basis points is to the deferral of increments that we did last quarter . That's one way to look at it. So, that sort of puts it in context, if you like.

Coming to your specific question, yes, of course, there has been very deliberate action on a number of fronts, and it is visible in the detailed cost page that we have given. The biggest cut is obviously in third party subcontractors, which is part of the overall outsourced cost bucket that is 70 basis points.

Travel had gone up in the June quarter to some extent and has been cut down to reasonable levels and I would like to maintain it near these levels, maybe not exactly these levels. So, that's given us almost another 50-basis point.

Actually , the training that you mentioned, we have not cut training. It's just that we are hiring less people. So, it's the recruitment part which has been reduced because we have hired so many freshers. Ram also explained at the press conference, and they are all ready and eager to get into projects and deliver.

So, we have just not backfilled all of the attrition that continues to happen. Some of it has been sort of not backfilled because we have these freshers coming in. So, those are the kind of reasons . Obviously, there is a 18 % to 19 % guidance that we had given , and we want to be well within that range.

C. Vijayakumar : And just to kind of put it in perspective our training costs have only increased this quarter. It's only because the recruitment costs have been reduced and that also is kind of some of the recruitment that you do there is a lagging impact and that's why you see the impact now . In fact, mostly the recruitment reduced even last quarter.

So, it's related to people joining and things like that and also our cost of Hardware and Software reduced 0.5% that also helps.

Moderator: Thank you. We have a next question from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

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Ashwin Mehta: Just one question in terms of wage hikes, what's the timing for your wage hikes and what is the impact that you see in terms of margins coming in from wage hikes ?

C. Vijayakumar : I will request Ram to respond to that.

Ramachandran S. : So, the salary increases which usually happen in the July month, will now happen in the October month. That's the one deferral that we spoke about last time effective October. Prateek, you want to talk about what's the impact.

Prateek Aggarwal: So, it will be around 60 basis points to 65 basis points thereabouts and there will be a small impact in the March quarter as well, which will be another maybe 25 basis points, 30 basis points.

Moderator: Thank you. We have our next question from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: I just want to know that what gives us confidence that the H2 would be better compared to H1 and your outlook and expectation with FY25 in terms of growth revival or recovery?

C. Vijayakumar : So, no comments on FY25, it's really a long-term kind of FY25 view in the current environment. And as I mentioned, the second half recovery, as I explained it in a very granular fashion and

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or one of the earlier questions, but to kind of summarize it.

There are three components, of course, one is the large deal going live on 1st of November that will give us good growth in Q3 and on top of that there will be good growth in Q4. The second aspect is the Software seasonality. There will be a spike in revenue in Software in Q3.

And the third aspect is the continuing revenue, the full quarter impact of whatever happened in September and some amount of flow through revenue from the new bookings that we have done.

So, these are the three elements which make up the forecast for Q3 and Q4.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to Mr. C. Vijayakumar for closing comments. Thank you and over to you, sir.

C. Vijayakumar : So, in closing, we delivered a very good quarter in all dimensions. We continue to remain very confident of the pipeline and its conversion, we expect to deliver strong bookings in the rest of this year.

And given all the good work that we have done, we've tremendously improved our margins.

We remain very focused on improving our margins and most importantly for us quality of revenue is a very, very important metric which we have been maniacally focused on because that is what is going to give us sustained growth in the long run, and we remain very committed to the quality of revenue as well as capital efficiency. Our internal operational rigor has helped us improve our DSO significantly in the last quarter. And I think it's not just a one-time impact, HCL Technologies Limited

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it's a result of significant amount of work that has happened in the past few months to improve our processes.

So, we are very committed to capital efficient growth, improving our return metrics, all of that.

And so, we expect to see strong growth in the second half, and we committed to deliver 5% to 6% growth for the full financial year.

So, with that, thank you for all your support and wishing you a happy festive season and enjoy as much cricket as you can and have a good evening. Thank you.

Prateek Aggarwal: Thank you.

Moderator: Thank you, sir. On behalf of HCL Technologies Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

January 16, 2024
The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051
NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on January 12, 2024

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call held on January 12, 2024, post the announcement of the financial results of the Company for the quarter and nine months ended December 31, 2023, has been uploaded on our Company's website

<https://www.hcltech.com/call-transcripts>

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand

Company Secretary

Encl.: a /a

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"HCL Technologies Limited
Q3 FY24 Earnings Conference Call"
January 12, 2024

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – HCL TECHNOLOGIES
LIMITED

MR. PRATEEK AGGARWAL – CHIEF FINANCIAL
OFFICER –HCL TECHNOLOGIES LIMITED

MR. NITIN MOHTA – HEAD, INVESTOR RELATIONS -
HCL TECHNOLOGIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HCL Technologies Limited Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode.

There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta, Head of Investor Relations. Thank you and over to you, sir.

Nitin Mohta: Thank you, Dr. Good morning and good evening, everyone. A very warm welcome to HCL

Tech's Q3 FY24 Earnings Call . We have with us Mr. C. Vijay akumar, CEO and Managing Director, HCL Tech, Mr. Prat eek Ag garwal, Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the quarter, followed by Q&A.

In the course of this call, certain statements will be made that are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements.

All forward -looking statements made herein are based on information presently available to the management and the company does not undertake to update any forward -looking statement that may be made in the course of this call. In this regard, please do revie w the safe harbor statement in the following investor release document and all the factors that can cause the difference. Over to you, C VK.

C. Vijayakumar: Thank you, Nitin. Good evening, everyone, and a very Happy New Year to all of you. Thank you for joining us for our Q3 FY24 Earnings Call . I'm very happy to share our results this quarter have been remarkably strong, driven by strong momentum in both services and software businesses, resulting in our revenue growing 6% sequentially and 4.3% year -on-year in constant currency. This has been our highest revenue growth since the same quarter in 2021.

Our services revenue grew 3.1% Q oQ in constant currency, even in a seasonally weak quarter for the services business. Our software revenue grew 5% year -on-year in constant currency. This is attributed to an impressive improvement in our subscription and support revenue.

Our operating margins were strong at 19.8%, a 126 basis points improvement sequentially and a 16 basis points improvement year -on-year. This is after taking into account the impact of wage hikes and furloughs. I'm also happy to share that we've had the highest number of awards at the ISG Star of Excellence this quarter, again, a demonstration of significant leadership in IT services space.

Coming to our business segment, our software business delivered an outstanding performance by growing 5% year -on-year in constant currency. This is attributed to an impressive improvement in our support and subscription -related revenue, as we convert perpetual -to-term licenses and reduce our dependence on perpetual revenue. Our ARR continues to grow, and it is HCL Technologies Limited

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at \$1.06 billion, a growth of 2.9% year -on-year in constant currency. The software business delivered a strong profitability, with the operating margins coming in at 32.9%.

In our software products, our data business and digital experience business continues to grow well with several multi -year deals signed last quarter. H CL's software product strategy continues to focus on creating and embedding AI, specifically Gen -AI. I sense a strategic initiative in the works to empower HCL 's software clients by allowing them to leverage cloud of their choice, particularly for business applications like Commerce and UNICA, where we are seeing a lot of success.

Double -clicki

ng on our services business, our ERS segment led the pack, growing 8.7% sequentially in constant currency. This growth includes our recent acquisition, ASAP, which was in line with our expectations. The ER&D business also delivered a healthy o rganic growth of 2.5% sequentially this quarter. Our IT and business services segment grew 4.3% on a year -on-year basis and 1.9% from a quarter -on-quarter basis in constant currency. Going to verticals and geographies, 5 of our 7 verticals grew this quarter with telecom and media business delivering an outstanding 25.9% growth QoQ in constant currency, fuelled by the large deal ramp -up. This was followed by manufacturing at 7.6% QoQ in constant currency with ASAP contributing to a healthy portion of this growth.

Our financial services business declined 1.3% QoQ due to higher furloughs. It has registered a very impressive 12.9% year -on-year growth in constant currency. Retail CPG grew 2.9% on a QoQ basis, but delivered a strong 11.7% growth on a year -on-year basis, all in constant currency. From a geographic perspective, Europe delivered 5% growth QoQ in constant currency, which included the ASAP acquisition. Europe also had a decent organic growth . America's growth 3.1% QoQ and 6.7% year -on-year in constant currency. Given the demand environment challenges, specifically in America, our growth has been very strong, as we continue to expand our reach with more G2000 and Fortune 500 companies.

Our rest -of-the-world business declined 5.3% QoQ in constant currency due to furloughs and ramp -downs. On an LTM basis, we added three \$1 00 million clients and four \$ 50 million clients on a year -on-year basis. Our bookings were a little lower this quarter compared to the last quarter. As you all know that we had a mega deal last quarter. The YTD bookings stood at \$7.5 billion, which is a 10% growth over the same period of last year. For refreshing your memory, our bookings really are net new deals.

It does not include renewals, rate cards, and framework contracts. These are firm, signed, executable contracts, which is new business that we count as bookings. We did a good number of large deals, 18 large deals, 6 in services and 12 in software business.

Among the wins, I want to call out a few. A Fortune 500, CPG company expanded its digital transformation partnership with us, centred around modern operations, end-to-end full-stack hyper-automation and cloud-native services. As a part of this expanded five-year mega deal, HCLTech will expand its services to include Gen-AI-based modern ops solutions, powered by HCL Technologies Limited

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end-to-end hyper-automation-led platforms. This will be an addition to our industry-leading digital foundation services, which we currently provide to this client.

A Europe-based financial services provider expanded its partnership with HCLTech to launch its new service offering. HCLTech will provide digital payments, platform development services, customer service and operations, and financial crime prevention operation functions to help the client launch new services across several markets globally.

A Europe-based global retailer selected HCLTech to accelerate business transformation across its sales, finance, distribution, manufacturing, and planning domain. HCLTech will implement advanced digital technologies, leveraging SAP S/4 HANA to modernize the client's legacy IT systems and business processes.

Actually, we had 30 wins in Gen-AI-related projects. I'm sharing a couple of them. We have a good report of this in our investor release. We've covered in a separate section all the Gen-AI, all the key Gen-AI wins. A US-based healthcare provider selected us to develop multiple Gen-AI-based solutions for several strategic use cases, including clinical library search, after visits notes, transcript summarization, etc.

The solutions will

help the clinical staff optimize the time spent on these activities and

significantly enhance clinician efficiency. A leading US-based financial services firm has engaged HCLTech to evaluate Gen-AI solutions, integrating it with the cloud platforms and technologies. These solutions are tailor-made for critical applications, featuring areas such as risk management, analytics, predictive modeling and anomaly detection.

A US-based chemical manufacturer partnered with us to enhance the sustainability efforts and develop a state-of-the-art solution for real-time ESG reporting and analytics using Gen-AI. HCLTech will deploy its Net Zero Intelligent Operations platform that aggregates complex enterprise and plant data and utilizes reinforcement learning and employs human feedback for ESG metrics validation.

On the software side of the business, a large Europe-based banking major has selected HCL Software's FinOps platform to enable end-to-end visibility across application and infrastructure monitoring. This will significantly enhance the availability and performance of business-critical applications, leading to faster time-to-market of new products as well as improved customer experience. A leading North American retailer selected HCL Commerce Cloud to fuel its digital growth and create a seamless omnichannel experience to delight customers. Here we are replacing one of the large SaaS providers with HCL Commerce Cloud.

A Middle East-based telco selected HCL UNICA and HCL Big Fix to enable a robust web-based customer interaction platform. This deployment will help the client run real-time and event-driven campaigns to differentiate their marketing strategy.

Coming to pipeline, our pipeline continues to remain healthy. It's probably not the highest, but it's still a very, very strong, healthy pipeline, well distributed across large and medium-sized deals. It's still early days for Gen-AI, though we see a lot of POCs and pilot projects across the verticals and geographies.

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On the people front, we are continuing to make good progress to become an employer of choice in professional services across key geographies. Our current employee count is 224,756, a 1.6% increase on a sequential basis. We are continuing to invest in growing the talent and training them with the right set of skills as we believe that tech spending would only grow in the medium term.

We are investing in entry-level fresher talent as we believe in the right pyramid and skills for the long-term success. Also, it's very notable that our attrition on an LTM basis stands at 12.8%, at QoQ decline of 1.4%, and it is the lowest since April, May, June of FY21. We recently launched our GDC in Romania, continuing our strategic priority to grow our near-shore

capabilities.

As I look ahead into 2024, it continues to be an environment which presents a lot of opportunities as well as challenges. Clients are having few strategic priorities like modernizing data driven by the urge to leverage Gen-AI, modernizing SAP driven by time-bound programs, cloud engineering specially focused on FinOps, and evolving IT operating model apart from scaling Gen-AI for the future business models. While they do all this, enterprises will prioritize operational cost improvements as well as low-code capabilities that boost efficiency and improve customer experience.

While we see great potential in Generative AI, in the near term programs in this segment will be small, but we are expecting them to ramp up over the coming quarters, especially around creating the foundations to leverage Gen-AI at scale, which includes cloud migration, setting up private Gen-AI stacks, data modernization, security and privacy. All of these are significant amount of surround work which comes together to scale Gen-AI within an enterprise.

While we still don't see

an uptick in the overall discretionary spend, there is still a portion of tech spend that should remain resilient, like cloud migration, SAP, data modernization, cyber security, automation, and advanced analytics. We believe once Gen-AI peaks speed, clients' eagerness to adopt Gen-AI should create a lot more opportunities as I explained earlier. While this environment looks dynamic, what gives me comfort is the strong support we get from our clients, employees, and analysts.

For example, recently an analyst from TBR visited our cloud-native and Gen-AI labs in London and made this comment. "HCLTech considers the art of possible to be what clients can deploy at scale in the near term. HCLTech's cloud-native and Gen-AI labs, the possible is grounded completely in what can be done, not what is theoretically possible."

Given these kinds of accolades and ISG Star of Excellence awards, I strongly believe our propositions and our people would continue to provide us that extra advantage to grow strong in the medium term. Coming to Q4, we expect good growth in our services business, and we will see the seasonality impact in our software business. With respect to FY24 guidance, total revenue growth is expected to be in the range of 5% to 5.5%. We expect services business towards the higher end of this growth state. Operating margins are expected to be between 18% and 19%.

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Looking ahead, we remain quite positive about our medium-term growth, enabled by our business mix, our people, and a laser-sharp focus on delivering innovation and hyper-automation to our clients. In summary, it's been a remarkable quarter with great all-around performance, great growth across services and products business, margins in our desired range, strong growth in key geographies like America's, good deal wins, healthy pipeline, lowest attrition in the last several quarters.

Credit goes to the entire team at HCLTech, and I would like to thank them all. Before I hand over to Prateek, I would again wish you all a great year ahead, and over to Prateek for greater details on the numbers.

Prateek Aggarwal: Thank you, CVK. And a very happy and prosperous new year to all of you. And as we go into the festive season, the harvest season, Happy Lodi, Happy Pongal, Makar Shankranti, Onam, Bihu, Vaisakhi, and so many festivals coming up in the next two days.

Coming to the numbers, well, there's only one way to put this across very simply. We have delivered a sixer of a quarter, with 6% constant currency growth quarter on quarter. 6% is also the net income growth in rupee terms.

It is 6% in many other respects. So, the revenue at the end of the quarters, stands at \$3415 Mn - \$3.4 billion, which is up 4.3% in CC terms year-on-year. And the ASAP acquisition contributed about 100 basis points of that in the QoQ growth.

And the main driver of that was HCL Software, which was up 5% year on year in constant currency terms, which is a healthy growth rate compared to what we have seen in the past few quarters and years. The second item which was driving the revenue growth of 6% was really the US telecom vertical. The telecom vertical overall came in at 25.9% sequential growth. The third one was ER&D, which also grew 8.7%, including the ASAP acquisition, but even on an organic basis, it grew 2.5% sequentially, which is on top of the organic growth of 1.6% it delivered last quarter.

So, two straight consecutive quarters ER&D has started to show good organic growth, as well as after integrating the ASAP acquisition. In software, I would also like to point out the last 12 months software revenue growth is now up 4.2% year on year in constant currency terms. You can contrast that to the last fiscal where we grew at 1.8%, leaving out the impact of the divested IP partnership with DXE. The ARR (annual recurring revenue) stands

now at 1.06 billion, which is up 2.9% year on year in constant currency. Coming to the services side, the service revenue crossed a significant milestone on a run rate basis of \$12 billion, which also works out as INR 1 lakh crores on a run rate basis, so INR 25,000 crores and \$3 billion for the quarter. So service revenue came in at 3,011, \$3.01 billion, up 3.1%, which was 2% organic and 1.1% delivered by the ASAP acquisition. On a year-on-year basis, it came in at 4.2%, which is 2.5% organic and 1.7% contributed by the acquisition. ASAP acquisition had a n impact of 110 bps, therefore, in the Q oQ growth.

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With that, just breaking it down to ITBS stood at 2,450, up 1.9% QoQ and 4.3% year-on-year. ERS, I've already talked about. So moving on to the profitability metrics. EBIT came in at 19.8%, which was an overall improvement of 126 basis points sequentially and 16 basis points on a year-on-year basis as well. Services margin reduced sequentially by about 48 bps. But on a year-on-year basis, it did increase 15 bps. And the net income for the quarter came in at \$522.7 million at 15.3% of the revenue and was up in dollar terms at 5.2% year-on-year. I would also like you to note that this is the highest ever EBIT and net income in a quarter in rupee terms, EBIT was at INR5,615 crores and profit after tax (net income) was at INR4,350 crores. To give you some color of how the margin movement happened quarter-on-quarter. As I said, the overall margin grew by 126 basis points sequentially, driven by the extra outperformance in software, which contributed 180 basis points at a company level and services margin was thus down about 50 basis points, which is entirely due to the increment impact of about 65 basis points and exchange benefit of about 15 basis points. Return on invested capital is a key metric that we have been driving internally as well as communicating externally. Our ROIC continued to improve in this quarter as well. Continued focus on profitability and managing our capital efficiently has been delivering this sequential and year-on-year growth. Our LTM ROIC at the end of this quarter stands at 32.8% at a company level, which is up 3 percentage points year-on-year, and services is now at 40%, 40.1%, which is up 273 basis points year-on-year and software at 16.6% also continues to improve on ROIC as well. The guidance is at 5% to 5.5% that is both at an HCLTech level as the services guidance as well. There have been questions about the ask rate, so let me put it out there very clearly. At a company level, the ask rate (just 1 quarter left) is a range of 0.3% to 2.1%. At the services level, 1.6% to 3.5%. Our EBIT guidance continues to be 18% to 19%. Moving on to cash generation. Cash conversion continues to be very robust. Last 12 months, operating cash flow was \$2,697 billion (\$2.7 billion) and free cash flow \$2.566 billion. So OCF was 142% of the net income and free cash flow at 135% of the net income. Balance sheet continues to become stronger and stronger. Gross cash is now at \$2.9 billion and net cash at \$2.6 billion. There is a seasonality in the software business, which kind of leads to our seasonality in the DSO as well. The DSO including unbilled came in at 86 days for the quarter, which is an improvement of 4 days year-on-year. And given the seasonality, that is the right way to right comparison point. Last 12 months, diluted EPS now stands at 57.87, now 58, up 8.5% on a year-on-year basis. And the Board has declared a dividend at INR12 per share for the quarter. You may remember in the last quarter, we had increased the run rate from INR10 per share per quarter to INR12, and that has been maintained for this quarter as well.

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The record date for that is 20th of Jan and the payment date shall be

31st Jan. The last 12 months payout ratio with this INR12 comes in at 90%, a little higher than the 88% that we have been doing in FY '22 as well as FY '23.

With that, I'll turn it over to the moderator for questions. Thank you all very much.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you. Good evening and congratulations on a really good quarter. It looks like your top 5, top 6 to 10, top 11 to 20 clients all grew sequentially. So it seems that you are not affected at least in the top client segments by seasonality or furloughs. Is there any impact of the ASAP integration here?

C. Vijayakumar: There is no impact of the ASAP integration in the top 20 clients.

Ravi Menon: Why is this unusually strong? Are you still expanding wallet share? Are there any new propositions that are gaining traction in this?

C. Vijayakumar: Yes. Basically, we had a very, very strong booking last quarter. Outside the mega deal also it was a strong booking. And some of them were vendor consolidation opportunities in existing clients.

If you recall, we had called out a large deal in financial services in the U.S. where we are significantly expanding due to vendor consolidation. We have been selected as the primary champion vendor, so that's definitely driving growth.

And we are also seeing growth in some of the large tech clients who also contribute to the top 20. While in smaller clients, there are some challenges. In some of the big tech, we see some increase. There have been some clients where decline also happened. But I think overall, our top category is growing slightly better than the company services growth rate.

Ravi Menon: Great, thank you. And the Software R&D spend, that seems to be pretty much the same. It's been maintained even as your revenue is growing. So should we think about this as a medium-term margin lever overall for the firm?

C. Vijayakumar: ER&D continues to grow. We had a growth previous quarter. We have growth this quarter and we expect to have decent growth in the coming quarter as well. So I think the three data points generally give us some comfort that we're seeing a growth momentum in ER&D.

Ravi Menon: Sorry, I meant the software product business. The R&D expenditure that you expense out, that is pretty much the same while your revenue is expanding?

C. Vijayakumar: The real point is while the R&D spend is the same, we have expanded the R&D capacity. So it's also about leveraging the right locations. We continue to expand the R&D capacity, which has also helped us create more bandwidth to invest in product modernization.

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C. Vijayakumar: Right now, almost all the products, especially Unica and Commerce, are getting embedded with Gen-AI. And a lot of this work is getting done out of our facilities in India at this point.

Ravi Menon: Great, thank you so much. Best of luck.

C. Vijayakumar: Thank you.

Moderator: Thank you. We have the next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Hi. Thanks for taking my question. And congrats on a great performance. I had a couple of questions. In terms of the ask rate Prateek that you mentioned, I mean, it appears to be steep on the services side. So, if I were to just take it back to the strong deal wins that we've had, is it a combination of these deals getting into a situation that makes us confident that we'll be able to do this in the fourth quarter? Or is there any pickup on the ground level activity that you are basically seeing, which could help us achieve that number?

C. Vijayakumar: I think it's basically four factors contributing to the expected growth in Q4. Of course, the large deal will have one additional month

of impact. That's one contributor. The second is there is going to be reversal of furloughs. We said we had very high furloughs in December quarter. So a lot of that will get reversed, even though there will be a little bit of furloughs in January as well, especially in Asia Pac.

The third element is growth momentum in ER&D business. The fourth is the rest of the portfolio. These are the four components which will contribute to the growth in Q4. Ask rate, of course, as Prateek said it was, services is 1.6% to 3.5%. And as we indicated, we expect the services growth for the full year to be at the higher end. So we should expect something in that neighbourhood from a Q4 perspective.

Vibhor Singhal: Got it, got it. Thanks a lot CVK that was a very detailed answer to that. So taking on that momentum, how do you see the overall demand environment and the macro playing out? I think if you're going to end up, let's say, in that guided range of the services business, and as you said, maybe towards the higher end.

Does it translate into anything for FY'25? Again, not asking for guidance, but the overall environment per se that you're looking at - is it any different or incrementally more positive from where we were three months ago in terms of, clients' discussions, clients willing to start the deals, decision-making, any changes whatsoever, or is it pretty much the same as we were when we spoke last quarter?

C. Vijayakumar: So, okay, I'll divide this into two parts. From an IT services, the discretionary spend, I don't see any change. The situation is similar. It's a soft kind of discretionary spend in IT services.

Engineering services, we are seeing green shoots of growth. As we said, we grew two quarters, and we are looking to grow third quarter. So I think a slight divergence between the two areas. From FY'25 perspective, I'm not going to make any comments on that. All that I can say is, we

feel confident to exit with a strong exit momentum this year. We've had a reasonable booking,
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[\$1.927 billion] this quarter. We have a good pipeline. We expect to do a strong booking in Q4 as well. So these are the data points that I can comfortably share. Nothing more about FY'25.

Vibhor Singhal: Got it. Okay, that's good enough for us. Thanks a lot, CVK. I wish you all the best.

C. Vijayakumar: Thank you.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Thanks for the opportunity. Most of my questions have been answered. Just one question in terms of margins. Prateek, I think in one of the conversations earlier, you have shown that the medium-term aspiration is being 19% to 20%. Can you throw more light in terms of timelines and how we can reach to that kind of an aspiration and which segment of margin will pull that trigger?

Prateek Aggarwal: Thanks for reminding me, Sandeep. Yes, that absolutely remains our aspiration and hopefully sooner than later, but medium-term is what we have been saying and I will continue to say that.

The environment is not the most conducive to increasing margins at this point in time.

Obviously, when we have a blowout quarter like what software delivered this quarter, it helps because most of that revenue percolates down to the profit line as is the nature of that business. But we continue to go through the tunnel. There is probably some light at the end of the tunnel, but it's a long tunnel.

Sandeep Shah: Okay. And the second question in terms of ARR scale in the products and platform business is going up. Is it fair to say the growth pickup could be better entering into FY'25 versus earlier years or still it's some time away and we can continue to grow at a low single digit on a YoY basis?

C. Vijayakumar: So, Sandeep, we will reserve our commentary on the future prospects of the software business.

We are very happy that our strategy is playing out exactly as we planned. Our objective was to convert perpetual licenses to subscription and support model, which makes the need for the product much stronger and the clients much stickier. And that strategy is working out very well. Obviously, the strategy can also have some dynamics from a revenue perspective, but it is absolutely the right strategy from the long-term perspective. So it's a little early days to call out a strong trend in the software, but our strategy is working. Both price realization and the whole renewal subscription model are working well.

A couple of products, Unica and Commerce, we've kind of implemented an ascent program where customers can deploy these products in a cloud of any choice, which pretty much gives them SaaS functionality with Gen-AI capabilities. So we're seeing strong traction for some of these products, and these were all the work that we did in the past, which is definitely showing some optimism here.

Sandeep Shah: Okay. And last question, bookkeeping. Prateek, what could be the wage hike charges in the fourth quarter impact on the margin?

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Prateek Aggarwal: I don't remember the number, but it's about 20 basis points - 25 basis points.

Sandeep Shah: Okay. Thanks and congratulations on a good execution again. Thanks. All the best.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Thank you for the opportunity and once again, congratulations for the great performance. First of all, the bookkeeping question, if you could help us understand what was the headcount due to the Verizon deal for the people takeover transaction over there?

And the second bit, just wanted to understand your hiring strategy. Some of your peers have continued to cut headcount over the course of last 12 months, while even we have done some corrections, but we are faring much better. If you could help us understand what's different between them and us in terms of the delivery model on that front?

Prateek Aggarwal: Yes, thanks Manik. First of all, we would not like to talk about client specific data points. So I'll kind of pass that one. I'll just draw your attention that the number of freshers that we hired is a little ahead of that 3,617 that you see. It was around 3,818 or thereabouts. So that gives you some color, but obviously we don't want to talk about client specific data.

In terms of hiring, we did have two quarters of 2,500 - 2,300 kind of decline. But like we had mentioned in the last quarter con call as well, we do expect, and we did have hiring in this

quarter. That is in line with the growth that we are experiencing.

We are transparently giving out the ask rate for the next quarter as well. Headcount at best is a leading indicator and we are guided towards it. I'll leave it there. On a year-on-year basis also, we are positive headcount 224,756 compared to 222,270.

Manik Taneja: Sure. Thank you and all the best for the future.

Prateek Aggarwal: Thank you.

Moderator: Thank you. We have the next question from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead.

Girish Pai: Thanks for the opportunity. I had one question on Gen-AI and a couple of questions on ER&D. CVK, you mentioned about surround services with respect to Gen-AI. So for \$1 spent on Gen-AI, how much would be the downstream work on surround services like data modernization?

C. Vijayakumar: So it's a very big number, Girish. I don't know exactly, but to streamline the data estate, and to create, I think there are also clients who are looking at private Open AI stack, right? Based on NVIDIA's Tesla processor. If they go for that approach, then it's a big investment. Security and others are also there. I think it's li

ke in 25x or something in that range if I want to estimate a very high-level guess.

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The surround services are where the real opportunity is. Of course, we have to lead with the right propositions from a Gen-AI perspective. I would really encourage all of you to read the TBR report.

The way we are driving this is we have our first Gen-AI lab in London where we bring customers, we bring the business stakeholders from our client organization. They come in the morning, they can go back in the evening with five or six practical use cases. That creates a lot of excitement in the business on what is possible.

That's how the programs are starting. And we've also launched a new proposition called Co-Force, which is bringing all the support and software development lifecycle optimization. I think that's also seeing traction.

These are the two broad areas where we see this growing. The most important thing is you need to bring the Gen-AI capabilities at the tip of the iceberg, and then you can probably get a lot of surround work. What was your question on ER&D?

Girish Pai: I had two questions. One, what is your right to win in the auto ER&D side? You've done the ASAP acquisition, but why should a customer come to you compared to going to a pure play auto ER&D player like a KPIT or a Tata Tech?

And the second question on ER&D is, HCL Tech probably started off its life as a ER&D player 40-45 years back. But that's still just a \$2.2 billion business, even after doing multiple acquisitions. So it's not come to the size of, say, the business IT services business. So what is ailing the ER&D business to why it has not grown the level of the Business IT Services side? Just those two questions.

C. Vijayakumar: Yes, I have Vijay Guntur, President of ER&D. I would request him to respond.

Vijay Guntur: Thank you, Girish. So your first question is on auto segment. Our acquisition strategy of ASAP is twofold. One is to get into the e-mobility space, which is a space that most automotive and even off-highway equipment companies are investing into. So that's our first rationale, to fill that gap and get access into this market.

Second is, most of this business today we have is based out of Germany in ASAP, and the similar capabilities are required by our customers in US, Japan, and other markets. So to expand into other markets, the services that ASAP has. And of course, to our existing customers, cross-sell our other services into the business, which is going to take us some time beyond engineering services as well.

So that's your first question on automotive and ASAP rationality. The reason we are a full service provider beyond certain specific automotive capabilities is to help transform into the case services that customers require, which is around connected, autonomous, and shared capabilities. The e-mobility space is already there. So that is what is our full service capability that we are building on and that is what is attractive to customers in this space.

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Your second question. I think we entered this market when it was a very nascent market, and we see significant potential in this space. ER&D spend is expected to grow in the digital space at about 10%, whereas the traditional is expected to grow at about 2% year-on-year.

Those are the numbers for growth in this market space. Overall, we see that is an attractive opportunity for us to grow. This market is maturing, so we are there early in this space and very diversified. So we will grow certainly in this space.

C. Vijayakumar: Just one more dynamic from a sourcing perspective. ER&D sourcing is not a structured sourcing as in IT services. In IT services, you have a lot of advising firms trying to help clients with a structured sourcing process

In ER&D, it is still nascent. That also kind of mandates that it is more of a land -and-expand strategy rather than a large -scale strategy. So I think that also possibly contributed to slightly lower growth in some periods of time.

Vijay Guntur: Just to add, our long -term growth in ER&D has been at about 10.5%.

Moderator: Thank you. Ladies and gentlemen, that was our last question. I would now like to hand the conference over to Mr. C. Vijay akumar for closing comments. Over to you, sir.

C. Vijayakumar: Thank you. In summary, we had a remarkable quarter. Great growth - 6% sequential growth.

Our operating margin performance has been stellar. Our attrition has been the lowest. We've grown well in North America organically, which is the biggest market.

We continue to add headcount to fuel the growth in the coming quarters. So we remain optimistic. Even though there is an uncertain demand environment, I think our balanced mix of services, our talent, and our strong industry positioning has reflected in a lot of analyst ranking, including our leading position that we are being positioned in Gen -AI.

I do feel confident we will capture some reasonable spend, and we'll continue to maintain our growth momentum. Thank you, everyone, and wishing you a good holiday season and Happy New Year again. Thank you.

Moderator: Thank you. On behalf of HCL Technologies Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2024

Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India

April 30, 2024

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

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Sub: Transcript of the Earnings Conference Call held on April 26, 2024

Dear Sir/ Madam,

This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call held on April 26, 2024, post the announcement of the financial results of the Company for the quarter and year ended March 31, 2024, has been uploaded on our Company's website <https://www.hcltech.com/investor-relations/call-transcripts>

A copy of the transcript is also enclosed.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl.: a /a

"HCL Technologies Q4 & Annual FY'24 Earnings
Conference Call "

April 26, 2024

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR – HCL TECHNOLOGIES LIMITED

MR. PRATEEK AGGARWAL – CHIEF FINANCIAL OFFICER , HCL TECHNOLOGIES LIMITED

MR. NITIN MOHTA – HEAD, INVESTOR RELATIONS , HCL TECHNOLOGIES LIMITED

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Moderator: Ladies and Gentlemen , Good Day and Welcome to the HCL Technologies Q4 & Annual FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta – Head (Investor Relations). Thank you and over to you , sir.

Nitin Mohta : Thank you, Darwin. Good morning and good evening everyone. A very warm welcome to HCLTech Q4 & Annual FY'24 Earnings Call .

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCLTech ; Mr. Prateek Aggarwal – Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the quarter followed by Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based upon information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the Safe Harbor statements in the formal investor release documents and all the factors that can cause the difference.

Over to you, CVK.

C. Vijayakumar : Thank you, Nitin. Good evening , everyone and thank you for joining us for our Q4 & FY'24 Annual Investor Call .

Starting with the Business Performance :

When we started the year, there was cautious optimism around growth in line with the market situation and the backdrop of reduced discretionary spend and slowdown in some industry verticals. Overall, as a company we are very happy that we responded to the uncertain situation with much needed agility and flexibility , and I am pleased that we have delivered good growth with good control over our profitability.

Overall, our annual revenue grew 5% in constant currency year-on-year and 5.4% in US dollar . This strong growth is attributed to both momentum in our Services business as well as our Software business. And the most important highlights for the year, we have translated this growth into even greater value creation for our shareholders with the free cash flow growth of 27.7% year -on-year.

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The entire growth came on the back of healthy growth across segments, different industries and geographies in Services business as well as software business . I want to thank all 225,000 HCL techies for a phenomenal performance in what has been a challenging year for the industry. Our Services business grew 5.4% year -on-year in constant currency, and I think that's the fastest growth in the industry.

Software grew 2.3% in constant currency year -on-year basis and our operating margins stood at 18.2% , well within our guided range.

Before I get into details of our performance, I want to share a few organizational changes that we have made which we have been working on in the last few months :

The first was really integrating our engineering and R&D services sales with IT and business services sales. Now, we have an integrated go -to-market structure, and this is aligned with the increasing demand of clients seeking strategic partners with comprehensive capabilities across engineering and IT services. This will enable a much broader reach of our ERS capabilities across all geographies, all the verticals , and we believe this will accelerate the growth for our engineering business and IT and business services

segment as well.

As we do this, we have the following three leaders with role changes as we get into FY '25. Kalyan Kumar, who was the Chief Product Officer for the Software business, and CTO and Head of Ecosystems, will now exclusively focus on the HCL Software business as the Chief Product Officer and taking it to the next phase of growth.

Vijay Guntur, President of our Engineering and R&D Services, will now be our Chief Technology Officer and Head of Global Ecosystems.

And with that, Hari Sadarahalli who's led all our asset-heavy industries within Engineering Services, will now lead the Engineering Services business and delivery organization in his expanded role. I wish them and the larger leadership team very best in all the new endeavors ahead of them.

Coming back to our performance :

IT and Business Services grew 6.2% year-on-year. Engineering Services grew 1.6% year-on-year in constant currency. Digital foundation, digital process outsourcing, and our overall portfolio of digital services contributed to the year-on-year growth. Even amidst the slowdown in discretionary spend, our digital growth was 5.3% YoY and now contributes to 37.3% of our revenue. We have a very strict classification of what is considered as a digital revenue, and we have discussed about that in past conversations. While there was good growth in different parts of our digital business, the one that stood out is cloud transformation and cyber security, both of them had impressive growth along with growth in our SaaS portfolio.

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Software business grew 2.3% year-on-year in constant currency. This business has made significant strategic progress by focusing on subscription and support revenue and steadily growing annual recurring revenue. The subscription and support revenue has grown from 78.8% in FY '23 to 83.8% in FY '24. You will see a ARR growth slowdown on a year-on-year basis and the drop on QoQ is attributed to decisions we made to discontinue some small parts of our telecom product portfolio.

In terms of verticals, geography growth was led by Americas, the largest of the IT services geographies, grew 6.8% year-on-year in constant currency, followed by Europe 5.5% year-on-year in constant currency, while rest of the world declined 7.1% year-on-year in constant currency.

Our top performing verticals were Financial Services. We have delivered an extraordinary growth in Financial Services which grew at 12.1% amidst the macro concerns. And manufacturing grew at 9.8%, of course enabled a little bit by the ASAP acquisition and retail, CPG grew 8.2% year-on-year.

During the year, we made very good additions to our client portfolio; we added three customers in the \$100 million category, we now have 22 clients in this category. If I go further down the range, we have 137 clients in 20 million categories, an addition of six on a year-on-year basis. From a booking perspective, we booked \$2.29 billion as new deal wins. Just to remind everyone, we call out only net new wins and renewals are not included in our total deal win numbers. Our annual bookings are at \$9.759 billion, which is at 10.2% growth compared to FY'23. During the year, we had a total of 73 large deals including 21 this quarter across products and services. Our pipeline continues to grow and remain healthy. A lot of brand transformation work that we have done over the last couple of years has also helped us emerge as the fastest growing brand among the top ten services companies according to 2024 Brand Finance reports.

Talking about a few wins this quarter, most of them are in our investor release, but a few that I would like to call out. A Europe-based manufacturing company selected HCLTech as an IT transformation partner to manage its ERP landscape across SAP and other connected business systems including SAP S/4HANA landscape. Our ecosystem part

nership with SAP is now showing very good results.

A Japan-based global medical technology major selected HCLTech as its strategic partner for R&D transformation and innovation.

We will provide new product development, sustenance, and digital engineering services to support the client's global design centers and manufacturing sites. This is a very good win in the world's second largest technology market.

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A US-based manufacturing company selected us to establish a product-aligned IT operating model to bring IT and business together for a faster go-to-market. We will transform the network backbone underlying commercial applications and critical business processes worldwide and leverage AIML technologies and extreme automation to deliver to this client.

On the product side, a US-based advertising and marketing technology service provider has expanded its partnership with HCL Software. The advertising company will deploy Unica to

deliver data-driven marketing campaigns and services to its clients, reaching millions of customers every month.

We also announced a deal. Of course, this is a deal for the current quarter with State Bank of India for the MarTech platform, which is the modernized Unica platform that we have, to drive marketing automation and end customer experience management for over half a billion end users.

Specifically, on GenAI, we are seeing a lot of traction on AI and GenAI-related opportunities where clients are seeking realistic benefits. We have had good success building a strong pipeline through successful POCs for various clients. We are also channeling our efforts to get people trained on GenAI to ensure we are able to deliver software development in the most effective way possible.

We also recently launched HCLTech AI Force, a generative AI and automation platform that powers the dynamic suite of solutions designed to inject intelligence into every facet of software engineering workflows across development, testing, support, and maintenance. AI Force accelerates time-to-value by transforming the software development and engineering lifecycle, delivering greater productivity, improving product quality, and ensuring faster release timelines. Talking about a few wins specific to GenAI, a global top technology company selected us to transform its product validation and sustenance experience with GenAI.

A leading Financial Services provider selected us to migrate its existing machine-learning models to new-age GenAI platforms for greater agility improvement and innovation in service delivery.

A leading US telecom company selected us to leverage data engineering and GenAI to automate the data pipeline for analytics and reporting needs of the sales and marketing team for the enterprises ensuring good governance and quality.

In terms of people, our headcount ramp up continues. We had 1,537 net new additions and added 12,141 freshers in FY '24, which is lower than last year adjusted for the market conditions. Our people count at the end of last quarter stands at 227,481. Our attrition continues in the right direction all through the year. On an LTM basis, our IT services voluntary attrition is at 12.4%, one of the lowest in the industry.

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We continue to win several awards from analysts and advisors as a leader in many services.

Notable ones beyond the areas we are well known includes SAP S/4HANA services, digital commerce, hybrid enterprise cloud services, where we were recognized by our clients.

Another important one this quarter, HCLTech received "Gold Award at The Economic Times Human Capital Awards for Innovative Hiring and Unique Practices for our TechBee Program", which is "HCLTech's Early Career Program". Also, Ethisphere named HCLTech among the "2024 World's Most Ethical Companies". MCSI ESG Assessment kept us at a AA-rating for a second

consecutive year. And for the second year in a row, we are included in the S&P Global Sustainability Yearbook for 2024.

Now, I want to talk a little bit about the few key trends that we are seeing in the market. Amidst cautious optimism, enterprises are focusing on specific strategic priorities such as AI, Engineering and FinOps.

While discretionary spending is yet to rebound, overall, enterprise IT spending is expected to remain moderate or healthy. Discretionary project-based spending remains under pressure and AI-related spending is coming at the cost of other areas in the IT budgets, effectively leading to doing more with less or at least doing the same with less.

Enterprises have big plans around AI but have learned from the cloud migration journey. So, the widespread adoption of GenAI, customers are cautious to ensure ROI is not compromised for the speed of execution.

Engineering and R&D spend and outsourcing of that continues to grow globally. Enterprises are preferring partners with a comprehensive portfolio of IT business services and Engineering Services as it offers multiple advantages to them.

Like the way we integrated our infrastructure, which is now digital foundation and digital business services, led to more integrated opportunities and really created a new revenue stream for us. We believe bringing IT and engineering capabilities together lends itself to unique service and solution offerings which is going to drive a new set of deal momentum for us in the market. GenAI will serve as a growth catalyst for data, cloud services as well as the SaaS market. We are making sure our data and related practices have the right offerings and the capacity to address the market demand. It's also important to bring the domain expertise into picture to get the full benefit and we are investing in that as well.

Moving to FY '25 guidance, I believe FY '25 will be a year of consolidation both on the demand and supply side. Clients have been consolidating their technology spends over the last many quarters. We expect them to invest this back into AI and other emerging technologies that drive

productivity, resilience and business growth. This year would also be an opportunity for vendor consolidation, and it will benefit the providers who can scale and deliver the best quality of services.

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Coming to guidance for FY '25:

Revenue growth, we are guiding for 3% to 5% in constant currency. Of course, all of you must be wondering with a strong exit momentum, why is the guidance 3% to 5%? But there are some finer details on Q1 which Prateek will share. Operating margin guidance is 18% to 19% range. We have delivered 18.2% and we continue to remain focused on improving margins. However, the guidance for the year remains the same ranges; 18% to 19% as we had in the last year. With that, I will request Prateek to share more details. Over to you, Prateek.

Prateek Aggarwal: Thank you, CVK. Hello, everybody. Good evening, good morning, good afternoon, wherever you are. Hope all continues to be good with you.

I am going to quickly cover the results in some detail for the Q4 and then go into the full year and then go to the guidance. So, to start with the quarter overview, HCLTech revenue stands at \$3.43 billion for the quarter, 6% up in constant currency terms year-on-year and services is at \$3.1 billion, which is up 3% sequentially and 6.7% year-on-year in constant currency. We therefore continue to be the fastest growing Tier-1 IT services company amongst our peers.

IT and business services revenue stands at \$2.55 billion, up 4% sequentially and up 6.7% year-on-year in constant currency, and ER&D is up 6.4% year-on-year in constant currency as well. HCL Software is flat year-on-year in constant currency terms.

The EBIT clocked in at \$603 million, which is 17.6%, which is down about 48 basis

points year -

on-year. Services margins reduced sequentially by about 73 bps and year-on-year by about 29 bps. Net income for the quarter came in at \$480 million, which is 14% of revenue and which was flat year-on-year.

To give you a sense of the way the margin moved during the quarter, at a company level EBIT margin reduced by 218 basis points, which was caused by the seasonality in the software business that had an impact of 156 basis points. So, software seasonality, December quarter being a peak quarter came down in revenues and that had an impact of 156 basis points and the balance dropped for the services. On the services margins, the 73 bps drop is primarily due to the increment. There was an increment that we had called out earlier, but over and above that, given the good year we had, we went over above that to give about 20 bps equivalent increment for even the E4 and above the middle and the senior leadership going beyond the increment block that we had placed six months back in July of 2023. So, that was the biggest reason. Then there was some seasonal travel and marketing events which took away about 25 bps and the balance was exchange-related small drop because of the way the forex currencies move.

Moving on to the FY '24 overview therefore, the total company revenue came in at \$13.27 billion, which is 5% year-on-year in constant currency terms and software was up 2.3% year-on-year and the ARR now stands at 1.02 billion, which is an increase of 0.7% on a year-on-year basis.

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Services stood at \$11.92 billion, which is 5.4% up in constant currency terms, and we continue to be the fastest growing Tier-1 IT services company for the full year as well.

And IT and Business Services revenue in that number, came in at \$9.8 billion, which is up 6.2%, and ERS was 1.6% increase in constant currency terms. The EBIT at a company level was \$2.4 billion at 18.2% of revenue and that was an increase of 5.7% year-on-year. On a year-on-year basis, the services margins increased by 11 basis points. Net income for the year came in at \$1.9 billion or 1,896 million, which is 14.3% of the revenue and increased by 3.2% year-on-year. In rupee terms, it increased by about 5.7%.

Return on invested capital is an important metric we have been focused on. We published our entire page giving details of that calculation as well. Given our continued focus on the profitability and managing the capital efficiency, the last 12-months of the FY '24 ROIC stands at 33.8% for the company as a whole, which grew 3.4 percentage points, 341 basis points year-on-year, and within services increased by 4.3 percentage points year-on-year to a number of 41.6% now on a last 12-month basis. Even software continues to deliver good ROIC at 16.5%, which obviously has all the investments in the denominator.

Getting to the guidance band then, as CVK already pointed out and you have read, 3% to 5% is the guided band and we have received quite a few questions on that since we published this, so we are just sort of answering that upfront. And obviously the question arises that we are exiting FY'24 on a strong note and the exit run rate itself sets us well to deliver the lower end of the guidance that we have given and therefore let me explain our guidance with some more details. In Q1, as you know, there is the usual annual productivity pass back that we have for a large

number of our clients and the same impact would be there this year as well. But over and above the usual annual productivity pass back, there is an offshoring impact in one of the large FS deals that we started last March, which is expected to land the Q1 revenues at about (-2%) versus the (-1.3%) that we had in the June quarter of last year. So, (-1.3%) was the June '23 quarter versus March '23 quarter and this year, we expect June '24 to come in somewhere around that (-2%)

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Therefore, based on that as the starting point from that quarter, the guidance of 3% to 5% that we have given basically turns out to be a CQ GR beyond that in a range of about 1% to 2.5%. Please note that the June '24 quarter, the Q1, does not have material impact of the sale of the DPO JV with State Street which we have already announced as we will be recognizing from revenue as per certain contractual clauses even in the June quarter. As you know, we have announced already that the deal closed on 2nd of April, and this is how the accounting will pan out and the full impact of this divestment will actually start flowing from 1st of July 2024. So, I've already talked about the CQGR, given the Q1 expectation that has been baked in, it translates to 1% to 2.5%. That is the math behind our guidance and given our strong double-digit growth in TCV of the new deal wins in the previous year, we are confident to deliver that. As far as margins are concerned, we continue to hold the margins expectation at 18% to 19% for the fiscal year coming ahead.

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Cash generation has been a great story. I mean, cash generation in the last 12-months, we generated operating cash flow of \$2.7 billion, which is an increase of 22% year-on-year. And the free cash flow of \$2.6 billion almost was up 28% year-on-year. As a percentage of net income, the typical ratio that we look at, OCF as a percentage of net income was 143% and free cash flow was 136% of net income.

Our balance sheet continues to grow in its strength and gross cash at the end of March is now \$3.39 billion and the net cash is \$3.11 billion. The cash generation that I talked about was driven by a five-day reduction in the (DSO), days sales outstanding, which reduced including unbilled revenue basis from 88 days in the last March quarter to 83 days in this quarter.

From a shareholder perspective on EPS, the earnings per share came in at 56.86, which was an increase of 5.6% year-on-year and the board has declared an interim dividend of Rs.18 for the quarter, which brings it to a total of Rs.52 for the full year, and given that EPS is 57.86, that is almost 90% of the total for the year. The record date for the dividend is 7th of May and the payment date would be 15th of May as per the regulations. So, we continue to pay out in the range of 87%, 88%, 89%, 90%, which is obviously much higher than the minimum 75% that we had mentioned about two and a half years back.

That's all I have for now and moderator, over to you for Q&A. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja: I have a couple of questions. The first question is for Prateek. Prateek, I am just trying to understand the math that you gave for revenue decline in June quarter of 2%. Now, let's say if you have a mega deal, let's say \$600 million over a period of five years, maybe like \$120, \$125 million of revenues, even if that shifts offshore, should it lead to such a big swing in a quarter just from offshoring? The second question relates to the deal wins. Now, if you look at FY '24, if I strip off the contribution from Verizon, then the deal flow in FY'24 has been quite moderate and which is a little bit counterintuitive because in a challenging environment, you have longer tenured deals that normally flow through. So, normally your TCV should ideally look good, whereas actually for you it has been deteriorating. So, is there anything related to the competitiveness or anything that you're basically seeing in terms of win rates that are different? The final one actually is for CVK. CVK, I am just curious about the change in the org structure, or rather integrating ERS with the IT and business services. Because if you look at ERS, historically the decision-maker

in the ERS has been your vice president of engineering or the product owner, whereas for IT, it is the CIO or the business owner to whom you're basically selling those services. So, when you're integrating the sales, right, who's the decision-maker, has a decision maker from the client change for you to integrate ERS and ITBS sales process?

Prateek Aggarwal: So, let me take maybe the first two questions and then CVK might have some additional comments and of course the third question. So, Kawal, see, the thing is for these large deals or any deals for that matter, there is a fair valuation that is required by the accounting standards, HCL Technologies

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which is what we do, and therefore, for the period that the work is being delivered only or predominantly onsite in the high cost geographies, there is revenue which gets allocated to that

period more than proportionately, it's not a straight line. In addition, when the work moves offshore, then the revenue for the offshore part is proportionately lower than the straight-line method. So, that's the basic math. I don't want to sort of go deeper than that, but hopefully that gives you the answer why that is a big impact, and this is a very large deal as you seem to know. The second question is I'll start with, you cannot really strip out my largest deal and start looking at numbers that way. All said and done, we delivered almost a total of \$10 billion for the year, which is an increase of 10% and that's the only way I would suggest looking at it and maybe CVK would want to add a few things and talk to answer your rest of that question.

C. Vijayakumar: Kaval, on the TCV and the tenure, whatever duration, we did not see any change. The large deal, of course, it was a six-year deal, but other than that, the large deals have mostly been a three-year tenure and this whatever 9.8 billion has a mix of small deals and large deals and large deals average will be three to four years and small deals are a much shorter duration. And all of this is net new. Renewals is usually where you tend to do a five-year and we don't include any rate card and all those things. We think the booking has enough momentum especially looking at what we have done in Q4, will have a good execution in the coming quarters. So, that should help us. Now, coming to the more strategic question on organization structure and the integration of IT and Engineering Services from a sales perspective, if you look at the TMT segment, telecom, media and tech, in most large organizations, the CIO is really part of an overall CTO organization. There is a lot of IT functions are managed by the platform organizations and it's a part of that decision-making hierarchy. So, we see a lot of joint propositions in this segment which will really help us by giving a much bigger reach and would help us to kind of sell a little more differentiated solutions in this segment. When you look at the asset-heavy industries, of course, CIO is making a lot of decisions on IT, but predominant amount of tech spend is really happening outside the CIO organization like the head of manufacturing, head of supply chain, the ITOT integration programs, the IoT programs, digital manufacturing, a lot of that, while they're engineering heavy, but there is a significant amount of IT landscape which supports it especially in a cloud kind of operating model, the decision-making is much broader. And also you look at in the other segments where we don't play for our Engineering Services like lot of service-led verticals like media, retail and a lot of these organizations have, the marketing organization, the CMO spend is not something which we have targeted in a big way, but given a lot of capabilities of how we are present in the TMT segment on the CMO propositions, we think we can make a greater impact in the service-led verticals through this in

tegrated offering.

So, we have been thinking through this for maybe last two years and we have done a few verticals in the middle of last year and now all the verticals are joint integrated go-to-market motions.

Kawaljeet Saluja: I think a fair point on hi-tech and media, but let's say if you look at something like an auto, I mean, what will the middleware or let's say consolidation of ECUs into DCUs, what has that got to do with what you're doing on the ERP or enterprise IT side actually?

C. Vijayakumar: In fact, automotive is a classic example where combining this is a much greater value proposition to our clients because if you see even the most hot segment in automotive is really like the most

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of the NVIDIA GPUs, almost 50% has been sold to the private instance of AI and half of that has been sold to the automotive segment which means you need to build the entire data stack, you need the entire data engineering. There is an underlying IT stack. All of that is not under the CIO organization. In fact, we believe we can capture greater IT and engineering spend by much more integrated proposition in verticals and automotive is definitely one of the top segments there.

Moderator: Thank you. The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: My first question is with respect to the offshoring of large deal, just out of curiosity, isn't this something that should be part and parcel of the normal business course every year in terms of deals moving from onsite to offshore and impacting some amount of revenues. Is it materially different than what you have seen in the last 2-3 years, which is why you are calling it out and having kind of an impact on your guidance for the next years? The second question is on your medium-term outlook of margins of 20% on the upper band that you had shared in the past, what kind of revenue growth is required to hit that and where are we in the journey of our talent pool in terms of incorporating more of freshers and improving the pyramid? Where are we in that journey? How much of scope is there to improve the cost structure to be able to hit that 20% mark?

Prateek Aggarwal: I agree with you, it is not something completely out of the ordinary. It is business as usual in any normal quarter. There would be some deal like that happening pretty much all the time. The difference and the reason we called it out is simply because it is this quarter which is the June quarter has traditionally been weak quarter, which is the reason I called out the number from last year for the same quarter. So, it happens to be on top of that and second obviously it is the big

TCV number, and it does have a larger than most other deals. So those are the real two factors which lead to calling it out. To be honest, I would rather tell you and all the investors upfront rather than you coming to find out next quarter when I declare the results. I think it is a material fact which helps us explain the guidance that we have given. So, that is the sum and substance of it, Gaurav.

C. Vijayakumar : On the margins, of course our aspiration continues to remain 19 % to 20% is our aspirational margin range, this year we are forecasting it to be 18 % to 19 % and if you look at the overall cost structure and the supply chain of our talent, we had almost doubled our fresher hiring from FY21 to FY23, I think 13,000 to 27,000, roughly those are the numbers, but this year the number reduced to 12,000 and as you know it is a proportion. It is very linked to the growth. So, I think growth is going to be an important thing when the discretionary spend is back. I do think that is the time when the fresher hiring will again pick up and that will continue to create a tailwind for margins. As we had indicated, this is a long-term journey. We need to have a susta

ined focus on

shaping our cost structure and this is a journey and obviously there will be some moderation based on the growth that happens every year and last year growth was much lower than FY23's growth. So, I think that has some impact, but I think the trajectory and the aspiration and the momentum and focus on this continues.

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Moderator : Thank you. The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : Prateek, just on the guidance again, last year, so I looked at your IT business service, it was almost just flat Q-o-Q basis, ER&Ds got declined and we talked about how some large programs have got terminated and we will be back to growth in that and even the year before that IT business services and ER&Ds have a decent Q1. So, struggling a bit about how we can get to this low end of the guidance and the (-2%) in Q1?

C. Vijayakumar : So, Ravi, are you talking about annual? What is that you said IT business was flat?

Ravi Menon : The Q-o-Q CC growth in Q1 FY24 if I recover and that is just about flat Q-o-Q IT and Business Services. ER&D had declined by about 5%, correct, but that was due to some deals that we had I think in high tech that ran down, but overall that shouldn't really recur, right?

C. Vijayakumar : Yes, I think we have done a done our forecast based on where we are in Q4 and how Q1 will pan out. I wouldn't be able to exactly compare the drop in Q1 of FY23 and what were the drivers and what are the drivers for this, but generally, of course ER & D was an outlier in Q1. I don't think we are looking at a similar situation. We will do better, but I think on the IT side, we will see a drop. So, collectively, that is where the numbers will land.

Ravi Menon : The other thing is, overall, the deal wins, you are talking about a deal tenure being 3 years mostly except for the very large deal that we won in communications which is 6 years. Overall, if I take 4 year kind of average, we should be looking at adding 2.5 billion more or less and with the revenue runoff, even if you take that to be 10%, which I think is on the higher side because typically I think retention rates are much better than that. Even then, we should be adding \$1.2 billion in revenue. That should be a 9% growth year-on-year. So, I am still trying to understand where the headwinds are as the environment getting a lot worse compared to where we were this time last year or are you worried that it might actually get a lot worse.

C. Vijayakumar : I think you crunched a lot of numbers but see first is the runoff is of two categories. One is, there are some productivity benefits, which is year-on-year that has some decline in characteristics.

And the second one is in the existing book of business, there are a lot of programs that teams are working on and based on clients, budget prioritization, some of that runs off. So, we have assumed the same level of runoff that happened in FY24. We have extrapolated that to be happening in FY25. So, I think you will see some kind of logic which will moderate some of your numbers, and of course Verizon contributed to almost 20 % to 23% of the booking that was 6 years and I think last quarter what we saw was more 3-year tenure deals and the good mix of large and small deals, but general trend would be a 3–5 year kind of window. You cannot extrapolate this all net new wins, but the ACV of this will have to be offset with a lot of projects spend which projects which come to a conclusion. So, I think all of this math will eventually work out to the 3% to 5% guidance and with the State Street divestment as well, being factored in.

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Ravi Menon : And one last thing sir, on the software products, that was up 5% year -on-year last quarter, but now we are flat year -on-year, and you did speak about telecom

product being divested, but apart

from that anything else that could cost us to go down materially?

C. Vijayakumar : No, I think, we had a 13 million drop because of the decision that we made a few quarters back

on discontinuing some of the products and that had a 10 million impact on the AR R. That is the only thing that is visible. Otherwise, I think we have had good growth in the software business. It is the strategic direction and all the changes that we have initiated, all of that is kind of panning out as planned. We are happy with the progress that we are making on that front. And as you note that we are also, at the same time we are looking at converting a lot of perpetuals to term licenses that also saw a good uptick from 79 to 84 /83. So, I think we are progressing in all the levers quite well.

Ravi Menon : And with the offshoring colleague, wouldn't we see a bit of at least a margin improvement? So, should we expect that next quarter?

C. Vijayakumar : Yes, I think in a big portfolio, there are lots of puts and takes. So, I think all of that is factored in 18 % to 19% guidance.

Moderator : Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal : So, again, just harping on that again, offshoring part. So, as I think a lot of people have before and this generally should be business as usual in a normal course of business, but if it is as big as to be called out separately and impacting the growth for the full year, so one, I mean any other project that you see in our portfolio where you could probably, I mean similar kind of negotiations are happening or given the environment they could run the risk of a similar kind of runoff? And secondly, in the overall scheme of things, is the impact on revenue is that big, wouldn't it also help our margins as well. So, giving the guidance and saying does that mean that there should be at least some benefit on the margin front if we are losing out on the revenue part?

C. Vijayakumar : I think if you have a mega deal and if you have done a lot of people transfer and year one revenue is higher and then when we convert it to a delivery model which is solution for the client, there will be a drop. Of course, one large deal is kind of impacting from March and the other large deal that we have signed is of course Verizon, which will have its impact sometime towards the end of end of this calendar year. So, all of that we have baked in into the numbers.

Vibhor Singhal : And my first question, any other deals where you think this could a similar risk stands or there could be similar kind of runoffs?

C. Vijayakumar : No, I don't think so. I think generally if you sign a mega deal, I think some of this is to be expected. We do hope there are a lot of good pipelines and we do hope to sign mega deals this year as well given the overall pipeline and some extent it will compensate, but that will happen as the year progresses.

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Prateek Aggarwal : Vibhor, I would just like to say the word that you used "risks", these are all predetermined, fair valuation is the accounting term for it. So, these are not risks that are transpiring or runoff. It is not something which is depleting from the earlier planned kind of a thing. It is very much a part of the plan as you yourself mentioned and I think Gaurav mentioned earlier, these are business as usual. These are known in advance. It is just that there is a time period between the work that gets done on site predominantly and then at a certain point in time, it gets offshored or predominantly offshored. Depending on the size of the deal and the timing of it, it could be material to the overall company's numbers, but the guidance that we are giving you is for the total year as we do every year and we have a good solid track record to sort of deliver on the guidance

which obviously we want to maintain and that is the spirit in which we give the guidance, not everybody does as you know. So, we are giving you the guidance based on things which are pre-planned and pre-determined by the accounting rules. So, there is no surprise in it is all I am trying to call out here.

Vibhor Singhal : Just one last question to CV K. CV K, on the tech vertical, I think this year I think most of our verticals have done quite remarkably well. Is the tech vertical, which has kind of dragged the overall door down, what is the outlook on that vertical? What was the overall thing that you saw or the reason for the weakness this year and do you see that changing next year or do you think it is going to be more of a docile segment this year as well?

C. Vijayakumar : So, I think our tech vertical is a very concentrated portfolio. If you take the top 10 customers in the tech vertical, I think they will contribute to a very large percentage of revenues, more than maybe 60%. These are obviously very large tech platform companies and last year definitely there was a significant pressure to do cost reduction and improve efficiency across most of these customers. And as we speak, we think we see the pipeline is looking better. I do think a lot of the tech companies are investing especially in more R&D kind of work and we expect this vertical to grow in FY25.

Moderator : Thank you. We have the next question from the line of Surendra Goyal from Citigroup. Please go ahead.

Surendra Goyal : CVK, if I understood it correctly, you mentioned that Generative AI spends are possibly crowding out discretionary spending and there is a negative impact, given that Gen-AI projects are relatively small at this stage, would that mean that the net impact of this trend from your and

IT services perspective is a net negative? How would you really think about this?

C. Vijayakumar : I think Gen -AI has 2 dimensions. Of course, the efficiency dimension which from our perspective, the biggest opportunity in the software development, product engineering kind of areas and second is the business or vertical use cases which starts with POCs and based on the success and confidence in P OCs, they will scale into larger programs. At this point , on the first software development efficiency, that is where we have a head start with our AI force platform. Microsoft also recognized the effectiveness of this platform in deploying co-pilots and how we can deliver an end-to-end efficiency in an effective way. So, we are looking at this as a way to gain more market share in the software development, large programs in existing clients and new HCL Technologies
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clients and we have the secret source of how to get this efficiency done in a predictable way based on the number of internal and client programs that we have done . So, I think it is more of using Generative AI as a differentiator. Of course, it is a capability available to everyone, but given our long heritage in s oftware engineering , we had built significant capability in using AI in product engineer. Now , the same platform with some more augmentation is super effective for large software development shop s, so that is the first piece . I think it is more about gaining market share with the differentiation that you can bring and how well you can execute to the proposition . The second one is still POC s. We have not seen any large program ; the maximum deal size is under \$10 million in many of these POCs and program and I think it's going to take some time for those programs to scale because the results of the POC s are of course there are some exciting benefits that will accrue out of this. But to really get it operational at an enterprise wide level, it needs a lot of other things to be streamlined, including your data architecture, the security , whether you want to do a private AI stack or y

ou want to do hyper scaler and do you

want to customize an LLM or you don't want to customize , whether you are willing to take the liability or some of the providers are willing to take the liability. So, there are many intricate issues which is going to take some time to kind of find the right balance and right solutions. So, I see only the POCs continuing to increase, and it will pick up slowly , but I think the efficiency paradigm is where we will really make a big impact in the short term.

Surendra Goyal : CVK, that is helpful , but my question was more on the interplay of Generative AI and discretionary spend that you spoke about, like this kind of explains how Generative AI can help , my question is more on why, like what is the net impact of these two things?

C. Vijayakumar : I think any Generative AI program brings a lot of surround spend to the higher priority levels , so I think it will cannibalize some discretionary spend, but it also paves way to some newer areas where the client should put more emphasis on, and data is number one and cloud migration or repatriation both are also getting a little more attention due to Gen -AI. So, I think these two or three areas definitely ha ve positive effect , but of course they will try and look at other areas to optimize t o put money here. So, that is why we have assumed the same environment as FY24 in FY25 as we plan and guide for this year.

Surendra Goyal : Just one quick question for Prateek. So, once you kind of explained like -2% as a possible likelihood , even the second quarter with the State Street impact and the fact that your deal flow has been in the 2 billion range and if one assumes that Verizon ramp up is largely in the base , then even that quarter looks tough , so is the guidance more back half ended this year ? Just wanted to understand.

Prateek Aggarwal : Generally speaking, Surendra yes because Q1 and Q2, I have already called out these two factors , but it is key to remember that we did book \$2.3 billion this quarter, which will start playing out some in the next quarter and definitely all of it in the September quarter and we will continue booking hopefully around that 2 billion mark that we have been doing for a long time now and hopefully keep on increasing a little bit as we go along. So, it is a running book of business and just becau se we are giving the full year guidance and we wan ted to explain that in detail we typically do not ever give you quarter guidance as you know . The only reason we HCL Technologies
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mention that is to explain the guidance, like I said before and also because w e did not want you to get that surprise post factor, I would rather tell you beforehand.

Moderator : Thank you. The next question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra : CVK just taking a step back, 1Q is weak , we get it , but overall, you have had a very good year, you have got great momentum and good sign-ins, if I just take a step back and just so that the full year, FY25 or FY24, what does it seem like your commentary and guidance suggest that '25 will be a weaker year than '24, given how good things generally are ?

C. Vijayakumar : So, Ankur, at this point our guidance is 3 % to 5%. Definitely , there has been a learning from how FY24 transpired. We came of very good year in FY23, so there was a little more optimism, and we factored s ome softness in the environment based on what we saw by end of 22, but what

panned out was much higher. Now, we factored all of that a similar trend in FY25. So, I think it is the vantage point with which we entered FY24 and what we are entering FY25 does have an impact on this. At this point, obviously 3 to 5 means the growth is going to be lower in FY25 than FY24 assuming the environment would be the same.

Prateek Aggarwal : Just the number of questions on this guidance, I was resistin

g, but I will come out and say, there

is only one other company which gives guidance like we do and our numbers are kind of better and compared to most others, I think we would still be, we have been at the top end of the growth amongst Tier-1 players in FY23 when you look at the services growth of 15.8% and then last year, FY24, again we are at the top with 5% total and 5.4% in services. Even with this the bottom end of this range would be higher than most others. So, I do want to, it is not the end of the world, come on, it is lower than what you were expecting I know. We have tried to explain it in the detail that we have, but yes, we are just starting the year and we will see where we go.

Ankur Rudra : Just one clarification on the guide. I think from what I can understand you have not baked in any discretionary spend or R&D spend recovery in the guide now versus before?

C. Vijayakumar : So, Ankur, in every year, there is some amount of runoff and some amount of backfill that happens as well, right? It is not that say discretionary spend, let us say from 100% reduces to 90%. That can have a significant impact on the growth rates. So, it is not that we are assuming there will be no discretionary spend. We are saying there is a similar pattern that we saw, of course industries, clients that might vary, but we have taken the total quantum of existing book of business where clients reduce the spend due to business prioritization. It is a very involved exercise. We have done that for the last 4 months and we have factored similar and proportionate number in this year, but that does not mean that there is no discretionary spend at all. I mean there are lots of things which keeps happening and as you would know in any year, the book of business that we have is not 100%, maybe 70% is where we have firm booking order book flowthrough, but there are a lot which happens during the year and some of that is definitely there in the guidance.

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Ankur Rudra : Just building a bit more on the last question that Surendra asked, if I just back in the 2% decline in 1Q and maybe a softer 2Q because of the State Street ramp down you highlight, the ask for the upper end of the guidance seems to be in the 3% to 4% range for the second-half, is that sensible to you to your comment about it is the second-half semi guidance?

C. Vijayakumar : Ankur, I think if you look at our trajectory in the last 4 years, I think we start Q1 very low and Q2 picks up, Q3 peaks and then Q4 moderates. That is the kind of trajectory that we have seen and all the pipeline and the bookings that we expect, I see a very similar trend this year.

Ankur Rudra : So, my question was if you can look at both sides of spending wallet for your customers, software services in fact even hardware, if on your perspective, do you think Generative AI is helping software spending and relatively crowding out services spending right now because we can see generally software parts of most global peer portfolios are doing well. Service is under a bit more pressure. What do you think what you see on those sides?

C. Vijayakumar : I think software vendors are able to get away with the significant price increase which customers are left with no option, but to kind of agree to this, the increase in price and obviously I mean then they look for efficiencies elsewhere. So, either if you are in a large, if you have a large footprint the customer expects more for less and in some areas where they have not really outsourced, they tend to outsource more. So, that is the reality. Even if you say the overall IT spend is growing at whatever percent, a significant percentage of growth, that incremental dollars is because of the inflation and the software costs. So, that is just the additional color that I can provide you.

Moderator : Thank you. Ladies and gentlemen

n, we will take that as a last question for today. I would now

like to hand the conference over to Mr. C. Vijayakumar - CEO and MD for closing comments.

Over to you, sir.

C. Vijayakumar : So, thank you all of you for joining the call and a lot of interesting questions. As we have delivered industry-leading growth in FY23 and industry leading growth in FY24, we continue to remain very optimistic about our differentiated portfolio and the balanced mix of services that we have and some of the significant organizational changes that we have made. All of that we expect to really auger very well for our services business and our stability and increasing growth in software also continues to give us confidence. So, from of course the guidance for this year and mid to long term, I think our business is getting more and more stronger. The mind share for HCL Tech in the G2000 category has significantly catapulted and our overall leadership position in the industry is very strong and we expect all of this to continue contributing to healthy growth and market share and mind share for us and thank you for your support and look forward to talking to you in the next call. Thank you everyone.

Moderator : Thank you. On behalf of HCL Technologies Limited, that concludes this conference. Thank you all for joining us. Yo u may now disconnect your lines.

Call: Jul 2024

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L T echnologi es L td.

Technology Hub, Special Economic Zone

Plot No. 3A, Sector 126, NOIDA – 201304, UP, India

t: +91 120 4306000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369

Registered Office:

806 Siddharth, 96, Nehru Place, New Delhi -110009, India July 17, 2024

The General Manager

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400 001

BS

E Scrip Code: 532281 The Manager

National Stock Exchange of India Limited

Listing Department

Exchange Plaza

5th Floor, Plot No. C- 1, Block -G

Bandra- Kurla Complex, Bandra(E)

Mumbai -400 051

NSE

Scrip Code: HCLTECH

Sub:

Transcript of the Earnings Conference Call held on July 12, 2024

Dear

Sir/ Madam,

This

is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, the transcript of the Earnings Conference Call held on July 12, 2024, post

the announcement of the financial results of the Company for the quarter ended June 30, 2024,

has been uploaded on our Company's website [https://www.hcltech.com/investor -](https://www.hcltech.com/investor-relations/call-transcripts)

relations/call -transcripts

A copy of the transcript is also enclosed.

This

is for your information and records.

Thanki

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For H

CL Technologies Limited

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sh Anand

Company Secretary

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"HCL Technologies Limited Q1 FY'25 Earnings Conference

Call"

July 12, 2024

MANAGEMENT : MR. C. VIJAYAKUMAR – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR, HCL TECHNOLOGIES LIMITED

MR. PRATEEK AGGARWAL – CHIEF FINANCIAL OFFICER, HCL
TECHNOLOGIES LIMITED

MR. RAMACHANDRAN SUNDARARAJAN – CHIEF PEOPLE
OFFICER, HCL TECHNOLOGIES LIMITED

MR. NITIN MOHTA – HEAD, INVESTOR RELATIONS, HCL
TECHNOLOGIES LIMITED

HCL Technologies Limited

July 12, 2024

Moderator: Ladies and gentlemen, good day and welcome to the HCL Technologies Limited Q1 FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta, Head, Investor Relations. Thank you and over to you, sir.

Nitin Mohta: Thank you, Darwin. Good morning and good evening everyone. A very warm welcome to HCL Tech's Q1 FY'25 Earnings Call.

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCL Tech; Mr. Prateek Aggarwal – Chief Financial Officer along with the broader Leadership Team to discuss the performance of the Company during the quarter followed by Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on information presently available to the Management and the Company does not undertake to update any forward -looking statement that may be made in the course of this call. In this regard, please do review the Safe Harbor statements in the Formal Investor Release Document and all the factors that can cause the difference.

Over to you, CVK.

C. Vijayakumar: Thank you, Nitin. Good evening, good morning and good afternoon, everyone. Thank you for joining us today for our Q1 Earnings Call.

I will directly get into our business performance for the quarter :

As we had communicated, seasonally, Q1 has always been a soft quarter for HCLTech . It's still industry -leading YoY growth as it increased 5.6% on a year -on-year basis in constant currency, though our revenues declined 1.6% sequentially. Again, this was better than how we had expected this quarter to pan out when we met last.

We had called out the key factors that drove this during the last call. Operating margins clocked in at 17.1%, a decrease of 50 basis points compared to the last quarter and an increase of 13 basis points compared to the last year same quarter.

In terms of Segmental Performance :

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Our Services business declined 1.9% sequentially but grew 5.8% year -on-year in constant currency.

Our IT and Business Services grew 5.3% year -on-year but declined 1.5% sequentially in constant currency.

Our Engineering and R&D Services grew 8.4% year -on-year but declined 3.5% sequentially in constant currency. The decline in Engineering Services were primarily in the Manufacturing and Med-Tech vertical segments.

HCL Software grew 3.5% year -on-year as well as 0.4% sequentially in constant currency. HCL Software business continues to progress in the right direction with annual recurring revenue at \$1.01 billion.

Now, coming to the Verticals and Geographies :

In terms of geographies, on a year -on-year basis, Europe grew 3%, Americas grew 8%, but rest of the world declined at 3.6% in constant currency.

On a year-on-year basis, telecom and media and retail and CPG vertical segments fared well, growing at 69.2% and 9.7% respectively.

Manufacturing growth 3.5% year on year in constant currency, enabled by the ASAP acquisition, which we did last year.

Life Sciences and Healthcare segments declined 4.1% year -on-year in constant currency due to completion of projects last year and because of the softness that I had called out in the mid tech segment.

Bookings during the quarter, we had the TCV of \$1.96 billion, approximately \$2 billion with a good mix of sma

ll deals and large deals. We have called out all the large deal wins in our investor release and have also called out a number of opportunities that we have won in the space of GenAI in our investor release.

From a people perspective, our overall people account at the end of the quarter was 219,401, a sequential reduction of 3.6%, which is largely attributed to the State Street JV exit.

Our attrition continues to abate on an LTM basis. Our IT services voluntary attrition now stands at 12.8%, one of the lowest in the industry.

Expanding on a new Vista Strategy , this quarter we opened a center in Patna in Bihar, continuing to expand our new Vista strategy.

In terms of business trends and GenAI, we continue to see a lot of AI and GenAI -related opportunities. We had launched HCLTech AI Force, a generative AI and automation platform
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couple of months ago and now We have launched another suite of products, HCLTech Enterprise AI Boundary to simplify and scale enterprise AI journeys.

Talking about Client Programs :

There are multiple ongoing engagements where we are working with clients to deliver real value.

Specifically in terms of AI-led wins, the following are worth a mention: A global technology major selected HCLTech for implementing a GenAI -based solution for gaming review analysis that automated data collection, sentiment analysis and operational automation, resulting in significant workload reduction and 119% increase in game reviews. They also selected us to deploy GenAI to transform their content lifecycle management and the processes. HCLTech will help the client to automate its content processing with intelligent features such as persona filters.

A Europe -based financial services major has partnered with us to develop and manage its next gen low latency electronic platform and compliance analytics platform leveraging GenAI.

A US -based insurance provider selected HCLTech to transform its contact center and back office operations for claims management, leveraging GenAI.

HCLTech 's Gen AI Force Digital Colleague suite of products will help the client optimize workflows, boost operational flexibility and enhance efficiency, accuracy and overall service quality in managing healthcare claims.

Adoption of GenAI technologies is also expected to boost demand for cloud services and data standardization work. Recent implementations that we did demonstrate that trend. It delivers business efficiency and operational excellence for clients who are seeking several modernization objectives.

For a leading athleisure brand, we modernize their e -commerce platform to improve Omni -channel consumer experiences and that spurred their top line growth.

For a US beauty retailer, we created a digital store of the future, digital shopping experience, that's high performing, visually appealing, immersive and omni channel.

Both implementations involve migrating from legacy systems to next gen platforms that enable innovation, reduce OPEX and scale on demand. This should logically lead to the next stage of leveraging Gen AI further.

This Gen AI momentum is driven by the attractiveness of a full stack proposition, which delivers to the entirety of the enterprise covering business processes, product applications, data, cognitive infrastructure and the semiconductor design. These full stack capabilities are key in the market right now and the flagship offering of AI Force and AI Foundry along with a global network of Gen AI labs are bringing them to life for our clients across the globe.

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We are in fact seeing unprecedented levels of activity in our AI labs, which provide strategic advisory services, hands on engineering acceleration and a unique idea te to MVP experience designed to quickly prepare clients for scaled AI deployment. Our AI labs have curated 200 plus MVPs for our cl

ients till date. Fueling this activity is a solid investment in people, places and partnerships.

In terms of people, we have a target of training 50,000 people on Gen. AI and AI skills this fiscal. 33% of this target has already been achieved in this quarter alone. Our focus on data AI , Gen AI developer skilling across the stack with a special focus to create a cohort of data and AI principals.

In terms of locations, this quarter we inaugurated an AI Lab in New Jersey in the US and the Gen. AI dedicated Data Center in Austin, TX. These labs help clients quickly innovate, experiment, and prepare for scale production, deployment of AI and Gen AI enabled solutions. We have also recently announced a new collaboration to establish a Gen. AI CoE based on IBM Watson X AIM data platform. In terms of partnership, our expansive ecosystem of partners continues to be our bedrock of growth in this market.

We have strategic partnerships with all the leading hyperscalers. ISVs and Systems OEMs that keep us at the forefront of key innovation happening in this space.

In a software business too, similar acceleration is offered around Gen AI. Every major product in the HCL Software portfolio has now been embedded and infused with Gen AI capabilities, from business applications to total experience to intelligent operations, cybersecurity and data analytics.

Our Investor Release has got more details of the deals that we won both on GenAI and other digital and traditional themes, which should give you a much broader view of the potential opportunities in front of us.

Last quarter, we received several accolades and happy to share that HCLTech has been included in Business World's "India's Most Respected Companies 2024 " List as #7.

HCLTech named the " Most Honored Company in India " in "Annual Asia Executive Team Survey " by the Institutional Investor Research.

HCLTech ranked number one in 21 categories in the Technology IT Services and Software Sector and had a total of 27 top three rankings across Asia, ex -Japan and rest of Asia, ex -Mainland China survey tracks.

And I am sure you know most of these details. I would like to thank you all for the continued support. These awards would not have come our way without you and your industry peers

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acknowledging our work and commitment to strong corporate governance and investor relations .

A sincere thank you to all our investors and analysts for their acknowledgments.

From an ESG perspective, we also won few recognitions this quarter. The British Safety Council has recognized five of our campuses in India with the prestigious "International Safety Award 2024 ". We also won the "Equinix APA C Social Governance Award " and "SAP Pinnacle Award " in the "Social Impact Category " for the HCLTech Aqua Solution that helps enterprises achieve their water conservation goals.

Looking ahead, with Q1 performance in line with our expectations, we will grow in Q2 in all verticals and geographies seeing a sequential growth except financial services. As you know, we shall have the planned impact of State Street divestiture on our revenues in Q2 and including that impact, we remain comfortable with our full year revenue and margin guidance as clients spend on GenAI and other emerging technologies. We expect to meet this guidance through strong operational execution that we have demonstrated over the last several years.

With that, I will hand it over to Prateek to provide more details on our financial performance .

Over to you Prateek.

Prateek Aggarwal: Thank you, CVK. Good morning and good evening to all of you. I hope you are keeping well.

The Q1 FY25 Overview :

Revenue stands at \$3.364 billion, which is a decline of 1.6% sequentially, but a growth of 5.6% year-on-year in constant currency terms. This quarter, it was led by the software segment, which was up 0.4% sequentially and 3.5% on y

ear-on-year terms in constant currency and ARR stands at \$1.01 billion.

Services came in at 3,041 million ~ 3 billion roughly, which was down 1.9% sequentially and up 5.8% year -on-year. Within that, ITBS came in at \$2.5 billion, down about 1.5 percentage points and up 5.3% year -on-year. ER&D came down 3.5% sequentially and up 8.4% year -on-year.

Our EBIT came in at \$575 million at 17.1%, which is down 50 basis points sequentially, but up 13 basis points year -on-year. Like CVK mentioned already, typically Q1 has that seasonality for us.

The Service margin is the one that drove the overall margins, down on a sequential basis, 51 basis points and up 43 basis points on a year -on-year basis.

Net income for the quarter is \$496 million which is at 14.7% in U.S. dollar terms, which is an increase of 3.4% sequentially and 15.3% year -on-year.

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Our other income as you would have noticed is higher due to the divestment of the State Street DPO JV in this quarter.

I would like to highlight one thing which is a little unique in this quarter compared to most other quarters or years, is the divergence between the net income in dollar terms versus rupee terms and that is driven by the accounting of the divestment of the State Street DPO JV .

What I am specifically referring to is the 15.2% net income in rupee terms in our IndAS financial statements, which is a divergence of about 43 basis points . This is basically because of an accounting difference between how the recording of the initial investment in the entities that were divested got currency translated over the 12 -13 years of the life of the JV and is typically referred to as Currency Translation Adjustment (CTA) . In the US dollar P&L, there is about \$9.8 million, which was a loss in the US dollar P&L, but the same thing in the IndAS P&L, is a gain of \$4.7 million . Therefore , there is that \$14 and a half million difference . If you just translate the Rupee P&L would be higher by \$14.5 million on that account.

Moving on to the normal EBIT margin walk :

There is not much to see there. It's pretty straightforward. 15 bps is the decrease at the Company level, which is obviously caused by the drop in the services margin which is at 51 basis points and that is basically the drop in margin is from the ER&D segment where the drop in revenue has percolated down to the margins if you look at it that way. And so that is really the reason for

the drop sequentially QoQ.

The impact of annual productivity that has resulted in the revenue decline has been offset by efficiencies in business and along the way we got some small exchange benefit of about 10 basis points as well.

We continue to improve our return on invested capital (ROIC) due to continued focus on profitability and managing capital efficiency. The last 12 months ROIC, you will see is now at 42.8% for services which is a handsome increase of 4.8% on a year -on-year basis, and the software continues to be at 16.1% like last quarter and therefore the Company as a whole in the last 12 months ROIC is at 34.6% which is also an increase of 3.5 percentage points on a year-on-year basis.

The guidance remains the same as what we had given you at the beginning of the year last quarter when we announced and revenue guidance continues to be 3% to 5% and like CVK mentioned, we are confident of seeing growth despite the 80-bps impact at a Company level from the State Street DPO revenues going away, and which is about 90 bps at a Services level, we do expect to see growth in Q2 over Q1 both for the total Company and for Services, we continue to have that guidance band of 3% to 5% and EBIT between 18% to 19%.

Our cash generation continues to be robust. Last 12 months, operating cash flow is at 2.7 billion, which is 9% increase year -on-year and free cash flow is at 2.6 billion, which is an increase of

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12% year -on-year. The respective conversion factor compared to net income are at 139% for OCF and 133% for free cash flow respectively .

Our balance sheet continues to strengthen. Gross cash at \$3.26 billion now and net cash just a shade below \$3 billion at \$2,985 million.

We succeeded to reduce our DSO by another day, including unbilled. It is now at 82 days versus 83 days last quarter. So, that's an improvement of one day sequentially and an improvement of six days on a year -on-year basis because it was at 88 in the same quarter last year.

For our shareholders, the diluted EPS for the last 12 months therefore comes in at 60.52 which is up 8.7% year -on-year, and the board has declared a dividend at Rs.12 per share for the quarter, interim dividend which is in line with what we had been doing in the Q2 and Q3 of last year as well. We're maintaining the same run rate. The record date is going to be 23rd July and the payment of the same shall be 1st of August for the shareholders. That brings our last 12-month payout to Rs.54 per share, which is a ratio of 89% to the net income.

And that's where I will pause and moderator back to you for the Q&A. Thank you.

Moderator: We will now begin the question -and-answer session . The first question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: CVK, I just had two questions. One, I think this quarter , we were expecting a decline because of the project moving from onsite to offshore, but adjusting for that, how is the BFSI segment looking like ? How is the growth overall in this segment in terms of the pickup in demand ; I mean we had a very strong BFSI performance last year, do you expect that momentum to continue or even get better ? And a similar comment if you could provide on Manufacturing . What led to this decline in the Manufacturing vertical in this quarter and how do we see it going forward ?

C. Vijayakumar: Yes. Thank you, Vibhor. Let me address the Financial Services question. Apart from the one item that we had called out last quarter, the progress played out exactly as we had expected . As you know, Q2 will have a little more impact because of the state street divestiture . After that, we expect FS to show some growth because a couple of big wins that we had in the quarter were in financial services, which would start contributing to incremental revenues in Q3 and Q4 . Still the large outlook in financial services seems to be cost efficiency kind of driven programs, but a lot of them are not just straightforward cost efficiency, but it is led by level of modernization and tech transformation. That's what we are seeing in financial services. We're not seeing the general discretionary spend really picking up. It remains somewhat similar to what we saw in the last quarter. In Manufacturing , we have talked about the two elements of the Q1 outlook, one was of course offshoring of a large program, the second one was a traditional year -on-year productivity that kicks in in April. This is a little more concentrated in the Manufacturing vertical. So, that was one reason. Second, we saw in fact a significant weakness in the Automotive segment, contrary to all the expectations, because we see a lot of stress with the

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automotive firms in Europe and that has contributed to the second element. The third, which is it's mostly a BAU thing - our asset revenue has declined some 10 -odd million and pretty much all of that seems to have happened in the Manufacturing vertical. Now, moving forward, as I mentioned, we see good growth in Manufacturing in the second quarter. So, we should continue

to see good traction in Manufacturing henceforth.

Vibhor Singhal: So, apart from this, these three things that you mentioned, the overall outlook in the Manufacturing remains as it was, let

's say last year?

C. Vijayakumar: That's right.

Vibhor Singhal: I just have one follow up question for Prateek. I think we would probably be taking the wage hike in due course of the year, either Q2 or Q3. If you can probably shed some light on that as well as to when we are planning it? Given that we are at 17.1% margin in this quarter and there is the impact of these hike yet to come, what are the operating levers that you're looking at to be able to manage the margins in that 18% to 19% band? I know Q3 will be a bump up because of the product business ; however , despite that it seems to be a bit of a tall ask what are you looking at in terms of the levers to achieve that number?

Prateek Aggarwal: Thanks for that question, Vibhor. I think I don't want to speculate too much about the wage hike timing and one -term, etc. Like Ram mentioned at the press conference , it is still a decision which is work -in progress . So, that is a work -in-progress which we will decide during the quarter. But at an overall level there is a certain quarter wise trajectory that we have had. If you look at the last couple of years, our Q1 is typically soft on the top line which kind of translates to the bottom - line EBIT as well. Then we have Q2 which is a pickup . Q3, like you rightly pointed out, is the peak. So, Q1 is the sort of trough, Q3 is the peak and the other two are somewhere in the middle . That's what we would expect to play out even in this year. I will leave it there because there is a long list of levers . We have talked about it enough times and all those levers continue to be available and at play . I will leave it there , Vibhor.

Vibhor Singhal: That was very helpful. So, in nutshell, we don't see any threat to over 18 % to 19% guidance and we are comfortably pleased to meet that number.

Prateek Aggarwal: Our guidance continues to be 18 % to 19%.

Moderator: Thank you. The next question is from the line of Sudheer Guntapalli from Kotak Mahindra.

Please go ahead.

Sudheer Guntupalli: Hi, C VK. Thanks for the opportunity. So, you mentioned that the performance during the quarter was better than initially anticipated . Was this driven by the faster velocity, shorter cycle deals which would have come through during the quarter or something else ?

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C. Vijayakumar: It's difficult. It's a little bit contribution from a lot of things. It's not that we have hugely over - performed from our expectations. It is slightly above our expectations and it's a lot of small things which has added up. I wouldn't really call out any trend or anything like that.

Sudheer Guntupalli: You seem to be confidently suggesting that all verticals and geographies will sequentially grow in Q2 with just one exception. So, are you suggesting that the demand situation has bottomed out and seeing a gradual improvement from here on?

C. Vijayakumar: The only exception is Financial Services as I have called out and from a demand situation perspective, our going in assumption for the year was that discretionary spend would be similar to the last year and we maintain the same thing. I don't think the environment has changed in any meaningful way during the first quarter to project any optimism. Of course, our forecast for Q2 is based on the deals that we won and the execution that is underway. That's why we feel confident of our more broad -based growth in Q2.

Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: CVK, just wanted to check about the Manufacturing vertical performance. Last year, despite the productivity improvements, we have shown good growth. Even the year before that, there was only a slight decline, just about 0.5% Q -o-Q in CC terms. This year seems to be a lot more pronounced. Could you give some more color on what happened

in the automotive sector? Is

there any decline in the ASAP acquisition 's revenue specifically ?

C. Vijayakumar: Yes, Ravi, I think you guessed it right. Our ASAP acquisition did not deliver to the way we expected in the first quarter. But we are very confident of the overall investment and the outlook in that segment. I do believe the EV segment is going to undergo some stress due to various factors, especially in Germany. Given the ASAP acquisition, we expect the Q2 to be a good growth quarter and if you are trying to compare it to last year and other years, usually there are lots of elements. Assets are one thing, cost of \$10 million, kind of an impact from Q4 to Q1. And that's not something which we can predict /define year -on-year. Then the productivity benefit s - it's pretty much similar and a repetitive thing every year. The growth can be influenced in one year because of a new deal ramp up , etc. So, it's very difficult to draw a one -to-one correlation.

Ravi Menon: Prateek , a question on the margin. Your IT Services' margin seems to be holding up well with the shift offshore probably leading it, but the R&D has seen a sharp decline. Can we recover the R&D margins fairly quickly or do you think this will take a few quarters?

Prateek Aggarwal: Well, I am pretty sure we will recover most of it quickly . As you can see, it's a mathematical

truth sitting out there . The costs have remained pretty much flat quarter -on-quarter, whereas there is a \$20 million decline on the revenue line which has percolated down to the margin. So, sometimes that can happen when it is not expected, and it happens during the quarter . You don't have enough time to take the corrective action. I am sure they will take corrective action during the current quarter and see some growth hopefully.

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Ravi Menon: Last question , if I may, on the fresher addition . How many trainees are you planning to hire this year?

Ram Sundararajan : There is a full year plan for this year . We have planned for is 10,000 . Q1 we added about 1,100. That's in line with what we have planned for Q1, but a fresher addition through the year is always going to be something that we will plan quarter -on-quarter. We do make our plans based on what we do on campus and what we do off campus . Off campus is going to help us get that flexibility to moderate quarter -on-quarter to meet the demand that we have. But the going position for the year is 10,000 that we are still going as per plan.

Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities . Please go ahead.

Sandeep Shah: CVK, the first question is any experience to share when the deals in ADM or IMS come for renewal and what are the clients asking for in terms of any benefits to be passed on from GenAI ?

C. Vijayakumar: Yes, my answer may not be very popular, but I will still give it. More than the expectation from the clients on GenAI , I think it's the competitive intensity which is kind of driving some irrational behavior. That's all I would want to just say. In GenAI , customers, especially for running production landscapes, are a lot more pragmatic in what can be done and what needs to be done with a lot more thought and in a very gradual manner. I think we are working very well. Our AI Force platform is addressing the end -to-end lifecycle of software development and application operations, and a lot of our DRYICE solution suite is also now integrated into the AI Force platform , where the earlier through machine learning runbooks were getting created, but now it's a lot easier through generative AI. So, that's all part of our AI Force platform. We are committed to implement AI Force platform across all our customers as and when we get the approvals. From then on, it's a journey and the

customers recognize that. I would leave it there.

Sandeep Shah: Prateek, just the question in terms of the announced acquisition in May of 2024, I do agree it will take another six to nine months to close and not forming part of the guidance. Are you worried it may dilute our margin substantially? And so, it may change our comfort range on the EBIT margin at 18 % to 19% whenever it gets consolidated.

Prateek Aggarwal: Our guidance is organic, both on the top line and on the bottom line. So, whenever the deal closes, like you said, six to nine months from the date we announced, that revenue is not in the 3-5% guided range, and neither is the margin. As far as accounting of any new acquisition goes, most of the EBIT DA that comes with the acquisition gets provided as amortization of intangibles . So, most acquisition s' P&Ls for the first one or two years are not really EBIT accretive or show any meaningful EBIT in the first couple of years. Hope this explains that.

Sandeep Shah: So, this purchase consideration would be largely allocated towards intangibles rather than tangible assets, right?

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Prateek Aggarwal: Intangibles include goodwill which doesn't amortize. So, in any acquisition, a substantial part, more than 50% definitely goes towards intangibles.

Sandeep Shah: Last question, CVK , what will it take for clients to relook the discretionary projects in terms of reducing the leaking buckets or to start the projects which are put on pause? Based on your interaction with the client, what are the events which they expect to become more constructive on discretionary projects?

C. Vijayakumar: I think even now there is some amount of discretionary spend happening, but for customers to become a little bit liberal and open -minded in doing new work, I think it's largely driven by the economic pressures, whether it is interest rates or inflation and things like that .

And it varies from segment to segment. So, I think it's just the macro factors . While some companies have delivered very good profitability , but there is still a conservatism that is there, which I think will loosen up a little bit with some signals and some real changes in the macro.

Moderator : Thank you. The next question is from the line of Dipesh from Emkay . Please go ahead.

Dipesh: Two questions. First about the vertical technology and services seem returned to good growth paths. So, if you can help us understand what is driving it because that vertical was relatively soft for last four -five quarters. Second is about the GenAI – what is our growth strategy and how are we different compared to some of the peers ? AI Force, you said , we intend to implement across client base. If you can share some statistics around where we are in that journey ?

C. Vijayakumar: I have been indicating that we were seeing some green shoots of growth coming from Tech and

Services, and it helped us grow in this quarter. At this point, there are certain programs both on the digital business side and some on the execution of the other programs that we had won, two - three quarters ago that are helping. We also see a lot of momentum with the hyperscalers in enabling their infrastructure creation and support. We are also seeing some green shoots in the Engineering Services as well, but it didn't contribute meaningfully to the last quarter. We hope it will contribute in the next quarter.

Now, coming to generative AI, if I kind of summarize all the different use cases, one is very, very efficiency led. The second one is really innovation led driven by the leverage of data. So, our HCLTech AI Force is a comprehensive platform, which addresses all the efficiency-led benefits, both on IT processes and business processes. So, this is one platform, if a customer can implement it within their e

nterprise, then all the functions within the organization can leverage

it to drive their efficiency programs using one consolidated platform which is secure, which has got ways to look at implementation of responsible AI and traceability of the decisions.

So, I think this platform is very comprehensive. While we started with Azure OpenAI, now it's expanded into several other LLMs. I think it's going to be quite pervasive across. I don't believe the industry has a similar platform. We definitely have an edge in this.

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The second aspect within an enterprise will be how the internal organizational data, which is across different functions without going out (external to the organization), being leveraged to drive generative AI programs and innovation. That is where HCLTech's Enterprise AI Foundry, really helps any enterprise's AI journey, which is not just the efficiencies addressed by HCLTech AI Force and all the innovation around data is addressed by Enterprise AI Foundry.

Now these two are leading edge, which even our hyperscaler partners recognize as a very strong offering from our side. And we have also aligned our HCLTech Enterprise AI Foundry with all the tech OEMs like Dell, HPE and others. They also see a lot of value in this solution, especially where we need to implement a private AI stack. Right now the implementations in maybe a dozen customers of AI Force are still early stages. I think it's all about getting the basic solution in place and then continue to drive adoption. And adoption is going to be a multi-year journey. I hope that was helpful.

Dipesh: It is helpful. And just on follow up, in terms of let's say now customers we have for AI Force, whether there would be any immediate revenue benefit? Also, for time being, focus would be about adoption and revenue maybe over a period we try to monetize?

C. Vijayakumar: Yes, I think there are two different opportunities. The AI Force is going to be implemented and it's going to be more driving efficiency within the enterprise. At some point there is a value for the IP that we provide on an ongoing basis to the clients. Whereas in enterprise Data Foundry, any solution that we are implementing will give us benefits like how the small project's discretionary spend does. This is going to be one more category where we will see customers spending and right now we do quite a bit of projects in this space. Double-digit TCV for two deals is what we have, but it's still early days. I would not extrapolate anything, but some meaningful wins are happening in this space. I believe that we have an edge over a lot of other service providers in this space.

Moderator: Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: I had a clarification on State Street. So, I think in the press conference, you mentioned that there was an impact on BFSI this quarter from State Street. And next quarter we should have a 0.8% impact on revenue. So, did I hear that right? Because when I see the headcount fall of 8,000 and State Street is out, the acute headcount cost remains the same on a sequential basis. So, it feels like people have left towards the end of the quarter. So, the question is one, is there any impact on revenue in the current quarter due to State Street and should we assume that 80 bps for the whole of next quarter?

C. Vijayakumar: Yes, just to clarify what we mentioned in the press conference and then Prateek can respond to the rest of the questions. We talked about the decline in Financial Services was due to offshoring of a large client. That was the main contributing factor which was as planned and as we had indicated in the beginning of the quarter. The finer details on the State Street cost and revenue, Prateek will address.

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Prateek Aggarwal: Yes, so I think we covered this, Nitin, in the press conference that you referred to. There is an 80-bps at a company level and at a services level, the same translates to a 90-bps impact in Q2. That is exactly what we had told you at the beginning of the last quarter announcement.

Nitin Padmanabhan: The second thing to clarify was, in this quarter, I think we mentioned \$70 million is the gain on other income due to State Street, but I think the consideration was \$170 million. So, the rest comes in the next quarter. So, that was one on the State Street side. And I had another one, which is, CVK, you alluded to some weakness in Germany on the EV side. Could you help contextualize that a little better as to what exactly you are seeing? And finally, I think yesterday there was this ISG call and even on the TCS call, there was this talk about the impact of GenAI on ADM and Infra. So, when ISG put that number at around 30 % of cost savings, TCS put it at 5% to 20 %. Just wanted your thoughts on this because you have usually been very candid about these things. So, just wanted your thoughts on how, what are your observations on this space?

C. Vijayakumar: So, maybe I will address the two questions on the weakness in Europe and the GenAI impact on ADM savings, and Prateek will address the State Street related questions. Weakness in Europe was led by Manufacturing. I did talk about the three items in Manufacturing - productivity, assets and softness in the automotive segment. Automotive segments, especially large automotive firms who have significant software development capability, I think due to their own current stress have ramped down on a couple of projects which had a sharp impact in our ASAP revenue. We believe we have amazing talent and the leadership in ASAP. We need to broaden the ASAP capabilities to our global clients and that's what we are working on. I do believe this will get offset soon.

Nitin Padmanabhan: So, are you seeing this as cuts on EV related programs overall, or it is just specific?

C. Vijayakumar: Well, there is definitely one specific thing, but overall, the EV market is softening. Some of the investments are getting a little bit not prioritized as it used to be. But of course, the long-term trend, I do strongly believe in it. It could be the economic pressures on some of the industrial customers is what is causing this.

On GenAI, I have been fairly clear on the four areas and the kind of impact it will have. The first is DPO and testing. I believe the benefits would be to the extent of 50% and we ourselves have delivered programs or delivering programs which is promising 50% savings from their current outsourced spend on DPO and testing. We have examples for both.

The second aspect is in ADM. I think ADM and all the operations need to be looked at differently. In ADM, we expect productivity improvement anywhere from 10% to 30% by adoption of a GitHub Copilot. The GitHub Copilot adoption journey is also a very gradual journey. Usually, customers look at a cohort of maybe 100 to 200 developers. They look at all the metrics and really make sure the productivity that is being measured which is accrued due to the GitHub Copilots, is calibrated and proper benchmarks made. Then that itself is significant to change management to achieve and then they scale from there to a much larger 1,000 to 2,000 developer kind of capacity. So, this is a journey, and we believe 10 % to 30% is the productivity HCL Technologies Limited

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saving that would come through. Even one of the most advanced companies in this, have their own internal goal to achieve 10% productivity on the software development.

The third element is the infrastructure application operations. This is where you are normally working on live systems which is running

mission-critical applications and infrastructure

landscape. So, the GenAI's incremental value from the existing automation, machine learning, and AI-led automation that has already existed in a very mature implementation where we have used machine learning and traditional AI technologies, the incremental benefit you would see would be in the range of 10%. That's what we expect. Of course, in areas like Service Desk etc, which is also in infrastructure support, maybe the opportunity is a little higher.

And the fourth element is all the business innovation and the data-led AI journeys, which will really be a good growth driver because here every application needs to be modernized with a GenAI approach. And that's for the existing applications. Then even to leverage GenAI in an effective manner, a lot of customers need to continue their modernization journey and the streamlining of data. So, I think there are a lot of prerequisites that are becoming more and more important as we complete these POCs for a number of customers.

Moderator: Thank you. The next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: The first question is for CVK. Just trying to understand all the projects that we are delivering on GenAI, how to understand if it's all an incremental demand that is coming to us or it does it reflect that some projects are being prioritized on GenAI but something else is being deprioritized? Trying to understand if it is an incremental net positive for the industry and for us.

C. Vijayakumar: Eventually it will be an incremental positive, especially the fourth category that I have talked about. I would think it's incrementally positive. These spends, like I am aware of one bank, which is looking at half a billion dollars outlay for GenAI programs. So, this is something which is coming top down. They believe it can be a very disruptive capability that they can leverage. So, while that is just one example, but it just shows the kind of thinking that customers are going

through . Of course, from thinking , to execut ing and to giving us the program, there is a time gap. So, I personally think it will create a new spend trajectory.

Gaurav Rateria: Related question, CVK, on the prerequisite that you mentioned that once you complete the POCs, you will have a lot of the work coming around modernization, which would be prerequisite for companies to implement the GenAI. Does it mean that the second stage could mean a much larger project than that you have right now on POC stage and much longer engagements?

C. Vijayakumar: I see it more like the cloud journey where it kept growing incrementally. That's how I see this come up.

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Moderator: We would need to end our question -and-answer session at this point. Thank you. Ladies and gentlemen, I would like to hand the conference over to Mr. C. Vijayakumar – CEO and MD for closing comments. Over to you, sir.

C. Vijayakumar: Yes. Apologize that we have run out of time. I am sure you have a lot of questions. Nitin will be very happy to respond to your questions as appropriate offline or in any other conversation. And thank you for joining us today and for all the interesting questions. We want to bring to your attention that on the 28th of August, we have an Investor Day planned in Mumbai , and you will get invites, and we really look forward to seeing all of you during the investor day. And thank you for joining us and thank you for your ongoing support and have a pleasant evening.

Prateek Aggarwal: Thank you.

Moderator: Thank you. On behalf of HCL Tech nologies Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Oct 2024

Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India October 18, 2024
The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051
NSE Scrip Code: HCLTECH
Sub: Transcript of the Earnings Conference Call held on October 14 , 202 4
Dear Sir/ Madam,
This is to inform you that in terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Conference Call held on October 14 , 202 4, post the announcement of the financial results of the Company for the quarter ended September 30, 2024, has been uploaded on our Company's website <https://www.hcltech.com/investor-relations/call-transcripts>
A copy of the transcript is also enclosed.
This is for your information and records.
Thanking you,
For HCL Technologies Limited
Manish Anand
Company Secretary
Encl.: a /a
HCL Technologies Limited
October 14 , 2024

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"HCL Technologies Limited Q2 FY'25 Earnings
Conference Call "

October 14 , 2024

Management:
Mr. C. Vijayakumar – Chief Executive Officer and Managing Director
Mr. Shiv Walia – Chief Financial Officer
Mr. Ramachandran Sundararajan – Chief People Officer
Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the HCLTech 's Q2 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing “*” and then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta – Head (Investor Relations). Thank you and over to you, sir.

Nitin Mohta: Thank you, D orwin. Good Morning and Good Evening, Everyone. A Very Warm Welcome to HCLTech's Q2 FY'25 Earnings Call .

We have with us Mr. C . Vijay akumar – CEO and Managing Director , HC LTech , Mr. S hiv Walia – Chief Financial Officer, along with the broader Leadership Team to discuss the performance of the Company during the quarter followed by Q &A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking stat ements. All forward -looking statements made herein are based on information presently available to the Management and the Company does not undertake to update any forward - looking statement that may be made in the course of this call . In this regard , please do review the Safe Harbor statements in the formal Investor Release document and all the factors that can cause the difference .

Over to you CVK.

C. Vijayakumar: Thank you, N itin. Good evening, good afternoon and good morning , everyone and thank you for joining us for our Q2 Earnings Call . I hope all of you are doing well.

Many of you would have met Shiv Walia – our new CFO during the Investor Day session we had in Mumbai . For the rest of you , it is pleasure introducing Shiv again , a three - decade veteran with HCLTech and he 's been integral to our success over the last many years. Let me welcome him once again.

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At a high level, Q2 has been a strong quarter. As we had indicated in the last quarter, we have grown across the board as we see business momentum starting to pick up.

Our revenue grew 1.6% sequentially and increased 6.2% on a year -on-year basis in constant currency. Our operating margin stood at 18.6%, an increase of 149 basis points compared to the last quarter. This is as a result of our strong operational execution.

Our Services business grew at 1.6% sequentially and 5.9% year -on-year in constant currency. This is despite the headwind we had due to the divestment of the State Street joint venture BPO business.

Our IT and Business Services grew 1.8% sequentially and grew 6.2% year -on-year , Engineering and R&D Services grew 1.1% sequentially and 4.3% year -on-year , and HCL Software business grew 9.4% this quarter and 6.4% growth in H1 FY '25 in constant currency year -on-year basis, demonstrating the increasing relevance of our products for the digital economy. HCL Software business continues to progress in the right direction with ARR at \$1.05 billion . More on HCL Software which we will discuss in a few minutes. All three geographies grew this quarter with the rest of the world having a strong growth of 7.2% on a constant currency basis sequentially, largely driven by Financial Services and some upt ick in Manufacturing . On a year -on-year basis, Americas grew 7.5% , Europe grew 4.2% , whereas ROW declined by 2.6% in constant currency.

All o ur verticals grew on a quarterly basis except Financial Services . Financial Services had an impact of the planned divestment in the quarter . Without dives tment impact , FS grew handsomely on a quarter -on-quarter basis. Our top performin

g verticals on a

sequential basis were Retail & CPG, Life Sciences & Healthcare , Technology & Services and Energy , Utility & Public Services in that order. On a year -on-year basis, Telecom & Media , Manufacturing , Retail & CPG and Technology & Services fared well .

In terms of clients , we continue to grow our clients to a larger size , a key focus area for our growth through cross -selling of our services. During this quarter, we made good additions to our client portfolio . On a quarter -on-quarter basis, we added four clients in the \$50 million category , also added four clients in the \$20 million category. And if you look at it YoY, we had strong additions across various categories. I am pleased with this for now while we have higher goals for the future . Our proposed plan to invest further into sales would lead to even better outcomes.

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From a booking perspective , we won 20 deals, 12 deals from Services and 8 deals from HCL Software in this quarter , and the total new booking TCV for Q2 stands at \$2.2 billion with a good mix of small and large deals. We have called out all the large deal wins in our Investor Release and have also called out a number of opportunities that we have won in the space of GenAI in our Investor Release .

A couple of wins that gives you an idea about the variety of work that our clients collaborate with HCLTech to extract value . A US-based Financial Services and Insurance firm selected HCLTech to modernize their data estate and insights for risk reporting including fraud analytics , anti-money laundering for credit card and other Retail functions. A Europe-based global semiconductor and computing technology major selected HCLTech for system on chip engineering to augment the clients chip development program . HCLTech will provide all phases of chip design, verification, quality , checks, power and performance metric analysis, and physical design. We also had strong wins in GenAI related programs. Most of the deals are now getting embedded with AI capabilities. Our GenAI platform AI Force is now getting widely adopted for service transformation. A Fortune 200 global technology solutions company has chosen our AI Force -led solution as a part of the overall ITO program. Here, the AI Force served as a critical differentiator, displacing a long -term incumbent . Another one in Xerox , who expanded its strategic partnership with HCLTech spanning AI -driven engineering services and digital process operations . HCLTech will leverage automation, product and sustenance engineering and process operations services along with its advanced full stack GenAI platform AI Force. For a leading transportation client based out of North America , we are using AI Force to reduce timelines and overall manual effort during the application modernization program .

A Europe -based global semiconductor Company selected HCLTech to create ultra efficient models for low cost IoT microcontrollers by leveraging HCLTech 's Zero Code and fully automated AI offer ing. HCLTech will deploy its enterprise AI Foundry to build and operationalize models that enhance aftermarket sales operations for a US -based automotive company . Overall, we continue to witness good traction in AI , Gen AI related opportunities led by our offerings - HCL Tech AI Force, HCLTech Enterprise A I Foundry and AI Labs .

AI Force is now integrated with Microsoft GitHub Copilot and will be enabled as a Microsoft GitHub Copilot Extension . This provides unparalleled extensibility and wide HCL Tech nologies Limited

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coverage of use cases. We are among the first Indian SI s to have this partnership. We have entered into a strategic collaboration with AWS and Google Cloud to accelerate GenAI adoption and HCLTech AI Force is integrated with Anthropic Claude 3 in Amazo

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Bedrock .

We continue to build and strengthen our partnerships to cater to our clients better. We launched a suite of Salesforce -based solution to empower enterprises with essential GenAI capabilities across various verticals. HCLTech 's IMRO/4 on SAP S /4 Hana Cloud adds advanced capabilities in commercial management . Our maintenance, repair and overhaul MRO solution IMRO /4 on the latest version of SAP S /4 HANA has added advanced functionalities in commercial management, bringing greater efficiency to clients' customer service teams.

Now , I want to update you on the overall progress we are making with our Software business , a long -term bid to diversify our portfolio :

In HCL Software , we continue to execute on a three -year strategic road map. The current quarter results demonstrate we are executing to plan and are starting to see results. The 2nd Quarter is a relatively soft quarter for HCL Software , but the growth has been very strong. Our focus is on targeted growth around specific opportunities emerging from renewals, customer success motions and sustained value delivery . We have categorized the business into the right set of offerings that gives strategic impetus and clarity to all stakeholders, clients, employees and partners.

As you would have seen from the Investor Release , quite a few good wins during the quarter and clients are continuing to appreciate our value proposition. We are working to strengthen our business partners, managed service providers, global system

integrators and consulting partners, ISVs, hyperscale relationships, which we expect to drive momentum in the coming years. We continue to develop organically and also acquire niche capabilities in this space.

Let me take a minute to talk a bit about Zeenea, our recent acquisition. Based in Paris, it will enable HCL Software to accelerate GenAI in data engineering road map for its clients. This is aligned with the long-term strategy to drive growth into our Software business through bolt-on acquisitions that would have a multiplier effect.

We are the largest Enterprise Software product business headquartered out of Asia, and we continue to build upon our heritage of product and engineering excellence. We

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continue to believe that our purpose and core values paired with our passion and pride around frugal engineering, choice-based consumption of products across innovative licensing, paired with customer success focus and bringing empathy, which is generally missing in the software product industry. I strongly believe this business will continue to add significant value to HCLTech.

As I look ahead, our pipeline continues to grow and remains strong and is well distributed across business segments, verticals and geographies. As I look at our pipeline, I see a lot of opportunities across practices apart from data and AI. SAP is emerging to be a strong area of growth. Thanks to S4 Hana migration. We are well positioned here, as you would remember our recent announcement on deepening the partnership with SAP, facing good demand in other commercial applications and even for custom applications. The pipeline for engineering services continues to grow at a very healthy pace. We are starting to see the benefits of an integrated sales organization.

Gen AI is currently small but is a big opportunity and is growing at a good pace. Clients have started benefiting, seeing value from AI and GenAI projects, making it a significant driver for technology change and technology debt reduction. Overall, it reiterates the fact that clients continue to value technology and its impact on their businesses. We, however, remain cognizant of geopolitical factors and global economic conditions which can impact growth.

As India's #1 Company in Time Magazine's World's Best Companies 2024, we are optimistic of gaining share in the

technology spend of our clients and contribute significantly to the goals of our employees, clients and shareholders.

I will now hand over the floor to Shiv to share insights on our financial metrics and some view into the future. Over to you, Shiv.

Shiv Walia: Thank you, CVK. Good morning, good afternoon and good evening to all of you. Thank you for joining our FY'25 Q2 Earnings Call.

Let me walk you through our financial performance for the Quarter. Starting with the revenue performance:

The total revenue for the quarter is \$3,445 million, a 1.6% increase quarter-on-quarter and a growth of 6.2% year-on-year in constant currency terms. This robust growth was achieved despite State Street divestment in the previous quarter.

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Coming to the Services side:

The revenue came in at \$3,114 million, which is an increase of 1.6% quarter-on-quarter and a growth of 5.9% year-on-year in constant currency terms.

Software revenue for the quarter is at 342 million, a 1.4% increase quarter-on-quarter and a 9.4% growth year-on-year in constant currency terms. I am very happy to share that this represents our highest ever year-on-year growth reported till date.

Moving on to profitability matrices:

Our EBIT is at \$640 million at 18.6% of revenue which is an improvement of 149 basis points quarter-on-quarter and 8 basis points on a year-on-year basis. Net income for the quarter is 506 million at 14.7% of revenue.

Just to give you some color on how our margins have moved quarter-on-quarter:

The software business contributed 54 bps improvement at a Company level. Services margin increased by 110 basis points quarter-on-quarter driven by operating leverage and reduced marketing events and travel. There is a seasonality in the marketing-related spend and our 1st quarter spend is relatively more than in this quarter. There is a positive

22 bps impact due to exchange movement.

I would also like to spend a minute on our Return on Invested Capital, which is ROIC : Our ROIC continues to improve , thanks to our ongoing focus on profitability and efficient capital management. The last 12 -months ROIC is at 35.7% for the Company , up 350 basis points year -on-year and services ROIC is now at 43.5% , up 400 basis points year -on-year. And thanks to a good performance, Software ROIC is at 17.8% , up 190 basis points year -on-year.

Cash generation is the another highlight I would like to focus your attention on . The cash generation remains strong ; our last 12 months operating cash flow is at 2.52 billion, while free cash flow amounted to 2.39 billion. Operating cash flow to net income conversion is 126% and free cash flow to net income is at 119 %.

Our balance sheet continues to strengthen with gross cash at 3.44 billion and net cash at 3.17 billion. This cash generation has improved on the back of our improved DSO. Total
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DSO including unbilled is currently at 79 days , a three -day improvement quarter -on-quarter basis and a four -day improvement on a year -on-year basis. This is among the best DSO performance in recent years.

For the shareholders , the diluted earnings per share for the last 12 months come at INR 62.02, which is an improvement of 8.9% year -on-year.

The board has declared an interim dividend of INR 12 per share for the quarter. The record date is 22nd of October '24 and the payment date of the same shall be 30th October 2024. That brings our last 12 months payout at INR 54 per share, effectively distributing 86.9% of our income .

Now, on guidance :

As mentioned in our Investor Release , our revised guidance for the FY'25 is as follows : Overall, we have revised the lower end of our revenue guidance from 3% to 3.5%. So, the growth is now expected to be between 3.5% to 5% year -on-year in constant currency. Services revenue is also

expected to be between 3.5 % to 5% year -on-year in constant currency terms. EBIT margin guidance is unchanged at 18 % to 19%.

That's it from my side. And now I will hand it over to the operator for the Q&A session.

Thank you very much . Over to you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Abhishek Pat hak from Motilal Oswal. Please go ahead.

Abhishek Pathak: I have got a couple of questions , CVK . So, firstly, I mean the ask rate for the second half in terms of growth now seems fairly benign. So, does the top end of the guidance still assume aggressive furloughs or is it a slight conservatism baked into the numbers or are you assuming , if there is a recovery in discretionary spends , is there upside risk i n number , that 's one ? And the second question is on ER&D . I think it 's great to ER&D to return to growth again. Could you throw some light on which areas have recovered and where we still see some pressure going forward? And also, how do the recently announced job cuts at a major airline affect the outlook here for industry and for us, if at all?

C. Vijayakumar: Abhishek, the ask rate for Q3 and Q4 is between 0 % and 2% . So, it's a fairly good kind of a growth as k-rate at a higher end. While we see the optimism that 's coming out of the improving demand environment across multiple verticals, we are also a little bit more

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cognizant of the broader macroeconomic environment and the geopolitical context and some of the things that you 've talked about in aerospace and things like that. So , we are a little bit cognizant and if you see the CY'22 in November, December when the optimism was there, it suddenly turned . So, to that extent, we are cautious. We are feeling good about the coming quarter, and we will update you if there 's any change in our outlook when we talk to you at the end of Q3. And I would not want to comment on any client -specific situations . Obviously . there is an impact in a few clients due to various client -specific issues, but we have dealt with it this quarter and all of that is baked into our 3 .5% to 5% guidance.

Moderator: The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: You talked about some of the deal wins. It looks like a lot of AI -led productivity baked into some of these. Could you talk a bit about how this is helping to increase the win rate

overall? And secondly, it 's just something that.

Moderator : Sir, sorry to interrupt, but the line for you sounds a little muffled. If you could please use the handset mode to change the mode.

Ravi Menon: Looking at the deal wins that you announced and seems to be having some AI productivity baked into some of these, especially a BP O deal . So, I want to check how much are you baking into these , have you seen this improve your win rates across the board?

C. Vijayakumar: Only one DPO deal which is significantly pre -announced where we are very well into implementing a lot of automation led by the previous version of AI Force , so which really helped us pass back the productivity . In fact, almost two-thirds of what we needed to achieve is already in place . So, there is one-third which we need to work towards. Of course there is an expectation on GenAI -led productivity, but it is also not a switch that you can turn on and generate productivity will be achieved . If customers commitment to implement the AI Force platform and really become a sponsor for the platform within the enterprise helping us navigate different stakeholders, which will really be the start of the process of getting the benefits from A I Force. From then on, it is a journey . And I think our models with clients are fairly transparent and they're quite realistic and customers are also unwilling to even buy an unrea

listic value proposition with the hope that something magic will happen. So , I think it 's a very pragmatic approach we feel comfortable with what we are doing.

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Ravi Menon: A follow up there . Could you thr ow of those magnitude, I mean , the 10s of millions the BPO deal?

C. Vijayakumar: It's a renewal and it 's got a maybe some component which may be roughly 20% of the new scope.

Ravi Menon: This moment um that we have seen for Software Products, you sounded quite confident about this. So, should we think about high single digits being more or less consistent year -on-year growth for the product s business , because I think earlier you had talked about how you want to take that to low -single digits this year I think if I recall right and then probably towards mid or high -single digits next year or the year after, we seem to be moving faster than that ?

C. Vijayakumar: So, I think Ravi , see, till last year it was a low -single digit , this year also we were looking at a similar growth , in the medium term , we wanted to go to a mid-single digit growth . Obviously , we have had two very good quarters and a lot of initiatives that we have put in place are playing out, but this is a very volatile business , that is the reality. If you had asked me two weeks before, did I feel so confident about the outcomes, maybe it would have happened by 30th September, or it might have even gone to October. So, there is volatility. So, I would not extr apolate this, but there are enough fundamental reasons behind the growth that has happened , more broad based and a lot of it is also driven by the work that is happening in data and AI which is driving the Actian business quite smartly. So, I would wait for some more time before you extrapolate a more positive long - term picture. Right now, I stay with from the current low single digit to mid-single digit growth. That's what we are comfortable with.

Ravi Menon : I'll ask this one on the ER&D side. Are you expecting any pressure on the aerospace and automotive segments that we saw last quarter recur again in the near future?

C. Vijayakumar: Not in aerospace. Automotive, of course, there is pressure in automotive, especially in Europe. And that is definitely reflected in our numbers this quarter as well. Some of it would be reflecting in the next quarter as well.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my questions and congrats on a very solid quarter. CVK, just two questions from my side. If I look at the growth that we have delivered this quarter, I think

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it has been kind of a very broad -based growth , excluding the BFSI segment and there also if I exclude the State Street divestment , I think the growth has been pretty solid in terms of QoQ terms on all the fronts. So, do you expect this growth momentum to continue because if there is no other, I mean, a large deal, something that could have

started in any of the verticals. So, is it just the ramping of the deals that we had, basically won over the past 12 months that has led to this kind of growth? And any headwinds that you see in any of the verticals in the upcoming quarters from the growth point that we are standing at?

C. Vijayakumar: So, I think the growth is broad-based and which was also our expectation, except in Financial Services. When we went into this quarter, we were confident of growth in all the verticals, and Financial Services had this divestment impact. But Financial Services grew from strength to strength as the quarter passed. So, overall, it just helped us do much better. Now, extrapolating this, okay, first of all, this growth is due to two factors. One is there is some ramp up of the deals that we signed in

the last 2-3 quarters. So,

actually it is somewhat equally split between the efficiency-led deals which we signed, which ramped up in this quarter. And the other half is really a lot of data, SAP, some initial large application modernization opportunities where we had to ramp up. So, it was good, balanced, discretionary and non-discretionary growth. So, that gives us some confidence as we get into this quarter. And I do not want to call out any vertical specifically in Q3. See, last quarter we specifically called out that Q2 is going to be all broad-based growth because we were coming off a declining quarter in Q1 and there was some anxiety that the State Street divestment may make Q2 also very modest. So, that's why we gave you some clearer picture. From this quarter onwards, I would be more comfortable sticking to the annual growth numbers, not really provide a view on the Q3 or Q4.

Vibhor Singhal: Got it. Fair enough, CVK. My second question was on the manufacturing vertical. I think we had some of the auto companies, some of the profit warning, some of the leading companies, and there are other things also which are kind of some basic concerns about strength in that. What is our view on that? What are we seeing in terms of our communication with the clients? Manufacturing has been the mainstay for us from point of view. And from the industry, I think also it's known for some time. Is that segment seeing some headwinds going forward? Are the clients trying to pull back some strength? Anything, any color on that will be helpful?

C. Vijayakumar: Specifically automotive, definitely there is stress. And that's a couple of large clients are going through significant cost reduction. So, some of the programs are getting canceled.

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In fact, that happened in Q2 as well. But there is also a ramp up of SAP business quite strongly in manufacturing. So, to some extent, it is offsetting this momentum, this whatever headwind that we have in automotive. Other than that, I don't, and of course, there will be some impact due to some of the aerospace clients as well. So, I think these two are very specific. Beyond that, I think we are largely comfortable across the portfolio.

Vibhor Singhal: Just one last question if I may just squeeze in. In terms of our overall guidance, we continue to maintain that our second half should be better than the first half.

C. Vijayakumar: See, now it's not really a relevant question because now it's 0% to 2%, I mean, that is the range between the two quarters.

Moderator: Thank you. We have the next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: First question is for CVK, just want to understand your commentary you made around press conference on discretionary spending, outlook looking slightly better. Is it reflected in the form of the timeline to close the deals coming down or is it more like the conversion of the deals to revenue has improved because of higher mix of the short cycle deals, just trying to understand the behavior of client changing versus last quarter.

C. Vijayakumar: The last 3-4 days, we have done some very deep analysis of the timelines to close. And that is not materially changed. It remains whatever it has been for the deals. But obviously, there is a lot of existing clients, there is nothing to really close deals. It is really additional demand which is coming based on the rate cuts and based on the contracts that we have. I think that definitely is showing some optimism there, and that's reflected as well in our numbers.

Gaurav Rateria: The second question is for Shiv. Just want to understand the quantification of impact on margins from wage hike that you have taken in the current quarter. Thank you.

Shiv Walia: The impact for the next quarter is going to be somewhere between 65 to 80 bps in Q3,

and an incremental further impact of another 50 to 60 basis point in Q4. That's the impact of wage hikes we will have for the rest of the year. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please

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Abhishek Kumar: My first question is specifically on the Services guidance. If my calculations are correct, at the lower end it seems there'll be a marginal decline in terms of CQGR for our services guidance. So, I just wanted to understand what are we building in for lower end as well as an upper end? Anything specific that we should keep in mind?

C. Vijayakumar: Abhishek, it should be like if it is minus 0.1 or something, it's really not material. So, 0% to 2% should be rough math.

Abhishek Kumar: Okay, maybe if I can just follow up on that. We had mentioned a couple of quarters back that Verizon deal might we have to offshore. We are going to complete one year somewhere during Q3 or Q4. Is that something which is kind of keeping the lower end at a kind of flattish for the next two quarters?

C. Vijayakumar: Yes, there would be some impact, but that's not really, I mean, I don't know what to answer. We cannot give you a client -specific how much ramp down may happen. It's baked into our guidance and it's not every deal is not the same, Abhishek. Like last year, we had a significant onshore to offshore. It was a completely in -source program getting outsourced. Here it is different construct. There was a significant amount of outsourced work that we have taken over, which transitioned to the target operating model in the first instance itself. So, there are many things at play. I don't want to call out, but that is definitely factored into our numbers at this point. And 0% to 2%, I think, is the realistic kind of number moving forward.

Abhishek Kumar: Fair enough. Maybe one last quick question. There was a net decline in headcount despite strong growth and good commentary. I just wanted to reconcile what you were explaining about headcount growth. Thank you.

C. Vijayakumar: I think we had added about 12,000 freshers in FY24 when the campus hiring across the sector was very muted. So, I would want to look at the headcount addition in conjunction with what we had shared with you in August in our investor call where we also talked about Project Ascend. We are driving Gen AI led delivery transformation to get coding productivity, delivering managed services automation, and also customized learning programs to upskill people and all of that. So, while the headcount itself has declined a little bit, if you see the wage bill, that has definitely gone up. So, there is some pyramid shifting that's happening, and I see that to be a continuing trend. The pyramid will shift to more specialized skills. So, I think you have to slightly change the framework with which you are thinking on people addition here on. It should be higher in skills and wage
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bill would increase probably in line with growth or comparable to growth . That should be the metric other than just people count.

Moderator: Thank you. We have the next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just one question around the products business side. So, just wanted to understand the underlying dynamics there. It seems like it is actually being doing relatively better than what we would have potentially planned a couple of years ago or in general, how the environment is. So, if you can elaborate a little bit more on how much of this is sustainable and what is driving the low to mid-single digit growth in the products business and this quarter of course that growth is much higher. So, how do we think about that both from a slightly medium -term growth pe

rspective and a consequent impact on margins?

C. Vijayakumar: I think our medium -term commentary remains mid-single digit growth aspiration. And this is a business where growth will definitely improve margins. So, right now we cannot kind of provide any further kind of view on this. We have done well in the first half, and we are doing well not because of certain one -dimensional growth. It's quite broad -based. As Kalyan Kumar also spoke in the press conference, there are multiple levers, and each one will play out and it just gives us a good balance of different components adding to the overall growth. So, a little bit robustness is coming into the portfolio. And it's also a lot to do with some of the innovation or product features that we have launched like HCL Unica, we have integrated with the customer data platform. And that's definitely been a big hit for all the Unica customers to increase their adoption. So, with every product, we have a good offering led value proposition, which is compelling for the

customers to renew and also pay as increased fees while renewing. So, some of this is very good developments and we will watch for it for a few more quarters before giving you any better outlook.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I had a related question to what was asked earlier, and I am just trying to reconcile the absolute decline in SG&A and the SG&A reduction in SG&A itself as percentage of revenue as well as the modest hiring with regards to the qualitative commentary that you've spoken about in terms of seeing improvement. So, how should we be thinking about SG&A going forward? And also, with regards to wage hikes, Shiv mentioned that

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the wage hikes will be similar to last year. The average hikes that were given last year appear to be probably between 3% to 4% as per the published annual report for the year.

So, should we be thinking about that kind of impact for this year as well?

C. Vijayakumar: Yes, so I would request Shiv to respond to the SG&A question. And maybe Ram can respond to the modest hiring and the wage hike. Shiv, over to you.

Shiv Walia: Yes, thank you, CVK. So, there is some seasonality between AMJ and JAS that explains the QoQ trend. Last year also we had similar trends where the cost went down from AMJ to JAS. So, if you look at on a year-on-year basis, the SG&A spend is quite similar to what we had last year. So, I don't think there is a steep decline, it's just a seasonality which is playing out. Over to you, Ram.

Ramachandran S.: Yes, so I think the wage hike that you are referring to from last year is on the global numbers. Firstly, we need to look at wage hikes at the country level. And predominantly, India is where we'll have majority of our employees. So, we need to look at India differently from other countries where traditionally the wage hike in percentage terms will be lower. So, if I focus on the India employee base, the increase for people going through the current cycle and getting increases will be to the tune of about 7%. Again, within that, top performers will continue to get double-digit increases, which typically we expect to be in the range of 12% to 15%. So, that's the way we look at it. Outside of India, it's governed by what's happening in each of the countries, some European countries where there are statutory obligations, where there are collective bargaining agreements and so forth. So, we need to look at each country differently. Global numbers will give us a certain picture. But if you look at India, you will see a slightly different picture which will be in the range of about 7% average.

C. Vijayakumar: And also, just to additional dimension is the demand scenario will also drive some percentage increase in certain

in areas. So, data and AI, SAP are some examples where it could be very different.

Manik Taneja: So, should we be essentially seeing an improvement in terms of hiring on a go-forward basis as you were speaking about a better demand backdrop?

C. Vijayakumar: Yes, I mean, there is of course some productivity release which has happened significantly. It actually started in May, June and July, August, September, some of that converted to deployment. We still have some headroom there, but we are also hiring, hiring very specific skills. Significant hiring is underway for that.

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Moderator: Thank you. The next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: CVK, just wanted to understand what are the assumptions for the upper end of the guidance to be achieved at 2% for services business?

C. Vijayakumar: So, I think we have assumed similar furloughs like last year. We have assumed the execution of the deals that we have signed. A little bit is left for the previous quarter and a lot of it is to be executed for the deals that we have signed so far. Of course, the pipeline is very strong. It's almost near the all-time high. Now some of that will convert in Q4 and we expect good bookings for the rest of the year. So, all of that goes into this plan.

Sandeep Shah: So, if the furloughs are similar and you expect the better ramp up of the deals signed earlier, then 5% is achievable plus some pipeline comes on an expected deadline.

C. Vijayakumar: You had three ifs in your question. So, with that, I think you know the answer yourself.

Sandeep Shah: And CVK, if the CTG acquisition gets closed, as per the annual report, the financial

statement, it shows it may be yet closed by December. Then it may further bump up the revenue growth for the full year, right?

C. Vijayakumar: Yes, right now, we have not assumed any contribution from HPE CTG carve out. We think it will happen during this quarter. That will be an incremental number on top of the guidance that we have provided on the revenue side. On the margins, we will report that separately as well.

Manik Taneja: Just the last question. This quarter, the PNP margins have been above the normal 20% - 21%, which we report in Q2 for PNP or software. This time it is 25%. So, do you believe this uptick is structural and may continue on a year-over-year basis across quarters or do you believe the bump up because of the software on the overall margin in December Quarter could be lower because we are already coming off from 25% in terms of a margin for the September '24 quarter?

C. Vijayakumar: No, I think, I mean, this, if you see last year, the revenue was almost 9.6% lower. So, to that extent, that margin would have been lower in the previous year. So, it's going to be driven by growth. If you grow similar numbers, obviously the margins will be similar. And if the growth is less, margins will go down and the growth increases, margins will go up.

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Because a big part of the cost is fixed, and a small part is variable with respect to revenue growth.

Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Couple of questions. I think you indicated some improvement in discretionary spending, which we witnessed. Any specific sector where you are seeing that kind of trend or it is borrowed by and related to it, whether it is temporary kind of spend where let's say clients are not certain or some of these programs are medium term programs where you expect spending momentum to sustain even from discretionary spending perspective. That is the first question. The second question is about furlough-related thing. You said it is in line with last year. But considering some of these things, let's say where

re you are seeing

some momentum in Quarter 2, do you think that is more short-cycle kind of thing, and that's why you are indicating about similar to last year? Thank you.

C. Vijayakumar: Okay, so the demand picked up during the quarter. We talked about it in August end, that Financial Services is definitely looking better from the discretionary spend perspective. And I would call out a few more verticals, like Tech and Services definitely, we saw some more improvement. And even other verticals, even though it's a mix of ramp up of existing book of business and little bit of discretionary as well. Is it sustainable? I mean, in a normal world, I would assume this would be sustainable, but there is so much happening on geopolitics, economics, politics and things like that. And things, I mean, the nature of discretionary spend things can turn either way quickly. So, that's why I am not trying to extrapolate this for the long term. At least in QND, we feel this will stay. But when customers plan for the next year, how would they kind of look at each of these areas? Something is yet to be decided. Your question on furloughs, I think we have made a broad assumption that it would be similar based on some of the client conversations. I do not think it has any tie in into short cycle, long cycle kind of programs. Because it's broad in large clients, we work on so many things and based on client's priority and their overall spend during the year, there could be some change in furloughs as well.

Dipesh: And anything you can give us about our AI adoption from platform perspective? How many clients are we seeing that adoption is changing now?

C. Vijayakumar: Yes, it has been very good. And I would say our goal was to, we started with the goal of getting AI force into 50 clients. We already have at least some modules implemented in

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25 of them. And we have good commitment from a number of CIOs to further sponsor this adoption based on what they have seen. I would still think it's early days, but we are encouraged with the progress that we are seeing.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar – CEO and MD for closing comments. Over to you, sir.

C. Vijayakumar: Thank you everyone for joining us today. In closing, I want to thank each and every one

of the HCLites, 219,000 of them, for their phenomenal contribution through the year as well as very good execution during the quarter and we are very confident of the capabilities and the differentiation that we have. So, as a company, we will continue to gain market share in this world where technology is changing fast. And thank you for your support and look forward to talking to you during the next quarter. Thank you.

Moderator: Thank you. On behalf of HCLTech , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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"HCL Technologies Limited Q2 FY'25 Earnings
Conference Call"

October 14, 2024

Management:

Mr. C. Vijayakumar – Chief Executive Officer and Managing Director
Mr. Shiv Walia – Chief Financial Officer
Mr. Ramachandran Sundararajan – Chief People Officer
Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the HCLTech's Q2 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta – Head (Investor Relations). Thank you and over to you, sir.

Nitin Mohta: Thank you, Dr. Good Morning and Good Evening, Everyone. A Very Warm Welcome to HCLTech's Q2 FY'25 Earnings Call.

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCLTech, Mr. Shiv Walia – Chief Financial Officer, along with the broader Leadership Team to discuss the performance of the Company during the quarter followed by Q & A.

In the course of this call, certain statements that will be made are forward-looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward-looking statements. All forward-looking statements made herein are based on information presently available to the Management and the Company does not undertake to update any forward-looking statement that may be made in the course of this call. In this regard, please do review the Safe Harbor statements in the formal Investor Release document and all the factors that can cause the difference.

Over to you CVK.

C. Vijayakumar: Thank you, Nitin. Good evening, good afternoon and good morning, everyone and thank you for joining us for our Q2 Earnings Call. I hope all of you are doing well.

Many of you would have met Shiv Walia – our new CFO during the Investor Day session we had in Mumbai. For the rest of you, it is a pleasure introducing Shiv again, a three-decade veteran with HCLTech and he's been integral to our success over the last many years. Let me welcome him once again.

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At a high level, Q2 has been a strong quarter. As we had indicated in the last quarter, we have grown across the board as we see business momentum starting to pick up.

Our revenue grew 1.6% sequentially and increased 6.2% on a year -on-year basis in constant currency. Our operating margin stood at 18.6%, an increase of 149 basis points compared to the last quarter. This is as a result of our strong operational execution. Our Services business grew at 1.6% sequentially and 5.9% year -on-year in constant currency. This is despite the headwind we had due to the divestment of the State Street joint venture BPO business.

Our IT and Business Services grew 1.8% sequentially and grew 6.2% year -on-year , Engineering and R&D Services grew 1.1% sequentially and 4.3% year -on-year , and HCL Software business grew 9.4% this quarter and 6.4% growth in H1 FY '25 in constant currency year -on-year basis, demonstrating the increasing relevance of our products for the digital economy. HCL Software business continues to progress in the right direction with ARR at \$1.05 billion . More on HCL Software which we will discuss in a few minutes. All three geographies grew this quarter with the rest of the world having a strong growth of 7.2% on a constant currency basis sequentially, largely driven by Financial Services and some uptick in Manufacturing . On a year -on-year basis, Americas grew 7.5% , Europe grew 4.2% , whereas ROW declined by 2.6% in constant currency.

All our verticals grew on a quarterly basis except Financial Services . Financial Services had an impact of the planned divestment in the quarter . Without divestment impact , FS grew handsomely on a quarter -on-quarter basis. Our top performin

g verticals on a

sequential basis were Retail & CPG, Life Sciences & Healthcare , Technology & Services and Energy , Utility & Public Services in that order. On a year -on-year basis, Telecom & Media , Manufacturing , Retail & CPG and Technology & Services fared well .

In terms of clients , we continue to grow our clients to a larger size , a key focus area for our growth through cross -selling of our services. During this quarter, we made good additions to our client portfolio . On a quarter -on-quarter basis, we added four clients in the \$50 million category , also added four clients in the \$20 million category. And if you look at it YoY, we had strong additions across various categories. I am pleased with this for now while we have higher goals for the future . Our proposed plan to invest further into sales would lead to even better outcomes.

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From a booking perspective , we won 20 deals, 12 deals from Services and 8 deals from HCL Software in this quarter , and the total new booking TCV for Q2 stands at \$2.2 billion with a good mix of small and large deals. We have called out all the large deal wins in our Investor Release and have also called out a number of opportunities that we have won in the space of GenAI in our Investor Release .

A couple of wins that gives you an idea about the variety of work that our clients collaborate with HCLTech to extract value . A US-based Financial Services and Insurance firm selected HCLTech to modernize their data estate and insights for risk reporting including fraud analytics , anti-money laundering for credit card and other Retail functions. A Europe-based global semiconductor and computing technology major selected HCLTech for system on chip engineering to augment the clients chip development program . HCLTech will provide all phases of chip design, verification, quality , checks, power and performance metric analysis, and physical design.

We also had strong wins in GenAI related programs. Most of the deals are now getting embedded with AI capabilities. Our GenAI platform AI Force is now getting widely adopted for service transformation. A Fortune 200 global technology solutions company has chosen our AI Force -led solution as a part of the overall ITO program. Here, the AI Force served as a critical differentiator, displacing a long -term incumbent . Another one in Xerox , who expanded its strategic partnership with HCLTech spanning AI -driven engineering services and digital process operations . HCLTech will leverage automation, product and sustenance engineering and process operations services along with its advanced full stack GenAI platform AI Force. For a leading transportation client based out of North America , we are using AI Force to reduce timelines and overall manual effort during the application modernization program .

A Europe -based global semiconductor Company selected HCLTech to create ultra efficient models for low cost IoT microcontrollers by leveraging HCLTech 's Zero Code and fully automated AI offering. HCLTech will deploy its enterprise AI Foundry to build and operationalize models that enhance aftermarket sales operations for a US -based automotive company . Overall, we continue to witness good traction in AI , Gen AI related

opportunities led by our offerings - HCL Tech AI Force, HCLTech Enterprise AI Foundry and AI Labs .

AI Force is now integrated with Microsoft GitHub Copilot and will be enabled as a Microsoft GitHub Copilot Extension . This provides unparalleled extensibility and wide HCL Technologies Limited

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coverage of use cases. We are among the first Indian SIs to have this partnership. We have entered into a strategic collaboration with AWS and Google Cloud to accelerate GenAI adoption and HCLTech AI Force is integrated with Anthropic Claude 3 in Amazon

Bedrock .

We continue to build and strengthen our partnerships to cater to our clients better. We launched a suite of Salesforce-based solution to empower enterprises with essential GenAI capabilities across various verticals. HCLTech's IMRO/4 on SAP S/4 Hana Cloud adds advanced capabilities in commercial management . Our maintenance, repair and overhaul MRO solution IMRO /4 on the latest version of SAP S/4 HANA has added advanced functionalities in commercial management, bringing greater efficiency to clients' customer service teams.

Now , I want to update you on the overall progress we are making with our Software business , a long-term bid to diversify our portfolio :

In HCL Software , we continue to execute on a three-year strategic road map. The current quarter results demonstrate we are executing to plan and are starting to see results. The 2nd Quarter is a relatively soft quarter for HCL Software , but the growth has been very strong. Our focus is on targeted growth around specific opportunities emerging from renewals, customer success motions and sustained value delivery . We have categorized the business into the right set of offerings that gives strategic impetus and clarity to all stakeholders, clients, employees and partners.

As you would have seen from the Investor Release , quite a few good wins during the quarter and clients are continuing to appreciate our value proposition. We are working to strengthen our business partners, managed service providers, global system integrators and consulting partners, ISVs, hyperscale relationships, which we expect to drive momentum in the coming years. We continue to develop organically and also acquire niche capabilities in this space.

Let me take a minute to talk a bit about Zeenea, our recent acquisition . Based in Paris , it will enable HCL Software to accelerate GenAI in data engineering road map for its clients. This is aligned with the long-term strategy to drive growth into our Software business through bolt-on acquisitions that would have a multiplier effect.

We are the largest Enterprise Software product business headquartered out of Asia, and we continue to build upon our heritage of product and engineering excellence. We HCL Technologies Limited

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continue to believe that our purpose and core values paired with our passion and pride around frugal engineering , choice-based consumption of products across innovative licensing , paired with customer success focus and bringing empathy, which is generally missing in the software product industry. I strongly believe this business will continue to add significant value to HCLTech .

As I look ahead, our pipeline continues to grow and remains strong and is well distributed across business segments, verticals and geographies. As I look at our pipeline, I see a lot of opportunities across practices apart from data and AI . SAP is emerging to be a strong area of growth. Thanks to S4 Hana migration. We are well positioned here , as you would remember our recent announcement on deepening the partnership with SAP , facing good demand in other commercial applications and even for custom applications. The pipeline for engineering services continues to grow at a very healthy pace. We are starting to see the benefits of an integrated sales organization.

Gen AI is currently small but is a big opportunity and is growing at a good pace. Clients have started benefiting, seeing value from AI and GenAI projects , making it a significant driver for technology change and technology debt reduction. Overall, it reiterates the fact that clients continue to value technology and its impact on their businesses. We, however , remain cognizant of geopolitical factors and global economic conditions which can impact growth.

As India's #1 Company in Time Magazine's World's Best Companies 2024, we are optimistic of gaining share in the

technology spend of our clients and contribute significantly to the goals of our employees, clients and shareholders.

I will now hand over the floor to Shiv to share insights on our financial metrics and some view into the future. Over to you, Shiv.

Shiv Walia: Thank you, CVK. Good morning, good afternoon and good evening to all of you. Thank you for joining our FY'25 Q2 Earnings Call.

Let me walk you through our financial performance for the Quarter. Starting with the revenue performance:

The total revenue for the quarter is \$3,445 million, a 1.6% increase quarter-on-quarter and a growth of 6.2% year-on-year in constant currency terms. This robust growth was achieved despite State Street divestment in the previous quarter.

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Coming to the Services side:

The revenue came in at \$3,114 million, which is an increase of 1.6% quarter-on-quarter and a growth of 5.9% year-on-year in constant currency terms.

Software revenue for the quarter is at 342 million, a 1.4% increase quarter-on-quarter and a 9.4% growth year-on-year in constant currency terms. I am very happy to share that this represents our highest ever year-on-year growth reported till date.

Moving on to profitability matrices:

Our EBIT is at \$640 million at 18.6% of revenue which is an improvement of 149 basis points quarter-on-quarter and 8 basis points on a year-on-year basis. Net income for the quarter is 506 million at 14.7% of revenue.

Just to give you some color on how our margins have moved quarter-on-quarter:

The software business contributed 54 bps improvement at a Company level. Services margin increased by 110 basis points quarter-on-quarter driven by operating leverage and reduced marketing events and travel. There is a seasonality in the marketing-related spend and our 1st quarter spend is relatively more than in this quarter. There is a positive 22 bps impact due to exchange movement.

I would also like to spend a minute on our Return on Invested Capital, which is ROIC:

Our ROIC continues to improve, thanks to our ongoing focus on profitability and efficient capital management. The last 12 months ROIC is at 35.7% for the Company, up 350 basis points year-on-year and services ROIC is now at 43.5%, up 400 basis points year-on-year. And thanks to a good performance, Software ROIC is at 17.8%, up 190 basis points year-on-year.

Cash generation is another highlight I would like to focus your attention on. The cash generation remains strong; our last 12 months operating cash flow is at 2.52 billion, while free cash flow amounted to 2.39 billion. Operating cash flow to net income conversion is 126% and free cash flow to net income is at 119%.

Our balance sheet continues to strengthen with gross cash at 3.44 billion and net cash at 3.17 billion. This cash generation has improved on the back of our improved DSO. Total

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DSO including unbilled is currently at 79 days, a three-day improvement quarter-on-quarter basis and a four-day improvement on a year-on-year basis. This is among the best DSO performance in recent years.

For the shareholders, the diluted earnings per share for the last 12 months come at INR 62.02, which is an improvement of 8.9% year-on-year.

The board has declared an interim dividend of INR 12 per share for the quarter. The record date is 22nd of October '24 and the payment date of the same shall be 30th October 2024. That brings our last 12 months payout at INR 54 per share, effectively distributing 86.9% of our income.

Now, on guidance:

As mentioned in our Investor Release, our revised guidance for the FY'25 is as follows:

Overall, we have revised the lower end of our revenue guidance from 3% to 3.5%. So, the growth is now expected to be between 3.5% to 5% year-on-year in constant currency.

Services revenue is also

expected to be between 3.5 % to 5% year -on-year in constant currency terms. EBIT margin guidance is unchanged at 18 % to 19%. That's it from my side. And now I will hand it over to the operator for the Q&A session. Thank you very much . Over to you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Abhishek Pat hak from Motilal Oswal. Please go ahead.

Abhishek Pathak: I have got a couple of questions , CVK . So, firstly, I mean the ask rate for the second half in terms of growth now seems fairly benign. So, does the top end of the guidance still assume aggressive furloughs or is it a slight conservatism baked into the numbers or are you assuming , if there is a recovery in discretionary spends , is there upside risk i n number , that 's one ? And the second question is on ER&D . I think it 's great to ER&D to return to growth again. Could you throw some light on which areas have recovered and where we still see some pressure going forward? And also, how do the recently announced job cuts at a major airline affect the outlook here for industry and for us, if at all?

C. Vijayakumar: Abhishek, the ask rate for Q3 and Q4 is between 0 % and 2% . So, it's a fairly good kind of a growth as k-rate at a higher end. While we see the optimism that 's coming out of the improving demand environment across multiple verticals, we are also a little bit more
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cognizant of the broader macroeconomic environment and the geopolitical context and some of the things that you 've talked about in aerospace and things like that. So , we are a little bit cognizant and if you see the CY'22 in November, December when the optimism was there, it suddenly turned . So, to that extent, we are cautious. We are feeling good about the coming quarter, and we will update you if there 's any change in our outlook when we talk to you at the end of Q3. And I would not want to comment on any client -specific situations . Obviously . there is an impact in a few clients due to various client -specific issues, but we have dealt with it this quarter and all of that is baked into our 3 .5% to 5% guidance.

Moderator: The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: You talked about some of the deal wins. It looks like a lot of AI -led productivity baked into some of these. Could you talk a bit about how this is helping to increase the win rate overall? And secondly, it 's just something that.

Moderator : Sir, sorry to interrupt, but the line for you sounds a little muffled. If you could please use the handset mode to change the mode.

Ravi Menon: Looking at the deal wins that you announced and seems to be having some AI productivity baked into some of these, especially a BP O deal . So, I want to check how much are you baking into these , have you seen this improve your win rates across the board?

C. Vijayakumar: Only one DPO deal which is significantly pre -announced where we are very well into implementing a lot of automation led by the previous version of AI Force , so which really helped us pass back the productivity . In fact, almost two-thirds of what we needed to achieve is already in place . So, there is one-third which we need to work towards. Of course there is an expectation on GenAI -led productivity, but it is also not a switch that you can turn on and generate productivity will be achieved . If customers commitment to implement the AI Force platform and really become a sponsor for the platform within the enterprise helping us navigate different stakeholders, which will really be the start of the process of getting the benefits from A I Force. From then on, it is a journey . And I think our models with clients are fairly transparent and they're quite realistic and customers are also unwilling to even buy an unrea

listic value proposition with the hope that something magic will happen. So , I think it 's a very pragmatic approach we feel comfortable with what we are doing.

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Ravi Menon: A follow up there . Could you thr ow of those magnitude, I mean , the 10s of millions the BPO deal?

C. Vijayakumar: It's a renewal and it 's got a maybe some component which may be roughly 20% of the new scope.

Ravi Menon: This moment um that we have seen for Software Products, you sounded quite confident about this. So, should we think about high single digits being more or less consistent year -on-year growth for the product s business , because I think earlier you had talked

about how you want to take that to low -single digits this year I think if I recall right and then probably towards mid or high -single digits next year or the year after, we seem to be moving faster than that ?

C. Vijayakumar: So, I think Ravi , see, till last year it was a low -single digit , this year also we were looking at a similar growth , in the medium term , we wanted to go to a mid-single digit growth . Obviously , we have had two very good quarters and a lot of initiatives that we have put in place are playing out, but this is a very volatile business , that is the reality. If you had asked me two weeks before, did I feel so confident about the outcomes, maybe it would have happened by 30th September, or it might have even gone to October. So, there is volatility. So, I would not extrapolate this, but there are enough fundamental reasons behind the growth that has happened , more broad based and a lot of it is also driven by the work that is happening in data and AI which is driving the Actian business quite smartly. So, I would wait for some more time before you extrapolate a more positive long - term picture. Right now, I stay with from the current low single digit to mid-single digit growth. That's what we are comfortable with.

Ravi Menon : I'll ask this one on the ER&D side. Are you expecting any pressure on the aerospace and automotive segments that we saw last quarter recur again in the near future?

C. Vijayakumar: Not in aerospace. Automotive, of course, there is pressure in automotive, especially in Europe. And that is definitely reflected in our numbers this quarter as well. Some of it would be reflecting in the next quarter as well.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my questions and congrats on a very solid quarter. CVK, just two questions from my side. If I look at the growth that we have delivered this quarter, I think HCL Technologies Limited
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it has been kind of a very broad -based growth , excluding the BFSI segment and there also if I exclude the State Street divestment , I think the growth has been pretty solid in terms of QoQ terms on all the fronts. So, do you expect this growth momentum to continue because if there is no other, I mean, a large deal, something that could have started in any of the verticals. So, is it just the ramping of the deals that we had, basically won over the past 12 months that has led to this kind of growth ? And any headwinds that you see in any of the verticals in the upcoming quarters from the growth point that we are standing at?

C. Vijayakumar: So, I think the growth is broad -based and which was also our expectation, except in Financial Services . When we went into this quarter, we were confident of growth in all the verticals, and Financial Services had this divestment impact. But Financial Services grew from strength to strength as the quarter passed. So, overall, it just helped us do much better. Now, extrapolating this, okay, first of all, this growth is due to two factors. One is there is some ramp up of the deals that we signed in

the last 2 -3 quarters. So,

actually it is somewhat equally split between the efficiency -led deals which we signed , which ramped up in this quarter. And the other half is really a lot of data, SAP, some initial large application modernization opportunities where we had to ramp up. So, it was good, balanced, discretionary and non -discretionary growth. So, that gives us some confidence as we get into this quarter. And I do not want to call out any vertical specifically in Q3.

See, last quarter we specifically called out that Q2 is going to be all broad -based growth because we were coming off a declining quarter in Q1 and there was some anxiety that the State Street divestment may make Q2 also very modest. So, that's why we gave you some clearer picture. From this quarter onwards, I would be more comfortable sticking to the annual growth numbers, not really provide a view on the Q3 or Q4.

Vibhor Singhal: Got it. Fair enough, CVK. My second question was on the manufacturing vertical. I think we had some of the auto companies, some of the profit warning, some of the leading companies, and there are other things also which are kind of some basic concerns about strength in that. What is our view on that? What are we seeing in terms of our communication with the clients? Manufacturing has been the mainstay for us from point of view. And from the industry, I think also it's known for some time . Is that segment seeing some headwinds going forward? Are the clients trying to pull back some strength? Anything, any color on that will be helpful?

C. Vijayakumar: Specifically automotive, definitely there is stress. And that's a couple of large clients are going through significant cost reduction. So, some of the programs are getting canceled.

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In fact, that happened in Q2 as well. But there is also a ramp up of SAP business quite strongly in manufacturing. So, to some extent, it is offsetting this momentum, this whatever headwind that we have in automotive. Other than that, I don't, and of course, there will be some impact due to some of the aerospace clients as well. So, I think these two are very specific. Beyond that, I think we are largely comfortable across the portfolio.

Vibhor Singhal: Just one last question if I may just squeeze in. In terms of our overall guidance, we continue to maintain that our second half should be better than the first half.

C. Vijayakumar: See, now it's not really a relevant question because now it's 0% to 2%, I mean, that is the range between the two quarters.

Moderator: Thank you. We have the next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: First question is for CVK, just want to understand your commentary you made around press conference on discretionary spending, outlook looking slightly better. Is it reflected in the form of the timeline to close the deals coming down or is it more like the conversion of the deals to revenue has improved because of higher mix of the short cycle deals, just trying to understand the behavior of client changing versus last quarter.

C. Vijayakumar: The last 3-4 days, we have done some very deep analysis of the timelines to close. And that is not materially changed. It remains whatever it has been for the deals. But obviously, there is in a lot of existing clients, there is nothing to really close deals. It is really additional demand which is coming based on the rate cuts and based on the contracts that we have. I think that definitely is showing some optimism there, and that's reflected as well in our numbers.

Gaurav Rateria: The second question is for Shiv. Just want to understand the quantification of impact on margins from wage hike that you have taken in the current quarter. Thank you.

Shiv Walia: The impact for the next quarter is going to be somewhere between 65 to 80 bps in Q3,

and an incremental further impact of another 50 to 60 basis point in Q4. That's the impact of wage hikes we will have for the rest of the year. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

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Abhishek Kumar: My first question is specifically on the Services guidance. If my calculations are correct, at the lower end it seems there'll be a marginal decline in terms of CQGR for our services guidance. So, I just wanted to understand what are we building in for lower end as well as an upper end? Anything specific that we should keep in mind?

C. Vijayakumar: Abhishek, it should be like if it is minus 0.1 or something, it's really not material. So, 0% to 2% should be rough math.

Abhishek Kumar: Okay, maybe if I can just follow up on that. We had mentioned a couple of quarters back that Verizon deal might we have to offshore. We are going to complete one year somewhere during Q3 or Q4. Is that something which is kind of keeping the lower end at a kind of flattish for the next two quarters?

C. Vijayakumar: Yes, there would be some impact, but that's not really, I mean, I don't know what to answer. We cannot give you a client-specific how much ramp down may happen. It's baked into our guidance and it's not every deal is not the same, Abhishek. Like last year, we had a significant onshore to offshore. It was a completely in-source program getting outsourced. Here it is different construct. There was a significant amount of outsourced work that we have taken over, which transitioned to the target operating model in the first instance itself. So, there are many things at play. I don't want to call out, but that is definitely factored into our numbers at this point. And 0% to 2%, I think, is the realistic kind of number moving forward.

Abhishek Kumar: Fair enough. Maybe one last quick question. There was a net decline in headcount despite strong growth and good commentary. I just wanted to reconcile what you were explaining about headcount growth. Thank you.

C. Vijayakumar: I think we had added about 12,000 freshers in FY24 when the campus hiring across the sector was very muted. So, I would want to look at the headcount addition in conjunction with what we had shared with you in August in our investor call where we also talked about Project Ascend. We are driving Gen AI led delivery transformation to get coding productivity, delivering managed services automation, and also customized learning programs to upskill people and all of that. So, while the headcount itself has declined a

little bit, if you see the wage bill, that has definitely gone up. So, there is some pyramid shifting that's happening, and I see that to be a continuing trend. The pyramid will shift to more specialized skills. So, I think you have to slightly change the framework with which you are thinking on people addition here on. It should be higher in skills and wage

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bill would increase probably in line with growth or comparable to growth. That should be the metric other than just people count.

Moderator: Thank you. We have the next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just one question around the products business side. So, just wanted to understand the underlying dynamics there. It seems like it is actually being doing relatively better than what we would have potentially planned a couple of years ago or in general, how the environment is. So, if you can elaborate a little bit more on how much of this is sustainable and what is driving the low to mid-single digit growth in the products business and this quarter of course that growth is much higher. So, how do we think about that both from a slightly medium-term growth pe

rspective and a consequent impact on margins?

C. Vijayakumar: I think our medium-term commentary remains mid-single digit growth aspiration. And this is a business where growth will definitely improve margins. So, right now we cannot kind of provide any further kind of view on this. We have done well in the first half, and we are doing well not because of certain one-dimensional growth. It's quite broad-based. As Kalyan Kumar also spoke in the press conference, there are multiple levers, and each one will play out and it just gives us a good balance of different components adding to the overall growth. So, a little bit robustness is coming into the portfolio. And it's also a lot to do with some of the innovation or product features that we have launched like HCL Unica, we have integrated with the customer data platform. And that's definitely been a big hit for all the Unica customers to increase their adoption. So, with every product, we have a good offering led value proposition, which is compelling for the customers to renew and also pay as increased fees while renewing. So, some of this is very good developments and we will watch for it for a few more quarters before giving you any better outlook.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I had a related question to what was asked earlier, and I am just trying to reconcile the absolute decline in SG&A and the SG&A reduction in SG&A itself as percentage of revenue as well as the modest hiring with regards to the qualitative commentary that you've spoken about in terms of seeing improvement. So, how should we be thinking about SG&A going forward? And also, with regards to wage hikes, Shiv mentioned that

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the wage hikes will be similar to last year. The average hikes that were given last year appear to be probably between 3% to 4% as per the published annual report for the year. So, should we be thinking about that kind of impact for this year as well?

C. Vijayakumar: Yes, so I would request Shiv to respond to the SG&A question. And maybe Ram can respond to the modest hiring and the wage hike. Shiv, over to you.

Shiv Walia: Yes, thank you, CVK. So, there is some seasonality between AMJ and JAS that explains the QoQ trend. Last year also we had similar trends where the cost went down from AMJ to JAS. So, if you look at on a year-on-year basis, the SG&A spend is quite similar to what we had last year. So, I don't think there is a steep decline, it's just a seasonality which is playing out. Over to you, Ram.

Ramachandran S.: Yes, so I think the wage hike that you are referring to from last year is on the global numbers. Firstly, we need to look at wage hikes at the country level. And predominantly, India is where we'll have majority of our employees. So, we need to look at India differently from other countries where traditionally the wage hike in percentage terms will be lower. So, if I focus on the India employee base, the increase for people going through the current cycle and getting increases will be to the tune of about 7%. Again, within that, top performers will continue to get double-digit increases, which typically we expect to be in the range of 12% to 15%. So, that's the way we look at it. Outside of India, it's governed by what's happening in each of the countries, some European

countries where there are statutory obligations, where there are collective bargaining agreements and so forth. So, we need to look at each country differently. Global numbers will give us a certain picture. But if you look at India, you will see a slightly different picture which will be in the range of about 7% average.

C. Vijayakumar: And also, just to additional dimension is the demand scenario will also drive some percentage increase in certa

in areas. So, data and AI, SAP are some examples where it could be very different.

Manik Taneja: So, should we be essentially seeing an improvement in terms of hiring on a go -forward basis as you were speaking about a better demand backdrop?

C. Vijayakumar: Yes, I mean, there is of course some productivity release which has happened significantly. It actually started in May, June and July, August, September, some of that converted to deployment. We still have some headroom there, but we are also hiring, hiring very specific skills. Significant hiring is underway for that.

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Moderator: Thank you. The next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: CVK, just wanted to understand what are the assumptions for the upper end of the guidance to be achieved at 2% for services business?

C. Vijayakumar: So, I think we have assumed similar furloughs like last year. We have assumed the execution of the deals that we have signed. A little bit is left for the previous quarter and a lot of it is to be executed for the deals that we have signed so far. Of cour se, the pipeline is very strong. It's almost near the all -time high. Now some of that will convert in OND and we expect good bookings for the rest of the year. So, all of that goes into this plan.

Sandeep Shah: So, if the furloughs are similar and you expect the better ramp up of the deals signed earlier, then 5% is achievable plus some pipeline comes on an expected deadline .

C. Vijayakumar: You had three ifs in your question. So, with that, I think you know the answer yourself.

Sandeep Shah: And CVK, if the CTG acquisition gets closed, as per the annual report, the financial statement, it shows it may be yet closed by December. Then it may further bump up the revenue growth for the full year, right?

C. Vijayakumar: Yes, right now, we have not assumed any contribution from HPE CTG carve out . We think it will happen during this quarter. That will be an incremental number on top of the guidance that we have provided on the revenue side. On the margins, we will report that separately as well.

Manik Taneja: Just the last question. This quarter, the PNP margins have been above the normal 20% - 21%, which we report in Q2 for PNP or software. This time it is 25%. So, do you believe this uptick is structural and may continue on a year -over -year basis across quarters or do you believe the bump up because of the software on the overall margin in December Quarter could be lower because we are already coming off from 25% in terms of a margin for the September '24 quarter ?

C. Vijayakumar: No, I think, I mean, this, if you see last year, the revenue was almost 9.6% lower. So, to that extent, that margin would have been lower in the previous year. So, it's going to be driven by growth. If you grow similar numbers, obviously the margins will b e similar. And if the growth is less, margins will go down and the growth increases, margins will go up.

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Because a big part of the cost is fixed, and a small part is variable with respect to revenue growth.

Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global. Please go ahead.

Dipesh: Couple of questions. I think you indicated some improvement in discretionary spending, which we witnessed. Any specific sector where you are seeing that kind of trend or it is borrowed by and related to it, whether it is temporary kind of spend where let's say clients are not certain or some of th ese programs are medium term programs where you expect spending momentum to sustain even from discretionary spending perspective. That is the first question. The second question is about furlough -related th ing. You said it is in line with last year. But considering some of these things, let's say whe

re you are seeing

some momentum in Quarter 2 , do you think that is more short -cycle kind of thing, and that's why you are indicating about similar to last year? Thank you.

C. Vijayakumar: Okay, so the demand picked up during the quarter. We talked about it in August end, that Financial Services is definitely looking better from the discretionary spend perspective. And I would call out a few more verticals, like Tech and Services definitely, we saw some more improvement. And even other verticals, even though it's a mix of ramp up of existing book of business and little bit of discretionary as well. Is it sustainable? I mean, in a normal world, I would assume this would be sustainable, but there is so much happening on geopolitics, economics, politics and things like that. And things, I mean, the nature of discretionary spend things can turn either way quickly. So, that's why I am not trying to extrapolate this for the long term. At least in Q3 , we feel this will stay. But when customers plan for the next year, how would they kind of look at each of these areas? Something is yet to be decided. Your question on furloughs, I think we have made a broad assumption that it would be similar based on some of the client conversations. I do not think it has any tie in into short cycle, long cycle kind of programs. Because it's broad in large clients, we work on so many things and based on client's priority and their overall spend during the year, there could be some change in furloughs as well.

Dipesh: And anything you can give us about our AI adoption from platform perspective? How many clients are we seeing that adoption is changing now?

C. Vijayakumar: Yes, it has been very good. And I would say our goal was to, we started with the goal of getting AI force into 50 clients. We already have at least some modules implemented in HCL Technologies Limited

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25 of them. And we have good commitment from a number of CIOs to further sponsor this adoption based on what they have seen. I would still think it's early days, but we are encouraged with the progress that we are seeing.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar – CEO and MD for closing comments. Over to you, sir.

C. Vijayakumar: Thank you everyone for joining us today. In closing, I want to thank each and every one of the HCLites, 219,000 of them, for their phenomenal contribution through the year as well as very good execution during the quarter and we are very confident of the capabilities and the differentiation that we have. So, as a company, we will continue to gain market share in this world where technology is changing fast. And thank you for your support and look forward to talking to you during the next quarter. Thank you.

Moderator: Thank you. On behalf of HCLTech , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2025

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 0120 6120 25000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India

January 15, 2025

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Audio recording of the Conference Call held on January 13, 2025

Dear Sir/ Madam,

In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Audio Recording of the Conference Call held on January 13, 2025, post the announcement of the financial results of the Company for the quarter and nine months ended December 31, 2024.

The is also available on our Company's website <https://www.hcltech.com/investor-relations>.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl. : a/a
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"HCL Tech 's Q3 FY25 Earnings Conference Call "

January 13, 2025

Management:

Mr. C. Vijayakumar – Chief Executive Officer & Managing Director
Mr. Shiv Walia – Chief Financial Officer
Mr. Ramachandran Sundararajan - Chief People Officer
Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and Gentlemen , Good Day and Welcome to the HCL Tech 's Q3FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Moh ta, Head , Investor Relations. Thank you and over to you, Sir.

Nitin Mohta : Good day, e veryone. A very warm welcome to H CLTech Q3 F Y'25 Earnings Call .

We have with us Mr. C. Vijayakumar – CEO & Managing Director, HCLTech , Mr. Shiv Wali a – Chief Financial Officer, along with the broader leadership team to Discuss the Performance of the Company during the Quarter, followed by Q &A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based on presently available to the management and the company does not undertake to update any forward -looking statement s that may be made in the course o f this call. In this regard, please do review the Safe Harbor statements in the formal investor release document and all the factors that can cause the difference.

Over to you, CVK.

C. Vijayakumar : Thank you, N itin. Good evening, good afternoon and good morning to everyone. I wish you all a Happy, Healthy and Prosperous New Year and thank you for joining us for the Q3FY '25 Earnings Call .

We are also celebrating a remarkable milestone , 25 years since HCLTech became a publicly listed company. Shi v – our Founder and CEO set then, as we got listed, HCL Technologies is dedicated to building long standing relationship with all of stakeholders and creating outstanding value for our shareholders.

From then till December 2024, our employee strength has grown from below 3 ,000 to 220,755 as of end of December 2024 .

Our revenue has grown from 166 million by the year ending June 1999 to \$13.77 billion in the last 12 months ending December 2024, representing a CAGR of 18.9% over the 25-year journey.

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Our annual profit on similar timelines has increased from 22 million to 2.025 billion, which is a CAGR of 19.4% over a long 25-year period.

And since we are talking about public listing today, an important fact – We have delivered a total shareholder return at 20.6% on a CAGR basis from IPO till January 10th, 2024 . And even more importantly, we also delivered the highest TSR over the last 10 years among the large cap India headquartered IT companies , and #1 in cumulative TSR for the last 24 years.

Overall, a remarkable achievement . Thanks to the support of our employees, clients, investors and analysts like you , thank you all.

Now getting into our business performance for the Quarter :

Historically , Q3 related to the market has always been a strong quarter for us, thanks to the business portfolio mix.

Our revenue grew 3.8% sequentially and 4.1% on a year -on-year basis in constant currency . Our operating margin stood at 19.5%.

Our Services business grew 2.2% sequentially and 4.9% year -on-year in C C terms. This was supported by IT and Business Services growing at 1.5% sequentially and 5.8% year -on-year.

Engineering and R&D Services grew 5.4% sequentially in constant currency and 1.1% year -on-year.

HCL Software delivered a good performance , growing 18.7% sequentially while declining 2.1% year -on-year in constant currency. H CLSoftware's Annual Recurring Revenue (ARR) stood at 1.022 b

illion , a 0.6% decline year -on-year in constant currency. This growth moderation on a year -on-year basis is on the back of good year -on-year growth for the prior five quarters. The current EBIT percentage of 34.5% is also an all -time high for the HCL Software business .

In terms of geographies :

Americas grew 6.2% year -over -year and 1.9% sequentially, while Europe grew 3.5% sequentially and 2.6% year -on-year, all in constant currency. The rest of the world remained flat on a quarter -on-quarter basis , while it grew 2.9% year -on-year on CC basis.

As verticals, we had strong growth in Technology and Financial Services with a quarter -on-quarter increase of 2.5 % and 1.9% respectively in constant currency during the quarter. The growth in Tech and Financial Services is in line with our commentary in the past of witnessing increasing spending patterns in FS and Tech verticals .

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Retail and CPG also had even higher growth with the quarter -on-quarter of 13.7% growth in constant currency terms. This growth was also broad based, but the strong double -digit quarter -on-quarter growth was a function of a large project execution which got completed last quarter.

Similarly, we had a solid 4% quarter -on-quarter growth in CC in our Telecom and Media business , attributed to the closing of HPE CTG acquisition and a contribution of one month revenue from the business.

And during a period of relatively slow industry growth , we continue to grow our top customers ; we added two in the \$100 million category, added four in the \$50 million category and four in the \$20 million category on a year -on-year basis. Our top five and top 20 clients continue to expand their business with HCLT ech.

In terms of booking :

We won 12 deals, seven deals from Services and five from software in this quarter and total new booking TCV for Q3 stands at \$2.1 billion with small deals growing stronger than the large deals in an era where large deals are getting broken into smaller chunks. This growth in small deals won is what we would want to see as it is also in line with the client spend patterns.

We are also noticing the average duration of signed deals getting shorter. The shift towards shorter tenure d deals naturally leads to moderated TCV, but the more important metric in this context is ACV and it is quite good . On a year -on-year basis, ACV has grown 23% and sequentially it has grown 9%.

We are also seeing a sizable number of deals influenced by AI and Gen AI. Some of our largest wins are enabled by AI -led transformation and I will talk about AI-related propositions and the progress we have made in a while.

Our pipeline continues to grow and remain strong and is getting closer to an all -time high. You might remember our all -time high pipeline was in the back of a m ega deal at the start of the last fiscal year. This time it's broad -based and it is back ed on several deals led by a digital application business, engineering and R&D Services and a digital process operations business . Both Americas and Europe have shown strong growth in the pipeline as we got to this near all -time high pipeline.

On the people front :

Our people count stands at 220,755, which is a net addition of 2 ,134. Our attrition stands at 13.2% on an LTM basis , slightly higher compared to the previous quarter, which is a natural consequence of the demand pickup.

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Coming to some of our key verticals :

Telecom , Media and Technology sector is undergoing a dynamic shift, prioritizing more with less , driven by efficiency, measurable impact and ROI focused investments. Despite cautious discretionary spending, particularly among OEMs, HCLTech is leveraging next - generation technologies like cloud and generative AI alongside the acquisition of CTG assets from HPE to deliver trans

ormative, future -ready solutions. This deal, while expanding our partnership with HP E gives us industry -leading IP, engineering and R& D talent , and client relationships with top global communication service providers, especially in Japan and Europe to strengthen our Engineering Services capability and to expand the position in the Telecom Services market.

We are spearheading Gen AI innovation, leveraging partnerships and dedicated labs to integrate AI solutions for our clients. Our ongoing digital and cloud -related initiatives along with strategic partnership with hyperscalers are driving growth in the tech sector . Relationship with industry leaders like SAP and ServiceNow further strengthen our position, driving innovation and operational efficiency for our clients . I will also talk about the partnership with SAP in detail a little later.

HCLTech remains focused on network modernization and enhancing digital customer experience - positioning ourselves for sustained growth in the Telecom vertical.

We continue to see strong momentum with the recent wins. Fortune 50 Telecom Company expanded their partnership with us to enhance the client operations with automation and AI solutions such as AR/VR live retail dashboards and smart hubs for better user and client experience . We strengthened our capabilities in AI -driven contact center transformation by further expanding our partnership with a US based global technology company to help transform contact centers with gen erative AI and cloud - based solutions.

Coming to Financial Services :

We are continuing to see improvement in client spending. The adoption of AI by enterprises is poised for growth, with Financial Services progressing from proof -of- concept to enterprise rollout supported by robust business cases. This advancement encompasses process automation, AI -driven analytics which will enhance risk assessment, strengthen fraud detection and offer personalized financial advice.

Additionally, we have seen a promising increase in large and medium -sized deals across Europe. The type of deals includes platform modernization, whether it is through platform replacement or legacy modernization enabled by Gen AI. As organizations

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embark on their journey towards their ideal operational state, they're actively seeking providers who can efficiently manage their legacy systems for improved efficiency and assist them in navigating the transition to their future state . A number of wins during this quarter in the Financial Services segment as we have called out in our investor release. A few call out would be a leading US based Financial Services firm will accelerate their migration to cloud and enhance product engineering and application capability using our cloud smart ecosystem. A Fortune 500 Financial Services firm, selected us as its strategic partner for Hybrid Cloud and Network Solutions as well as Digital Workplace Transformation , again leveraging our AI capabilities .

In Latin America , a Financial Services provider will be using our Domino and Big Fix Solutions to manage the life cycle and compliance of 19,000 devices and 3 ,400 servers across more than 600 locations.

The Central Bank of Ireland has now signed a 7-year contract with us with option to expand for up to further three years for data center managed Services . These partnerships emphasize our commitment to delivering innovative solutions and exceptional service.

In Engineering Services , we are seeing decent momentum with our new integrated sales organization fully operational. While Europe continues to remain challenged, specifically in the auto sector, we have a few good wins globally ; a Japanese semiconductor major partnered with us to co-develop a next -generation computing S OC for automotive applications, including ADAS and infotainment solutions.

A leading Europe

-based global automobile major selected us to transform the supply chain with SAP -based solutions. Our engineering work is at the core of clients' business model, making us a strategic partner for them. Clients like Teradyne acknowledge that our support and collaboration have been key in solidifying their position as a global leader in the automatic test equipment market .

We also received the Intel Partner Award for Market Acceleration in SI /GSI/MSP Category.

HCL Software, while I talked about the revenue and margin performance , in terms of directionally software defined Services , also called a software -as-a-service is fast emerging as a change agent, which will fundamentally alter the way that the world operates, automating tasks and processes in a range of industries and professions.

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We are the only Indian service provider uniquely positioned for the medium to long term with a dedicated products and platform organization that operates largely independent of the Services business with its own GTM and R&D investments.

While the business grows strong Qo Q, there was a subpar performance on a YoY basis with some customers deferring their renewal decisions as well as expansion conversations.

During the quarter, we won several deals including a large one where a UK based retail chain selected HCL Software's BigFix workload automation, the full suite of DevOps, iControl and iAbsorb from the HCL Dry iShoot and APP Scan to enhance security , infrastructure protection, development processes, software management, automation and digital transformation.

Our investment in Zeenea for Metadata Management and Data Cataloging is showing good progress and a combined solution is resonating with the market.

Multiple analysts are now recognizing the strong propositions we bring by getting many of our products into their quadrants and grids. You may recall that some of these products were taken out a few years ago before HCL Software acquired and decided to refresh them.

In terms of our SAP business - There has been healthy growth across commercial and customer applications business . We continue to see strong traction in our SAP business led by S/4HANA migration opportunities. We are investing in this and other commercial platforms.

Recently, we inaugurated an Innovation Lab for SAP business AI in Germany to enable digital transformation for our clients. The Innovation Lab opening underscores the strategic partnership between HCLTech and SAP and will help clients to shift the transition to SAP , S/4HANA, Cloud through Rise with SAP by utilizing SAP business AI technology. There have been a few notable wins during this quarter in the SAP space.

Coming to Generative AI :

It's getting more real. The cost of using LLMs or conversational AI models are reducing . It has dropped more than 85% since early 2023, making more use cases viable.

We are witnessing an increase in momentum in data , AI and generative AI opportunities, AI Force deployment and customer interactions in AI lab. Agent ic AI is another big opportunity where we can enable our clients as they empower their employees and customers with more AI -led features. There has been a number of examples of the AI -led wins which you can read from our Investor Release.

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Multiple analyst recognition for our AI , Gen. AI solution including endorsement from Technology Business Research of our AI Force platform and underscores the impact that we are creating. Focus from customers is on strategic transformation with AI, GenAI in high impact use cases.

We are continuing to invest in repeatable horizontal and vertical solutions to accelerate high impact use cases. Calling out a few , industry -focused solutions are intelligent , regulatory and safety platform in pharma , trade surveillance and F

inancial Services ,

smart eye quality assistant in manufacturing. Horizontal Solutions include AI Force -led

legacy modernization, contact center transformation using hyperscaler solutions, and Agentic AI for IT operations.

During the quarter, we also accomplished a few other critical milestones to enable future growth in space . Integrated A I Force with Git Hub C opilot to accelerate value and benefits across software development life cycle.

We launched IBM Responsible AICOE with our AI and cloud native labs in New Jersey . Two new cloud native and AI labs launched with partners -- ServiceNow in Noida and SAP in Munich. We also established responsible AI in governance office. We continue to supercharge progress as the fastest growing top ten IT Services brand and continue to get recognized by Media and analysts. Happy to inform that H CL Group has been honored as One of the Best India's bran ds in ET Now Best Bran d Conclave. We are recognized by Newsweek as One of America's Most Reliable Companies 2025 . We were also recognize d by Forbes as One of the World's Best Employers for the 5th Consecutive Year. We are the only India headquartered company in the Professional Services Category to be among the top 10 for five years in a row. We also received (+125) leadership recognitions from analysts during the last quarter.

Project As cend is progressing well on various fronts. Teams are working in full speed to drive various actions that have been planned. We have deployed GenAI solutions internally to drive this efficiency initiatives.

In 2025, we expect companies to increase their IT investment s. We have seen improvements over the last two quarters. We do see an overall improvement in the discretionary spending environment. Our clients are investing to drive innovation and efficiency with Gen AI and data at the center of such initiative.

On this backdrop, there could be some significant changes in the global business landscape during the year, which can impact our clients and their spending priorities. While we are confident on the pace of the medium -term recovery from what we have seen, bear in mind our Q4 outlook accounts for certain specific factors which we will HCL Technologies Limited

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explain a little later. On the positive side, small deals are getting converted quicker while larger deals are taking time to convert.

With that, I will request Shiv to walk you through more details on the numbers and then we will come to the Q&A.

Shiv Walia : Thank you , CVK . Good morning , good afternoon, good evening and happy new year to all of you. Thank you for joining our Q3 financial year '25 earnings call.

Let me walk you through our Financial Performance for the Quarter:

Starting with the revenue performance :

Total revenue for the quarter is \$3,533 million, a 3.8% increase quarter -on-quarter and a growth of 4.1% year -on-year in constant currency terms.

Coming to the Services side : Services revenue came in at \$3,145 million, which is an increase of 2.2% quarter -on-quarter and a growth of 4.9% year -on-year in constant currency terms.

Software revenue for the quarter is \$400 million at 18.7% increase quarter -on-quarter and a de growth of 2.1% year -on-year in constant currency.

Moving on to the profitability metric es: Our EBIT is at \$690 million at 19.5% of revenue, which is an improvement of 93 basis points quarter -on-quarter basis . Net income for the quarter is 544 million at 15.4% of revenue. We are pleased to note that this is our highest ever EBIT and net income in a quarter .

Just to give you some color on how our margins have moved quarter -on-quarter :

The Software business contributed 114 basis points improvement at the company level. I am pleased to note that this represents our all -time high margins in Software business . Services margin dropped by 22 basis points quarter -on-quarte

r. Our margin

improvement plan Project Ascend gave us approximately 100 basis points in this quarter, which majorly offset the wage high impact of 80 basis points , furlough seasonality impact of 14 basis points and C TG acquisition and impact including integration expense of 20 basis point s. Forex gave us 80 basis points in this quarter.

I would also like to spend a minute on our Return on Invested Capital (ROIC): Our ROIC continues to improve . Thanks to our ongoing focus on profitability and efficient capital management. The last 12 months R OIC is at 36.6% for the company, u p 385 basis points year -on-year and Services ROIC now is at 44.7% , up 455 basis point s year -on-year. Software continues to improve with ROIC at 18% , up 160 basis point s year -on-year.

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Cash generation is the another highlight I would like to focus your attention on : Cash generation remains strong . Over the last 12 months, operating cash flow is at 285 billion, while free cash flow amounted to 2.72 billion. Operating cash flow to net income conversion is at 141% and free cash flow to net income is at 134%.

Our balance sheet continues to strengthen with gross cash at 3.5 billion and net cash at 3.24 billion. Cash generation has improved on the back of our improved DSO performance. Total DSO including unbilled is currently at 77 days , a two days improvement quarter -on-quarter and a nine day s improvement year -on-year. This is the best ever DSO performance in recent years.

Now, moving on to the EPS and Dividend :

For our shareholders , the diluted EPS for the last 12 -months came in at INR62.91, which is up 8.7% year -on-year. The board has declared an interim dividend of 12 per share for the quarter and on completing 25 years of listing, the board has also announced an additional special dividend of six per share. The record date is 17th of January '25 and the payment of the same shall be 24th of January '25. That brings our 12-month payout at Rs.60 per share, effectively distributing 95.2% of our net income.

Now , moving on to the guidance:

As mentioned in our investor release, our revised guidance for the financial year ' 25 are as follows. The revenue growth guidance is for the full year is 4.5 % to 5% year -on-year in constant currency terms. This includes approximately 50 basis points contribution from HPE CTG acquisition Services . Services revenue growth is also expected to be between 4.5% to 5% year -on-year in constant currency terms. EBIT margin guidance is unchanged at 18 % to 19%.

That is all from my side and now I will pass it on to the operator for the Q&A. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra: Just a quick question on the guidance and also your comment on the ACV up 9 %, 20% YoY. Seems to be implying a negative at the midpoint for the 4th Quarter . Can you maybe elaborate a bit more in terms of where that comes from ? And , since you mentioned smaller deals are converting faster , could you broadly talk about discretionary spending across the industries ?

C. Vijayakumar : For Services , the organic Q4 ask rate which was (-1.32%) to (+0.6%) to reach the lower end and higher end of the guidance . We have seen an improvement in the demand ; small deals are getting converted quicker and larger deals are taking time. That is why you see

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the TCv has not changed materially, but ACV has. While we feel good and confident of the pace of recovery, Q4 outlook accounts for a couple of things ; one is successful delivery of a large transformation program which is coming to an end in Q3 , there is a planned reduction in the mega deal which was expected and ramp up in some of the discretionary deals also will

I take some time because some of the conversions happen towards the end of the year. Now ramp up and getting into revenue only partially will get realized. So, the underlying momentum remains quite strong, but some of these factor's kind of make Q4 a little soft.

Ankur Rudra : Thank you. How does calendar 25 looks to you right now, given how you're seeing conversations around budgets and spend perspective? One of your peers highlighted that they are seeing improved deal signings and revenue conversion. Now you of course have some one-offs in 4th quarter , but historically we've also seen a softness in your 1st quarter . How should we think about the next four quarters on a momentum perspective?

C. Vijayakumar: See, we've called out the pickup in discretionary spend if you really look you have seen a broad -based nature of our growth in Q2 and Q3. And we talked about Q4 as well, I think, excluding these two factors which would be visible in retail CPG and the telecom vertical, we expect good growth in other verticals. Our annual guidance is released in April when we close the earlier fiscal, so numerical answer or even a directional answer, you probably will have to wait. I think the Q1 softness that you saw last year was also specifically due to one large deal getting into the second year. I think that element will not be there, or it will only be there marginally in Q1. Other than that, I think it should be a regular BAU kind of a quarter. Beyond that, the pipeline is good, and we think we will deliver a good

booking in the next couple of quarters. Beyond that, I don't want to give you any direction on FY26.

Ankur Rudra : I appreciate the color. Just one last question on AI. You spoke a lot about Agentic AI. Just a question, the impact of this, is it different from what you had highlighted during the analyst day back in August? And overall, is Agentic AI adoption going to be additive or diluted to your service portfolio? Thank you.

C. Vijayakumar: Yes, I think it was similar to the conversations that we highlighted during the analyst day. Now, I think some of this is getting better enabled, especially in the business process space. Agentic is much more promising and I think the real difference is the cost at which you can do this is going to make a big difference because Agentic uses small or very small models and very, very specific models. That makes the whole price performance of what we want to achieve much more compelling, and we think the adoption will accelerate. At this point, I see it as a net positive because the biggest driver due to GenAI
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is the legacy modernization programs. So, I think that is picking up a lot of steam. Mainframes, where clients were very hesitant to touch, at least clients are happy to initiate certain programs around it. The second big element is data, we've seen a good uptake in our data pipeline and the bookings in the last quarter. I think these two and a little more drive towards cloud adoption. I think these are really the core discretionary spends, but it is getting accelerated due to some of the POCs that have been done or early experience on Gen AI.

Moderator: Thank you. We have the next question from the line of Surendra Goyal from Citigroup. Please go ahead.

Surendra Goyal: Yes, good evening, gentlemen. CVK, can you share the ACV trends on a LTM basis now that HCL Tech has started disclosing that data point again?

C. Vijayakumar: Surendra, I don't have the LTM trend readily available. We can share it maybe towards the end of the call if we can.

Surendra Goyal: Sure. And the second question is on planned reduction - was it known in October when you reported the second quarter? And the reason I ask is the upper end of your guidance was building in a pretty high growth, implied growth in 3Q, 4Q. And in the press conference, you said that 3Q played out

at least for services in line with what you thought?

C. Vijayakumar: Yes. So, I think our guidance was 3.5 % to 5 %, and the midpoint of that was 4.25 %. And if you look at our organic guidance now, the midpoint continues to be 4.25 %. In this whole, when we provided the guidance, we had assumed Q3 to be stronger and Q4 to be weaker because we knew this anniversary impact of the large deal would kick in Q2. It's not at the same proportion as we talked about last year. This is a little gradual impact. We had a small impact in Q3. There'll be a little more impact in Q4 and maybe a residual impact in first part of Q1. So, we had factored that in. The large transformation project coming to an end where we will recognize the revenue of the completion that was also factored in and that's why Q4 was stopped.

Surendra Goyal: My question was more relating to the higher end of the guidance, but I get the point.

C. Vijayakumar: Yes, and then higher end of, the guidance also factored in our regular performance in the software business at the midpoint. And like the last two, three quarters, we saw a very good uptick. So, if that momentum continued, then we were kind of inching a little bit above our midpoint. So, those were the rationale for the previous guidance. And now also we are at the midpoint organic exactly the same.

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Surendra Goyal: And last question on software, could you elaborate a bit on that? Is it more a timing issue or are you seeing client's kind of maybe behave a little differently?

C. Vijayakumar: No, I think the client behavior is not changed. And in fact, there is definitely a very good acceptance and a renewal rate, all of that has gone up. Some of the renewals and new closures that we were expecting to happen in December did not happen. Now, this should not be interpreted that the shortfall will get made up in Q4 because there is no certainty of the outcomes on the transactions which did not happen in Q3. So, we still bake in the low single -digit type of growth for the software business on a full year basis.

Moderator: Thank you. The next question is from the line of Abhinav Ganeshan from SBI Pension

Fund. Please go ahead.

Abhinav Ganeshan: I just wanted to understand one small clarification - do you think there can be any impact on your BFSI vertical going forward due to the forest fires which have happened in California. If I look at it, we are working with 3 of the large 5 insurance players which are focused in California. So, if you can give some color on that, that would be useful.

C. Vijayakumar: At this point, we have not seen any impact. I think it's an evolving situation and I think when similar things happen, clients want to bring more optimization and things like that. But these are very large nationwide insurers. So, we think the business will continue to be robust in these clients at this point. And, it's a little early to even get a view of what the impacts could be.

Moderator: Thank you. The next question comes from the line of Vibhor Singhal from Nuvama Equities, please go ahead.

Vibhor Singhal: CVK, just wanted to get some color on the manufacturing vertical. I think a couple of quarters ago we had called out that we had seen some weakness in the German automakers and overall vertical. What is it that you are picking up at this point of time and if there is still weakness, do you believe that will persist for some time and your overall outlook on how we should look at the sector from the next three months perspective?

C. Vijayakumar: Manufacturing ex -automotive looks good. We see discretionary spend and some of the projects are driven by SAP. If you look at my open demand for manufacturing, the numbers are higher than what it was at the end of September. Automotive continues to remain challenged. I think there will probably be one or two more quarters of decline

before some green shoots will come. The reason I am saying this is while there is pressure and there are declines, it's also an opportunity for us to construct large transformative
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type of deals. We're seeing some traction there and over it is still a couple of quarters away before something meaningful translates.

Vibhor Singhal: Got it. That was very helpful. My second question is on a different retail vertical. This vertical had typically been quite weak all through the last year for entire industry. We had one of your peers recently talking about the vertical bottoming out and we too have delivered quite a handsome performance in this vertical in this quarter. So, if you could just throw some light on what are the moving parts in this vertical, do you think most of these consumer companies or which pockets are the ones which are seeing this kind of momentum? And specifically, is it more US retail or Europe retail, which is kind of showing a stronger performance than the other one?

C. Vijayakumar: Yes, our performance is driven by the US Retail CPG client base. Of course, there is one big transformation project which came to an end which created the double-digit sequential revenue growth. But even if I exclude that, there has been some good momentum in three or four large clients in this segment. The open positions are also, may not be as significantly higher like in FS, Tech and other verticals, but Retail and CPG is also showing some improvement more in the US.

Vibhor Singhal: And could it be just a quarterly thing that this was a quarter in which there were holidays and a bit of momentum that these vertical catches or do you think this at least at this point of time appears to be sustainable?

C. Vijayakumar: No, I think it's very correlated to the wins. So, the next quarter you will see a dip in retail CPG because the big project is over and that will have an impact. But our general booking is higher, but it is not going to compensate for this dip. But overall, the pipeline in this segment is looking good.

Moderator: Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just a couple of questions. Firstly, can you clarify once again, you said minus 1.32 % to plus 0.6% 4Q implied growth. One is, did you mention it for services and is it organic or does it already include the impact of HPE asset?

C. Vijayakumar: I specifically said for services organic Q4 ask rate minus 1.32 % to plus 0.6 %.

Rishi Jhunjhunwala: Understood. Okay, great. The other question is on just the broad-based nature of growth. If you look at it from a client concentration perspective, our top five clients are pretty much growing at 30% plus for the last four quarters. So, a large part of our growth this year has been primarily attributable to the top five. Just wanted to understand, are you seeing clear signs of growth spreading to your non-top five and even beyond top 20?

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Given that you have made some comments on the ACV side, but just wanted to understand whether is growth becoming a bit more broad-based versus what we have seen in the last year or so?

C. Vijayakumar: Yes, I think at a macro level, what your conclusions are correct, but if you just adjust the state street divestiture and adjust for one large program where we had the second-year impact, then you will see a much more broad-based growth. So, these two are some specific items which might kind of compensate for some of the things. Across many verticals, you will see the same momentum. So, I think with this data point, you should be able to arrive at a slightly different conclusion.

Moderator: Thank you. The next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: My first

question, CVK, was around the mega telecom deal which we have. There is a planned ramp down in the 4th Quarter. Is there any other background on any of the changes which you are aware of over the next one year, which may be coming up?

C. Vijayakumar: Next one year, nothing that kind of stands out because we didn't do a mega deal outside of that deal last year.

Kumar Rakesh: Okay, and in this mega deal, there's only one planned ramp down which will play out in the 4th quarter.

C. Vijayakumar: Yes, I think a very small piece in Q1 as I mentioned earlier, but largely it should be done in Q4.

Kumar Rakesh: Got it. Secondly, on your software business, we have seen despite revenue coming down on a YoY basis, the margin was pretty strong, actually among the highest which we have seen in this quarter. Similarly, last quarter also, the margin was pretty strong. So, is there any change in the mix of products which you are selling? Is it just a quarterly phenomenon?

C. Vijayakumar: Maybe Shiv, you can respond, and I will add something more.

Shiv Walia: So, the Q3 is a seasonally strong quarter for us for software, but the margins this quarter improved because of two factors. One is the reduced cost as well as lower amortization benefit, we got in this quarter. So, these two factors added to the improved margin in this quarter.

C. Vijayakumar: And also, to add, we had discontinued some products as well. So, that also helps us slightly improve the margins.

Kumar Rakesh: Yes, so that should have reflected in the lower amortization as well.

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C. Vijayakumar: Yes.

Kumar Rakesh: Can you quantify if possible, how much of that benefit is coming from your amortization?

C. Vijayakumar: I think we didn't want to call out the by service segment how much amortization.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: CVK, if I understood correctly, last year in the 1st quarter, we called out close to a 2% QoQ dip because of the normal seasonal softness in services business, offshoring in one of the large BFSI deal and some revenue run downs in the discretionary sales. While entering in the 1st Quarter of this coming financial year, FY26, seasonal softness may continue but the other two parts may not continue. In that scenario, one can directionally believe that the 1Q FY26 as a start could be better than 1Q FY25?

C. Vijayakumar: I think your observation that two of the three factors will not play out in Q1 of FY26, but I don't want to give a commitment on how Q1 will really play out. Qualitatively, the three things that contributed in FY25 Q1, only one of them, which is the normal seasonality productivity benefit. Only that will play out. Beyond that, of course, it all depends on how this quarter goes and the bookings and a lot of other elements would come into play.

Sandeep Shah: Okay, fair enough. And second, on discretionary spend revival, do you see across most verticals or which verticals you believe it has not been happening? Is it more beyond BFSI and Tech services?

C. Vijayakumar: Yes, I think it's across the board except we still are not seeing any pickup in Life sciences and Healthcare and even the segment which we call as public services which is what energy, oil and gas, utilities, TTL and then Public Services. These two we still don't see. All the other five verticals we are seeing open demand from end of September to end of December has gone up. And it's an improving trend.

Sandeep Shah: Okay, thanks. And the last question to the CFO. I think you called out 20 bps impact

because of the M&A this quarter. So, I just wanted to know what it could be, looks like for one month. In the coming quarter it may have an incremental 40 bps impact or lower than that because some of the non-recurring M&A relate

d costs may not come in the 4th Quarter.

Shiv Walia: It's going to be around the same range because we did have some integration cost also in this quarter so I don't expect it becoming 40 basis point.

C. Vijayakumar: The recurring component will remain there is.

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Shiv Walia: Because when we acquire, initially start with the amortization of some of the intangible effects also so that will continue but not the initial integration cost.

Moderator: Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Two questions from my end. So, the first one is that, see, if you look at the software revenue in the current quarter and compare it with the 1st quarter of this year, I compare it with the 1st quarter because the 1st quarter revenue in this year and the last year was the same. The differential this time is \$67 million versus \$87 million during the same period in the prior year. Now you also mentioned that one shouldn't assume that the shortfall will come back. So, does this mean that this is like a loss revenue and this is a new base revenue run rate for this business? Second is this really driven by the shutting down of your products or it is just a client has sort of chosen not to sort of renew something.

C. Vijayakumar: Yes, so I mean, I think when I said that you should not extrapolate the comment that some of the renewals and some new opportunity discussions got delayed, you should not extrapolate to Q4 because those outcomes are still not clear. And these are the customers could decide not to renew, or they may decide not to expand on the renewals. So, there are many scenarios. So, it's still subjective and it's not like a sure shot it will come in Q4. So, I think that's why we called out a caution. And what was the other question?

Nitin Padmanabhan: No, I think that covers it. The second question is, I think, see over the last 18 months, we really have not seen any meaningful spending from clients. So, considering there has been a lull, there are two scenarios. One is that do you think that there will be, because they're not doing spending and you have increasing technical debt, no matter the macro, there will be a pickup in spending. Is that a fair way to assume things? Or do you think that there was an overspending earlier and thereby the 18 months didn't have it? So, how are you thinking about it broadly?

C. Vijayakumar: Yes, I think I did touch upon this in Investor Day as well. I think some of the challenges that the industry faced were also two parts. One is that during COVID there was a steep increase in spend, a moderation of that created the decline for a few quarters, maybe starting from December 2022. And the second one, of course, because of the macro, there is some tightness in the decline budgets and spending and reprioritization that has been happening. I think the reprioritization topic, while still it is relevant, but we are seeing customers at least modernizing data, cloud migration, and app modernization. These conversations are moving forward with some starting of projects. So, I think that

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is the difference. And that trend, we saw it last quarter. In FS, we were seeing some green shoots in tech, and that has really played out well, and now we're seeing in other verticals, barring the couple that I called out. So, I think with this factor moderating, customer spending should improve, as we've seen in the last couple of quarters.

Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Congrats guys on the broad-based growth and the improvement in ACV. What is your take on how to think about how HCL Tech is positioned in the competitive space when demand is picking up? I mean, historically it's

been thought that you guys are not very strong in applications and not very strong in discretionary spending or when spending picks up, you will not benefit as much as your peer group. How should we think about

that now?

C. Vijayakumar : So, Ravi, I mean, I think this question has been asked in the past, but if you really see - the proof point was FY23, where when the spending was robust and without a large deal, we delivered the highest organic growth in services across industry . So, I think that we should put to rest about our ability to maximize when there is a strong spending environment comes up, both in engineering and in application space. We feel pretty confident, and we are gearing up for an environment where there will be improving spend. It may not be so rapid like the way it happened during COVID, but it will, we are seeing the right signals, and we are tracking it highly, with a very high level of precision. And I think our conclusions are based on that and we are well prepared. However, we should just keep in mind that there could be significant changes in the policy environment and the over all business landscape in the coming days and weeks and months. So, which might change some of the clients thinking and maybe spending patterns and reprioritization. Barring that, I think we are really well prepared to harness the upcoming momentum.

Ravi Menon : Thanks, CVK. A quick question on the H1B issue. And I know that HCL Tech historically has moved away from visa dependency, and I think you had more than 70% of your workforce in the US location . Would that roughly be correct?

C. Vijayakumar : Yes, I would request Ram to respond to that please.

Ramachandran S.: Yes, but in fact it's closer to 80% of the US employee base is now local. So, you're right, the reliance on H1B is one of the lowest in industry in proportionate terms. So, we don't expect any impact because of the H1B changes.

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Ravi Menon : Thank you. One last question from me on the ER&D side. You were talking about how this quarter, we might still see some softness in ER&D, but it looks like that's done well . Were there some unexpected areas of spend that picked up?

C. Vijayakumar : No, I think, my comment was not on overall ER&D. I think my comment was specific to automotive segment, of course, which has a contribution towards ER&D. But the telecom, tech; telecom, the nature of deals are a little different, but tech has got good projects. And even some of the manufacturing, I think our open positions have significantly increased in ER&D. And right now, we are trying to see how best we can fulfill that is our biggest priority for this quarter because some of this happened towards the end of the last three weeks or last four weeks of the quarter. And I mean, the overall ER&D in the two quarters we've had good growth organically as well. So, we think that momentum would continue.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar – CEO and MD for closing comments. Over to you, sir.

C. Vijayakumar: Yes, thank you for joining this call and we are looking forward to some exciting times in the overall business landscape and we will keep you updated as we progress and thank you for your continued support and have a good evening.

Moderator: Thank you. On behalf of HCL Tech, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2025

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India

April 25, 2025

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Audio recording of the Conference Call held on April 22 , 2025

Dear Sir/ Madam,

In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Audio Recording of the Conference Call held on April 22 , 202 5, post the announcement of the financial results of the Company for the quarter and year ended March 31, 2025 .

The is also available on our Company's website <https://www.hcltech.com/investor-relations> .

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl.: a/a

"HCLTech 's Q4 FY25 Earnings Conference Call "

April 22, 2025

Management:

Mr. C. Vijayakumar – Chief Executive Officer & Managing Director

Mr. Shiv Walia – Chief Financial Officer

Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen , good day and welcome to HCLTech 's Q4 and Annual FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions after the presentation concludes .

Should you need assistance during th e conference, please signal an operator by pressing "**", then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Moh ta – Investor Relations. Thank you and over to you, Mr. Mohta .

Nitin Mohta : Thank you, Renju. Good morning and good evening, everyone. A very warm welcome to HCLTech 's Q4 and Annual FY25 Earnings Call.

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCLTech ; Mr.

Shiv Walia – Chief Financial Officer ; along with the broader Leadership Team to discuss the performance of the company during the quarter, followed by a Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking sta tements. All forward -looking statements made herein are based upon information presently available to the Management , and the Company does not undertake to update any forward -looking statements that may be made in the course of this call.

In this regard, please do review the safe harbour statements in the formal investor release documents , and all the factors that can cause the difference.

Over to you, C VK.

C. Vijayakumar : Thank you, Nitin. Good evening, good afternoon, and good morning to everyone.

Thank you for joining us for Q4 and FY25 Earnings Call.

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Let me get straight to the business performance :

At the beginning of the fiscal year, there was cautious optimism regarding growth considering the market situation, in the backdrop of reduced discretionary spending and a slowdown in certain industry verticals.

In FY25, we demonstrated resilience and growth, supported by our diverse and all-weather portfolio, despite uncertainty in the global economy. I am pleased to share that we have delivered superior growth with good control over steady profitability during this p eriod.

Our razor -sharp focus on clients during this period of uncertainty helped us achieve results that matched our guidance. I sincerely thank all HCLTech ies for their dedication and performance during this especially tough year for the industry.

In FY25, we reported a consolidated revenue of \$13.84 billion, an increase of 4.7% in constant currency. All growth rates I would refer to, would be in constant currency. This growth is attributed to both Services and Software business. Our operating margin was at 18.3%, a 7 basis points increase over FY24.

FY25 marks the third consecutive year of our Services business outpacing our similar -sized peers. In FY25, our Services business achieved a growth of 4.8%. This performance was driven by IT and Business Services , which reported an increase of 4.6% ; and Engineering and R&D Services , which recorded growth of 5.5%.

HCL Software also demonstrated strong performance with a growth of 3.5%.

HCL Software's Annual Recurring Revenue, ARR, is now at \$1.03 billion. This also

marks a growth acceleration in HCL Software compared to FY24.

Now to provide a snapshot of our Q4 performance :

Our revenues declined 0.8% sequentially , due to the seasonality in the Software business . It grew 2.9% on a year -on-year basis. Our operating margin for the HCL Tech

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quarter stood at 17.9%. Our Services business grew 0.7% sequentially and 2.7% year -on-year.

In terms of geographies :

During the financial year, all 3 grew. Americas, the largest IT Services market grew 5.3%

; ROW followed with a 4.7% increase ; and Europe grew 3.5% year -on-year. Shiv will later comment on geo -reporting going forward with some changes that we have coming up.

In terms of verticals :

This year our leading vertical was Telecom , Media and Publishing , which exhibited a very strong growth of 43.4% in FY25; Retail & CPG achieved a 10.7% increase ; Technology and Services grew 6.7%.

Further to capitalize on the large spend of public sector , and in line with the strategy to expand our market participation, we recently established HCLTech Public Sector Solutions, a subsidiary dedicated to serving state and local government , and education organizations , as well as federal, civilian and defense agencies in the United States.

We continue to focus on and add G2000 clients or equivalent and emerging enterprises even during this period of relatively slow industry growth. Overall, we have added 6 customers in the \$50 million category , and 1 in the \$20 million category on a year -on-year basis.

In terms of booking :

We had a very strong quarter. In fact, the second highest after the September 2023 quarter, which was on the back of a mega deal, which all of you know. This quarter, we did \$3 billion of net -new booking. At the fiscal year level, the total new booking TCV stands at \$9.3 billion .

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During the quarter, the strong booking was well balanced across service lines, geographies and verticals. Our Engineering and R&D Services business had a record high booking, which is a 75% growth in FY25. This demonstrates the great execution of our integrated GTM organization .

A couple of deals that stand out in Engineering Services include a US -based global high -tech company , who selected us for a mega engineering Services deal to serve the rapidly growing AI -powered silicon and software -defined vehicle segments. The client will leverage our industry -leading capabilities in semiconductor space to bring cutting -edge solutions to the market.

We announced a collaboration with ChargePoint, a leading provider of networked charging solutions for electric vehicles, to accelerate innovation in EV charging software and to deliver scalable and customizable EV charging experiences. We have established an advanced R&D centre for ChargePoint in Bangalore.

As I mentioned, our deals were balanced across verticals this quarter. For example, in Financial Services , the Western Union has formed a strategic partnership with HCLTech to drive innovation and transformation.

As its largest preferred partner, we will enable the Western Union's transition to an AI -led platform operating model , driving agility and scale in the market. We continue to see good traction in Telecom , Media, and Technology sectors. A Fortune -50 telecom company expanded its partnership with us to enhance its high -density network performance and customer experience. We will guide the implementation of client 's customer experience services portfolio.

A US -based global media company expanded its partnership with HCLTech to establish an AI Centre of Excellence for direct -to-consumer platforms, media supply chains, enterprise systems, and brand experiences.

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Geographically, we are well -diversified globally as we are winning deals across

our focus on new frontier markets, apart from our core markets like US, UK, and Nordics.

A Middle East -based real estate company selected us to modernize and manage its entire technology operations, leveraging our cutting -edge AI Force and Cloud SMART solutions to drive its digital transformation and improve customer experience.

A Europe -based global technology major selected HCLTech as a strategic infrastructure partner for its rapidly expanding enterprise applications, cloud platform, and customer base.

I will talk about some of the other interesting deals in AI , when

I discuss the progress around our AI initiatives.

In terms of pipeline :

We are very pleased with the health of our pipeline. It continues to be near all -time high , even as we saw healthy conversions in Q4. The pipeline is supported by multiple deals across ITBS, ERS, and HCL Software . Notably, AI and GenAI are now integral components of almost every deal. Both America s and Europe have shown considerable growth in the pipeline during the last quarter.

In terms of people :

As of 31st March 2025, our count was 223,420 across 60 countries and includes 167 nationalities. Our IT Services voluntary attrition on an LTM basis is at 13%, one of the lowest in the industry. As the revenue grew 4.7% this year, we had a 1.8% reduction in our employee base. This was well supported by acceleration in our AI-led automation efforts.

It's directionally aligned with our intent to drive non -linearity in our business. We have made significant strides in AI and GenAI impacting both clients and internal operations and processes. Our 4 flagship AI offerings - AI Force, AI HCL Tech

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Foundry, AI Labs, and AI Engineering, have seen substantial adoption and scaling in FY25.

AI Force has gained significant traction with 57 deployments among 22 clients in this financial year. These service transformations have created a significant business impact for our clients, such as a billion -dollar impact for a large insurance company by accelerating their policy modernization using GenAI. We have integrated the AI Force platform with leading technology providers, including NVIDIA, Intel, Google, Anthropic Claude 3, Amazon Bedrock, GitHub Copilot, SAP, Azure, OpenAI, et cetera .

We are driving agentic capabilities for a variety of use cases. AI Force has built 50-plus pre -built recipes across requirements, development, testing, DevOps, technical support, and supporting commercially off -the-shelf products.

AI Engineering has been pivotal in this transformation, offering solutions such as vision -based inspection, predictive equipment failure analysis, silicon engineering, data and AI transformation, and more.

We launched :

- Assure AI, a comprehensive suite of testing Services , to ensure the quality and trustworthiness of LLM -powered applications.

- 3D IIP, which is 3D Industrial Inspection Platform, for AI -powered autonomous inspection in asset -heavy industries.

We are also focused on driving industry -focused and horizontal repeatable solutions, including AI -powered safety and security solutions, through multi -modal edge awareness ; and insight for defect detection and classification for manufacturers ; trade -compliant solutions in financial Services ; clinical advisor solutions ; intelligent regulatory platforms in Life Sciences ; Netsight for improved telecom network performance ; and enhanced customer experience for telecom and horizontal offerings.

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Our AI Labs continue to help clients in their AI journey. It has delivered 500 AI and Gen AI engagements for 400 clients. We are investing significantly in driving agentic capabilities across our offerings, AI Force, AI Foundry, and AI Engineering.

We are a premier partner to Google, Microsoft, AWS, ServiceNow, Salesforce, and SAP on agentic technologies. We released 50 agents on Google

Marketplace across multiple industries, transforming various business processes, including IT, HR, customer relationship management, finance, and sales. We are partnering with Salesforce to bring agentic AI to PenFed Credit Union, America's second-largest federal credit union, accelerating its journey towards enhanced member engagement and operational efficiency. We used Google Cloud's Cortex Framework, manufacturing data engine platform - Vertex AI, and agentic framework to build HCLTech Insight, an AI agent that helps enterprises by identifying product defects and other anomalies.

HCL Software is adopting AI and Generative AI into various aspects of its business. We launched UNO, our agentic AI orchestrator, to strategically target the rapidly growing agentic market for next-gen process optimisation and transformation.

With the focus on talent transformation, we have trained more than 100,000 users and 4,000 developers in AI / Gen AI in 2025. We're also partnering with ecosystem providers such as NVIDIA, IBM, Microsoft, and Google for training and certification programs.

Some of the deal wins in AI space include Carrix, the world's largest independent marine and rail terminal operator, who selected us to improve its global port operations with the advanced suite of AI engineering and AIoT offerings.

We will leverage our experience in automation, AIoT, and Vision AI to unify Carrix's various terminal management tools into one optimized system.

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Children's Minnesota, a non-profit and one of the largest pediatric health systems in the US, chose us, and we will use AI Force platform to optimize Children's Minnesota systems, reducing manual tasks and enable data-driven decision-making.

A Middle East-based financial Services firm selected HCLTech's AI Lab offerings to build COEs for key technologies like Generative AI and data, enhanced IT capabilities, and drive operational efficiencies.

A very important feature of our wins is that we have now had several instances where we're winning higher wallet share with existing customers, even as we bake in Generative AI-induced productivity gains in our bids.

In terms of business outlook :

Enterprises are expected to accelerate the adoption of AI into their digital core, to address technical debt and modernize legacy systems. This will require cloud migration efforts, updating infrastructure frameworks, and developing a solid data foundation.

AI-led efficiency ambitions of clients will continue to drive demand, emphasizing vendor consolidation and technology transformation.

In this period, discretionary spending will continue to be subdued. New technology projects will need strong ROI justifications, with client organizations amidst macroeconomic challenges. However, geopolitical factors like tariffs and deglobalization are expected to impact IT Services. It may lead to budget cuts and contract renegotiations or delays. In the coming months, it will be important to observe and monitor the evolving developments.

It can also play out differently, where quick decisions are made to optimize costs and diversify supply chains. We will be nimble enough to capitalize on opportunities. We remain committed to collaborating with our clients, supporting them in achieving their primary objectives as a trusted partner.

Together, we will navigate through these uncertainties.

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As I look beyond the uncertain short-term, we strongly believe there are strong growth opportunities emerging out of the market uncertainties. We are well positioned to capitalize on them, as we continue to diversify and expand our portfolio to address the needs of enterprise clients in the AI era. I think it's important to make those strategic decisions and the right investments, both organically and inorganically, keeping the long term in mind.

With respect to our guidance, as mentioned in our Investor Release, our guidance for FY26 is as follows. The revenue growth guidance for the full year is 2% to 5% in constant currency. EBIT margin guidance is at 18% to 19%. The guidance is the same for Services and Company.

Now I would request Shiv to walk you through more details on the numbers.

Shiv Walia : Thank you , CVK . Good morning, good afternoon , and good evening to all of you.

Thank you for joining our Q4 FY25 Earnings Call.

Let me walk you through our financial performance for the quarter first :

Starting with the revenue perform

ance :

Total revenue for the quarter is at \$3,494 million, a 0.8% degrowth quarter -on-quarter , attributed to the software seasonality with a growth of 2.9% year -on-year in constant currency terms.

Coming to the Services side :

Services revenue came in at \$3,163 million, which is an increase of 0.7% quarter -on-quarter , and a growth of 2.7% year -on-year in constant currency terms. We are pleased with the positive sequential growth despite tactical headwinds in our portfolio that we had talked about in January.

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Software revenue for the quarter is \$348 million, a 12.9% degrowth quarter -on-quarter due to the usual quarterly seasonality. This represents healthy growth of 4.9% year -on-year in constant currency terms.

Moving on to the profitability metrics :

Our EBIT is at \$627 million at 17.9% of revenue, which is a year -on-year improvement of 34 basis points. Net income for the quarter is \$496 million at 14.2% of revenue.

Just to give you some color on how our margins have moved quarter -on-quarter, seasonality in Software business caused 124 basis point drop in margins at the company level. Services margin dropped by 38 basis points quarter -on-quarter due to second cycle of increments in this quarter, which had an impact of 50 basis points and Forex had a positive impact of 46 basis points. A balance drop in margins is contributed by investment in sales and marketing. Project Ascend continues to help us to deliver to our margin goals, even as we continue to make investments in sales and build our Gen AI capabilities.

Now moving on to our Financial Performance for the full Financial Year 2025:

Again , starting with the revenue performance. Total revenue for the year is at \$13,840 million, a growth of 4.7% YoY in constant currency terms.

Coming to the Services side. Services revenue came in at \$12,462 million, a growth of 4.8% YoY in constant currency terms. Software revenue for the year is at \$1,424 million, a growth of 3.5% YoY in constant currency terms.

And the profitability :

Our EBIT for the full year is at \$2,531 billion at 18.3% of revenue, which is an improvement of 7 basis point year -on-year basis. Net income for the year is at \$2,041 million at 14.7% of revenues.

An update on return on invested capital :

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Our ROIC continues to improve. Thanks to our ongoing focus on profitability and efficient capital management. The LTM ROIC is at 37.9% for the company, up 411 basis point YoY . And Services ROIC now is at 45.5%, up 376 basis points YoY . Software continues to improve with ROIC at 19.9%, up 370 basis point year -on-year.

Our cash generation is another highlight I would like to focus your attention on.

Cash generation remains strong this year also. Over the last 12 months, operating cash flow is at \$2.63 billion, while free cash flow is amounted to \$2.5 billion for this year. Our Operating Cash Flow to Net Income conversion is at 129% , and Free Cash Flow to Net Income is at 123%. Our balance sheet continues to strengthen with Gross Cash at \$3.62 billion and Net Cash at \$3.35 billion.

Our DSO has significantly contributed to strong cash generation for the company. Our total DSO, including unbilled, is currently at 80 days, a three -day improvement, YoY basis.

EPS and dividend for our shareholder : The diluted EPS for the last 12 months came in at Rs. 64.09, which is up 10.8% YoY . The board has declared an interim dividend of Rs. 18 per share for the quarter. The record date is 28th of April 2025 and the payment date of the same shall be 6th of May 2025. That brings our 12 months payout to Rs. 60 per share, effectively distributing 93.5% of our net income.

As CVK mentioned, I just wanted to take a moment to address some of the questions that have come up regarding the difference in our geographic revenue mix between our Investor Release (IR) and Annual Report

s. There are two main reasons for this difference. First, the geographic revenue mix in IR only covers the Services business while the Annual Report disclosure is at the company level. Secondly, historically the IR disclosure was based on the location from where the relationship was managed for a particular account, whereas the annual accounts disclosure is based on the location of the billing entity.

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Starting Q1, we will align the IR disclosure with our Annual Report approach. For comparison purposes, this IR release includes the geographic revenue mix according to both approaches. Hopefully, this will address your queries.

That's all from my side for now. And I would like to hand over the session to our moderator for a Q&A session. Thank you very much. Over to you, operator.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Ravi Menon with Macquarie. Please go ahead.

Ravi Menon: Thanks for the opportunity, and congrats on good guidance for next year. I want to ask about your performance in North America this quarter. We have seen a decline of 128 million quarter-on-quarter, but when we look at the verticals, it doesn't really seem to be showing up as a sharp decline in the near time for BFSI . Telecom , I think if I have not mistaken, organically it has shown growth, we have seen some weakness in Life Sciences and in Manufacturing and Retail . But overall, can you talk a bit about what you are seeing in North America and there is also some material weakness compared to your expectations going in to the quarter?

C. Vijayakumar: Yes, Ravi, thank you for your question. If you remember last quarter, we had called out that there was one large program which got completed in the Retail CPG segment. And we did call out that that will have an impact in Q4. And that impact is probably playing out in the US business. And even I called out the specific number during the last quarter. That's the only reason. Across the board we saw the quarter proceed as we had envisaged. There weren't any major surprises during this three months.

Ravi Menon: Thank you, CVK. And so the caution that you are making into your guidance, or assuming probably slight deterioration, that's something that you have not really seen yet, but you are thinking that it might happen, looking at one of the deal deferrals that you referred to in the press conference. Is that right?

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C. Vijayakumar: Yes, I think that deal deferral was not directly related to the tariff. It was based on general environment. The client decided not to go forward on that. And we did not see any cancellation or any specific rundown during the last three months. And our guidance, the lower end, we believe the environment will deteriorate from where we are. And that's what the 2% represents. And obviously the midpoint also we assume that the environment will deteriorate, but it assumes that a couple of large deals, which were in the pipeline, we are likely to close in Q1. That's the assumption for the midpoint. And at the higher end, we believe the environment could remain the same and we will do well in Q1 based on the pipeline and the deals which are expected to be closed.

Ravi Menon: Thank you for the detailed explanation. One last question on the ER&D side. I mean, last year we had seen decline in ER&D. So, how is the environment looking for that segment?

C. Vijayakumar: Yes, it's good. And we are very happy to report that our year-on-year booking in ER&D has grown 75%. Our joint go-to-market across most verticals are delivering very good results. A lot of client relationships where we could significantly create a mindshare on our engineering capability. And we think it's going to be a good growth year for our ER&D Services purely based on what we have done

and what we have seen. Obviously, the macro might have some impact, but as we see it now, we feel good about how ER&D will play out in FY26.

Moderator: Thank you. Next question comes from the line of Sudheer Guntupalli with Kotak

Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Yes, hi, CVK. Congrats on the good numbers and a couple of questions. So, if you look at the general consensus of the economists, we are almost in a recessionary environment with median odds of US recession pegged at around 50-60%. However, that kind of gloom is not reflecting in your guidance or the outlook shared by a couple of your competitors. So, what is driving this disconnect? Is this because of the fact that industry is now coming off to back-to-back low growth years, and we might be at a stage where the business cycle

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and easy comps, sort of put a floor on the extent of growth deterioration this time around?

C. Vijayakumar: Yes, I mean, obviously, so far we haven't seen any impact, but I mean, I think we are all reasonably certain that the environment will deteriorate. And yes, as you are referring to the recession is the most likely outcome. And that's what is baked in a lower end of our guidance, which does not assume any meaningful growth from our exit. I think our forecast is also driven by the Q4 bookings and we have had a good booking and it will definitely convert into revenue and we have analyzed each of the deals. We believe it's very important for clients to continue and some of them may not really have an impact due to tariff. So we feel confident of the ramp up of the Q4 bookings. And it is one of the strongest bookings that we have had in the recent past.

So, I think that's where we are. I guess it's very dependent on where you are in the business and what has been the performance on booking in the recent quarters and how your pipeline looks and things like that. I mean, 2% to 5% is still a very modest kind of guidance because we were used to much higher numbers in the past. So, I think we will see how it evolves. We have factored, as I have explained, the two, three scenarios which kind of advises our guidance.

Sudheer Guntupalli: CVK, thanks for that color. So, at the bottom end of the band, just for clarity, when you say macro is assumed to deteriorate further, is this a scenario where the US may actually go ahead implementing the reciprocal tariffs announced on 2nd April after a 90-day pause?

C. Vijayakumar: I mean, I am not trying to take a guess on how exactly this will play out. A general assumption that the discretionary spending environment will deteriorate. It could be due to various factors. I mean, obviously, what you are saying is possibly the first trigger. But I am not like specifically saying only if this happens, this will happen. Generally, due to various reasons, the discretionary spending could deteriorate. And, I mean, recession and all of that, so that's the assumption.

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Sudheer Guntupalli: Sure, sir. And when Ukraine war and Fed hiking cycle started in February - March 2022, the most real-time indicator we had seen was deterioration in deal-bookings by April or May months. So, how has been the deal-booking and pipeline discussions this time around in March and April months compared to December '24 or January '25 months? And are you seeing any similar pattern of deterioration in deal-bookings even now?

C. Vijayakumar: It may be contrary to what everybody expects. 50% of our \$3 billion booking happened in March. So, we did see a very good closure. There is a sense of urgency. As I said, one of the comments, is quite possible this environment might make people make decisions faster, especially on efficiency-led, AI-led and AI and efficiency-led opportunities. So, it could play out either ways. So, we don't know how it will really play out.

Moderator:

Thank you. Next question comes from the line of Abhishek Pathak with Motilal Oswal Financial Services Limited. Please go ahead.

Abhishek Pathak: Hi. Thanks for the opportunity. CVK, just a clarification on the upper end of guidance. So, as you said, right, I mean, if you end up closing the large deal and the demand environment remains the same, in that case, should we assume an upside kind of risk to this number? That's one.

And the other question I had was slightly nuanced around the nature of demand this time. You did mention that discretionary spend will again be subdued. And if we again go into kind of cost takeout sort of scenario, do you think this time the cost takeout will be AI driven? And if yes, are organizations even ready to

sort of scale AI enterprise wide, which means , should we kind of, you know, be expecting accelerated spend around data and cloud and stuff like that in which scenario again, what exactly is discretionary anymore, right? So, any color on that will be helpful because cloud and modernization ideally would be considered discretionary, but in the scenario that we are talking about, all of those spends might actually be fast -tracked. So, any perspective on that, that will be helpful. Thanks.

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C. Vijayakumar: Okay, right now, our guidance is 2% to 5% and as you clearly understood the assumptions for the upper end of the range. I mean, based on Q1 bookings or how the Q1 pans out, we will give you an update. Right now, 2% to 5% is our guidance. The nature of demand, see, today it's very difficult to think of a pure play cost optimization deal, which really means using global delivery and shifting labor and things like that. They are far and few of that nature.

It's always led by some transformation, which is going to drive a reduced total cost of ownership over a longer period of time. And in this aspect, Generative AI is a huge positive trigger, like modernization of applications. They are not, I mean, obviously they are modernizing for many reasons, but one of the very important reasons is to simplify the landscape and reduce the cost of ongoing management of these platforms.

So, I do believe there will be good modernization type of programs. Like in Engineering Services , there is obviously a lot of development work that happens. These are not just cost take out, but it's really creating higher capacity to innovate by leveraging a lower cost solution, right? And I think the large engineering, the mega engineering deal that we signed is really in this category. And we plan to ramp this up fairly quickly as we go through the first two quarters. Cost take -out in isolation does not exist. It's more modernization, transformation through AI, and then an outcome of that is what the efficiency benefits the clients get.

Abhishek Pathak: Thanks, CVK. And just a very small follow -up. Do you think the cost pressures will kind of put a little bit of a break on the GCC expansion story? Do you think vendors now become, I mean, they again become the first go -to solution for clients in this scenario?

C. Vijayakumar: It is very difficult to kind of respond to that. I mean, what you are saying is logically right, but I don't have a strong view on that.

Moderator: Thank you. Next question comes from the line of Surendra with Citi. Please go ahead.

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Surendra : Yes, good evening, everyone. CVK you made a point on higher wallet share in clients where you pass back AI -led efficiencies. So, just three points on that.

Could you share, firstly, the level of deflation you are seeing for existing business in those situations? Secondly, what happens to your revenue run rate in absolute terms on an ongoing basis with the higher wallet share gains? What are the trends you have seen so far? And third, who are you getting this wallet share from? Thanks.

C. Vijayakumar: Yes, so the

level of deflation is something which is very dependent on what services are we delivering. If you are looking at software development, then I think the AI Force adoption is a journey. And if it is fully adopted, in fact, there are four clients who are looking at not just our portfolio of SDLC. But all the vendors in their ecosystem are expected to leverage the AI Force platform. So efficiency is a little broader.

And in software development, we are looking like 20% to 25% when we are able to implement and the maturity picks up. And we have a number of recipes which helps drive maturity in the whole SDLC life cycle. In digital process operations, agentic solutions are very real. We believe there can be a significant reduction. And I mean, obviously we have a very modest book of business in DPO, but we are obviously going after a large installed base, both insourced and outsourced to drive this. There it can be anywhere between 20% to even 50%. And obviously this is not happening on day one. There is a roadmap, and it also requires clients to do a lot of things. So it's more of a joint journey, but with a clear vision and proof points on what can be achieved. The wallet share gained, in fact, most of

the renewals that we have done. This quarter was also a very strong renewal quarter. There was incremental business from almost all the renewals that we signed. It was more than the deflationary impact. I wouldn't be able to call out anything more specific. And I hope this was able to address your question.
Surendra Goyal: And the third part was who are you gaining this wallet share from?
C. Vijayakumar: From all our friends in the market.

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Surendra Goyal: That's what all our friends tell us, all your friends. And just one, sorry, go ahead.
C. Vijayakumar: Eventually that should reflect in the growth, right, Surendra?
Surendra Goyal: No, no, fair enough. And just one last point, you shared the ACV YoY last quarter at 23%. Could you share the same data point for this quarter?

C. Vijayakumar: The last quarter was unique because there were a lot of questions around our ability to meet the guidance. So we were sharing the ACV data point. We are not planning to kind of share the ACV metric on an ongoing basis, Surendra.

Moderator : Thank you. Next question comes from the line of Gaurav Rateria with Morgan Stanley. Please go ahead.

Gaurav Rateria : Hi, thanks for taking my question. My first question is on the net new deal wins. Has there been any bunching up of decisions which led to significant increase in the deal win this quarter? Or is this something that you expect more as a regular phenomena based on the kind of pipeline that you're seeing?

C. Vijayakumar: No, I don't think there was a bunching up. I mean, these were deals which are in the pipeline, which have been cooked for many, some of them many quarters. They converted during the quarter. And I mean, as I said, our aspiration was to significantly increase our booking from the two billion kind of range that we have had for a long time, except a couple of quarters where we had some mega deals. And as I called out last time, our pipeline was near all-time high without a deal of whatever we delivered in the last year. So it was more well -spread, and this deal was just above our threshold of mega deals. So in spite of, even without the mega deal, we would have delivered a very strong booking in this quarter. And the pipeline is strong. We have good number of opportunities which we think will close in Q1 or H1.

Gaurav Rateria : Got it. Second question on, from a guidance point of view, what are you envisaging from a 1Q perspective, the usual seasonality that you see or do you think that will be covered up because of the very strong ramps from the mega deal that you talked about which is going to come in the next two quarters?

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C. Vij

ayakumar: Maybe Shiv, you can respond.

Shiv Walia: So Gaurav, we do expect the Q1, it's going to be better than what it was last year, but we will have a usual seasonality again playing out. So that's what we expect in Q1.

C. Vijayakumar: It wouldn't be like last year, last year was an outlier. We would revert back to the normal small seasonality that will be there in Q1.

Shiv Walia: Basically, what we have signed that takes usual rhythm of ramping up, so it's going to take some time.

C. Vijayakumar: And it's not like a people transfer type of opportunity and we need to ramp up and that will start like a couple of weeks from now, the ramp up.

Gaurav Rateria : Got it. Lastly, from AI perspective, you have been talking about the aspiration of getting to a higher revenue productivity or revenue per employee. Basically, that means for the same revenue, you would have a lower workforce to deliver the same. So this reduction would be more from an offshore perspective, more onsite perspective. I am just trying to understand that fundamentally, will that mean any change on the delivery model that we have? Thank you.

C. Vijayakumar: I think if you see this year FY'25, revenue grew in Services 4.8% and headcount declined roughly 2%. So that's the nonlinearity that we want to build on an ongoing basis. And we envisage this execution model to be less location agnostic as we kind of get to a mix of 50% people and 50% agentic resolutions. So that's a direction we will move. It's a journey and we have seen some good use cases. There are clients who were keen to adopt it. I think the location thing will become less important, at least for half of the work. That's the way it should evolve based on what I am seeing.

Moderator: Thank you. Next question comes from the line of Vibhor Singhal with Nuvama

Equities. Please go ahead.
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Vibhor Singhal: Yes, thanks for taking my question. CVK, just wanted to get some color on the vertical distribution. What is the conversation that we are having? I think some of your peers have called out specific weaknesses in the Manufacturing and Retail verticals. Because here the companies are expected to be impacted more by tariffs if at all they come in at some point in time. Given that we had called out weaknesses in the auto segment, probably falls in the industry. What are we hearing in these verticals and do we also see these verticals to be at the brunt of the entire market also really to begin with and then maybe spillover to other verticals or is it anything different that you are seeing there in your conversation with clients?

C. Vijayakumar: So Vibhor, we did not see an impact in the last quarter, but we do see Retail and Manufacturing, including Auto to be impacted. But this impact is going to spill over to all the verticals very, very quickly. That is a sense we have based on just doing some analysis on how each customer is impacted and what will that impact mean to both upstream and downstream in their value chain. I think it's something which is going to be broad-based. It might show up in Retail and Manufacturing to start with, but it's only a quarter lag before it has an impact on other verticals. So this is just how we are foreseeing this to happen, though we did not have anything specifically in the last quarter.

Vibhor Singhal: Got it. I think the conversations that you're having with clients, say the uncertainties that they're talking about, I mean, are we able to make out that is it like a kind of a temporary uncertainty that they are waiting for the final listing of the tariffs at the end of the 90-day period? Or do you believe they are in for a longer store and they're still not able to make up their mind about the tech spends and the way forward their business is going to be?

C. Vijayakumar: I think from a discretionary spend, the little bit of thinking is to wait and watch

because they don't have clarity on how this would play out. That's the way I think.
Vibhor Singhal: Got it. But nothing on the talks of this being a temporary thing. We are just basically waiting and watching and whichever way it will happen.
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C. Vijayakumar: Yes, that's right.

Moderator: Thank you. Next question comes from the line of Yogesh Aggarwal with HSBC Securities. Please go ahead.

Yogesh Aggarwal: Hi, have a couple of questions. Firstly, on the quarter, was March weaker than Jan and Feb? Did you see any kind of weakness generally in business activity or in deal momentum?

C. Vijayakumar: So in fact, as I said, we had a large part of our bookings happen in March. Obviously, these were programs that we have been working on for a long time. So we didn't see anything specific reflective of the upcoming uncertainties that will impact this business except one large deal which was delayed or deferred or whatever not directly related to tariffs but due to the broader environment.

Yogesh Aggarwal: Okay. Secondly, the guidance in the beginning of the year was 3% to 5%. And I think on organic CC terms, you are just about closer to the lower end. So were there things during the year which happened unexpectedly or were you expecting this performance to be more closer to the lower end?

Nitin Mohta: Yogesh, we had very clearly articulated in January, 50 basis points is what inorganic is. So if you look at even from the start of the year, we are above the midpoint of the guidance that we gave. So I hope that answers. I can discuss this more with you later.

Yogesh Aggarwal: No, I get it. I think we were, I was adding the inorganic component from FY24, which was a spillover. So I get it. Thank you.

Moderator: Thank you. A reminder to all the participants, please restrict yourself to two questions. Next question comes from the line of Sumeet Jain with CLSA. Please go ahead.

Sumeet Jain: Hi, thanks for the opportunity. Firstly, just wanted to understand what is the organic growth guidance for FY26 given that the HP E asset acquisition closed on 2nd December and in this quarter you had a significant increase in your
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telecom vertical on the back of it. But there will be practically a nine -month impact or eight -month impact in next year of this acquisition.

Shiv Walia : So, Sumeet, we expect an additional ~1% impact on our next year's guidance because of CTG acquisition.

Sumeet Jain: Got it. And secondly, in your ER&D side, I mean, we can see very strong growth in this quarter. And you also mentioned that order booking had a 75% growth in FY25. So can you just highlight what's happening in your ER&D business?

Because generally, when we look at the automotive or the Manufacturing space, and ER&D is considered to be discretionary in nature. So what is the difference what you are seeing in your end markets?

C. Vijayakumar: I think of course 75% increase in booking, a big part of the increase happened in Q4 because we had one large deal and then the Western Union was also, there is a significant digital engineering component. Now, of course the current growth is a lot influenced by the full quarter impact of CTG integration. I think what we are seeing is, I mean, this whole thing, platform engineering, modernization, that's one thing. The second one is there is existing work that's happening in some of the semi conductor and other firms. And obviously, to enhance capacity or really do more with less, they are looking at providers like us. And then it's more widespread as well. We had some success in telecom. We had some success in tech vertical. We also saw some success in a couple of Manufacturing clients on the PLM side. So these are some of the examples. I won't be able to give you a macro trend which drives this.

Sumeet Jain: No, thanks, CVK. That's very clear. And las

tly, on the GCC opportunity, I can see some of your deals mentioned are around setting up GCCs in India. So can you just highlight the kind of margins you are seeing in these deals? Are they very similar to the corporate average? And how do you see this ecosystem shaping up going forward? Is it a loss of opportunity for you, or is it sort of a new opportunity getting developed?

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C. Vijayakumar: So Sumeet, we have had very good success in GCCs in the last six months. A very large company out of Germany has chosen us to build their entire digital capability. And these are at company level profitability. And we are also working, we have enough opportunities in the pipeline where it's a GCC, which is pretty much starting from scratch for a large firm and we become the partner. And obviously they may insource a percentage of it and we have made sure that the long -term for us is very meaningful in these opportunities. So we are not really focused on, I mean, completely transitioning is not something which we are looking at. We should have a meaningful long -term value from these opportunities.

Sumeet Jain: And maybe just a follow up to that, I mean, given that this insourcing can happen at any point in time from the GCC, does that reduce your annuity revenue visibility in the medium to long run from that particular client?

C. Vijayakumar: I don't think the constructs are insourcing anytime. That's not the construct that we are working on. So we have various models where it is meaningful at least three year or five year and a percentage that can get in source and things like that. Net -net, I think it is going to be a positive impact so far. Positive and when I say positive, we are constantly looking for is it long -term positive and the answer is yes.

Moderator: Thank you. Next question comes from the line of Ashwin Mehta with Ambit Capital Private Limited. Please go ahead.

Ashwin Mehta: Yes, thanks for the opportunity. CVK, one question in terms of your software business. This is 3.5% this year improved margins by around 200 bps. And looking at the guidance, it seems to be growing almost similar to what you think the Services business would grow at? So what is fundamentally changing in terms of your software business for it to start growing at par with Services and also improve margin?

C. Vijayakumar: I mean, the Services growth has come down, so software has become on par with this. And software has also accelerated, which means from broadly like 1%

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to 2%, now it is 3.5%. I think we have done tremendous amount of work in

modernizing, repositioning our analyst ratings for a number of products where in the lower quadrant, now most of them are in leaders quadrant in most of the analyst reports. And we are also significantly expanding our software business in India, Middle East, and a lot of emerging markets where we see a strong demand for these products. And there are products like marketing automation where we are the best solution available for large scale customers. In fact, several banks in the emerging markets, our existing clients and we are enabling them, we are migrating the existing base to cloud. So number of things and all of this will create a good momentum in the long term. But obviously there is some headwind due to conversions to term and other things. We feel good. I think our strategy is working. Things are moving in the right direction and we will keep you updated on progress .

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. C. Vijayakumar – CEO and MD, for closing comments. Over to you, sir.

C. Vijayakumar: Thank you everyone for joining. In FY25, our business has remained resilient due to a portfolio which is an all -weather portfolio which w

ill deliver in the upcycle,

which will deliver in the downcycle and we are being cautiously optimistic about the road ahead. We are acutely cognizant of the upcoming macro impact on the client's IT spending, and we are being nimble to capture opportunities. I think it's a great time to find opportunities to help our customers and be their trusted partner. Thank you for your support. Thank you for joining and look forward to talking to you during the next quarterly call. Thank you and good evening, everyone.

Moderator: Thank you. On behalf of HCLTech , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 f: +91 120 4680330 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India
July 17, 2025
The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051
NSE Scrip Code: HCLTECH
Sub: Transcript of the Earnings Conference call held on July 14, 2025
Dear Sir/ Madam,
In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Earnings Conference Call held on July 14, 2025, post the announcement of the financial results of the Company for the quarter ended June 30, 2025.
The i s also available on ou r Company' s website <https://www.hcltech.com/investor-relations> .
This is for you r information and records.
Thanking you,
For HCL Technologies Limited
Manish Anand
Company Secretary
Encl.: a/a

"HCLTech 's Q1 FY26 Earnings Conference Call "

July 14, 2025

Management:
Mr. C. Vijayakumar – Chief Executive Officer & Managing Director
Mr. Shiv Walia – Chief Financial Officer
Mr. Ramachandran Sundararajan – Chief People Officer
Mr. Vijay Guntur – Chief Technology Officer
Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to HCLTech 's Q1 FY26 Earnings

Conference Call .

As a reminder, all participant lines will be in the "listen -only" mode , and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during th is conference, please signal the operator by pressing "*", and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Moh ta, Head - Investor Relations. Thank you and over to you, sir.

Nitin Mohta : Thank you, Dorwin . Good morning and good evening, everyone. A very warm welcome to HCLTech 's Q1 FY26 Earnings Call.

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCLTech ; Mr. Shiv Walia – Chief Financial Officer ; along with the broader Leadership Team to discuss the performance of the Company during the quarter, followed by a Q&A. In the course of this call, certain statements that will be made are forward - looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking sta tements. All forward -looking statements made herein are based upon information presently available to the Management , and the Company does not undertake to update any forward -looking statements that may be made in the course of this call.

In this regard, please do review the safe harbor statements in the formal investor release documents , and all the factors that can cause the difference.

Over to you, C VK.

C. Vijayakumar : Thank you, Nitin. Hello, everyone. Hope all of you are doing well. Thank you for joining us today for our FY26 Q1 Earnings Call.

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Let me start with the business performance for the quarter :

Historically, Q1 has been a soft quarter for HCLTech , which is something all of you know. During this quarter, our revenue increased by 3.7% on a year -on-year basis, while declining 0.8% sequentially.

The growth rates I mention ed and would be referring to today are all in constant currency. This year -on-year growth was driven by several verticals, including Technology and Services, Telecom and Media, Retail and CPG, and Financial Services. The ramp -up in March within the Tech vert ical has significantly contributed to this robust growth in the Technology and Services vertical. Geographically, it was driven by the rest of the world as well as Europe. During the quarter, the environment remained stable at an overall level, while there were some variations across verticals, and it did not deteriorate as feared at the start of the q uarter. Our operating margin came in at 16.3% and was lower than our plan.

Q1 is seasonally the weakest quarter of the fiscal year, and the below -plan operating margin was driven by 3 factors. One, our utilization dropped during the quarter, as we built capacity in March for specialized skills, and a large deal that is taking tim e to ramp up. This utilization drop was also due to ramp -down in specific areas like automotive. In addition, the people that were released due to productivity benefits could not be redeployed due to skill and location mismatch.

The second aspect was a one -off impact from a client bankruptcy.

And third and lastly, even though we have been hit by these unforeseen challenges, we remain committed to making investments in AI and go -to-market capabilities. In fact, given the growth momentum we are currently enjoying, we accelerated and pulled forward some of our Generative AI investments and the platform efforts that we are working on.

Coming to our segmental performance :

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Our Services business grew at 4.5% year -on-year, while declining 0.1% sequentially. Our IT and Business Services grew 3% year -on-year, and our Engine

ering and R&D Services grew 11.8% year -on-year.

HCL Software had a weak quarter after several quarters of good performance. It declined 3% year -on-year. However, the Annual Recurring Revenue, ARR stood at \$1.06 billion, a 1.3% increase year -on-year. This augurs well for the

future as we consciously are working to improve subscription for the SaaS revenues.

In terms of geographies :

During the quarter, USA grew 0.5%, while Europe grew 9.6%, Rest of the World grew 15%, and India grew 1.3% all year -on-year.

Our top performing verticals were Technology and Services, which grew at 13.7%, Telecom and Media at 13%, Retail CPG at 8.2%, and Financial Services at 6.8% year -on-year.

During the quarter, we made healthy additions to our client portfolio across verticals and geographies. We added 6 in the \$50 million category, also added 11 in the \$20 million category on a year -on-year basis.

On a QoQ basis , we had a lot of clients across categories, including 2 in \$50 million category, 6 in \$20 million plus category, 4 in \$10 million plus category, and 8 in \$1 million plus category. This is a very impressive execution, and it also sets us well for future growth.

Coming to bookings :

We had a decent quarter. In terms of numbers, our net new booking for the quarter was \$1.8 billion. We also won a large consolidation opportunity in the Financial Services vertical this quarter. This is not accounted for in the TCV value for Q1. You will recall, we had a couple of large deals in the pipeline which we HCLTech

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were expecting to close in Q1. These deals have moved into Q2, and this delay is unrelated to external factors.

We are optimistic about their conversion, and if all goes as per plan, the TCV number should see a step -up next quarter. The booking was well balanced across service lines, geographies, and verticals, as you would notice in the investor release.

Happy to note our portfolio is incrementally getting more balanced than it was even a few years ago. We continue to win more in Digital business and Engineering Services, an agenda we had set for ourselves as a part of a medium - term roadmap.

Our pipeline continues to remain strong. Our Digital business is seeing a number of large deals due to an engineering -led approach, and a very strong client conviction of our AI propositions and Data and AI capabilities.

Our focus on application modernization and longstanding strength is a key contributor to our success and the strong growth in our pipeline. We are doubling down on this trend by incorporating AI at the core of this proposition. Additionally, we are investing in an AI -driven data lifecycle management platform. There is a healthy demand for efficiency -led deals across the board. Discretionary spending varies across verticals. If I break it down to the vertical level, Financial Services and Technology are showing promise; while we see Public Services and Telecom to be stable; while we see some stress in Manufacturing , driven by Auto, Life Sciences, Retail, and CPG segments. Clients are continuing to look for AI -led transformational propositions , be it in software development or IT operation services. The share of AI and Gen AI continue to grow as they become central to nearly every deal. Gen AI is now central to IT Services strategy; Agentic AI is gaining traction, especially in operational efficiency and accelerating application modernization programs.

On the people front :

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Our count stood at 223,151, which is a slight reduction of 269. Our IT Services voluntary attrition on an LTM basis stood at 12.8%, lower compared to the previous quarter.

On our AI -Gen AI related progress :

I wanted to update you on 3 strategic dimensions :

1. Ecosystem.
2. Offerings.
3. Client engagement.

On the first axis is the maturity of our enabling 'Ecosystem ' consisting of our people and partners . Our

market momentum has ensured that we are perceived as a very attractive partner to leading tech OEMs, ISVs, hyperscalers, and

pioneers like OpenAI.

During the quarter, we announced a strategic partnership with OpenAI to drive large-scale enterprise AI transformation as one of the first strategic services partners. We are well positioned to take advantage of the Enterprise AI spend as we work on developing the most comprehensive AI ecosystem.

Similarly, this quarter, we announced a partnership with UiPath to accelerate agentic automation, launched a suite of agentic AI solutions in collaboration with Google Cloud, and integrated NVIDIA AI Enterprise with AI Force and NVIDIA Omniverse with a physical AI solution, SmartTwin.

As a testimonial to this maturing momentum, we have received many leadership citations in AI and data this quarter. We were named a market leader in HFS Horizons Generative Enterprise Services 2025 Report. ISG recognized us as a leader in Advanced Analytics and AI services. We were cited as a leader in IDC's MarketSpace for Worldwide Data Modernization Services 2024 Vendor Assessment. We were also recognized as a Microsoft Responsible AI Partner, and we won top honors at AWS GenAI Premier League Awards 2025.

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On the second dimension of 'Offering Maturity' – HCL Tech was first to launch a full stack AI portfolio featuring AI Force, AI Foundry, AI Labs, and AI Engineering. These offerings are designed to drive end-to-end service transformation and value stream innovation for our clients.

Some key aspects :

Our AI Force platform is now deployed across 35 clients and 70 plus deployments and is the key solution enabler for several of our new wins. AI Engineering is gaining good traction in physical and kinetic AI or robotics domains, while our data and cognitive infrastructure offerings have gathered momentum in the AI Foundry cluster. AI Labs are now moving to the next level, building CoEs with partners and clients in niche and emerging tech areas. We are advancing our portfolio of industry-focused repeatable solutions across verticals. These offerings are developed with a strong governance framework to ensure enterprise readiness and compliance.

Building on FY25 innovation momentum, our platforms such as Contact Center as a Service, NetInsight, Trade Compliance, InsightGen, and Clinical Advisor are maturing, while next wave solutions like Invoice-to-Payment and Lab-as-a-Service are being launched. These initiatives are designed to accelerate time-to-value and deliver measurable ROI.

HCL Software is making significant progress on Agentic AI, UNO, Agentic Builder, and Orchestration platform to build the agents, introduce the Max AI in HCL Unica Plus for smarter decision-making, and hyper personalized and real-time campaigns.

Commerce AI in HCL Commerce to build agents that augment complex testing and reduce manual effort.

On the third and last dimension of 'Client Engagements' – we are witnessing the size of our engagements increasing steadily from exploratory POCs to strategic multimillion-dollar partnerships. Some key examples from Q1 reflect this

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momentum, like we signed a multimillion-dollar engagement with one of the largest Australian logistics companies for AI-led service transformation using AI Force.

A leading Europe-based telecommunication Company selected HCLTech to modernize its technology and operations stack. The partnership will enable zero-touch operations through hyper-automation powered by Gen-AI. HCLTech will leverage its AI Force platform to modernize applications at scale and introduce Agentic AI for proactive issue resolution and integrated data intelligence.

A Europe-based automotive major selected HCLTech to deploy workplace management and agentic AI solutions to enhance operational efficiency and service quality, improve custom

er experience, and support new technologies.

A global sports body partnered with HCLTech to create a Gen-AI-powered commentary platform to revolutionize live match broadcasting. This AI-driven solution analyzes live feeds, identifies key events, and provides real-time

insights, enhancing storytelling with summaries during all game phases. The platform built on HCLTech's AI Foundry's scalable cloud infrastructure, supports multiple data streams.

A global aerospace major partnered with HCLTech to develop a Vision AI solution that optimizes cargo container placement in aircrafts. Leveraging HCLTech's AI engineering and intelligent automation capabilities, the solution aims to improve load distribution, space usage, and cargo operations.

A Japan-based global imaging leader partnered with HCLTech to develop a Gen-AI-powered camera setting recommendations engine. Powered by HCLTech's AI Engineering, the solution develops real-time personalized photo recommendations using live data, leveraging advanced LLMs and unique HCLTech frameworks.

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We continue to win a lot of recognitions and accolades from the market, analysts and partner and investor community. I think a couple of these that were announced this quarter are must-know, as it has a significant impact on our shareholder value creation. We are the only service provider positioned as customers' choice in all 6 Gartner Voice of the Customer Quadrant evaluations related to IT services. This is the first time any service provider has achieved this. Equally important is the fact that no other service provider is in this quadrant for more than one category.

Just to mention the 6 to help appreciate how much of the IT landscape of an enterprise is covered, when you add these:

1. Public Cloud IT Transformation services.
2. Custom Software Development Services.
3. Data Center and Hybrid Infrastructure Managed Services.
4. Outsource Digital Workplace Services.
5. Managed Network Services.
6. Cloud ERP Services.

I would like to thank all our employees that make this and many more such recognition possible.

HCLTech figured among Asia's Most Honored in Extel's 2025 executive team rankings. For the second year running HCLTech was the most decorated India headquartered IT services Company in the survey. It achieved 17 top 3 rankings across overall buy side and sell side categories in Technology, IT services and Software sector, out of which 9 were number 1 rankings. Humbled by all your strong belief and support. Thank you.

Looking ahead, we are improving our revenue guidance now for FY26 to 3% to 5% in constant currency, based on better Q1 performance and the outlook for the remaining quarters.

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On margin guidance, we are adjusting our EBIT guidance to 17% to 18%, due to the factors I mentioned earlier:

1. The unanticipated impact in Q1 for reasons I mentioned earlier, and which could continue partly into Q2.
2. Investments in Sales and Marketing and AI capabilities to address the growth momentum.
3. We plan to execute a restructuring program, both on people and non-people side during the rest of this fiscal year. The one-time costs because of this are baked into the above guidance. We are doing this to provide us the structural agility to address the market demand in the AI era.

We are optimistic about meeting our revised guidance, supported by superior revenue growth, positive booking expectations for the coming quarters. This outlook is further reinforced by our consistent track record of strong operational execution demonstrated over the last several years.

Now, I would request Shiv to walk you through more details on the numbers.

Shiv Walia: Thank you, CVK. Good morning, good afternoon, and good evening to all of you.

Thank you for joining our Q1 FY26 earnings call.

Let me walk you through our financial performance for the quarter.

Starting with the revenue performance:

Total revenue for the quarter is \$3,545 million, a 0.8% decline quarter on quarter and a growth of 3.7% year -on-year in constant currency terms. With this, our revenue has crossed the milestone of LTM revenue of \$14 billion.

Services revenue for the quarter came in at \$3,227 million, which is a decline of 0.1% quarter -on-quarter , and a growth of 4.5% year -on-year in constant currency terms. The strength of our all -weather portfolio helped us offset the HCLTech

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headwinds from the usual Q1 seasonality. Software revenue for the quarter is \$330 million, a drop of 3% year -on-year in constant currency terms.

Let me share the details on profitability now :

Our EBIT is \$578 million at 16.3% of revenue. The net income for the quarter is \$440 million at 12.7% of revenue . This quarter, we traded short -term pain in profitability to secure our long -term growth leadership. Q1 margins usually have a negative impact due to seasonality for us. This time, it was amplified due to 3 factors that CVK just called out. It is important to note that we did not cut back on our investments in sales, Gen AI and people capacity to secure growth.

Now, on the margin bridge explaining the same :

The Company margins dropped by 161 basis points quarter -on-quarter. The higher sales and marketing investment had 30 basis points impact. Lower utilization due to specialized hiring and skill and location mismatch challenges cost us 80 basis points. One -off impacts during this quarter, which include a client bankruptcy had 30 basis point impact. Other major factors such as lower share of software in the revenue mix had 20 basis point impact. We did not get any benefit from the forex this quarter.

Project Ascend is on track and was instrumental in helping negate the impact of increased average resource cost.

Now, moving on to Return on Invested Capital , which is ROIC:

Our ROIC continues to improve. Thanks to our ongoing focus on profitability and efficient capital management. The last 12 months ROIC is at 38.1% for the Company up 353 basis points year -on-year and services ROIC now is at 45.2% up 236 basis points year -on-year. The software continued to improve with ROIC at 20.8% up 473 basis points year -on-year.

Let me share the details on our strong cash generation:

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Over the last 12 months, operating cash flow is at \$2.57 billion, while free cash flow amounted to \$2.42 billion. Operating cash flow to net income conversion is 129% and free cash flow to net income is 121%. Our balance sheet continues to strengthen with gross cash at \$3.46 billion and net cash at \$3.19 billion. Our total DSO, including unbilled, is currently at 82 days , flat on year -on-year basis.

Now to the shareholder :

The diluted EPS for the last 12 months came in at Rs. 62.57, which is up 3.4% year -on-year. The Board has declared an interim dividend of Rs. 12 per share for the quarter. The record date is 18th of July 2025 and the payment of the same shall be on 28th of July 2025. That brings our last 12 months payout to Rs. 60 per share, effectively distributing 95.8% of our net income.

That is all from my side for now and I would like to hand over the session to our moderator for the Q&A session. Thank you. Over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Hi, thank you for the opportunity and congrats on good revenue performance.

CVK , the way you described your utilization mismatch, it seemed like more of a timing issue for a deal , at least in part. So, then are you expecting these margins to probably exit this year closer to back to our original range?

C. Vijayakumar: Yes, I think we are very clear. We are not setting , structurally , the margin bar

lower. I think it will continue to be 19% -20%. In the next 3 quarters, obviously for all the reasons that we explained, there is going to be certain headwinds. So, this year, we will be between 17% and 18%.

Ravi Menon: Right. And it looks like Hi-Tech , you saw really good growth sequentially, even one of your peers reported they have also seen decent growth there. And this is a segment that I think the whole cost cutting started back in 2023, right? So,

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should we think of this as a good sign of a cyclical recovery in this sector? Or is it still too early to call it that?

C. Vijayakumar: Yes, as I called out, we are looking at a strong demand in Financial Services and Tech and Services verticals. And this quarter, of course, the growth in Tech vertical also, it is very broad based, but definitely the 6% kind of sequential growth is driven by one large deal where we had on-boarded the entire team in March, exactly on 6th of March. And of course, this is a very cutting-edge solution on contact center transformation using Conversational AI and this will require this talent base to be deployed, and we had some good success in the 1st quarter, but the ramp up has been gradual. We think it will ramp up fully in the 2nd quarter and in the 3rd quarter, we should be fully optimally performing on this team. Outside that, structurally, the tech vertical continues to give us a lot of confidence, so FS and Tech, definitely strong, we see some concerns in other verticals like Auto in Manufacturing, Retail, CPG and Life Sciences, there is pressure, but rest of the verticals looks okay to me.

Ravi Menon: Thank you so much. Shiv, one follow-up. You were saying that there is no gain in the margins from forex, so I thought there was a sharp depreciation of the Rupee against both the Euro and Pound. So, why have we not seen any uplift from that?

Shiv Walia: So, this quarter, we did have some gain in Euro, but that was offset by some loss in the INR depreciating versus previous quarter. The cost base we have is INR in India, so that is why they both kind of offset each other.

C. Vijayakumar: And usually any appreciation in Euro or Pound translates to very little in terms of margin improvement for us because our costs are quite significantly there onshore as well.

Ravi Menon: Got it. Thank you so much.

C. Vijayakumar: Thank you.

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Moderator: Thank you. Our next question is from the line of Sudheer from Kotak Mahindra Asset Management Company. Please go ahead.

Sudheer: Thanks, CVK for the opportunity. The first question on margin front, if we look at the full year guidance downgrade by around 100 basis points, how much of that downgrade can be attributable to one-off factors, be it client bankruptcy impact plus restructuring impact, how much can be attributable to the utilization mismatch issue and how much can be attributable to pulling forward of AI investments?

Shiv Walia: Sudheer, I will just give the walk. In Q1, the margin is 80 basis points lower versus the last year. So, the full year impact of this dip is 20 basis points; higher sales and S&M investment, we expect, is going to have an impact of 13 basis points; utilization, which is one of the factors we had impacting Q1, is going to have some follow on impact in the subsequent quarters and we expect that to have an impact of 10-20 basis points; and the restructuring cost, which also CVK talked about, would have an impact of 30-40 basis points in the subsequent quarter. Putting together all, it is around 100 basis point impact year-on-year.

Sudheer: Understood, sir. And to Ravi's question earlier, I think CVK mentioned that probably the exit margin would be closer to our aspirational range of 19%-20%, that looks like a steep pass over the next 3 quarters. So, any thoughts on how we would be reaching there?

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Vijayakumar: Just look at it like a full year margin because quarter-on-quarter margin has a lot of cyclical for us, like Q3 will peak and Q4 will dip. The comment I made was that on a normalized basis, we would be closer to our desired range. And there are multiple levers, like even the utilization, as Shiv mentioned. We obviously had a big gap in this quarter. It would significantly moderate in Q2 and in Q3 we should be in line with the expected margins. A lot of these restructuring costs would be mostly in Q2 and a little bit in Q3. That is the color that we can provide and the rest of it is in a normal cyclical seasonality in our business.

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Sudheer: Very much, sir. And just one last question as AI adoption involves more into an

Agentic AI level, there is a talk about a potentially big data center refresh as the current data centers are not equipped with a capacity to handle AI workloads. What is your view on this? And given our strong presence in IMS, what are we doing to potentially leverage on this thing?

C. Vijayakumar: Yes, we have launched the cognitive infrastructure proposition, and we are already seeing some early wins in this. We had one marquee win in the last quarter, which we will probably announce during this quarter more formally. And we think it is a big opportunity, but obviously, we don't want to play in the assets kind of game. We are totally focused on services and so we worked with a lot of partners to deliver, GPU as a service and things like that. We also see a lot of traction at the Edge infrastructure, Edge AI, we see good traction and we see that as well as a big tailwind. But I think the pickup is going to be gradual. Even a lot of customers who are deploying Edge AI, they are starting with one factory, one big location and then based on success and all the proof points they will expand to other locations. So, it will be a gradual ramp up and I definitely see that as a big strength and capability of ours, which will really come to our big help in this particular space.

Sudheer: Thank you, sir. All the very best.

Moderator: Thank you. Our next question is from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: Hi, team. Congrats on a good quarter. So, just to double click on the margins, do we expect the AI investments to continue into FY27 as well? I ask that because should I be expecting FY27 margins to again operate in the 18% -19% ballpark or are we rebasing the expectations a little bit because the investments I am sure will be slightly higher than what we are building in right now? That is the first question. And the second question CVK was around revenue conversion from deals. Did you expect that or rather did you see that getting slightly better in Q1 and do you expect that to improve in the next couple of quarters considering a couple of deals that we were supposed to win have spilled over, should we

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expect those deals to pick up and ramp up quicker than earlier, which means the revenue impact will be much better as compared to earlier. So, those are two questions. Thank you.

C. Vijayakumar: Abhishek, the investments are in Gen AI and little more expansion in our go -to-market teams. Obviously, as with every investment, these are people capability, platform build, and of course, a lot of token costs All of that is baked into this. We think it will normalize because growth will also catch up and these investments will catch up. Our expectation is in the next financial year, which is FY27, it should normalize and we will be back to our SG&A percentage. That is what we expect on the investment front.

Revenue conversion depends on the timing of closure. Since the closure of these two deals moved from Q1 to Q2, the impact of this through this year would reduce, but what is encouraging is the discretionary spend in

a couple of

verticals, especially FS and Technology. We feel good because our earlier assumption was environment will deteriorate because we were really talking about the impact of tariffs in the beginning of last quarter. But we did not see that kind of deterioration. So, that is positive. But these two deals moving to Q2 is little bit of headwind on the overall revenue, but we feel very comfortable with our 3% -5% guidance.

Abhishek Pathak: Got it. Thanks and all the best.

C. Vijayakumar: Thank you.

Moderator: Thank you. Our next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thanks for taking my question. My first question is pertaining to this restructuring charge. CVK, what is driving this restructuring? Is it to do with the fact that the evolution of services is changing in terms of how contracts are restructured, location agnostic services are happening and hence some

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restructuring on the onsite conditions, just trying to understand is it pertaining to the pay services business?

C. Vijayakumar: I think it is a combination of both. I think the first aspect is some of the

acquisitions that we did in the past. Of course, we have done the integration, but we were not really clinical about facilities and other cost rationalization. So, that is one and Automotive has seen a ramp down and we are not looking at a very quick recovery here. And even if the recovery is happening, the skills required are really more offshore based capabilities, so we see some restructuring is required there. So, these two are things which we were waiting to see if things will pick up and we don't believe it is picking up and even if it is picking up, it is not going to be in the right location. So, we are going to take some firm decisions on this. The second aspect is what you talked about. Of course, we have had a good amount of people released due to the productivity improvements. Now, not all of them are readily redeployable because the requirements for some of the entry level or lower end skills are being addressed through Automation and other elements. So, the training and the redeployment time is longer. Some of them will get redeployed, but some of them, it may not be possible. So, some amount of change in the industry is also kind of causing this. But as we adjust to this, a lot of proactive trainings are happening. So, as we adjust to this, we see this moderate because we are also looking at people who could get potentially released, who should be upskilled and things like that much more proactively now. Given that we have seen a good cycle of optimization led releases. So, I think in the future, this should get adjusted in the normal course of business.

Gaurav Rateria: Got it. Second question on the talent strategy, we did talk about accelerating the intake of freshers last quarter and we kind of saw that happening this quarter. What we kind of hear is that because of the productivity gain, a lot of the junior level jobs are getting automated, but at the same time, we are seeing an increased intake of the fresher. So, how do we reconcile what is really happening and eventually how do you think the overall pyramid will shape up
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over the next 3-5 years, keeping in mind the reputable solutions that you are building in, the platforms that you are building?

C. Vijayakumar: I will request Ram, our Chief People Officer, to respond.

R. Sundararajan: Yes, sure, CVK. So, we are calibrating our approach. This is something that we have been talking about for a couple of quarters now. One calibration that we are doing is we are focusing more on specialization. So, our fresher intake is no longer, just based on numbers, it is based on skills and specialization, so that is one level of calibration that we have done in terms of how we are approaching the fr

eshier hiring program itself. We have also reindexed our composition plans as well for our freshers while the regular cadre in the India context the base compensation is Rs. 4.25 lakhs. The specialist or the elite category that we do now is in the range of 3x higher than the base composition that we do on the services side. On the software side, it's upwards of 4x of the base composition that we do. So, there is extreme level of specialization that we are focused on, and we are attracting talent by also revising our compensation plan. So, there's significant amount of work that has happened over the last 6-8 months to overhaul and recalibrate our entry level talent plans and that is showing some early signs of the program working well and that's what we look to accelerate.

Gaurav Rateria: Thank you for the detailed answer. Last question, if I may squeeze in what are the factors that you take you to the upper end of the guide? Is it more dependent on macro? Is it dependent on your deal wins getting back to the aspiration level of 2.5 million plus per quarter? Thank you.

C. Vijayakumar: We have seen some macros play out differently in different verticals. So, we are just assuming that same will continue. We are not expecting some recovery in Manufacturing and Life Sciences and Retail & CPG, but at the same time we expect FS and Tech and Services to continue the discretionary spend. So, we are looking at whatever we are seeing now will continue during rest of the year. On Bookings, some of the vendor consolidation deals that we have signed, though they are not in TCV, we really expect a very -very quick ramp-up.

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Especially in Financial Services, to support some of the growth which we have lost due to the deals moving from Q1 to Q2. These are the assumptions and at this point, we feel very comfortable with our revenue guidance. Thank you.

Moderator: Thank you. We have the next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my question. My first question was more of a clarification. So, you called out lower utilization as one of the drivers for the lower margin in the quarter by about 80 bps. If I look at your headcount, sequentially it has come down in line with your services revenue and on a Y oY basis, the decline is actually lower than revenue growth being actually higher. So, where is this lower utilization coming from? Is it the subcontracting which has hinged up and that's where you were building capacity?

C. Vijayakumar: A large part of it was the ramp -up that we did in March. I think I called it out a couple of times. That was one element which is causing this, and the second element is really the people who are getting released from productivity benefits and inability to redeploy them. And the third element was the decline that we have had in automotive for maybe now 3 quarters. That has also released some capacity, and we are continuing to see non -linearity in our business - like revenue growth and people count growth. We saw that significantly play out in FY25 and even in Q1, the year -on-year revenue growth versus year -on-year people count that there is a decoupling. So, you will see that and, but you can still have underutilized people within the existing people universe that we have.

Kumar Rakesh: Thanks, CVK for that. My second question was a couple of weeks back you announced your collaboration with OpenAI. So, how do you plan to use that to create a differentiation in your offerings?

C. Vijayakumar: Yes, I have our CTO – Vijay Guntur, so I will request him to talk about it. Vijay, over to you.

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Vijay Guntur: Thank you, CVK. The OpenAI partnership is expected to give 3 benefits. One, we went through a qualification process that OpenAI had to qualify. It will help us work closely with

OpenAI to serve OpenAI 's customers and do their forward engineering and get OpenAI adoption into customers. That is the first benefit. The second benefit is our own internal adoption of OpenAI as an enterprise. It will unlock productivity benefits within the organization. And third , we expect to take some of our IFRS (Industry -Focused Repeatable Solutions) which we talked about and enable them with OpenAI 's models and their technology so that we can co -sell in the market. So, those are the three benefits that we have from the partnership. It 's early days but that 's our expectation.

C. Vijayakumar: And just to add, we also have a team of 50 highly specialized people who are being embedded into these training programs which will really give us the cutting -edge capabilities. While a lot of customers are adopting the LLMs, but their ability to holistically get benefits within an enterprise is being challenged. So, I think these trained people will really be a force multiplier for us across our existing clients and the new opportunities that we are working on. And actually, I am even happy to report that some of the large deals that we are pursuing in application modernization, and the entire software development lifecycle is also getting positively impacted by the AI force and the data lifecycle platform that we are now very actively talking to a number of customers. And OpenAI is a very integral to all these platforms that we have built in.

Kumar Rakesh: Got it. Thanks a lot, CVK and Vijay for that.

Moderator: Thank you. Our next question comes from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra: Thank you. Just want to quickly check, starting with demand, could you elaborate a bit of reason for the slightly softer than expected signings? I know you said it will complete by July but any particular reason for that and also the delay in the large deal ramp -up you're seeing, is that client -specific or is that something in the demand environment you 're seeing? That 's question number one. Secondly, on the margin side, if you could also elaborate, is there anything

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you're seeing from clients in terms of asking for lower pricing or AI -led productivity passthroughs which is out of turn, which is also making you a bit more cautious about where margin is going?

C. Vijayakumar: So, demand from a signing perspective, of course, two signings which we really expected towards the end of June, that got delayed to sometime this month. It 's

purely procedural delays and technically we just could not get it done before the year end. I don't see anything else. They are very much intact, and we've already ramped up quite a bit for some of these opportunities. So, that's on the signings. And what is not included is one large vendor consolidation win in FS, which will give us very strong revenue growth through this year and even next year. But we could not consider it because as per our definition of booking, time and material-based constructs do not go into our booking. They only go into booking after we ramp up and we are able to bill. So, that's on the signings. With the large deal ramp-up, we had on-boarded a lot of talent in conversational AI and contact center transformation based on a partnership with a big technology firm. We did that in March. And of course, all of them were working on various clients. Now, as a part of the transition, some of the work got a little bit delayed. So, we did get good growth from this ramp up and that's what is showing up in the tech services vertical growth this quarter. But still about a third of the team is not fully utilized. So, they will get into utilization during this year. And these are really high cost and highly specialized talent. So, I think that's the reason for that. It's not really a demand environment or client specific. It's just the timing based

on on-boarding of people and changing the client contracts and things like that into our books. And this cuts across multiple verticals because it's a horizontal capability that we ramped up based on an exclusive partnership. Now we need to make sure they're being fully utilized. And we are continuing to see a strong pipeline for contact center transformation led by AI. And this really plays very well into that, Ankur. Did you have anything else?

Ankur Rudra: Thank you. No, the demand was good. I think on the margin side, my question was, were you getting any demands for pricing or cost takeout out of turn?

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C. Vijayakumar: Not out of turn. When renewals are there, definitely customers have expectations and competitive pressures as well. So, we obviously have to react appropriately to that. We haven't seen anything out of turn, but obviously a lot of customers are asking us, and we are also proactively talking to a lot of clients about what can be done. And the reason we are doing that is, I mean, when the renewal comes, we should be much more prepared. And we should have enough proof points and conviction about what we can really drive. So, I don't see anything out of turn, but we are definitely proactively working with clients to see what is the art of the possible.

Ankur Rudra: So, if I can ask a quick follow up, when you go proactively to a client, I think you said 35 clients have AI Force already. Would that be unexpected, for example, pricing, productivity pass off if it can do it then?

C. Vijayakumar: I think we are being very transparent. We are telling the clients, if you allow us to use AI Force and use all the recipes that we've created, we will showcase to you the optimization that is possible. And then to scale it up within your environment, it needs a lot of sponsorship within your organization. And we are very happy to proactively do this. And it will mean some reduction in revenue for us. And we are okay with that. And the whole hypothesis is when we are doing that, there is going to be an increase in wallet share in the existing client. And Ankur, if you look at the number of renewals that we have done in this quarter - 9 renewals, in 8 of them, the total revenue from the client is higher than the existing run rate that we had. So, we have been able to get a little more wallet share, which more than offsets some of the productivity benefits that we have given. And that is a trend that we are seeing.

Ankur Rudra: Okay. That's great. Appreciate it. Thank you so much and best of luck.

C. Vijayakumar: Thank you.

Moderator: Thank you. Our next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

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Vibhor Singhal: Thanks for taking my question. CVK, just one question from my side. You mentioned about these productivity benefits and you going to clients proactively telling them that basically these are the productivity benefits that we can pass on, even if that means let's say slightly lower revenue. How similar is this entire productivity benefit thing? So, how similar is this to the earlier cycle

of the IMS business being cannibalized by the cloud business that we saw some 6-7 years ago? How prolonged do you think this is going to continue? Do you think this is going to eventually lead us to some period of maybe a lower kind of growth and then only the incremental growth from new opportunities picks up? Some cover on that would be really helpful.

C. Vijayakumar: It's slightly difficult to quantify how similar it is, because a lot depends on the level of automation maturity in each of the clients. Even though we have been having machine learning based or AI based automation, IntelliOps and all those products prior to Generative AI, there has been a big variation in how much clients have adopted. So, depending on where they are, the benefits could be

higher or lower.

Vibhor Singhal: Right. But do you see, the kind of cannibalization that we saw initially when the cloud business started, and the IMS business was impacted, a similar thing might well be possible in the other businesses that we do this time because of productivity benefits by GenAI?

C. Vijayakumar: I think in IT operations, whether it is infrastructure or application operations, if you have leveraged machine learning and classic AI quite well in bringing automation, the incremental benefit from Generative AI is only marginal. It's only in a software development lifecycle - 25% to 30% benefit is realistic. And in a lot of business process operations, we think it can be 40% to 50%. So, this can happen fast, because we are seeing contact centers where a very large number of people get reduced by 75% even by implementing Agentic, Conversational AI and things like that. So, I think in these two areas, it will definitely create deflation. But the only positive aspect is there is so much of legacy applications and legacy landscape. So, modernization gets accelerated in a lot of the segments.

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cases. So, that is also causing some kind of demand uplift to offset this deflation.

Vibhor Singhal: Sure. Thank you.

Moderator: Thank you. Our next question is from the line of Prashant Kothari from Pictet.

Please go ahead.

Prashant Kothari : Hi, sir. I just wanted to understand how the management incentives aligned to this margin volatility that we're seeing in the business kind of going down this year and hopefully coming back up next year. How are our incentives and management incentives kind of aligned to this? Thank you.

C. Vijayakumar: Sorry, we didn't understand the question. There was some noise on the line.

Prashant Kothari : My question was, how are the incentives for the management aligned with this margin volatility that we're now seeing in the business? Now margins are supposed to go down this year and then again, kind of maybe next year. How are our interests aligned with the management? Thank you.

C. Vijayakumar: I think we have, obviously, we know the reasons for margin drop. So, if you look at the top leadership level, we are aligned to do what is right in the long term, not necessarily looking at individual years as a big metric. Of course, it is a metric, but not necessarily a big metric. But if you look at the larger organizations, some normalization due to these one-off factors are definitely considered when we evaluate the performance.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar, CEO and MD, for closing comments. Over to you, sir.

C. Vijayakumar: Yes, thank you. And I really appreciate all of you joining. I know it's late in the evening in India. And thank you to everyone who's joining from across the globe.

We have started the year on a strong revenue momentum. We absolutely have some work to do on the margin front. And we are very committed to do all the

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right things to ensure that we deliver to our guided range and also improving it as we exit the year and come back to our normal guidance range as we look at the next financial year. Thank you for your support. And I look forward to talking to you or seeing you in the subsequent interactions. Thank you and have a good evening.

Moderator: Thank you. On behalf of HCLTech, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited for readability and is not a verbatim record)

Call: Oct 2025

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India

October 17, 2025

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on October 13 , 2025

Dear Sir/ Madam,

In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Conference Call held on October 13 , 202 5, post the announcement of the financial results of the Company for the quarter and half -year ended September 30, 2025 .

The is also available on our Company's website <https://www.hcltech.com/investor-relations> .

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl.: a/a

“HCLTech 's Q2 FY26 Earnings Conference Call ”

October 13, 2025

Management:

Mr. C. Vijayakumar – Chief Executive Officer & Managing Director

Mr. Shiv Walia – Chief Financial Officer

Mr. Ramachandran Sundararajan – Chief People Officer

Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to HCLTech 's Q2 FY26 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during th is conference, please signal an operator by pressing "**", and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Moh ta – Head (Investor Relations).

Thank you and over to you, sir.

Nitin Mohta : Thank you, Dorwin . Good morning and good evening, everyone. A very warm welcome to HCLTech 's Q2 FY26 Earnings Call.

We have with us Mr. C. Vijayakumar – CEO and Managing Director, HCLTech ; Mr.

Shiv Walia – Chief Financial Officer ; along with the broader Leadership Team to

discuss the performance of the Company during the quarter, followed by a Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking sta tements. All forward -looking statements made herein are based upon information presently available to the Management , and the Company does not undertake to update any forward -looking statements that may be made in the course of this call.

In this regard, please do review the safe harbor statements in the formal investor release documents , and all the factors that can cause the difference.

Over to you, C VK.

C. Vijayakumar : Thank you, Nitin. Good morning, good afternoon, and good evening, everyone.

Thank you for joining our 2nd Quarter Earnings Call. I hope all of you are doing well.

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This was a strong and energizing quarter for us with broad -based growth, expansion in margins, and exceptional bookings. We are seeing the results of a strategy come to life, and I am proud of how our teams are executing and winning in the market.

Our revenue grew 2.4% sequentially and 4.6% on a year -on-year basis in constant currency. Our Services business grew 2.5% sequentially and 5.5% year -on-year in constant currency with robust growth in IT and Business Services and ER&D services .

Our Software business ' Subscription , Support and Professional Services revenue grew 9% year -on-year , while the overall revenue was lower due to lower perpetual license revenue. This reflects our objective to increase subscription revenue, which is expected to provide more sustainable value compared to the perpetual license revenue.

Our operating margins came at 17.5%, an increase of 116 basis points sequentially. This aligns with the recovery plan shared last quarter. While there is more to do, I am pleased with our progress so far.

This quarter saw strong, well -balanced bookings across service lines, geographies and verticals, resulting in \$2.6 billion of new booking. This is the

first time we crossed the \$2.5 billion mark without a contribution from any mega deal. We also signed two large deals this quarter, which we mentioned as delayed last quarter.

We grew our employee base in line with the demand as we saw strong bookings and a good demand environment. More importantly, we continue to grow our revenue per employee as we leverage AI in everything we do.

I am proud and happy to share Time Magazine recognized us as the highest ranked India headquartered technology company for the second consecutive year in the World's Best Companies 2025.

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Little later, Shiv would unpack detailed financials across service lines, geographies, verticals, and the client segments.

I will cover a little bit more on our AI propositions .

This quarter, we reached a major milestone by generating over \$100

million in

Advanced AI revenue through our diverse service lines and IPs. This is about 3% of our total revenue. The credit goes to our exceptional teams across the company and the leadership for achieving this impressive milestone. Our people are embracing the transformation from a people -based business towards a model that seamlessly blends AI IP with human -in-the-loop capabilities.

Over the past few years, we have made significant investments in building intellectual property, deepening partnerships and strengthening our GTM and delivery teams. These efforts are now yielding results as we transition from the AI pilot stage to the AI monetization phase.

As we called out in our Investor Release, Advanced AI includes rapidly evolving AI technologies like Agentic AI, Physical AI, AI engineering, AI Factory, etc. To clarify further, this excludes Classical AI, Data and Analytics services, and the services delivered using GenAI and Agentic AI.

This achievement is a clear outcome of our strategy. As we have shared before, our strategy is clear and focused on shaping the future of our business and the industries we serve. There are four key elements to this strategy :

1. First, we are proactively transforming our services with a long -term view and the confidence to evolve even if it means disrupting parts of our existing revenue base . This mindset keeps us agile, relevant and future - ready.

2. The second part of our strategy, we are investing in building differentiated IP that accelerates and scales AI adoption for our clients.

While companies like OpenAI , tech OEMs, hyperscalers, continue to advance the core intelligence layer and the computing needed for this ,
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our opportunity lies in making that intelligence enterprise -ready and impactful at scale. We are developing IPs that power transformation across IT, SDLC services, engineering services, BPO services, as well as industry -specific use cases built on top of that intelligence layer.

3. The third element of our strategy, we are expanding into new AI -led services, including AI Engineering, which has a lot of silicon for inferencing chips, AI Factory, AI Advisory, and these services leverage our strong foundation in engineering, infrastructure, and the deep industry expertise.

4. The fourth element, we are strengthening and expanding our AI partnerships across the entire technology stack from GPU providers to model and agentic platform providers. These partnerships are instrumental in helping us deliver impactful end -to-end AI solutions that drive real business outcomes for our clients.

Transformation of our talent and onboarding new talent to enhance our capabilities is central to our strategy. We are fully committed to this strategy.

The momentum is building, the results are encouraging, and our conviction is stronger than ever. We believe this approach positions us to lead in the AI era and define the next phase of growth for our company and our clients.

I would like to share our AI progress last quarter across three key dimensions :

1. One is offering .

2. Second is engagement .

3. The third is partnerships.

On offerings, our AI Force platform, we launched v2.0 beta release with GA planned in January 2026. This version marks a significant leap forward, bringing agentic workflows, orchestration, and responsible AI together into one unified platform across IT, software, and business operational services.

Our AI Force platform is now deployed across 47 accounts, up from 35 last quarter, and this is the key solution enabler for most of our wins. I would also like

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to mention that we are working towards the goal of leveraging our AI Force platform to 100 of our top clients .

We continue to invest and build repeatable AI solution for industries, the InsightGen in Financial Services, and VisionX in Manufacturing are tw

o that are

seeing good traction. Under Advanced AI , we have added two new offering pillars of AI Factory and AI Advisory.

The AI Factory proposition we are taking to market in very close partnership with partners like Nvidia, Dell and HPE. We are engaged with one of the global top 10 tech companies in implementing global AI Factories. We see strong demand here and we are scaling our teams to service this demand.

In AI Advisory, we will be helping our clients deploy AI at scale by advising its strategic points in their adoption journey from use case prioritization to business case formulation to POC and deployment blue prints followed by organizational level change management and Responsible AI .

We also launched a new AI Security and Red Teaming offering.

In Physical AI, we signed a deal in robotics with AI which is a proposition that is catching great interest in tech and heavy industries. In Data and AI and AI Foundry, we launched new capabilities and accelerators to enable business persona -driven agentic AI solutions for data modernization and analytics.

On engagement maturity dimensions , we are witnessing the size of our engagements becoming bigger every quarter. Most of our services deals are now embedded with Advanced AI capabilities as they come up for renewal. Five of our top 10 renewals came with increased ACV, while the specific SOWs in the remaining ones had a decline due to AI -linked productivity. These are from large growing clients, and we do see opportunities t o consolidate more work due to our proactive strategy in scaling AI with these clie nts.

Some key examples from Q2 reflect the maturity in our AI engagement. We signed a major legacy modernization program with a leading European retailer

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to upgrade their auto management system. Using AI Force, we are automating design, build, and test workflows, resulting in 30 % to 40% increased developer productivity, shorter cycle times, and greater agility in software development.

A Fortune 100 Aerospace company chose HCLTech to create contour scanning software and a simulation testbed . Using Physical AI and automation, HCLTech will support position manufacturing, faster validation, and improved production efficiency.

A U.S. global manufacturer selected HCLTech AI Advisory Services to build an Enterprise AI and governance framework to scale AI initiatives with measurable ROI, regulatory compliance, and responsible AI principles.

A large U.S. telecom company selected HCLTech to launch an NVIDIA -powered emerging tech AI Lab. Here we are setting up a high -performance AI cluster and deploying state -of-the-art models, such as Llama 405B, Maverick and Scout.

Apart from this, we have several clients who are leveraging our Advanced AI services. We think there is great potential to partner with these clients to grow our Advanced AI business further.

On the third axis is the maturity of our enabling ecosystems consisting of our people and partners. We see good demand for Open AI enterprise adoption, and we are training more people to support this journey. We announced two more significant collaborations this quarter. We announced a multi -year strategic partnership with Pearson to co -develop AI -powered products and services designed to close skill gaps, empower individuals to advance their careers, and help organizations succeed amidst the rapid technol ogical change.

We joined MIT Media Lab in the U.S. to collaborate in shaping the future of AI

and emerging technology areas such as quantum computing. While we signed these new collaborations, we continued to excel in our existing AI ecosystem. We received the Dell AI Partner of the Year Award for VisionX Solution. HCLTech is the only SI partner to receive this award.

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We announced new partnerships with SailPoint on AI-driven identity transformation and with Tho

ught Machine to accelerate AI in cloud -led transformation of banks.

On the people side – we continue to train our people at scale. We are building black belt cohorts on every technology stream. We trained 820 black belts in H1 alone, while our data and AI principal cohorts are now strongly embedded in more than 50% of our priority accounts.

We have also undertaken an AI skills standardization framework and have identified 14 top AI skills for scaling our AI talent base.

As a testimonial to this maturing momentum, we received multiple leadership citations for our AI business this quarter that are mentioned in our investor release. The progress we have made on Advanced AI over the last few quarters gives us great confidence in our AI propositions as it resonates with our clients. Every investment we have made till date builds the conviction that it was very well invested.

As we further accelerate our journey to address the expanding market to help enterprise clients realize value out of their AI investment, we expect to further invest in Advanced AI propositions, IPs, go -to-market capabilities, and partnerships.

I will dwell a little more regarding our bookings. We crossed \$2.5 billion of new bookings without mega deals. We continue to invest in a strong global sales engine that meets diverse client needs. For instance, our public sector GTM group secured a large aerospace and defense contract with a new client last quarter. As you would all know, new bookings we disclose do not include rate card deals or renewals. We emphasize more on the new booking metric, which generally has a strong correlation with revenue growth, typically observed with a one to two quarter lag. Nearly all deals include AI, and a comprehensive suite of AI offerings was instrumental in securing multiple large strategic wins. You would find the details about our key wins in our investor release.

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As you would have noticed, we have been growing strong in three large verticals, which are BFSI, Technology, and Telecom & Media. We see a similar trend emerging in Retail CPG that should help us grow in the future as well as diversify our portfolio. We continue to win and grow in our Retail and CPG business as clients show intense interest in a prudent approach to adopting and scaling AI. A couple of areas where we see this include integration work in M&A , a carveout related separation work , and in large scale SDLC transformation work supported by Generative AI, especially our AI Force platform. We are seeing similar trends in Lifesciences & Healthcare as well as in our Public Services. While the broader Manufacturing segment is doing fine, there is continued impact due to the Auto sector slowdown within the overall Manufacturing vertical.

Next, I want to share some thoughts on our Software business . As a business, this is growing from strength to strength. For example, HCL Software has been named a leader in 2025 Gartner Magic Quadrant for application security testing. This is significant as we advanced from challenger position in 2023 to Leader position in 2025. We received the second highest score on completeness of vision among 16 evaluated vendors, a strong validation of our forward -thinking approach to application security and our alignment with the market needs and buyer expectations. HCL Software has been named a leader in 2025 Gartner Magic Quadrant for Service Orchestration and Application Platform, acronymed as SOAP, which makes it twice in a row for us. This consistent recognition from Gartner is all thanks to HCL UnO, especially the recent HCL UnO agentic delivery platform, which was called out for its end -to-end orchestration capability. This is a missing piece in the entire agentic AI and Services -as-a-Software proposition, so Un O is a very strategic component in that. This feature enabled us to be the second highest r

ated in completeness of vision among the 12 vendors evaluated this year.

Coming to the pipeline and market trends :

Our pipeline remains robust and has grown to a record high, well supported by our Advanced AI propositions. It's well distributed across business segments, verticals and geographies with AI, GenAI , Agentic now central to nearly every HCL Tech

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deal, serving as a productivity enhancer as well as an innovation toolkit. While the external environment continues to be unpredictable, our key business indicators like revenue growth, booking, pipeline, AI demand etc., all look promising. While there are some concerns about the long -term trajectory of the industry, we feel there is and will be a huge tech services market. This AI wave would create big winners, and those winners would benefit big over the long term as clients always need a partner who can bring various technology capabilities together to build and operate solutions that solve business problems. To be a winner, one needs to have the scale and reach to develop AI IP-led propositions, have a great ecosystem of partners and most importantly, have strong engineering and a software culture, which we pride ourselves. We strongly believe this core competence of technology services partners is what global enterprises will always seek to realize value beyond buying technology tools and platforms . At HCLTech , we are focused or rather obsessed to be such a partner to enterprise clients.

Coming to the last topic, which is on immigration :

I know a lot of you may have questions regarding H -1B visa fee revision and its potential impact on us. Over the years, we've made conscious effort to reduce our reliance on visas by strategically strengthening our global delivery model. Our dependence on visa is now down to a few hundred visas a year. In Q1 this year, Forbes recognized us as one of America's best employers for new grads 2025, underscoring the success of our approach towards fostering innovation, career growth for early professionals and talent readiness. Overall, we intend to increase our local hiring and training to enhance our localization.

With that, I would request Shiv to walk you through more details on the numbers. Over to you, Shiv.

Shiv Walia: Thank you, CVK. Good morning, good afternoon and good evening to all of you. Thank you for joining our Q2 FY26 earnings call.

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Let me walk you through our financial performance for the quarter, starting with the revenue performance :

Total revenue for the quarter is \$3,644 million, a growth of 2.4% quarter -on-quarter and 4.6% year -on-year in constant currency terms. Services revenue for the quarter came in at \$3,322 million, a growth of 2.5% quarter -on-quarter and 5.5% year -on-year in constant currency terms. ITBS services grew 2.6% quarter -on-quarter and 3.8% year -on-year and the ERS segment grew 2.2% quarter -on-quarter and 13.4% year -on-year in constant currency terms. Our recent CTG assets acquisition from HPE has been delivering financial results in line with our business plan. It has also given us the opportunity to address the needs of a much larger global telecom client base with a richer value proposition. Software revenue for the quarter is \$333 million, a growth of 0.5% quarter -on-quarter and a decline of 3.7% year -on-year in constant currency terms. Within the Software segment, Subscription & Support and Professional Services revenue grew at 8% year -on-year in constant currency terms. This performance reflects our priority to grow the Subscription & Support and Professional Services revenue line.

In terms of geographies : during the quarter , USA, the largest IT services market grew at 2.4% year -on-year, Europe grew at 7.6% year -on-year, while India grew at 0.6% year -on-year, and the Rest of the World grew 17.9% year -on-year.

Regarding verticals, we s

aw broad -based Q oQ growth across key verticals, with some achieving double -digit year -on-year growth despite the macro environment. Our top -performing verticals on a sequential basis were Lifesciences & Healthcare and Public Services, whereas on a year -on-year basis, Financial Services and Technology fared well. They grew at 11.4% and 13.9% respectively in constant currency terms . In terms of clients, we remain focused on adding and expanding G2000 equivalent and emerging enterprises. This

quarter, we made good additions to our client portfolio across verticals and geographies. On a year -on-year basis, we added 2 clients in the \$5 0 million category, 14 in the \$20 million category, and 7 in the \$10 million category. HCL Software is steadily broadening its client base across multiple industries and geographic regions, with its portfolio exhibiting strong performance and HCL Tech
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facilitating the acquisition of new clients. This impressive execution positions us well for the future growth.

Now let me share the details on profitability :

Our EBIT is \$637 million at 17.5% of revenue. Net income for the quarter is \$486 million at 13.3% of revenue. The margin bridge explaining the same is as follows. The company margins have increased 116 basis points quarter -on-quarter. The improved profitability for the software segment gave us 35 basis point benefit. For Services , the 81 bps quarter -on-quarter increase was driven by the following factors :

Absence of one -off that hurt margins in Q1 gave us positive 30 basis points in this quarter. Project Ascend helped us to obtain 50 basis point gain from higher utilization during the quarter. Forex gain from INR depreciation gave us positive 56 basis points and restructuring expenses had an impact of negative 55 basis points. As we had indicated in July, our annual guidance, quarterly numbers, and commentary, all of them include the impact of the one -time restructuring hit in FY26. For peer comparisons, we would encourage you to keep this in mind.

Now moving on to Return on Invested Capital, ROIC :

Our ROIC continues to improve , thanks to our ongoing focus on profitability and efficient capital management. The last 12 -month ROIC is at 38.6% for the Company, which is up 290 basis points year -on-year. And for services, ROIC now is at 45.3%, up 180 basis points year -on-year. Software continues to improve with ROIC at 21.8%, up 396 basis points year -on-year.

Let me share the details on our strong cash generation now :

Over the last 12 months, Operating Cash Flow is at \$2.62 billion, while Free Cash Flow amounted to \$2.48 billion. Operating Cash Flow to Net Income conversion is at 133%, and Free Cash Flow to Net Income is at 125%. The balance sheet continues to strengthen with gross cash at \$3.56 billion and net cash at \$3.29 billion. This cash generation is on the back of our continued improved DSO
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performance. Our total DSO, including unbilled, is currently at 78 days , an improvement of four days quarter -on-quarter and one day year -on-year basis. For our shareholders, the diluted EPS for the last 12 months came in at Rs. 62.57, which is up 0.9% year -on-year. The Board has declared an interim dividend of Rs. 12 per share for the quarter. The record date is 17th October 2025. Payment date of the same shall be 28th October 2025. That brings our 12 -month payout to Rs. 60 per share, effectively distributing 95.7% of our net income.

Now on the guidance :

On the back of standout quarter and sustained growth momentum, we are raising our full -year Services revenue growth guidance to 4% -5% in constant currency terms. Given the softness in Software segment , due to decline in perpetual license revenue, we are keeping the company -level guidance unchanged at 3% -5% in constant currency terms. We remain on track to deliver our full -year EBIT margin guidance of

17% -18%. The wage revision cycle will kick

in Q3, the revision is expected to be similar as last year. Q3 is expected to have 70-80 basis point impact and Q4 to have an incremental impact of 40 -50 basis point. The impact is baked into our margin guidance.

That's all from my side for now. I would like to hand over the session to our moderator for Q&A session. Thank you. Over to you, Dorwin .

Moderator: Thank you very much. We will now begin the question -and-answer session.

Moderator: Our first question comes from the line of Abhishek Pathak from Motilal Oswal.

Please go ahead.

Abhishek Pathak: Hi, team. Thank you for the opportunity and congrats on a solid quarter. CVK, very encouraging to see Advanced AI revenue broken out. Quite curious to know how are these revenues being offered to clients? Are they mostly through standalone POCs or standalone projects or are they embedded into a bread -

and-butter business? That's one. And secondly, how do you see HCL Tech's revenue mix evolve over the next 3 to 4 years? Do we expect IPs to contribute

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more and more percentage of our revenues? And if that's the case, how do you see our R&D expenses go up considering we will be competing head-on with a lot of the rich world OEMs in their own backyard? And lastly, a question on margins for Shiv. On the restructuring charges, would we expect a similar sort of quantum of hit over the next couple of quarters as well? That's all from my side. Thank you.

C. Vijayakumar: Thank you, Abhishek, for a lot of interesting questions and first is Advanced AI. It's got a number of different ways of billing. For example, a lot of inference silicon build work are more fixed price projects which we take with clients and deliver. It has got a lot of scaling and reusable components. That's number one. And for example, for the AI Factory, the implementation could be even time and material, but there is a run piece which is based on per rack. Then there are a lot of custom AI solutions that we are building for our clients, which is continuing to be contracted in the traditional ways. Most of them in some kind of a fixed price model, because we also leverage some solution accelerator there. But there could be a number of time and material also. On top of it, there is an IP element. Like, for example, AI Force is being used in the SDLC transformation. The AI Force has got a licensing price list, and that's what we are considering as Advanced AI revenue. All the services that are being delivered is not considered in this category. There are a couple of small products in HCL Software. They are also being sold as IPs. So, right now, the IP component is small.

Now, going into your next question, on what do we expect our IP trajectory to evolve. We believe this industry will have to evolve from being a pure labor-based service provider to people plus IP and platform-based service provider. When you have the platform as a third-party platform, there is very little leverage, very little stickiness that we can build. And we can really deliver very good quality vertical IP solutions, which can be replicated across customers. So, that is why we are investing. However, the investment that is required to create that intelligence layer, that's not something we are taking on ourselves. We are leveraging the intelligence layer created by OpenAI and Llama and other tech companies. We are creating IPs, which make this intelligent layer a lot more

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usable, scalable and relevant for the enterprise. This is the sweet spot we are focused on, and everything goes through a rigorous exercise. We are open to invest. We don't have a full picture on how much investment this will need, but this is required for the long-term vibrancy of the business and it is a very good investment to make. We have already identified a few products. AI For

ce is, what

I would strongly call, the killer app, which is really making a lot of big deals happen. We are competing head-on with all the big players who have a lot of AI mindshare. We have been able to showcase the technical depth of the product. Especially when the client evaluates by getting their hands dirty, we come out winners. So, it's a strong proposition. It's a big strategic initiative for us. We will not hesitate to make the right investments to make this a big success. I don't have a revenue number as to what our IP will be, but for sure, it is going to consistently increase in our services portfolio.

Abhishek Pathak: That's very helpful.

Shiv Walia: So, regarding restructuring, Abhishek, in July, we announced around 40 basis point impact of restructuring for the full year. We expect this to be slightly on the higher side for the full year based on visibility we have right now. As you would have noticed, we started this exercise in Q2, and this will continue through Q3, and we expect to have some spillover in Q4 as well.

Abhishek Pathak: Got it. Perfect. Thank you.

C. Vijayakumar: And the list of IPs is already called out in our Investor Release for your reference.

Moderator: Our next question comes from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Hi. Thank you and congrats on pretty broad-based growth. So, the first question is on the EBIT margin. When adjusted for that 55 basis points of restructuring, you are almost back at your 18% to 19% range, and you should surely get some

cost benefits from restructuring going into next year. The question I had is how much will the benefit be once you finish the restructuring? On a structural basis, HCL Tech
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how much margin improvement should we factor in because of the restructuring?

Shiv Walia: As we said, we have given the guidance for this year, 17% to 18%. At the time of lowering the guidance last quarter, we talked about one-offs which are hurting us. We also clarified that we are not structurally lowering our margin band. But in terms of what it is going to be next year, we would like to address that question when we give our next year guidance in April.

Ravi Menon: That is fair, but just trying to understand what's the benefit that you're expecting to get - is it 20 bps, 30 bps?

Shiv Walia: It's difficult to call out. Some of the one-offs we talked about, we have recouped the benefits. The restructuring process is still on. We have just started this exercise in this quarter. It's going to continue for next quarter and maybe it is going to spill over to Q4 also. So, it's difficult to exactly pinpoint the benefit we are going to get.

C. Vijayakumar: Ravi, we will definitely transparently call this out during the Q4 numbers because there are a lot of moving parts. So, we will definitely provide transparency around that.

Ravi Menon: Thank you. I understand that only part of it is employees and part of it is rentals and things like that. The other question is, a lot of people have been worried about the impact of AI on the existing book of business. If I understood correctly, the most impact is happening in the area of development where Gen AI plays a really significant improvement in productivity of coding. But in the more IT outsourcing side of things, whether it's infrastructure or application maintenance, do we see a significant pressure on the existing book of business?

C. Vijayakumar: I called it out in the Investor Day. We think the biggest impact is on the BPO business, which could be as much as 40% to 50%. In SDLC, 25% to 30% is what we think is doable with a lot of maturity. In IT Ops, application support and maintenance, it will be 10% to 15%, but it also depends on where you are in the HCL Tech
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automation journey. In the infrastructure and application operations, a lot of work can be automated by the traditional machine learning, AI and rule-based

automation. But if you have fully leveraged the existing machine learning and rule-based automation, then incremental impact can be 10% or 15%. So, this is the direction and you know the mix of our business. Some of this will play out over a longer period of time. Like with software development, even if we are able to deliver 25% to 30%, but to scale for the entire 1000 or 2000 people in large setups, it takes significant amount of time. It could run into a couple of years. So, this productivity will be realized over a period of time. But certainly, there is a good headroom in improving either velocity or productivity, whichever way you want to look at it.

Ravi Menon: Thank you again. Are you seeing, where you have passed it on, is there enough elasticity in the demand to more than offset it?

C. Vijayakumar: I think the biggest demand elasticity is in modernization. While discretionary spend is whatever it is, we are seeing a number of programs which are coming up based on legacy modernization. Like we called out a very large legacy modernization program for Ericsson in our Investor Release and a very large European retailer as well. They were probably not even looking at these programs a year ago. With a lot of conviction and proof point on what can be done, they are much more open. And now these are close to \$100 million plus programs, which is quite big from a discretionary spend perspective. This is where the demand might open up as we see more and more success.

Ravi Menon: Thanks a lot once again. One last clarification. I know that you do not include renewals in your TCV, but even with a scope expansion, do you even include the expansion of scope, like say, the renewal of Volvo, would any scope enhancement be factored into the TCV?

C. Vijayakumar: Yes. Any new revenue coming in scope expansion gets added into booking numbers.

Ravi Menon: Thanks so much. Best of luck.

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Moderator: Thank you. The next question comes from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.

Sudheer Guntupalli : Hi, CVK and team. Congrats on a good quarter. As the largest IMS player globally, how do you see the need for enterprise data center refresh as we go through the AI upgrade cycle? And what would our play be in this value chain?

Will we continue to focus only on the managed services piece or are we willing to now offer services on co-location and cloud service provider modes as well?

C. Vijayakumar: We strongly believe in an asset light business model. There are enough opportunities in the current world to do a very good asset-light business scale up. Our direction is actually going slightly in the reverse. We are going to build more IPs and monetize IPs. Of course, this AI Factory is all about servicing large , mega , & giga data centers that are being set up by large tech players. That in itself is a huge services opportunity. It is getting very specialized and, fortunately, we have one big program, which we are managing for one of the large tech companies . It can expand and there are at least 20 such players and sovereigns and some enterprises who are building this. So, that can be a big opportunity without having to invest in big assets and data centers and real estate.

Sudheer Guntupalli : Sure, sir. And just a follow up. So, if you look at the IMS cycles, they have their own rhythm, a little bit different from the app development and modernization.

So, do you see the next up cycle in the IMS space beginning anytime soon, partly led by this CPU to GPU upgrade of the existing data centers?

C. Vijayakumar: Yes, we are seeing some traction. From an enterprise side, it's still not picked up in a big way. But there are some Edge use cases , where we see Edge Compute with GPUs becoming relevant. I think it's early days

to look for a large cycle of enterprise upgrade of CPUs to GPUs.

Sudheer Guntupalli : Sure, sir. Thanks, and all the very best for the future.

C. Vijayakumar: Thank you, Sudheer.

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Moderator: Thank you. We have our next question from the line of Abhishek Kumar from JM Financial Limited. Please go ahead.

Abhishek Kumar: Hi, good evening, and good insight on our AI strategy and progress. I have one question on bookings. CVK, you mentioned that we are proactively cannibalizing the existing business and also in some of the SOWs that we have got renewal, the existing SOWs seem to have been offset through new scope, etc. Now, in that context, I just want to understand how relevant is the net new number? Because it is coming at the expense of renewals, so maybe some color on how has the overall deal bookings growth has been? And if we can, going ahead, provide full TCW that would give us the full picture of renewal plus net new. That is the only question from myself .

C. Vijayakumar: We track renewals very closely internally, but we are not ready with the numbers to share. But from a growth perspective, it is the net new booking, which matters. And obviously, there is dependence on some ramp downs, which has been quite stable. We don't see anything unusual now. So, our net new booking will be a very good correlation for growth. Now, the renewal deflation, I called out last quarter in 8 of the 9 deals, we got additional business. This time, we called out among the top 10, only 5 of them gave us additional business. Other 5 of them had specific SOWs, which saw some deflation. But what is comforting is these are large clients of us. One segment of the work, there is some deflation. And there is a lot of book of business that we can consolidate with these large clients based on the proof points of proactively delivering AI-led productivity. I think that is a very good indicator for you to see how things are playing out.

Abhishek Kumar: Sure, maybe just quick follow up on this. So, net new has been around \$2 billion for a couple of years . Now, compared to the past, where probably the deflation was not as much in renewal, should we look at slightly higher net new run rate to assume similar growth as we have seen in the past?

C. Vijayakumar: Yes, we had mentioned that we want to up our run rate from \$2 billion to in and around \$2.5 billion. That is something which we have been working with a lot of rigor and science behind it. We think we will get there soon. This quarter

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obviously was \$2.6 billion without a mega deal. Pipeline is good. Our win ratios are good, and we are well set up for a \$2.5 billion kind of run rate. Of course, this can always have spikes sometimes. But on a run rate basis, we feel good about achieving.

Abhishek Kumar: Sure. Thank you and all the best.

C. Vijayakumar: Thank you.

Moderator: Thank you. Our next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question. And congrats on a solid performance.

CVK, just a couple of questions from my side. Just wanted to pick your brains on the auto vertical. I think the manufacturing vertical seems to have kind of lifted a bit from the last quarter, but where exactly do we see that? Do you still see weakness in the auto segment, especially in European markets? And what is our outlook for that segment, let us say within the next 2 -3 quarters, do you think the weakness will persist? I will just follow -up that to the next question if you can answer that?

C. Vijayakumar: Yes, auto vertical pipeline continues to look very strong. But decision making is just not happening. It is taking its own time. Some of the opportunities are replacing incumbents. So, they are all taking a long time. But given the stress in the industry, it is only a matter

of time when we see some large outsourcing possibilities, but we have to wait it out.

Vibhor Singhal: Got it. So, nothing around the corner at least at this point of time as we see it?

C. Vijayakumar: Yes, I would agree with you.

Vibhor Singhal: Sure. Just my last question on the headcount numbers . Given, we were the first one to have started calling out our AI revenues, how do you see the overall headcount evolve, let us say for the company or for the industry, over the next, not just quarter, over the next 2 -3 years with the advent of AI? Do you think we HCL Tech

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will be able to do more with less? Do you think the headcount number where we are today could actually be the same number we might be looking at maybe 2 or 3 years down the line with very limited net new additions from the current levels . If you can give some color on that, that would be really great?

C. Vijayakumar: Yes, it is directly a factor of growth. If you see our revenue in the last couple of years, we have grown 4% -5% and our headcount has not grown. So, that gives you a sense there is some non -linearity playing out. Even this quarter, in revenue growth and head count, there is at least 1.5% or 1% difference. And when you take a year -on-year, there is a 1.8% increase in revenue per employee. So, that is the kind of uptick that we expect to see. It should gradually improve as we create more platforms, more IP, more solution and Services -as-a-Software propositions with Agentic and other tools . We believe there is certain non -linearity. Even if you are able to achieve 1% differential every quarter, it will start adding up to a meaningful non -linear pattern.

Vibhor Singhal: Got it. Thank you so much for taking my question and I wish you all the best.

C. Vijayakumar: Thank you.

Moderator: Thank you. Our next question comes from the line of Surendra from Citi. Please go ahead.

Surendra: Yes, hi. Good evening, CVK. Good evening, Shiv. Good quarter. And thanks for all the details that you shared. I just had a couple of questions. Firstly, this was asked earlier, but you said that out of top 10 renewals, 5 had increased scope, increased ACV . So, possible to give a sense of what the aggregate trend for those 10 deals would have looked like? What kind of growth in ACV would it have translated for all of those 10 deals put together?

C. Vijayakumar: Surendra, we don't have the numbers ready, and we didn't intend to share. This was only to give a directional view of our proactive approach of pursuing the clients to implement AI in a very meaningful way. We are also tracking to get some comfort if our hypothesis of proactively driving this , will drive more HCL Tech

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mindshare and more wallet share. At this point, we feel confident, but the difference is not every service provider is being proactive . A lot of providers are

defensive as well, and that in itself is an opportunity for us.

Surendra: Well, fair enough, CVK. And is it reasonable to say that in the 5 instances where you gained share, it would have come from peers in the industry?

C. Vijayakumar: Yes. And maybe some things might have been in-house as well. In Financial services, it is a meaningful gain share, which is reflected in our 11% growth.

Surendra: Understood. And last question on H1B, as you and your competitors, all try to localize and I understand that you are more localized than your peer group, but everybody tries to localize. Do you expect this to be some kind of a margin headwind as we go into next year?

C. Vijayakumar: Yes, it is definitely something to watch out for, because obviously this trend will mean some higher investments in training, local hiring and related aspects.

From a wage perspective, there is very little difference, but for availability, we will have to see how we will manage it. Fortunately, the dependence is very low, s

o that way we feel comfortable.

Moderator: Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, thanks for the opportunity. CVK, in one of the replies of the AI impact on the different horizontals, you called out it will take another 2-3 years, because there are new things which need to be done before AI can be scaled up by enterprises like modernization and other stuff. So, in that scenario, is it fair to assume that in the next 2-3 years, AI can be additive in terms of demand rather than deflating? And the second question is on EBIT margin. This year, we have a lot of one-offs. So, why we are still not seeing that the next year we can be back to 18%-19% EBIT margin? What holds you back to commit that? Because we are doing better in terms of margin even in this quarter, including one-offs?

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C. Vijayakumar: So, Sandeep, I think you were a little confused on this modernization thing.

Modernization is an independent stream. What I mentioned about scaling in the existing SDLC landscape is to get a small group of people, fully use leverage, train them and measure productivity, ensure that we are getting the productivity and the entire change management for a large software development organization. That is why I am saying it is going to take a couple of years.

Modernization continues to be a separate motion. A lot of customers are looking at modernization. This is definitely an additive in terms of overall revenue for the industry. Now, with all puts and takes, where will it land depends on what the portfolio one has and you have a sense of our portfolio, so that is broadly where it is.

Shiv Walia: Just to add, Sandeep, we are on track to recoup the margins we have emphasized in the last quarter, like one-off reversals and improved utilization.

However, our clear focus is to cement our position as industry growth leader during this tectonic shift in the industry. And to that end, we will prioritize investment in AI to help us grow with disciplined margins. As mentioned earlier, we will call out the margins when we do our FY27 guidance in April.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar - CEO and MD - for closing comments. Over to you, sir.

C. Vijayakumar: In closing, we are energized by our performance in the quarter gone by, and we are confident of our trajectory for the rest of the year. Thank you for your continued support. Wishing you and your families a very Happy Diwali and joyous festive season ahead. Good evening and take care. Thank you.

Moderator: Thank you. On behalf of HCLTech, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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(This document has been edited for readability and is not a verbatim record)

Call: Jan 2026

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 Corporate Identity Number: L74140DL1991 PLC046369

Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -110009, India

January 16, 2026
The General Manager
BSE Limited

Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited

Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH
Sub: Transcript of the Conference Call held on January 12, 2026

Dear Sir/ Madam,
In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Conference Call held on January 12, 2026 , post the announcement of the financial results of the Company for the quarter and nine months ended December 31, 2025.

The is also available on our Company's website <https://www.hcltech.com/investor-relations> .
This is for your information and records.

Thanking you,
For HCL Technologies Limited
Manish Anand
Company Secretary
Encl.: a/a

"HCL Tech's Q3 FY26 Earnings Conference Call"

January 12, 2026

Management:
Mr. C. Vijayakumar – Chief Executive Officer & Managing Director
Mr. Shiv Walia – Chief Financial Officer
Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to HCLTech's Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal a n operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitin Mohta – Head (Investor

Relations) . Thank you, and over to you, sir.

Nitin Mohta: Thank you, Dorwin. Good morning and good evening, everyone. A very warm welcome to HCLTech's Q3 FY26 earnings call. We have with us Mr. C.

Vijayakumar, CEO and Managing Director, HCLTech; Mr. Shiv Walia, Chief Financial Officer; along with the broader leadership team to discuss the performance of the company during the quarter, followed by a Q&A.

In the course of this call, certain statements that will be made are forward - looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking statements.

All forward -looking statements made herein are based on information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the Safe Harbor statements in the formal investor release document and all the factors that can cause the difference. Over to you, CVK.

C. Vijayakumar: Thank you, Nitin. Good day, everyone. Thank you all for joining HCLTech's FY26 Q3 earnings call, wishing all of you a very Happy New Year . I'm very pleased to report HCLTech has delivered yet another standout quarter on all fronts ; revenue growth, bookings, and margin improvement. This performance is underpinned by our AI vision and offerings, our deep engineering heritage and our unwavering commitment to client value creation.

We delivered excellent top line growth this quarter , demonstrating our ability to capture market opportunities even in what is seen by many as a constrained environment. Reflecting on the quarter, we see continued HCLTech

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momentum in AI -powered solutions like physical AI, AI Factory, Custom silicon engineering as well as large -scale transformation programs and application development and modernization offerings.

Our revenue for Q3 came in at \$3.79 billion, a growth of 4.8% YoY and 4.2% on a QoQ in constant currency terms. This quarter, we also crossed \$15 billion of annualized revenue. This milestone reflects the scale of our platform and the durability of our growth model.

Our services business grew 5% year -over -year and grew 1.8% sequentially.

Our IT and Business Services grew 3.8% YoY and grew 1.5% sequentially.

Engineering and R&D Services grew 10.8% YoY and grew 3.1% sequentially , and all growth rates referred here are in constant currency.

HCLSoftware delivered very good performance – the business grew 3.1% YoY and a 28.1% sequentially in constant currency, a seasonal uptick that was also a healthy YoY growth. Annual recurring revenue stood at 1.07 billion, 0.6% increase YoY in constant currency. In addition to the seasonality, this growth is fuelled by strong traction in our data intelligence business.

Our operating margin, including restructuring costs, but excluding the one - time impact of new labour code , came at 18.6% , a 111 basis points Q oQ and a decrease of 94 basis points YoY . When we exclude restructuring costs, our operating margin in Q3 is down marginally 13 basis points YoY, and we are confident of recovering that as well in the future.

We are executing well on our improvement plan, and this disciplined approach has placed us firmly in the ri

ght trajectory for the medium term.

Shiv would provide further details on the adjustments both for restructuring costs and the onetime labour code impact. Our net new bookings were strong at \$3 billion, which is a 17% QoQ and 43% YoY growth.

Booking momentum this quarter was driven by strong traction in our applications and engineering and R&D services, which together accounted for 63%. I will talk about this and the mega deal later. We also delivered strong ACV booking, which is the highest in the last four years.

Coming to people metrics - our headcount at the end of December stood at HCLTech

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226,379, a slight decline of 0.1% compared to the previous quarter. Our

attrition stands at 12.4% on an LTM basis, lower compared to the previous quarter. I'm happy to share we have been included in Forbes list of world's best employers for the sixth year in a row.

Coming to AI updates. Our AI propositions continue to drive our overall business reflected as a robust growth, highlighting the strength of our value propositions, our comprehensive ecosystem, and the confidence our clients have in us as an AI partner in their transformation. AI is now embedded across every major engagement, whether service transformation, advanced AI or classical AI.

Our strategic focus and early bets are positioning us as a clear leader in an AI accelerated world. In advanced AI, we have grown 19.9%, led by a strong uptick in Agentic physical AI and AI factory programs. We are now sharing the actual revenue for your reference in the investor release.

Let me update you on the progress along the four pillars of our AI growth strategy. First, on our proactive transformation of our services, AI Force our flagship platform remains a major market differentiator in this space.

Specific SKUs of AI Force are now deployed across 60 of our priority accounts.

We are seeing large AI-led service transformation, net new deals happening and service transformation increasingly becoming core to decision-making in every pursuit. Certain use cases like AI-led legacy modernization are also creating niche interest amongst our clients. In addition, we also continue to implement GenAI and AI capabilities across our lines of business, and scale adoption with customer-specific AI tooling.

To enable all this, we are making strong progress on the talent scale up front. Within HCLTech 38,000-plus additional employees have been trained on GenAI and 600-plus on responsible AI. Today, we have the highest number of open AI badged experts among all open AI partners. Our proprietary talent acquisition platform, Talent Navigator has now been deployed at scale across HCLTech.

The second pillar of our strategy is building differentiated IP that accelerates AI adoption for our clients. Our vertical aligned industry AI solutions continue HCLTech

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to gain strong market traction. Our contact-centre-as-a-service offering is experiencing a notable adoption curve, driven by our strong agentic solution for real-time guidance, knowledge-based solutions and omni-channel support.

We had launched AI Force 2.0 beta in the previous quarter, which is an agentic platform delivering service transformation offerings. We are seeing excellent results, and we expect to launch GA soon.

On the third element of our strategy in new AI-led services. In AI factory, we launched OEM aligned joint offerings with Dell, HPE, Cisco, NVIDIA, AWS, Azure, and GCP. Our engagement with one of the top 10 global tech companies to implement global AI factories continues to scale. We won another similar engagement last quarter. We are ramping up to service this demand. This is a significant growth vector for our Digital Foundation business.

In Physical AI, our proactive investments in skills, ecosystem build-out and our proven engineering and infrastructures

strengths have allowed us to

secure a differentiated position in this rapidly evolving market. AI Engineering services are also seeing a greater demand. Custom silicon development focused on Edge inferencing and compute for training. Both Physical AI and Custom silicon work are significant growth vectors for our engineering services. There is substantial momentum in the adoption of agentic solutions within Application Engineering, Integration and Migration services across industries such as Telecom, Financial Services, Life Sciences and Technology.

Value Stream innovation is getting reflected, has increased momentum across key value chains, particularly in supply chain management, customer billing, commerce and retail. In AI Advisory, we signed several significant engagements this quarter and also joined the AI Verify Foundation, reinforcing our commitment to trustworthy AI.

And on the fourth pillar, we continue to strengthen our partnership

ecosystem. We announced 2 major partnership advancements this quarter, the launch of a Physical AI lab with NVIDIA in Santa Clara and exploration of next-generation industrial AI use cases with SAP.

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We deepened existing collaborations with AWS for AI-powered innovation for Financial Services sector, we deepened collaboration with Open AI, increasing adoption of Open AI Code x making us one of the first GSIs globally to earn this recognition with Open AI. All this effort is helping us with several recognitions and citations including a very notable mention as a key Physical AI and Robotics partner during NVIDIA CEO's keynote at CES 2026, which happened last week. This reinforces the strategic depth of our collaboration in Physical AI.

Many other recognitions are in the investor release. If I look at the outcome of our work on the AI front, I'm pleased to say we won several large engagements in this quarter in areas like Physical AI, our offerings like AI Factory and AI Foundry. You can find more details in our investor release. Coming to bookings, as I mentioned earlier, we did \$3 billion bookings this quarter. In our services business, we are also experiencing rapid growth in our application business, fueled by strong deal momentum and execution. Clients count on us for value stream transformation, application modernization, data solutions and large-scale system integration.

If I look at our services business with a wider lens, our AI propositions drive success in areas like engineering productivity, enhanced data management and new digital experiences powered by Agentic AI Force 2.0. With the investments in Enterprise Advisory, Digital, Modern Apps and Commercial Apps, Data and Core AI and the partnerships with hyperscalers and product companies, we are accelerating our customers' business transformation in a unique way.

Calling out a couple of big deals, starting with the mega deal with a global apparel retailer; we won a mega 5-year strategic engagement with a TCV of \$473 million to serve as its long-term AI-led technology partners. Under the agreement, HCLTech will modernize client's application and data landscape, leveraging our Agentic AI Force 2.0 platform.

The agreement extends beyond IT services to include collaboration on improving brand experience while supporting evolving business needs of the client. Additionally, HCLTech will facilitate the transformation of clients'

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current operating models, simplifying the technology organization, and realigning teams are on outcome-oriented functional domains.

This engagement is designed to improve engineering productivity, modernize software engineering and data life cycle management through advanced AI capabilities and deliver enhanced digital platforms and product experiences. A leading U.S.-based insurance company has chosen HCL Tech as a Strategic Technology Partner, c

onsolidating services

previously delivered across multiple providers. Powered by HCL Tech GenAI led service transformation platform, AI Force, this partnership will help transform IT Service Delivery, enhancing engineering outcomes, accelerating time to market, and driving operational efficiency through automation across application development, support, testing and infrastructure.

A Europe-based global food major selected HCLTech to design and implement a greenfield IT setup and build a n AI powered digital foundation. HCL Tech solution will include Digital Workplace, Network, Hybrid Cloud, Network Security, Service Management, SIAM, and Automation. The new IT setup will integrate NextGen capabilities covering the AI Lifecycle and reimagining the business value chain.

While we continue to win many such large deals, we remain disciplined to walk away from those that do not align with our financial and strategic objectives. We continue to guide our sales organization remain focused on opportunities that make long-term economic sense.

I also wanted to share some insights about our recent acquisition in the

Telecom engineering space. We've been seeing good traction in this space and to further reinforce our leadership in the telecom service provider industry. This quarter, we acquired Telco Solutions Business from Hewlett Packard Enterprise (HPE).

This strategic move builds on the momentum from our successful integration of HPE's Communications Technology Group (CTG), acquired in 2024, which is now growing nicely. We are doubling down on Telco Solutions to gain more industry-leading intellectual property aligned with our nonlinear growth aspirations and enhanced product engineering and HCLTech

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R&D capabilities, and deepen existing client relationship, as well as gain new relationships with top global communication service providers across geographies.

With this deal, we are now well positioned as a system integrator with comprehensive telecom IP portfolio, unlocking access to significant telecom engineering spend. It is now starting to reflect as a good telecom engineering pipeline.

Now I want to provide some comments and update on our Software business. This quarter, we've had multiple wins, including large ones. New clients were added across verticals and geographies. We achieved major competitive wins in HCL Workload Automation, and UnO, which is an Agentic AI Orchestration product, across regions – where our products/offerings successfully displaced long-standing incumbents. Let me call out a couple of wins. A Europe-based technology service provider selected HCL Software Workload Automation platform to offer secure, scalable, efficient digital banking services to its customers. The platform will be paired with HCL UnO to support the company's mainframe environment.

A US-based global food and beverage major selected the HCL Workload Automation platform to consolidate multiple environments, streamline operations and drive measurable cost efficiencies. A couple of these large opportunities were also synergy coming from our HCLTech services clients. On the partnership front, HCL Software and Microsoft have partnered globally to deliver HCL Software unified XDO blueprint to the joint customers using Microsoft Azure and AI.

HCL Tech's Data and AI division, Actian, is seeing increased demand for its metadata management, data catalogue and data governance solutions and has demonstrated good growth over the last 5 years, driven by enterprise data management solutions.

During the quarter, we announced the acquisition of Jaspersoft and Wobby which will strengthen this division's offerings. By combining Actian enterprise data management capabilities with Jaspersoft advanced HCLTech

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analytics, we will offer a unified end-to-end data and analytics platform, that

addresses rising demand for metadata management, data catalog, and governance. Integrating Wobby's proprietary semantic layer and agentic architecture will help deliver AI-powered natural language analytics on a unified, governed platform enabling clients to query complex datasets and receive actionable insights instantly.

With the integration of Zeenea, Wobby and Jaspersoft, HCL Software data offerings is evolving into a holistic, AI-powered end-to-end data intelligence platform with an integrated architecture that supports secure data management, advanced analytics, and proactive natural language-driven insights, all positioned to meet the growing demand.

Coming to a few more key business updates, over the past few years we have strategically expanded our presence across multiple countries that offer significant opportunities for technology services driven by scale, rapid growth, or both. Many of these markets, including India have seen strong acceleration and we continue to invest in deepening our footprint.

India represents a high-growth market with substantial opportunities to deliver high-value, cutting-edge work, specifically in the context of India -

centric domestic opportunities distinct from the GCC model . I am pleased to share that Sandeep Kumar Saxena , a seasoned leader with over 25 years at HCL Tech, having led strategic initiatives across multiple geographies, will now lead our India business as a part of his portfolio.

This would accelerate our engagement and growth in the fast -growing Indian market. Finally, on pipeline and market trends, our pipeline continues to demonstrate strength and sustain growth across business segments, verticals , and geographies. While uncertainties persist in the global market leading to slow spending growth on traditional offerings, the fundamental demand for technology as a driver for business transformation remains structurally intact.

We see strong demand for Gen -AI, Agentic AI across the portfolio and is getting embedded in every deal. In addition, we see very good demand for advanced AI capabilities like Physical AI, AI Factory, that are well linked to the capex spend in the AI space. While traditional discretionary spending

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areas have slowed, opportunities are emerging in newer pockets like this in establishing and managing AI infrastructure where discretionary investments continue.

We are performing well here and would see strong growth going forward as well. I also believe there is little value in waiting for either historical or anticipated discretionary spending to resume. Instead, the focus should be on proactively identifying where new spending is occurring and targeting those opportunities like what I just mentioned.

Capturing such opportunities in this environment demands a high degree of creativity and innovation and should be aligned with where the money is moving today rather than where it used to be. We at HCLTech are always working to address such evolving trends and I am confident we would do it well in this cycle as well . Now I would request Shiv to walk you through more details on the numbers and the updated guidance. Over to you, Shiv.

Shiv Walia: Thank s. Thank you, CVK. Good morning, good afternoon, and good evening to all of you. Thank you for joining our Q3 financial year ' 26 earnings call. Let me walk you through our financial performance for the quarter. Starting with the revenue performance, total revenue for the quarter is \$3,793 million, a growth of 4.2% QoQ and 4.8% YoY in constant currency terms.

Services revenue for the quarter came in at \$3,379 million, a growth of 1.8% QoQ and 5% YoY in constant currency terms. Our ITBS services grew 1.5% QoQ and 3.8% YoY . The ERS segment grew 3.1% QoQ and 10.8% YoY in constant currency terms.

Software revenue for the quarter is \$425 million, a growth of 28.1% QoQ an

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3.1% YoY in constant currency terms. In terms of geographies, during the quarter, USA grew at 1.5% YoY . Europe grew at 4.6% YoY , while India grew at 15.8% YoY , and Rest of the World reported an increase of 22.1% YoY in constant currency terms.

In terms of verticals, our Q3 growth was broad -based with 5 out of 7 verticals registering YoY growth. Growth was led by two of our largest verticals, financial services and technology, up 8.1% YoY and 14. 4% YoY , respectively in constant currency terms.

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On sequential basis, the growth in this quarter was driven by manufacturing, up 4.1% QoQ . Retail and CPG, up 5.8% QoQ and public services, up 3.7% QoQ in constant currency terms.

Now, an update on clients. Our relentless focus on serving our customers has helped us grow our client relationship. On a YoY basis, we added one client in the \$100 million category. Three clients in the \$50 million category and 15 in the \$20 million category and 20 in the \$10 million category.

HCL Software business continues to progress in the right direction as clients choose us for the increasing relevance of our products for the digital economy. Let me now share an update on profitability. Our EBIT is \$704 million at 18.6% of revenue. Net income for the quarter is \$537 million at 14.2% of revenue. EBIT and net income exclude the one -time impact of new

labor costs . Including the same, Q3 EBIT is at \$595 million and net income is at \$455 million.

If you were to adjust for the restructuring expenses of 81 basis points this quarter, our Q3 margins are at 19.4%, just 13 basis points down YoY . This should address concern around underlying profitability of our portfolio. We have consistently maintained that our focus on industry -leading growth is intertwined with disciplined approach towards margin and our Q3 results are a testimony to that. In terms of margin bridge, our company margins have increased by 111 basis points QoQ to 18.6% from 17.5% in the previous quarter. The improved profitability for the software segment gave us 118 basis point benefits.

For Services, the 7 basis point QoQ decreases were driven by the following factors. Project Ascend helped us to obtain 104 basis point gain from higher utilization during the quarter. Wage hike impact was 80 basis points.

Furlough seasonality impact was 45 basis points and forex gain from INR depreciation gave us a positive 40 basis points. Restructuring expenses had an incremental impact of negative 26 basis points in the quarter.

Now moving on to the return on invested capital, ROIC. Our ROIC continues to improve, thanks to our ongoing focus on profitability and efficient capital management. The last 12 months ROIC is at 39.4% for the company, up 277 basis points YoY .

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And services, ROIC now is at 45.9%, up 117 basis points YoY . Software continued to improve with ROIC at 23.1%, up 513 basis points YoY . Let me also now share the details on our strong cash generation. Over the last 12 months, operating cash flow is at \$2.5 billion, while free cash flow amounted to \$2.35 billion.

Operating cash flow to net income conversion is healthy at 127%, and free cash flow to net income is at 120%. The balance sheet continues to strengthen with gross cash at \$3.82 billion and net cash at \$3.55 billion. Our total DSO, including unbilled, is currently at 81 days, an increase of 3 days QoQ due to seasonality in the software business.

For our shareholders, the diluted EPS for the last 12 months came in at INR63.35, which is up 0.7% YoY , including the impact of new labour code, the diluted EPS is INR 60.70. The Board has declared an interim dividend of INR 12 per share for the quarter and the record date is 16th of January and the payment date of the same shall be January 27, 2026. That brings our last 12 months payout to INR 54 per share, effecti

vely distributing 88.8% of our net income.

Now an update on guidance. On the back of a standout quarter and sustained growth momentum, we are raising our full year services revenue growth guidance to 4.75% to 5.25% in constant currency terms and the company level guidance to 4% to 4.5% in constant currency terms. We remain on track to deliver on our full year EBIT margin guidance of 17% to 18%.

Please note that our guidance does not include contribution from the 3 recently announced acquisitions - Telco solutions business from HPE, Jaspersoft and Wobby. The margin guidance is inclusive of the restructuring costs but excludes the one-time impact of the new labour code. That's all from my side for now. And I would like to hand over the session to our moderator for a Q&A session. Thank you.

Moderator: Thank you very much. Our first question comes from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: Yes, hi team. Thanks , and congrats on another good quarter. So , I got a couple of questions. Firstly, when you talk to clients right now versus exactly

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this time last year, what differences do you see in conversations? Are we moving towards more serious discussions around AI implementation ? What is impeding clients from getting there? Are we indicating that some foundation , that will begin maybe in the next 3 -4 months ? Just trying to understand the YoY colour and how is it different versus the same time last

year? That's one.

Second question and related, of course . In which service lines do you think is the client coming in and saying that earlier, we were constrained by budgets, but now that AI is helping us immensely , we can really unlock and maybe do a lot more of something we weren't doing at all? That's the second question.

And lastly for Shiv, if you can part a brief update on how much more restructuring charges are pending? And update on the SG&A investments as well, whether they should continue into Q 4, or how should we model that in? Thank you, that's all from my side.

C. Vijayakumar: Thank you, Abhishek. So let me take the first couple of questions, then I'll hand it over to Shiv. On the AI conversations last year to this year, definitely, there is a lot more holistic conversation on how AI would change the entire organization. I think last year, we were still talking significantly about point solutions and trying to prove that AI can deliver some meaningful value. But then after that, the conversations changed to how clients should be focusing on some of the foundational elements like data and cloud migration. But this conversation has matured to an extent that clients realize that to get holistic benefit, they need to completely reimagine their business processes.

Once that realization is there, then the deployment of AI also slows down a little bit because clients want to take a holistic approach. However, the biggest area where we are seeing good outcomes and good client interest is- delivering an accelerating software development, data life cycle management . That area is undisputedly the sweet spot for Generative AI to be most helpful for a lot of organizations.

The other broader enterprise adoption for business processes is going to revolve around significant process transformation. So, to that extent, it is a HCLTech

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little bit muted. Now , where clients are talking about more and which service line. If you really see the enterprise adoption , revenue and spend from that perspective , it is still not very high. It's still very, very small.

The real acceleration in what we are seeing is not necessarily in deploying AI within enterprises, but really "Day -1" services, which are foundational for enabling AI, like a lot of work in our engineering services. Like I mentioned about custom silicon for edge inferencing I

it is a big area with a lot of companies across multiple industry verticals. This is not restricted to semiconductor industry.

Everybody who's got products and solutions, if they needed to use the regular GPU architecture for edge inferencing, it's going to be unviable. So, they're looking at custom chips to be a big spend area to get the best ROI out of the AI spend. And similarly, for a lot of technology companies, the AI factory, which is largely the AI data centres , the professional services around design, implementation, operations, support managed services.

We talked about a large client who's a Top 10 technology company. They continue to expand as their capex spend is expanding. We have acquired another Top 10 technology company for the same AI Factory services. Those are the areas, which are "Day -1" of AI, where we are seeing very good traction, especially for Advanced AI services. And for the question on the restructuring?

Shiv Walia: Abhishek, if you recall, we have indicated that for the full year, we will have an impact of 50 basis points on our margins. This is a one -off restructuring cost this year. And we expect the similar kind of impact in Q4 also. Our endeavour is to finish this exercise by Q4 and start the new financial year on a clean state. So , I expect a similar kind of charge in the Q4 also. And, on the SG&A part, we will continue to invest on the AI solutions as well as on the GTM.

Abhishek Pathak: Got it. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Congrats on a good quarter. Just wondering about the Retail vertical HCLTech

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performance. Seasonally, normally, Q3 is not great for Retail, but this quarter you showed really strong performance. And you also talked about a mega deal win there. Has that already started contributing this quarter?

C. Vijayakumar: No, there is no contribution from the mega deal this quarter. It will start ramping up in the current quarter. And retail is really coming from a number of wins. In a couple of large clients, where we have won business in the previous quarters, they are getting into execution.

Ravi Menon: Thanks, CVK. And you've also seen in Q3, there was good performance in the Software segment. Last year, we had a slight decline YoY for Software products. Is this a sign that customer spending is starting to pick up again on annual maintenance contracts? And they're starting to open up wallets again for IT spending?

C. Vijayakumar: I don't think this is reflective of broader IT spending. We have the seasonality, which has driven strong growth. There is a very strong demand for data intelligence portfolio. Zeenea, coupled with Actian's existing portfolio, is a very compelling offering, and we are able to replace several of the incumbents, and we have some good success stories. So that is scaling up. And overall, data portfolio continues to do very well.

And very significant couple of wins were also on our marketing automation platform, especially with the clients who are looking at sovereign solutions rather than a public cloud solution. Those also contributed to some meaningful wins.

Ravi Menon: Thank you, CVK. One last one for me. With such strong deal wins over the last nine months, why is the guidance still implying a slight decline in the lower end of the guidance for Q4 for services?

C. Vijayakumar: So, we have to give a range, right? We can't give such a precise range. So, we took a 0.5% range, which I think is very reasonable. So that's where we landed. We have certain calculations, which leads to the guidance, which is optimistic, pessimistic and all that. And then after that, it gets rounded to some reasonable number.

Ravi Menon: Thanks so much. Best of luck.

C. Vijayakumar: Thank you.

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Moderator

tor: Thank you. The next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company. Please go ahead.

Sudheer Guntupalli: Hi, CVK. Congrats on a great quarter. My question is the existing data centre infra has to be repurposed or upgraded for AI use cases like inferencing or model training because of the capacity constraints globally. How does that feed into demand for our IMS segment? And when you talk about "Day -1" kind of opportunity, is this already playing out in some form and fashion?

C. Vijayakumar: Yes, it's a very significant opportunity for our infrastructure business. We believe in the next five years, the entire installed base of private data centres will get technology refreshed. However, we haven't started seeing much of traction yet on that front. But this is something we expect will be a good growth driver.

The "Day -1" on infrastructure business is largely with the technology companies who are building planet -scale data centre capacities to support their AI workloads. That's where we are seeing. That's why I call it a "Day -1", which is infrastructure required to enable AI. There is some traction on the edge as well. So that is also an opportunity in the AI Factory offerings.

Sudheer Guntupalli: Got it, sir. And just one question on margins to Shiv. ER&D has shown very good growth; the sequential margin drop seems to be a bit surprising. Is that largely because of the restructuring costs going into that head?

Shiv Walia: Yes, that's correct. If you take out the impact of restructuring costs, then the margins were 17.6% versus 18% last year. And this quarter, there's around 90 basis point impact of wage hike we had given and also another 30 -40 basis point of furloughs. So that's what caused the slight dip in the margins.

Sudheer Guntupalli: Fair enough, sir. Thanks, and all the best.

Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes. Hi. Thanks for taking my question. And congrats on a very solid performance in, what is likely, a very soft quarter. CVK, my question was

mainly on the manufacturing vertical. This vertical has been under the tariff uncertainty as well as the auto vertical has also been taking a lot of headwinds for entirely different details, in the U.S. and Europe. How do we
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see the composition in this vertical with the clients? If you could break up your answer into non-auto part of manufacturing - how is that looking? Do you expect the tariff uncertainty to come down and growth to pick up in the coming quarters? And then secondly, on the auto sub-vertical, how are we looking at it? And do you think the pain is going to continue in terms of the EDR option for the challenges that the auto OEMs are facing in different sub-verticals?

C. Vijayakumar: Yes. So, in manufacturing vertical, of course, we have 3 major components. One is the mobility vertical, which is the auto and travel transportation. The second is traditional industrial manufacturing and third is aero and defense. We are seeing good traction in aero and defense, and that has contributed to some of the growth. In the mobility segment, especially in the engineering services, we are seeing stability coming but it's still a little early to call out if there is secular growth in this segment. That is all I want to call out.

Vibhor Singhal: And in the traditional engineering segment that you mentioned, the manufacturing part of it?

C. Vijayakumar: Yes, manufacturing, I think it is still a little bit muted, I would say.

Vibhor Singhal: Got it. And the tariff uncertainty would still be there for most of these companies?

C. Vijayakumar: Yes. Yes.

Vibhor Singhal: Got it. Sure. That's great. Just my last question to Shiv. Shiv, you mentioned that we are looking to basically take

the entire impact of restructuring in Q4, and a similar kind of impact can be seen as we saw in this quarter. So, beyond that, are we basically looking at possibly going back to over 18% to 19% margin guidance range in FY27? Or would you like to take this comment later on in Q4?

Shiv Walia: As regards to Q4'25 performance, if we normalize the restructuring cost, the margins were 19.4%, versus 19.5%. That's a very healthy sign that structurally, there's no issues with the margins. But for the next year, we'll update you in April on what sort of guidance we want to give, but I would not like to call out the margins for next year now.

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Vibhor Singhal: Got it. I appreciate your comment on that. I think that's all from us. I have no further questions from you. Thank you so much for taking my questions and wish you all the best.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, thanks. Thanks for the opportunity and congrats on a very strong set of numbers across many attributes. Sir, the first question is in terms of commentary about AC V being highest in the four years, as well as if I look at your services growth guidance on the 4Q exit at the upper end, you will have a strong exit in services in Q4 of this year versus Q4 of last year? I'm not asking for guidance, but if there are no further macro negatives, directionally you believe the organic services growth could be better in the next year versus last year. And just related to that, this can also fill up if clients try to increase the investment on the AI adoption more on system integration phase rather than just on the capex side?

C. Vijayakumar: Yes, as you would see, we are on track to be the fastest growing large cap services company for the fourth year running. Our all-weather portfolio continues to deliver, capturing the pockets of discretionary spend available in the market. And we remain very confident to meet the ever-changing needs of our clients during these exciting times.

Would FY27 see faster growth than this year, let's wait until April to see where we are able to end the year. And then we can discuss.

The integration - right now, we are looking at a lot more traction in "Day -1" and some service offerings across all verticals and some very specific to the Tech vertical. But the general AI adoption trend is there across the board,

and we see that incrementally growing as clients make up their mind to holistically transform their business processes.

That's when this trend will be really meaningful. Otherwise, it largely traditional deals, but fuelled by AI -Led transformation of the IT operating model, Software Development, Data Lifecycle Management. That is the biggest differentiator, which is driving some better wins. In fact, all the 4 of our largest deals were by our AI Force 2.0 Agent platform. So that's where we are heading.

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Sandeep Shah: Yes. Sir, just last couple of questions. In terms of TCV last quarter earnings, you said you target now \$10 billion new business TCV, which could have some volatility on QoQ. And you have also closed \$3 billion in this quarter, last quarter on \$2.5 billion, so looking at the pipeline and the closure, you still believe plus or minus \$2.5 billion could be a new normal going forward, at least in the near term per quarter?

C. Vijayakumar: See, I mean, as you called out, these bookings can be spiky. And if you take our last 4 quarters, we have delivered \$10.4 billion net new booking. Now I would not really call out that every quarter we are going to go above \$2.5 billion. But if you take some kind of a moving average over 3 quarters, 2 quarters, then I think we should be hitting that number. That's what I expect.

Sandeep Shah: Sir, just last thing on the press conference, we have said the i

ncremental

recurring impact because of the labor law could be now just 10 or 20 bps. So that means the further hit on a recurring basis may not be higher than 10 or 20 bps. Am I wrong in understanding this?

Shiv Walia: No, your understanding is correct. We have already taken the one -off charge in the P&L. And going forward, we don't expect this to be more than 10 to 20 basis points on a recurring basis.

C. Vijayakumar: Barring any further changes in the labour code regulation. Some of them are still pending clarifications.

Moderator: Thank you. Our next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Yes. I just wanted to pick your thoughts with regards to the demand around legacy modernization using AI. Are you seeing this segment is a significant interest from customers across verticals? And how do you think this contributes to growth over the foreseeable future?

C. Vijayakumar: Yes. As I said, in modernization and SDLC is where the biggest opportunity is in the enterprises. And we are seeing good demand. I mean, obviously, these projects also clients take one segment of modernization, see success of that, and then continue to scale.

We think this will become a very big opportunity if you take a next 2 to 3 year window, legacy modernization using AI will be a very significant opportunity

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across most verticals. Some verticals have a lot more enterprise ERP and SaaS type of large footprint around. But there are certain verticals - financial services, telecom, healthcare who are all on mostly custom software - will be a significant opportunity.

Manik Taneja: Great. Thank you and all the best for future.

Moderator: Thank you. Our next question is from Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes. Hi, good evening and wishing you a very Happy New Year. I had a question related to the products business. This quarter, after many, many quarters, we have seen the perpetual license upfront sort of see significant revenue accretion. Usually, that's been on a downtrend as we shifted to subscription. I wanted your thoughts on how we should think about this, any change in strategy or this was opportunistic?

C. Vijayakumar: You should compare the perpetual license revenue in December last year to December this year. It's only a marginal uptick. Usually, seasonality is there and some incremental quantities. If some clients were a hell bent on continuing on the perpetual license, so we continue with that.

And this time, we saw one client who really wanted it to be perpetual sovereign type of requirement, which helped this revenue go a little higher

than what it was last year December. I think it was \$49 million, which has become \$55 million. Otherwise, our general approach is to minimize perpetual and convert as much possible to term and subscription.

Nitin Padmanabhan: Got it. And 1 last on the products / Will Action be amongst your top three products right now by revenue?

C. Vijayakumar: Yes, of course.

Nitin Padmanabhan: Yes, sure. Perfect. Thank you. All the very best.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar , CEO and MD for closing comments. Over to you, sir.

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C. Vijayakumar: Yes. Thank you, everyone, for joining our call. I know it's late in the evening. I really appreciate all of you taking time to join. We continue to remain quite confident of the growth trajectory. We've delivered two outstanding quarters. We've delivered v ery good booking, and we have a strong pipeline. We remain optimistic about the overall progress, overall growth potential of our business. And we look forward to talking to you in the subsequent calls. Thank you very much. Have a good evening.

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rator: Thank you. On behalf of HCLTech, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited for readability and is not a verbatim record)

Call: Apr 2026

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -1100 19, India

April 24, 2026

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on April 21, 2026

Dear Sir/ Madam,

In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Conference Call held on April 21, 2026, post the announcement of the financial results of the Company for the quarter and year ended March 31, 2026.

The is also available on our Company's website <https://www.hcltech.com/investor-relations>.

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl.: a/a

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"HCL Technologies Limited Q4 & Annual FY'26 Earnings Conference Call"

April 21, 2026

Management:

Mr. C. Vijayakumar – Chief Executive Officer & Managing Director

Mr. Shiv Walia – Chief Financial Officer

Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

HCL Technologies Limited

April 21, 2026

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Moderator: Ladies and gentlemen, good day and welcome to HCLTech's Q4 and Annual FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta, Head, Investor Relations. Thank you and over to you, sir.

Nitin Mohta : Thank you, Dr. Good morning and good evening, everyone. A very warm welcome to HCLTech's Q4 and Annual FY'26 earnings call. We have with us Mr. C. Vijayakumar, CEO and Managing Director, HCLTech, Mr. Shiv Walia, Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the quarter, followed by a Q&A. In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions, and other factors that could cause actual results to differ materially from those in such forward -looking statements.

All forward -looking statements made herein are based upon information presently available to the management, and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, please do review the Safe Harbor statements in the formal investor release documents and all the factors that can cause a difference. Over to you, CVK.

C. Vijayakumar : Thank you, Nitin. Good evening, good afternoon, and good morning to all of you. Thank you for joining HCLTech's Q4 and FY'26 earnings call. This year marks 50 years of HCL Group, 50 years of building, reinventing, leading, and giving back. It's the start of the next one. The next 50 starts now. It's fitting that as we mark this milestone, HCL Technologies Limited
April 21, 2026

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HCLTech has been named to Fortune's World's Most Admired Companies 2026 list.

Coming to business performance, FY'26 unfolded with an uncertain outlook. Tariff volatility remained a persistent uncertainty.

Discretionary spending contracted in traditional areas but emerged in new pockets, and client behavior reflected familiar patterns of cost -takeout initiatives coupled with accelerated adoption of AI -led productivity gains.

Notably, AI momentum remained strong with nearly all deals incorporating an AI or GenAI component. Given this backdrop, the year marks the third consecutive year of HCLTech's likely to deliver the highest organic revenue growth amongst scale players. I sincerely thank all HCLTechies for their dedication and outstanding performance.

Coming to our Q4 performance, our revenue for the quarter was \$3.7 billion, a decline of 3.3% QoQ, and an increase of 2.4% YoY in constant currency. Our services business declined 0.1% sequentially, and an increase of 4.2% YoY. Our software business declined 28% sequentially, and 14% on a YoY basis. Advanced AI revenue for the quarter stood at \$155.1 million, marking a 6.1% QoQ growth. Our operating margin for the quarter came at 16.5%, and it would be 17.7%, excluding restructuring costs. Apart from sequential decline due to seasonality in the software business, we saw delay in procurement decisions in the month of March that resulted in revenue coming below our expectations. In case of services, our performance during the quarter came in at the lower end of our expectations.

This was primarily due to reduction in discretionary spending on Telecom vertical as well as discontinuation of the two SAP programs. Some of this became visible only towards end of the quarter, mostly
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in early March.

While the annuity programs in the Telecom vertical performed as per expectations, the discretionary spend both in digital business and engineering services was cut by select Telecom customers, specifically two large clients in the U.S. during the quarter. We expect the impact to continue for rest of the calendar year as well, which is accounted for in the guidance we will provide.

In FY'26, we reported a consolidated revenue of \$14.7 billion, an increase of 3.9% in constant currency. All growth rates referred are in constant currency. This growth includes growing contribution from Advanced AI and AI offerings. Our operating margin for the full year was 17.2%, a dip of 107 basis points compared to last financial year. Excluding the restructuring costs, our full year margins were 17.9%, down 40 basis points on a YoY basis.

In FY'26, our services business achieved a growth of 4.8%. The performance was driven by IT and Business Services, which reported an increase of 3.7%, and Engineering and R&D Services, which recorded growth of 9.8%. Our HCL Software revenue stood at \$1.4 billion, and annual recurring revenue at \$1.05 billion, a decline of 4.1% and 0.5% respectively.

Our annualized Advanced AI revenue for the fiscal reached \$620 million. After two quarters of strong booking, new deal booking for the quarter moderated to \$1.9 billion. Bookings for the fiscal was good. TCV of net new bookings for the year clocked \$9.3 billion, same as last year, in spite of some of the AI deflation that you see in the TCV net new booking.

As we close the quarter and fiscal year, our AI strategy is translating into deeper client engagement and clear market leadership. Momentum across our Advanced AI offerings and overall, AI portfolio remains strong, reflecting the strength of our early bets and our continued focus on AI that scales from experimentation to measurable business impact.

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Our ambition is to be the best AI solutions company, leveraging our engineering pedigree. Our AI growth strategy is based on one,

proactive transformation of our services, two, building differentiated IP that help clients scale AI adoption within the enterprises, three, expanding into new AI-led services, four, strengthening our AI partnerships, and five, grooming our AI talent.

If you look at our client categories, we've grown them across the board, starting with an increase of one for clients greater than \$100 million, an increase of eight \$50 million clients, and all the way at \$1 million, we added 28 clients. All \$100 million and \$50 million client additions are through organic growth. This is a great proof of our AI strategy and the relevance of AI propositions, and most importantly, the client relevance, which is helping us increase wallet share in a number of our top clients.

Let me share an update on each one of these five AI strategic pillars. Starting with proactive transformation of our services, we have deployed AI across delivery and operations to augment velocity, quality, and efficiency across delivery workflows. Our service transformation platform, AI Force, is now deployed across 75 distinct accounts. This continued momentum is translating into large and strategic deal wins that demonstrate the tangible value of our AI capabilities.

Beyond delivering measurable, scalable AI impact for our clients, we are also transforming internally towards an autonomous, zero-friction enterprise by reimagining core operations and employee experiences. For example, LUMI, our enterprise AI agent, enables seamless employee interactions and instant query resolution, and Talent Navigator, our talent acquisition platform, which I talked about last quarter. We released our Responsible AI Transparency Report, the first among GSIs, outlining the progress we have made in

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adding responsible AI across our organization and client engagements.

The report details our governance model, how we operationalize accountability, fairness, security, privacy, and transparency aligned with global standards. On the second strategic pillar of building differentiated IP, which is AI Force and all industry AI solutions, a key focus of our strategy is building differentiated IP that help clients move from experimentation to scaled impact. In this fiscal, we have filed 38 patents across Advanced AI technologies.

In parallel, we continue to broaden our AI services portfolio to meet industry-specific needs. This quarter, we launched two new AI Force SKUs for SAP and MedTech. We also unveiled 2.0 release of AI Force, which further strengthens its agentic capabilities with a sharper focus on extensibility, modularity, enterprise-grade governance, and interoperability.

This was followed by AI Force 2.1, which enhanced platform's administrative controls and enriched contextual responses through knowledge graphs. Our existing vertically aligned industry AI solutions are gaining strong market traction, and we continue to invest in building scalable, repeatable offerings, with three currently under development and more in our pipeline. Expanding into the third pillar, which is new AI-led services.

In Physical AI, we unveiled VisionX 2.0, our edge AI platform. The release introduces a multi-modal AI engine, LLM-based surveillance agent, vertical-specific use cases, zero-touch architecture, zero-touch provisioning, and a scalable edge-to-cloud design. VisionX integrates with NVIDIA Metropolis and supports flexible edge infrastructure through Dell and HPE. In Physical AI, we also launched Kinetic AI.DC Ops integrated with AI Factory.

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Under AI advisory services, we hosted 123 new engagements in our AI labs in Q4, with a notable increase in CEO and COO -led transformation programs. These engagements are increasingly focused on agentic AI -driven enterprise transformation, value stream re-engineering, and workforce transformation.

I want to mention two of the many Advanced AI deals we won. A global technology major selected HCLTech for another AI Factory program worth over \$100 million. An HCLTech solution will fast-track the client requirements of building and operating next-generation AI data centers to support cutting-edge AI workloads using the latest GPU technologies.

A global semiconductor major selected HCLTech's AI engineering services to support ASIC development across multiple advanced node chips, strengthening its position in Physical AI. I would also encourage you to view some of the client success stories we have delivered in the new Advanced AI services showcased through our editorial series with WIRED magazine titled Pioneers of Enterprise AI, available on our website homepage. Coming to the fourth pillar, AI partnerships across the entire technology stack, our ecosystem continues to be a force multiplier for innovation and scale.

We announced an expanded collaboration with Google Gemini, leveraging Gemini Enterprise and Gemini models to build custom AI agents for global clients, while strengthening security and collaboration through Google Workspace. HCLTech was selected by AWS as a global capability center partner with AWS under Rick's initiative and also named an official launch partner for AWS European Sovereign Cloud, a new independent cloud for Europe. At NVIDIA GTC 2026, NVIDIA highlighted HCLTech as a key partner using Cosmos to accelerate Physical AI training and video analytics, the only GSI referenced in this context.

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We recently hosted a virtual hackathon focused on agentic AI to accelerate AI innovation in partnership with Microsoft. In the AI security space, we expanded our partnership with CrowdStrike with

the launch of continuous threat exposure management services,

enabling continuous intelligence-led identification, prioritization, and remediation of exposure across endpoints, cloud, identity, applications, and data.

We continue to bring academia and industry together through partnerships like MIT. Recently, we expanded our collaboration with MIT Media Lab to include an applied AI research internship program and an agentic AI hackathon, building on a shared ambition to advance agentic AI innovation with real-world impact.

Lastly, our partnership with OpenAI is delivering measurable impact.

We are helping clients scale enterprise AI operating systems and agentic workflows through our dedicated OpenAI Enterprise Consulting and OpenAI -badged agentic engineering teams, working in close collaboration with OpenAI forward-deployed engineers.

Recent examples include two large retailers in Europe and the US. More partnerships to come in the coming weeks.

On the fifth pillar of developing our AI talent, we continue to expand our talent pipeline. To date, we've trained 135,000 employees in GenAI technologies. Additionally, 11,800 AI builders and more than 700-plus black belts for service transformation have been trained and certified. Taken together, these outcomes reflect not just strong quarterly execution, but a strategy that is clearly resonating with clients, as they move decisively into an AI-accelerated future.

Coming to bookings, bookings in Q4 were well-balanced across service lines, geographies and verticals. Calling out a few large deals

other than the large AI Factory deal for a global tech major and AI engineering work we are doing for a global semiconductor major, which I mentioned as a part of Advanced AI deals.

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An US -based biopharma major selected HCLTech's physical AI solution, TraceX, to strengthen inventory visibility and control. The engagement will enable the client to improve operational efficiency, accuracy, enhance supply chain resilience, and create a scalable digital foundation to support its broader smart manufacturing transformation program.

A US -based global MedTech company selected HCLTech to set up a state -of-the-art cybersecurity center of excellence. By leveraging its next -gen Cybersecurity Fusion Center and AI Force. Secure platform, HCLTech will help establish an adaptive security posture, secure connected health devices, and support regulatory compliances across a client's global value chain.

A US subsidiary of a global memory semiconductor group that powers next -generation AI factories and hyperscale data centers worldwide selected HCLTech to provide end -to-end firmware development and sustenance services, helping strengthen the reliability, performance and scalability of clients' high -performance storage platforms.

HCLTech's advanced engineering services will strengthen the client's enterprise -grade storage portfolio. A Europe -based industrial engineering and manufacturing company selected HCLTech to modernize its IT infrastructure and application landscape. HCLTech will leverage its AI Force platform to improve productivity and agility across the client organization's technology environment.

A few other business updates. In the India AI Summit, we were privileged to host the Honourable Prime Minister of India, Shri Narendra Modi, to our booth where he engaged with us to explore how HCLTech is advancing AI for people, planet and progress. HCLTech is the only service provider rated as Customer's Choice across all six published Gartner Voice of the Customer assessments for IT services.

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We signed a definitive agreement to acquire Finergic Solutions, a boutique wealth consulting firm headquartered in Singapore. Finergic will enhance our Financial Services portfolio, adding specialized

capabilities in core banking and wealth management transformation. This quarter we also completed the acquisition of Wobby, a data intelligence AI offering to augment our data offerings in our software space.

We are also recognized as one of the world's most ethical companies by Ethisphere for the third consecutive year. We are also included in S&P Global Sustainability Yearbook for the fourth year in a row.

Coming to our pipeline, market trends and business outlook, our pipeline remains robust and broad -based across segments, verticals and regions, with AI increasingly integral to every deal conversation. While we continue to see demand in traditional buying motions through cost take -out, vendor consolidation and modernization dominate the deal mix, we are continuing to invest in AI -aligned go -to-market, Advanced AI offerings and AI -led service transformation to exploit when client spend ramps up on the AI transformation program. If we look at the industry today and categorize it, 40% of the industry runs the risk of being disrupted by AI and can shrink 3% to 5% CAGR for a few years and can eventually be 25% of the enterprise

spend.

This spend is what I would call as AI disrupted and is in traditional areas like application development support, traditional infrastructure operations, customer support, etcetera. Then there is a 55% of the industry that can take advantage of AI like data, cybersecurity, cloud, and grow healthy at about 10% plus and grow its share of enterprise spend marginally. We would call this as AI amplified or AI augmented services.

Finally, there is a market that is AI native, currently at 5% of the market, growing at 30%, and can become 20% plus of the market in

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five years. This includes AI Factory, AI Engineering, Custom Silicon Engineering, and many other Advanced AI services. Our AI growth strategy is customized to align to the differential growth rates of each of these three categories that I mentioned.

We believe it would help us grow faster than the market. And the 3% to 5% deflation that I mentioned in the AI disrupted services, based on the mix of services that we have, it would translate to 2% to 3% for our portfolio. Overall, geopolitical escalations and rapidly evolving situation that limits everyone from having a very definitive view of things that will evolve over the next 12 months. We are seeing some of this impact already hurting the growth outlook in Europe while there are no broad macro challenges in North America.

While our business remains strong, two client-specific challenges in America would have close to 50 basis points growth headwind in FY27. These customers are going through business challenges which are not related specifically to the macroeconomic conditions and have decided to scale down their IT budget significantly.

For the software segment, we continue to work on pivoting the business to more and more subscription and steady revenue streams away from the perpetual license sale. On the margin front, underlying profitability of our portfolio is resilient and margins adjusted for restructuring are indicative of the same. While we work through the specific growth challenges of FY27, the benefit of currency depreciation would be used to continue our investments in sales and GenAI capabilities.

Now coming to guidance, our guidance for FY'27 is as follows. The revenue growth guidance for the full year is 1% to 4% in constant currency and 1.5% to 4.5% for Services. EBIT margin guidance is 17.5% to 18.5%. At the lower end, this assumes continued soft discretionary spend environment and the two clients that I referenced ramped down beyond the planned ramp-downs.

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At the midpoint, the two clients land at planned revenue and discretionary spend trajectory remaining constant. At the high

er end,

moderate pick-up in discretionary spend and couple of large deals materializing in the first half.

This guidance does not include the two acquisitions, the Telecom Solutions Group from HPE that we announced to carve-out and Jaspersoft. Both of these are not closed yet. They are delayed due to the US government approval that's delayed due to the US government shutdown of the specific departments.

Now I would request Shiv to walk you through more details on our financial numbers.

Shiv Walia : Thank you, CVK. Good morning, good afternoon and good evening to all of you. Thank you for joining our Q4 financial year '26 earnings call.

Let me walk you through our financial performance for the quarter

first. Starting with the revenue performance, please note all the growth numbers quoted are in constant currency unless noted otherwise.

Total revenue for the quarter is \$3,682 million, a drop of 3.3% QoQ, but with a growth of 2.4% YoY in constant currency. Services revenue for the quarter came in at \$3,386 million, a drop of 0.1% QoQ and a growth of 4.2% YoY. The ITBS services grew 0.1% QoQ and 4.3% YoY. The ERS segment dropped by 1.3% QoQ and grew by 3.8% YoY. Software revenue for the quarter is \$307 million, a drop of 28.1% QoQ and a drop of 14.1% YoY.

In terms of geographies, during the quarter USA grew at 4.9% YoY, Europe dropped 2.9% YoY, while Rest of the World (ROW) grew 16.6% YoY, and India reported an increase of 5.3% YoY. In terms of verticals, our Q4 growth was broad-based with 6 out of 7 verticals registering YoY growth. Growth was led by Technology and Public Services up 17.8% YoY and 10.7% YoY, respectively.

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In terms of clients, our relentless focus on services serving our customers has helped us to grow our client relationship. On a YoY basis, we added 1 client in the \$100 million category, 8 clients in the \$50 million category and 11 in the \$20 million category and 26 in the \$10 million category.

In terms of profitability, our EBIT is \$607 million at 16.5% of revenue. If you were to adjust the restructuring expense of 12.2 basis points this quarter, our Q4 margins are at 17.7%, just 20 basis points down YoY. Net income for the quarter is \$486 million at 13.2% of revenue.

In terms of margin walk, softness in Software business due to seasonality and delayed client decisions making 181 basis points drop in margins at the company level. Services margins dropped by 27 basis points sequentially due to second cycle of increments in this quarter, which had an impact of 45 basis points. Restructuring expense had an incremental impact of negative 41 basis points. And higher bad debt provision had an impact of 19 basis points. And Project Ascend helped us to obtain 13 basis points gain during the quarter and forex had a positive impact of 65 basis points.

Now, moving on to our financial performance for FY'26. Here again, please note that all the growth numbers quoted are in constant currency. Starting with the revenue performance, total revenue for the year is \$14,664 million, a growth of 3.9% YoY. Coming to the Services side, Services revenue came in at \$13,315 million, a growth of 4.8% YoY. Software revenue for the year is \$1,395 million, a degrowth of 4.1% YoY.

Moving on to the profitability, our EBIT is at \$2,526 million at 17.2% of revenue, which is down by 107 basis points YoY basis. Adjusted for restructuring, our EBIT margins for FY26 stood at 17.9%, down 42 basis points versus last year. Project Ascend has been instrumental in helping us stabilize our margins as we navigate a tough FY '26 with uncertain demand environment.

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Net income for the year is at \$1,959 million at 13.3% of revenue. EBIT and Net Income exclude the one-time impact of New Labor Codes. Including the same, FY '26 EBIT is at \$2,417 million

and Net Income is at \$1,877 million. Moving on to return on invested capital (ROIC), it continues to improve, thanks to our ongoing focus on profitability and efficient capital management.

The last 12 months ROIC is at 40.3% for the company, up 235 basis points YoY, and Services ROIC now is at 47%, up 155 basis points YoY.

Software continued to improve with ROIC at 22.6%, up 274 basis points YoY . In terms of cash generation, over the last 12 months, operating cash flow is at \$2.25 billion with free cash flow amounted to \$2.09 billion.

Operating cash flow to Net Income conversion is healthy at 115% and free cash flow to Net Income is at 107%. Our balance sheet continues to strengthen with gross cash at \$3.53 billion and net cash at \$3.51 billion. Our DSO is currently at 84 days, increased by three days QoQ. In terms of EPS and dividend for our shareholders, the Diluted EPS for the last 12 months came in at INR64.01, which is down 0.1% YoY . Including the impact of New Labor Code, the diluted EPS is at INR61.36. The Board has declared an interim dividend of INR24 per share for the quarter. The record date is 25th of April '26, and the payment of the same shall be on 5th of May'26. That brings our last 12 months payout to INR60 per share, effectively distributing 97.6% of our Net Income.

Now, the capital allocation policy - over the last 5 years since introducing our capital allocation policy in FY22, we have paid out 89.9% of our Net Income to our shareholders. This translates into a record \$8.5 billion in cash back to shareholders. We are pleased to share that the Board has extended the capital allocation policy today for a period of another 5 years. In line with our previous policy, we are
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committed to return at least 75% of our Net Income back to the shareholders over the next 5 years.

That's all from my side for now, and I would like to hand over the session to our moderator for a Q&A session. Thank you.

Moderator: Thank you very much. Our first question comes from the line of Abhishek Pathak from Motilal Oswal Financial Services Limited. Please go ahead.

Abhishek Pathak: Yes, hi, thank you for the opportunity. My first question is on the deflation number that CVK referenced. So CVK, on the 3% to 5% deflation estimate that we have, what is the risk that this number kind of keeps expanding over, let's say, the next 2 to 3 years as model capabilities improve, and more and more of what IT services kind of provide comes under the ambit of what GenAI can do? That's the first question.

And the second question is - as an offset to that is, you did mention your GenAI offerings across be it Chip Design, be it Agentic AI, etc. So, across those five offerings that you have, which of the offerings do you think are seeing the maximum uptake and where you feel like over-indexing a lot over the next 2 to 3 years so the impact of deflation kind of gets offset?

And if I could just squeeze in one more on the guidance front, how much of the guidance softness comes from geopolitical pressures and how much of it comes from the event that have happened between the last 2 to 3 months that includes, the release of Opus 4.6 or the geopolitical impact that we've had? Thank you.

C. Vijayakumar: Thank you, Abhishek. Let me answer one by one. Starting with the deflation number, 3% to 5% that I shared is mostly based on the industry mix of services. And for the specific question on how it changes with respect to the model effectiveness, I think most of the enhancement in models are really driving more and more velocity
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and efficiency in the SDLC lifecycle. I think that piece could go through a little higher deflation based on the model outcomes. In rest of the areas, it is Agentic, it is human -in-the-loop, and even the latest model on Anthropic's My

thos, ability to run production environment fixes without human -in-the-loop is very limited. And this has been acknowledged even in their own release notes. It depends on the service mix. For us, we called out 2% to 3% and I think that holds true even now.

In terms of new services, I think that's a great question. We have obviously called out 5 key areas, which is Physical AI, AI Factory, Custom Silicon Engineering for Inferencing, AI -led Marketing Services, and IP and Platforms. Of course, IP and platforms are integral to a lot of service transformation. It has a very small component of IP embedded into it.

AI Factory is where we are seeing tremendous traction. One of the large deals that we called out this quarter is a \$100 million + AI factory deal for design, implementation and support of a next -gen AI data center for a large Technology company. So, I think we are seeing good traction. We are already now into two major clients for this, and we hope to get to another three or four more in this coming year. Similarly, Semiconductor Engineering, we also announced a new deal this quarter on Physical AI, which is really some ASIC development work on advanced nodes, which is also the cutting -edge work, and these are the areas which we are doubling down and we see great traction.

Coming to the guidance, what it takes in, I don't want to kind of say that geopolitics is driving this. I would want to be more specific. Of course, there has been some impact in March, which is what is reflected in our significantly lower revenue in Q4. And as I said, two large Telecom clients have cut down on the discretionary spent for HCL Technologies Limited

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this calendar year. I see that continuing till end of the year. A couple of SAP programs got discontinued. That will also have an impact. We are seeing some softness in Europe, and the U S seems to be quite robust except for this specific client situation that I called out. For FY'27, we see a half a percent reduction due to two clients and their own business challenges . We continue to have a very high wallet share, but their own business pressures have reduced significant spend and that is what is driving the overall guidance.

Abhishek Pathak: Thanks CVK, all the best.

Moderator : Thank you. Our next question comes from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management Company. Please go ahead.

Sudheer Guntupalli: Hi, CVK. Just one clarification. These two SAP programs and the two Telecom accounts, are they overlapping or are they two separate events? Number two, what gives us the confidence that these two might be isolated events and there is no underlying factorial or causality driving this at a vertical level, at either a Telecom vertical level or maybe in a broader set of SAP implementation programs or in any geography at this stage?

And the third one if I may squeeze in, if you add back that 50 basis points of impact because of these two accounts, still it would be like you are essentially talking about 2% to 5% kind of growth in services, which might be a bit tad softer than what we are anticipating. So anything to explain that delta, that would be helpful. Thank you.

C. Vijayakumar: Two Telecom clients and the two other clients are completely different. The two other clients where there is a half -a-percent decrease in FY'27 guidance, one is a large Manufacturing client, other one is a Retail client. So there is no overlap in these clients.

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Now, what gives us confidence? This is restricted. As I said, in the lower end of our guidance, we are baking in that the softness

continues. That is what we have baked in at the lower end of our guidance. And I think, given it is a well-known fact that 2% to 3% deflation happens, I think barring this, getting to 2% to 5% is a reasonable growth in the given environment and in so much of uncertainty.

I think it is good and this of course does not include any acquisitions and they will get closed sometime during the year and we will call it out separately.

Sudheer Guntupalli: Fair enough, CVK. Thanks a lot.

C. Vijayakumar: Outside of these two data points that we shared, the business continues to perform at the same pace. I think we have done enough. So that is how we have arrived at our guidance.

Moderator: Our next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes. Hi. Good evening. Thank you for the opportunity. The impact we had in Telecom this quarter, I think sequentially some \$12 -odd million, so that began in March. We should assume that you will see a full quarter kind of an impact in the next quarter. So over and above this 50 basis points which is with those two other clients, this itself is quite a drag. Is that a fair understanding? Almost a 1% drag?

C. Vijayakumar: Yes, I wouldn't say that it was only in March, though the decision got communicated to in March, but it does have a little more impact than just one month because I think these were the SOWs which were expected as a part of CY'26 spend, and it was dragging and finally it was called off. I would say it's a little more than a month. We are assuming at least that it is there till end of the year and that is all accounted in our guidance.

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Nitin Padmanabhan: Sure. That's helpful. The second one I wanted to ask you was on the cancellation of SAP programs. Is this purely a budget decision or is it a technology or that kind of a strategic decision on the cancellation of the SAP programs?

C. Vijayakumar: I think these were related to the client budgets. I think they kind of de-prioritized this modernization. I think there is a general understanding that the timelines for some of this is also going to get extended from SAP. I mean, some of that is probably playing into these decisions.

Nitin Padmanabhan: Sure, that's helpful. Just one last one from my end. On the products business, considering that a lot of these were end of life which were built on and tried to modernize, in the context of whatever we are seeing with AI and all of that, how are you thinking about the long-term trajectory of this business? And are we likely to see some, maybe a higher cadence on new product launches from your end to make up for that?

C. Vijayakumar: Firstly, this Q4 revenue decline is not related to anything on AI or any of the latest developments. As you know, the last fortnight of the quarter is crucial for all the deal closures in the Software segment. I think the situation in West Asia led to deferral in client decision-making and some of the delays in the US government also caused this. We expected it to get done before March, but they didn't get done.

And then, of course, a couple of other situations where some client stakeholder changes and all that overall led to a little more scrutiny and more review of the deals. I think it's very specific and our long-term trajectory for Software business remains intact. There are three broad portfolios - One is data; second is operations, which is all our IntelliOps and AEX; and the third is experience, which has got some of the declining products.

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So, I think the two categories which I called out, data and operations, are growth-oriented. They will get offset by the declines in the experience portfolio. So, our expectation is low-single digit, flattish or marginally declining, in the coming year. As the recurring part of the portfolio improves, that will also help.

If you see on a YoY basis, we had a decline, bigger decline in the perpetual licenses and maybe a slight decline or flattish in the steady stream revenue. So, I think we

need to kind of go through the entire cycle, but it's not something we are able to predict because especially government buying is all perpetual licenses, so we are not able to clearly predict it at this point.

Nitin Padmanabhan: Sure. That's very helpful. Thank you so much and all the very best.

C. Vijayakumar: Thank you.

Moderator: Thank you. Our next question comes from the line of Kumar Rakesh with BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my question. My first question was more of the near-term performance. In first quarter, we usually see a seasonality when there is a productivity pass-through which happens. Given there are a couple of account-specific issues which will have a full quarter impact, should we see higher than usual seasonality going into the first quarter? And also, on the deal TCV, you spoke about that there was some deflationary impact of AI as well in that. From at least near-term, should we expect the deal TCV also to remain muted, around \$2 billion-odd?

C. Vijayakumar: Rakesh, you can assume the usual Q1 seasonality. Despite the headwinds that we had in Q4, which will continue into Q1, the mega deal ramp-up is on track. And that growth will offset the headwinds from the two client challenges that we talked about. So otherwise, you can assume a usual Q1 seasonality.

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Kumar Rakesh: And deal TCV, the AI impact?

C. Vijayakumar: Yes, of course. I mean, \$100 million deal would be much lesser today - maybe 80 million, just on a rough ballpark. So, deal TCV is flat. But technically, it does require at least 25%, 30% more effort to convert and get to the same number. But I also want to call out - we have lost some deals which are voluntary losses. We have walked away from some deals which will not make sense and that would have easily contributed at least \$1 billion more to this number.

It's only prudent to be a little bit more careful about this and spend the energy and organizational bandwidth on more reinventing for the future and enhancing our AI positioning and delivering more value to our clients using AI instead of really fighting some of the traditional deals where it's hyper-competitive. If it doesn't make sense, we walked out on quite a few in the last six months.

Kumar Rakesh: Thanks for that. The second question was more on the capability side.

The infrastructure managed services work that we do for enterprise customers, do we have a scope of work with hyperscalers as well? And if yes, how does that differ from the work that we do for enterprise customers?

C. Vijayakumar: Yes, of course. It is different because you're managing the hyperscaler networks, the AI Factory, a lot of the operational work; all of that is different. The tools used are different. The underlying network technology is significantly different. So, it's really a similar kind of capability, but it's different technologies on which we have to work.

We have invested in training and retraining a lot of our infrastructure and data center teams to drive or to really participate in the new AIDC programs. And we've also hired a lot of lateral talent because a lot of this is also very geography specific. We have been hiring a lot more

lateral talent on this front in the last maybe a year or so.
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Moderator: Thank you. Our next question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question. CVK, so my question was on the product business. You mentioned that basically there was a spillover of the last 14 days in this quarter because of which the revenue was a bit down. If I see for the full year also, our product business is down on a 4% on a YoY basis. So is the revenue that we missed in this quarter kind of a

spillover we can expect to come back in Q1.

And hence the next year performance for product business could look better? Or what is the trajectory that we're looking for the product business given the circumstances that we have at this point of time with the tariffs, the war, and other external factors?

C. Vijayakumar: Yes, I think whether these deals will come back depends on many variables. So it's too early to say and the timing of closure is unpredictable. You would have noticed this would be the first time in recent years that the total revenue growth is half a percent below the Services revenue growth. So, at the lower end, you can compute what our assumptions for the Software business have been.

Vibhor Singhal: Got it. And if I look at the client-specific issues that you mentioned, two in Telecom, one in Manufacturing, and one in Retail, I would assume the three of them would probably be in the ER&D part, and the Retail would be in the pure IT services part?

C. Vijayakumar: No, no, I mentioned the Telecom is in the discretionary spend. It's a digital business which is part of our ITBS portfolio. Manufacturing client is both engineering services and BPO; both large. Retail client is also mostly in our digital business. We were building a new platform and some of that is related to this.

Moderator: Thank you. Our next question comes from the line of Rushabh Jain from Axis Capital. Please go ahead.

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Rushabh Jain : Hi, thanks for taking my question. CVK, you talked about 3% to 5% deflation, but that's kind of what we see anyway, even before AI. In renewal deals, we were seeing 10% to 15% cut in pricing over the life of the deal, which would translate to more or less 3% to 5%. So, it doesn't look like with AI there is anything significantly different. Would that be right?

C. Vijayakumar: No, I think we were always careful that this is the incremental impact. I mean, considering the traditional productivity what we normally commit – we should be now looking at an incremental kind of impact or reduction in the overall solution.

Rushabh Jain : I agree. Then should we think about this then being low to mid -single digits being equivalent to high single digits given the demand or the lack of growth in the last three years and now this is the fourth year of poor demand? I mean, can we say that some of this is also due to AI, the deflation impact?

C. Vijayakumar: No, I would say that very little has really played out in already reported numbers. We expect this to happen in FY'27 and onwards. That's also why you'll see this guidance lower than what we had given last year. Thanks.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. C. Vijayakumar, CEO and MD, for closing comments. Over to you, sir.

C. Vijayakumar: Thank you, everyone, for joining us on our earnings call for financial year FY'26 closing. I think, given the backdrop of the external

environment, HCLTech has delivered good performance, dealing with all the different variables that are playing, and our business remains very resilient.

We continue to focus on reinventing the company to be the best AI solutions company with an engineering pedigree, on the basis of which we want to focus and reinvent. We will see differential growth

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rates in all the three different categories: AI disrupted, AI amplified, and AI native or Advanced AI services. We really look forward to growing our AI native services in the 25% to 30% range.

And that will truly be the validation of how we are evolving as a company. Thank you for your support. I look forward to talking to all of you in due course. Thank you and good evening.

Moderator: Thank you. On behalf of HCLTech, that concludes this conference.

Thank

you all for joining us. You may now disconnect your lines.

Call: Jul 2026

HCL Technologies Ltd.
Technology Hub, Special Economic Zone
Plot No. 3A, Sector 126, NOIDA – 201304, UP, India
t: +91 120 4306000 Corporate Identity Number: L74140DL1991 PLC046369
Registered Office:
806 Siddharth, 96, Nehru Place, New Delhi -1100 19, India

July 15 , 2026

The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

BSE Scrip Code: 532281 The Manager
National Stock Exchange of India Limited
Listing Department
Exchange Plaza
5th Floor, Plot No. C-1, Block -G
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051

NSE Scrip Code: HCLTECH

Sub: Transcript of the Conference Call held on July 13 , 2026

Dear Sir/ Madam,

In terms of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find a copy of the transcript of the Conference Call held on July 13 , 2026 , post the announcement of the financial results of the Company for the quarter ended June 30, 2026 .

The is also available on our Company's website <https://www.hcltech.com/investor-relations> .

This is for your information and records.

Thanking you,

For HCL Technologies Limited

Manish Anand
Company Secretary

Encl.: a/a
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"HCL Technologies Limited Q1 FY'2 7 Earnings Conference Call"

July 13, 2026

Management:

Mr. C. Vijayakumar – Chief Executive Officer & Managing Director

Mr. Shiv Walia – Chief Financial Officer

Mr. Nitin Mohta – Senior Vice President & Head - Investor Relations

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Moderator: Ladies and gentlemen , good day and welcome to HCLTech 's Q1 FY27 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Mohta, Head, Investor Relations. Thank you and over to you, sir.

Nitin Mohta: Thank you, D orwin. Good morning and good evening, everyone. A very warm welcome to HCLTech 's Q1 FY27 earnings conference call. We have with us Mr. C . Vijayakumar, CEO and Managing Director, HCLTech ; Mr. Shiv Walia, Chief Financial Officer, along with the broader leadership team to discuss the performance of the company during the quarter, followed by a Q&A.

In the course of this call, certain statements that will be made are forward -looking, which involve a number of risks, uncertainties, assumptions and other factors that could cause actual results to differ materially from those in such forward -looking statements. All forward -looking statements made herein are based upon information presently available to the manage ment and the company does not undertake to update any forward -looking statement that may be made in the course of this call. In this regard, please do review the safe harbor statements in the formal investor release documents and all the factors that can cause a difference. Over to you, CVK.

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C. Vijayakumar: Good evening, good afternoon and good morning, everyone. Thank you for joining our FY27 Q1 earnings call. We began FY27 with a focus to grow our advanced AI -led offerings, increase our relevance with clients, capitalize on the full range of AI -related mark et opportunities in our pursuit of becoming the worl d's best AI solutions provider. As mentioned previously, our intent is very clear , benefit disproportionately from the AI -native and AI -amplified opportunities, which together represent the fastest -growing pool of enterprise spend, while in AI -disrupted services, we intend to innovate faster than the market to stay ahead of the deflatio nary curve rather than be defined by it. The fruition of this is reflected in our growing advanced AI revenue. Advanced AI revenue for the quarter stood at \$171 million, marking 10. 6% QoQ and 62.1% YoY growth.

Let me dwell into the business performance for the quarter. AMJ is typically a weaker quarter for us due to planned revenue declines driven by productivity commitments in large managed services contracts. Despite the seasonality, we delivered a good all -round performance. Our revenue declined by 0.5% sequentially and increased by 2.6% on YoY basis in constant currency. Our operating margins stood at 16.9%, an improvement of 39 basis points QoQ and an increase of 56 basis points YoY . All growth rates referred to are in constant currency. Our Services business grew 3.5% YoY and declined by 0.7% sequentially in constant currency. Our IT and business services grew 4.2% YoY and remained flat sequentially. Engineering and R&D services grew 0.3% YoY and declined 3.7% sequentially. HCL Software annual recurring revenue is now at \$1.063 billion, a 2% increase YoY in constant currency. Revenue grew 2.2% sequentially while declining 5.3% YoY .
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We have completed the acquisition of Jasper soft. This adds the visualization layer to our data management portfolio. Just to recap, our data software product portfolio already covers the majority of the data value chain, like DataConnect for data integration and qu

ality,

Ingres, HCL Informix, Zen and VectorAI DB for storage, and Data Intelligence and Observability for governance and AI analysts to engage and activate data. What was missing was the visualize layer, the capability that takes governed trusted data and delivers it as actionable insights to the business users who need it.

From bookings perspective, the quarter was good and the bookings were well -balanced across verticals, service lines and geographies. Our net new TCv booking for the quarter was \$2.4 billion, highest ever Q1 bookings. This excludes the recent mega deal that we announced, which was signed in early July and not in Q1. Let me give a brief overview of this landmark win.

We have been selected by a Europe -headquartered Fortune Global 50 firm as a technology partner to accelerate AI -led transformation and management of their digital workplace and enterprise networks. We will leverage our AI Force platform, software -defined solutions and digital employee experience framework to implement an AI -first workplace and intelligent connectivity fabric, thus elevating employee experience and productivity for the company at a global scale.

While there are several deals that added to this \$2.4 billion, I want to talk about a marquee deal that showcases the depth of value we deliver to our clients. A Fortune 250 semiconductor equipment OEM selected HCLTech to accelerate AI -driven transformation across its semiconductor engineering and manufacturing value stream.

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HCLTech will deploy SAP -enabled design -to-manufacturing capabilities and integrate SAP with core PLM and MES systems, establishing an enterprise backbone for a future -ready scalable AI -led digital supply chain.

On the people front, we are 223,889 people as of 30th June 2026, a decrease of 3,292 compared to the previous quarter. Our attrition stands at 12.7% on LTM basis. Our AI strategy shows evident returns as seen in 3.3% YoY increase in revenue per employee, which has gone up every quarter for the last five quarters.

Coming to our AI updates, as you know, our AI strategy is anchored on five strategic pillars designed to drive client impact, accelerate innovation and strengthen our leadership position in the AI market.

I'm pleased to share the progress we made across each of them this quarter. First pillar of the strategy is proactive transformation of our services.

We continue to embed AI deeply in our service delivery model, helping clients unlock measurable efficiencies and accelerate business outcomes. AI Force is now deployed across 92 distinct client accounts, enabling organizations to realize the benefits of AI within existing engagements at scale.

A good example to the progress we are making in this area: a Europe-based global automotive manufacturer selected HCLTech for a large-scale AI-led site reliability engineering transformation program across engineering, production, commercial and corporate application landscapes. Powered by AI Force, the program brings together SRE, AIOps, agentic AI, observability, automation and application lifecycle transformation within a unified operating model.

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Coming to the second strategic pillar of building differentiated IP, differentiated IP remains a cornerstone of our AI strategy, enabling clients to move from experimentation to enterprise-scale value realization. AI Force continued its evolution with 2.2 release, introducing capabilities such as VS Code IDE plugin support, multimodal AI, long-term memory, configurable governance guardrails, AWS native integration and enhanced observability. We also rolled out an Agent Store, an organization-wide validated set of AI assets, including agents, AI Force use cases, workflows, tools and connectors, and the next phase enables reuse of AI assets across the organization

to innovate faster and better to develop more AI IP.

We also launched AI Force for Oracle, combining Oracle Fusion Agent Studio with HCLTech's domain-aligned agents, accelerators and governance framework to accelerate enterprise adoption.

In industry AI solutions, our intelligent regulatory platform solution achieved general availability, while VisionX was named as the finalist at the AI Awards UK in both the Best AI Product and AI-powered Quality Assurance categories. We also launched three new industry AI solutions, namely AI for Store Operations, Order-to-Cash platform and Intelligent Validation and Quality platform.

We now have 23 industry AI solutions. Our industry AI solution VoiceOps AI, designed for media platforms and entertainment vertical and telecom-scale environments, received the Product of the Year award at NAB Show 2026 in the Intelligent Technology category, recognizing its ability to transform voice-led service operations and customer engagement.

Coming to the third pillar, expanding AI-led services, we continue to broaden our portfolio of AI-led services, helping clients address

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emerging opportunities. In AI Labs, we hit a major milestone in Q1 crossing 1,000 plus AI engagements delivered. Within AI Factory, we announced a strategic collaboration with Red Hat to accelerate the deployment of enterprise-grade AI infrastructure through the AI Factory ecosystem.

A global technology major expanded its partnership with HCLTech for an AI Factory program with an incremental scope of over \$180 million for AI datacenter build-out. HCLTech's solutions will fast-track the deployment of a large-scale infrastructure environment that leverages the latest GPU technologies to train large language models and advanced AI-driven products.

In physical AI, a Europe-based manufacturer selected HCLTech to

engineer the navigation stack for its next-generation autonomous robot. HCLTech will apply its physical AI and intelligent product engineering capabilities to deliver core navigation logic, motion planning and system integration for the product.

In another deal, our AI engineering capabilities will translate chip specifications into implementable silicon, supporting the delivery of a secure hardware module that meets the stringent security standards for an Indian research organization. They selected HCLTech to support the development of a secure chip aligned to trusted computing requirements.

This quarter we also made a significant progress in building our sovereign AI as a service capabilities. Sovereign is not just governments; it is for enterprises as well. Enterprises are realizing that their data, their know-how that gives them their competitive edge are their most valuable assets, and they don't want the value disappearing into someone else's models.

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So the evolving enterprise AI architecture is based on two broad principles. One is zero trust, that is the default posture is that no data, no prompt or context ever leaves the enterprise boundary. And the second principle is a tiered approach where Tier 1 is private on-prem or VPC-hosted SLMs fine-tuned on the enterprise data, and Tier 2 is frontier models accessed through a policy-enforcing inferencing gateway that handles redaction, logging and cost economics.

The gateway becomes the primary policy enforcement point which sits within the enterprise. So the demand is moving towards solutions that can enable clients to have complete sovereign assurance with custom models and controls rather than just renting the models from the big providers.

Now coming to the fourth leg of our strategy, scaling AI partnerships across the technology stack, our partner ecosystem remains a powerful force multiplier, accelerating innovation and helping us deliver best-in-class AI solutions.

Most notable is a recent strategic investment of \$150 million in Sarvam, India's full-stack sovereign AI company.

This reinforces HCL Tech's position as an AI innovator, not just an adopter, underscoring our commitment to building, co-innovating and shaping the next wave of AI. By combining Sarvam's research depth in multilingual India-focused AI models with HCLTech's global enterprise relationship, engineering expertise and software IP, we are creating a differentiated full-stack AI platform for governments and enterprises spanning models, platforms, applications and managed services.

This meaningfully opens up the Indian sovereign AI market for us across industries and the government sector. This is clearly an early -

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stage market opportunity to build industry and client-specific SLMs.

While the world's attention has been captured by ever-larger general-purpose models, the real value for enterprise often lies in smaller specialized models trained deeply on the language, data and workflow of a single industry or a client.

These models are faster, more cost-effective and more accurate where it matters, and the window to establish leadership here is open now. This quarter we made significant progress with other partners, mentioning a few: we expanded our strategic relationship with Google Cloud through the creation of a dedicated Gemini enterprise business unit and launch of an autonomous finance platform that

transforms core finance and accounting operations using Gemini Enterprise.

We inaugurated AI Innovation Zones with Google Cloud and Intel at Santa Clara and Chennai respectively, providing clients with immersive environments to explore, build and scale AI solutions. HCLTech was added to OpenAI's Trusted Access for Cyber program, providing authorized teams access to advanced cyber -focused AI capabilities.

In AWS, we achieved AI Services Competency, marking a significant milestone in our AI journey with AWS ecosystem. We also strengthened our modernization proposition by integrating HCLTech composable agents into AWS Transform agentic AI service, accelerating the transformation for mainframe modernization and VMware migration.

Our ecosystem momentum was further recognized through prestigious industry awards, including Dell Technologies 2026 Global HCL Technologies Limited

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Alliance Americas Partner of the Year, HPE's Storage Partner of the Year 2026 and more.

Lastly, we expanded our partnership with MetLife Stadium, the venue for FIFA 2026 World Cup final, the New York Jets and New York Giants as their official AI partner. We will leverage our AI capabilities to create intelligent scalable solutions that enhance customer experiences and support smarter, safer and more connected environments for the clients.

On the fifth pillar of developing AI talent at scale, AI talent foundation remains critical to sustaining long -term growth and client success. In Q1, around 24,000 unique employees across the organization participated in AI and GenAI learning journeys tailored to different proficiency levels and roles. These roles are primarily categorized as users, super users and AI builders.

In parallel, focused capability building initiatives are being pursued in areas such as physical AI, SLM builder role, partner platforms and hyperscaler technologies. Additionally, 200 plus employees were Black Belt certified during the quarter and are actively contributing to solutioning, ideation, end -to-end realization of AI use cases. The examples include transformation of global IT operations for a client's global IT through an AI -led hyper -automation ecosystem by pioneering agentic AI, AIOps and intelligent incident management capabilities across a complex global infrastructure landscape.

In another case, we enabled a client to move from fragmented GenAI

pilots to an enterprise -scale automation strategy, delivering 40% productivity improvement while embedding AI into the core service delivery and commercial operating mode.

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Our AI strategy continues to be recognized well by leading analysts, industry bodies and technology partners. While we have several recognitions this quarter as detailed in our investor release, the one that stands out is HCLTech was named as a Market Shaper in Gartner's inaugural physical AI services assessment, becoming the only India heritage services company positioned in the top quadrant. Taken together, these demonstrate our continued strength of our AI strategy, the momentum of our innovation engine and the trust clients place in us as they transform their businesses for an AI -first future.

I would also like to share an important strategic initiative for HCLTech where we are entering the AI datacenter business. Global datacenter

demand is set to triple by 2030 with AI driving roughly 70% of that growth, and in India that growth is expected to happen at an even faster pace. India, given its scale, is one of the most supply-constrained datacenter markets globally, and sovereign data requirements are increasingly mandating that workloads for government, enterprises and even global consumer platforms be delivered in-country.

The convergence of AI-led demand, supply constraints and sovereignty needs represent a very compelling opportunity. This is a business which is shifting from physical infrastructure to higher-value AI-ready solutions, one we believe will be a new growth vector for HCLTech. We will create full-stack offerings by combining our capabilities across AI datacenter design, DevOps and cloud operations, as well as our software portfolio with our new datacenter business.

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The biggest opportunity is not to rent AI but to own the full stack: the datacenters, the compute, the models built to address client-specific needs. As demand grows and supply catches up, the players who win will be the ones who offer full-stack offerings. In this regard, we will make a strategic investment of up to INR3,500 crores and with the potential to scale to 50 megawatts of capacity.

This would also position us as a key enabler of India's sovereign AI ecosystem, expanding our presence in the fastest-growing market among largest economies with differentiated offerings around sovereign cloud, secure AI and managed AI infrastructure. We are in advanced discussions with clients to ensure we start with certain level of committed consumption from day one. We would also like to highlight that we will consume some of the capacity internally as we build them into our managed services and outcome-based contracts for our global clients.

Before I talk about the pipeline and market trends, I would like to take a moment to highlight our execution track record on mega deals.

Over the last several years, you would notice there are areas where we are undisputed leaders and where we command execution premium, especially in mega deals.

We also have a strong track record of executing mega deals with excellent client satisfaction and to the planned business case. This is also reflected in our renewals of our highest client categories. This is an important angle where we see large deals as a growth vector and our risk management framework and execution rigor ensures we don't compromise on margins. Our strategy continues to be to deliver superior growth at stable margins. As you would see, our margins

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have been stable over the years, including FY26 with the exclusion of restructuring costs.

Coming to pipeline and market trends, our pipeline remains healthy.

Looking at the broader market trends, we are seeing a clear divergence across

different segments of the AI landscape. On one side, we are seeing strong sustained growth both in AI-native and AI-amplified services. On the other side, AI-disrupted services, the more traditional commoditized work, continues to be optimized further as AI-enabled automation takes hold.

Overall, we believe strong executors would gain a lot, but by changing their business mix more as AI-native and AI-amplified services. Looking ahead, we are retaining our guidance of 1% to 4% and margin guidance of 17.5% to 18.5% for FY27. The guidance is

organic growth guidance and does not include acquisitions including Jaspersoft. Now I would request Shiv to share more details on the numbers.

Shiv Walia: Thank you, CVK. Good morning, good afternoon and good evening to all of you. Thank you for joining our Q1 FY27 Earnings call. Let me walk you through our financial performance for the quarter. Starting with the revenue performance, please note that all the growth numbers quoted are in constant currency unless noted otherwise.

Our total revenue for the quarter is \$3,650 million, a decline of 0.5% QoQ and growth of 2.6% YoY . Services revenue for the quarter came in at \$3,351 million, a decline of 0.7% QoQ and growth of 3.5% YoY .

Our ITBS services is flat QoQ and grew 4.2% YoY .

The ERS segment declined 3.7% QoQ and grew 0.3% YoY . HCL Software revenue for the quarter is \$313 million, representing growth

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of 2.2% QoQ and decline of 5.3% YoY . In terms of geographies, during the quarter the USA grew 2.9% YoY . Europe grew 0.1%, Rest of the World (ROW) grew 10.8% and India grew 16.9%.

Moving on to verticals. Our Q1 growth was broad -based with six out of seven verticals registering YoY growth. Growth was led by Public Services and Retail & CPG, which grew 12% and 10.1% YoY respectively.

In terms of clients, our continued focus on deepening customer relationship has helped us expand the number of large client relationships. On a YoY basis, we added one client in the \$100 million category, six clients in the \$50 million category, 11 clients in the \$20 million category and 31 clients in the \$10 million category.

In terms of profitability, our EBIT is at \$616 million, representing 16.9% of revenue. Adjusting for restructuring expenses of 62 basis points during the quarter, our Q1 EBIT margins are 17.5% compared with 17.7% in the previous quarter. Net income for the quarter is \$488 million, representing 13.4% of revenue.

In terms of EBIT margin walk, the margin bridge explaining the sequential margin movement is as follows. The reported EBIT margin increased by 39 basis points QoQ from 16.5% in JFM '26 to 16.9% in AMJ '26. Lower restructuring expenses gave us 70 basis points and benefit on PDD gave us 20 basis points.

This tailwind was offset by 110 basis points headwind from the seasonality due to annual productivity benefits and decline in ERS revenue. Forex gave us benefit of 60 basis points in the quarter. Now moving on to the return on invested capital (ROIC). Our ROIC continues to remain strong, supported by our ongoing focus on profitability and efficient capital management.

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The last 12 months ROIC is at 40.7% for the company, up 257 basis points YoY . Services ROIC is at 47.8%, up 260 basis points YoY . HCL Software is at 21.6%, which is up 75 basis points YoY . In terms of cash generation, over the last 12 months free cash flow is at \$1.98 billion, while operating cash flow is at \$2.14 billion.

Free cash flow to net income is 99% and operating cash flow to net income is at 107%. Our balance sheet remains strong with gross cash of \$2.86 billion and net cash of \$2.84 billion as on 30th June, 2026. In terms of DSO, our total DSO including unbilled receivables is at 86 days, representing an increase of two days QoQ .

In terms of EPS and

dividend for our shareholder, normalized diluted

EPS for the last 12 months came in at INR66.9, representing a growth of 4.5% QoQ and 6.9% YoY . Including the one -time impact of the new Labor Code, diluted EPS was INR64.25. The board has declared an

interim dividend of INR12 per share for the quarter.

The record date is 17th of July 26 and the payment date shall be 27th of July 26. This brings our last 12 months payout to INR60 per share, effectively distributing 93.2% of our net income. That is all from my side for now and I would like to hand over the session to our moderator for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Abhishek Bhandari with Nomura. Please go ahead.

Abhishek Bhandari: Yeah, thank you for the opportunity. CVK, congrats on the good deal wins. I had two questions. First is on your guidance. This quarter we had 2.4 billion deal wins, which in the press conference you said is highest ever for any Q1. And along with that, we also had a mega deal, HCL Technologies Limited
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announced in the first week of July. So what are the various moving parts which is, restricting you from increasing the guidance from here? I'll come back with the second question after this.

C. Vijayakumar: Yeah, so yes, we are happy to report a very strong booking, but as you know our guidance band is a little broader and this is only the first quarter. So, we would like to see how things pan out in the next quarter. On the mega deal win, the transition is expected to start in a couple of months, and the steady state is expected to be reached only in April of 2027, so which is coming in the next financial year. It will have negligible impact to our revenue in this financial year. And that's really what it is, Abhishek.

Abhishek Bhandari: Got it, thanks CVK. My second and last question is on the, investment in the datacenter. If you can share more details around it, what are the upper limits or the periods of investment in this, particular avenue? If I look at it works out to almost \$7 million per megawatt, which is kind of the cost for a colocation datacenter, not an AI datacenter. So, I'm a little confused, what makes you say it's a AI datacenter? Are there any increasing or commitments on the investments once you deploy the INR3,500 crores?

C. Vijayakumar: Yeah, our 50 megawatt is a long-term plan. The INR3,500 crores is representing only a fraction of that capacity and that is the initial investment that should get us started. And we will have a very disciplined approach to increasing investments based on the free cash flow that's getting generated from the business.

So, this is an initial investment that should get us started. This is not a colocation business. This is going to be a full stack play. And there are potential possibilities of funding this through a mix of partners arrangements with silicon and OEM vendors and committed capacity
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from clients and consumption models where the hardware is financed against contracted demand. Even this could be funded through a mix of equity and debt.

So we are not putting this entire investment in the balance sheet in a single year. We are not funding it at the expense of our stated payout policy. We will provide more details as we progress. So, you should not correlate and calculate INR3,500 crores for 50 megawatt, but 50 megawatt is a long-term plan and this investment is for a much smaller capacity which will be an end-to-end stack.

Abhishek Bhandari: Got it, thank you CVK and all the best.

C. Vijayakumar: Thank you, Abhishek.

Moderator: Thank you. Our next question comes from the line of Abhishek Pathak with Motilal Oswal. Please go ahead.

Abhishek Pathak: Yeah, hi team, hi CVK. A fantastic quarter. I had

a couple of questions.

Firstly, how do you view token costs in context of AI adoption? If they had not been so high, do you think our AI services revenue would have been higher? And over a 2-to-3-year perspective, how does your team look at token costs?

I mean, do you guys expect token costs to collapse, which leads to massive AI implementation revenues, or do you expect them to be elevated, which slows down AI displacement and hence leads to better defense for IT services? So that's the first question on AI.

Maybe I'll just follow up with the second one after this?

C. Vijayakumar: Yeah, token costs, I mean, if you see about 3 months ago or 6 months ago, token cost was not a topic. It's only when enterprises started scaling the adoption of AI, the whole various dimensions of token
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costs came into play. Now, as the token consumption cost we believe, I mean, it really depends on the exact models that you're implementing, and customers are looking at creative ways to reduce their overall token costs.

And that is where the tiered approach is becoming the most popular enterprise AI architecture, both for data sovereignty for the enterprises and for the right price performance. So token costs could drop, but however the overall consumption of tokens will go up, so total cost will also go up.

So, you need to build a more economic model, which is where our strategy of building a tiered approach with smaller models within the enterprise which can be trained on the enterprise data and also a zero trust architecture with a policy enforcement gateway which ensures that no data or prompts or context leaves the enterprise.

So that's the model which is becoming prevalent and this will have some meaningful, very, very meaningful services revenue opportunity because in every client training SLMs requires a lot of data work and also training can also be quite intensive in terms of the research requirements and all of that. So, we think it will be like another engineering services wave that we can create by really pursuing our strategy on a hybrid AI stack.

Abhishek Pathak: Understood. And in that context then, it was interesting when you mentioned that Sarvam AI is something that you're looking at from the Indian market standpoint. Is it possible to take Sarvam's, low-cost models maybe to global clients as well and are you kind of, in discussions about that too?

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And the last question was to Shiv on margins. Do we expect to kind of, get back to our original 18% to 19% sort of margin band, anytime soon, maybe in FY28, or do we expect the AI investments to kind of continue and kind of hold back our margins a bit going forward in the in the medium term as well? Thank you.

C. Vijayakumar: As you rightly mentioned, apart from what we can do in the Indian enterprises and public sector and government, there is an opportunity with the global enterprises. We have talked about the tiered approach and SLMs model, and it is generating lot of interest. Sarvam is a very good option where we have lot stronger partnership and our ability to kind of really build the entire training infrastructure, training the small language models on enterprise data and some of the research capabilities, all that comes in very handy as we build it. But the model dependency itself need not be Sarvam because there are other options as well, but I think our closer strategic partnership helps us drive this with a stronger execution.

Shiv Walia: Abhishek, on the margin front, if you remember last year, if you take out the impact of restructuring cost, then our margins were closer to

18%. And this year the guidance is 17.5% to 18.5% and that also includes approximately 40 to 50 basis points restructuring cost impact. As regard maybe the longer term, the medium-term horizon of around

FY28, we will, give that guidance at an appropriate time when we give guidance for FY28 next year. At this stage, time I would just like to focus on this year's margin guidance, which is 17.5% to 18.5%.

Abhishek Pathak: Thank you so much and all the best.

Moderator: Thank you. Our next question comes from the line of Ravi Menon with Axis Capital. Please go ahead.

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Ravi Menon: Hi, thank you for the opportunity and really good performance in the ITBS business considering both the seasonality and headwinds in the two telecom customers and I think the SAP program ramped up as well that you had called out last quarter. But ER&D was a decline was a surprise. Which segment was this in and is there any further decline anticipated in ER&D in the coming quarters?

C. Vijayakumar: Yeah, the decline in ER&D was in Tech and Telecom, Media and Entertainment verticals. And we did call out that we had some sharp cuts in discretionary spending in two large US telcos, and we did say that it will have an impact in the subsequent quarters and that is what is playing out. And we've had a very strong momentum in the tech vertical for last many quarters, so some of this is on the very high base. So that's really what it is.

Ravi Menon: And CVK, what's prompted a rethink on the AI datacenter investment? Is this because you're seeing more customers now wanting to probably run open-weight models and control the hardware where the data resides?

C. Vijayakumar: Yeah, absolutely. I mean, the closed models have their own significant limitations, so clients are looking at open models, both open weight and open-source models. In datacenter, our play is a fundamentally different strategy because large gigawatt announcements are more capacity plays and they are infrastructure companies where the product is megawatt.

For us, megawatt isn't the product, it is just the anchor. Our value is in full stack of AI high-margin services which we wrap around that capacity. More importantly, it would be deploying efficient SLM-led models as you did call out to address industry and vertical needs. And

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50 megawatt is good capacity to build a large business if you want to do small language models and not frontier models.

This will generate far more enterprise value per megawatt than raw hyperscale capacity because we monetize the entire solution, not just space and power. And this capacity is also going to help us to drive more and more outcome-based contracts and managed services contracts where we can consume some of this capacity which gets bundled into our outcome-based pricing and managed services pricing for global clients. So, I think these two were very important kind of dimensions which made this business very lucrative.

Ravi Menon: Thanks. One last question. As your revenue per employee increases, do you also expect gross margins to expand?

C. Vijayakumar: Yes, of course, from last year to this year our guidance is improving gross margins, but I think if our strategy works out as we have planned, we do expect the gross margin per employee to increase. However, we will continue to invest because the business is in a significant inflection point and transformation. So, we will not hesitate to make the right investments while continuing to demand and get greater value from our clients.

Ravi Menon: Thanks so much and best of luck.

C. Vijayakumar: Thank you.

Moderator: Thank you. Our next question comes from the line of Sudheer

Guntupalli with Kotak Mahindra Asset Management Company.

Please go ahead.

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Sudheer Guntupalli: Hi CVK, thanks for the opportunity. Just a couple of questions on the datacenter . General understanding in market is that 1 gigawatt of capacity will cost roughly \$60 to \$80 bil

lion if we were to provide AI

datacenter s on a full stack mode. So, 50-megawatt capacity should require nearly INR30,000 crores of overall investment even if that is spread over multiple years. Is that a fair assessment or since we are targeting this to more of training SLMs, will the economics be any different?

C. Vijayakumar: Yeah, I think your economics at a high level is correct and we did not say that this INR3,500 crores is for 50 megawatt . Our overall vision is to drive a business of 50 megawatt. We're starting with the INR3,500 crores, which would be a fraction of that capacity. But we don't see us investing so much capital into this business.

We believe there are funding opportunities through a mix of partners coming in with silicon companies and OEM vendors and committed capacity and also GPUs based on committed contracts, all of that. And some amount of equity and debt combination. So, we don't expect this to be anywhere near let's say INR30,000 crores kind of investment. Our plan is to invest about INR3,500 crores and how the business ec onomics works out and then start investing based on free cash flows from the business.

Sudheer Guntupalli: Okay, so the second question is there's almost 100 gigawatt s of announced AI datacenter investments in the pipeline and recently some of the companies like SpaceX and Meta, they decided to sell or lease their compute. So, in the backdrop, the growing perception is that compute may not be as scarce as it is made out to be, or maybe we are at the frag end of compute -related bottlenecks.

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By the time our proposed 50-megawatt capacity becomes fully operational, if the compute demand cycle were to turn for whatsoever reasons, how do you think of the tenancy ratios here and ROICs of the proposed investment?

C. Vijayakumar: Yeah, I think even now the market is heavily GPU starved, there is no ambiguity at all. And the reason some of the big companies are renting out GPU capacity is it's very lucrative to rent out GPU capacity, that is possibly one reason. And 50 megawatt is a very, very small fraction of the total capacity that is needed.

So, we don't believe, I mean, this capacity will just get consumed very, very quickly, including some of the commitments that we have for the initial investment and next level of investments are going to be based on how we deliver on the initial investment s.

Sudheer Guntupalli: Okay sir, thanks and all the very best.

Moderator: Thank you. Our next question comes from the line of Gaurav Rateria with Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thank you for taking my questions. I have three questions. Let me just, you know, just lay down that all and then you can answer based on your comfort on order of preference. My first question is on your strategy around the datacenter . If we compare the current cycle to the cloud and digital cycle, at that time, you know, as services company, we did not require to build the required infrastructure to support the rollout of our services.

So, we did not have to build the cloud, we had to partner with the right hyperscalers . But this time it looks like we have to build out the required infrastructure to be able to roll out the small language model and other capabilities. So, I'm just trying to understand how is HCL Technologies Limited
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this cycle different from the one that we saw in the cloud and digital side of things. The second question is on your near -term visibility and guidance. So, my understanding is that this quarter has turned out to be probably, you know, slightly better than what we expecting because our YoY growth in services business is ahead of our midpoint of the guide.

And we are maintaining our guide, it kind of shows some deceleration in the YoY trajectory for services business over the coming quarter.

So, i

s the outlook incrementally sort of, you know, become a little bit tougher than what we saw at the start of the quarter? And the last question is on the margins. So, our current margin guidance, does it take into account incremental impact from the amortization -related expense that will come because of the M&A? Thank you so much.

C. Vijayakumar: Yes, so on the datacenter strategy and its comparison to the cloud and digital cycle, I think, there is a big reversal of how this is playing out because private AI stack is going to be the answer for a lot of enterprise needs. And of course, frontier models will be required, but you use frontier models very selectively. So, under this consideration, you have an option to create VPNs with cloud providers, but I think given the data sensitivity and all of this, it's a much better solution for clients, and its price performance is very, very attractive for an SLM -based solution.

So, I think, this cycle is looking different based on the entire analysis of the current situation. On the near -term visibility guidance on services and all that, I think we're happy that we've done a little better than what we expected. And the macro environment, and some of the deal client -specific challenges that I talked about in the beginning of HCL Technologies Limited
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the quarter, last quarter, some of them will play out in the subsequent quarters and which was also as planned.

So right now, the whatever macro -related situation what we saw in March which continues to be the same today, so we're not able to visualize anything different. So, we're continuing with the guidance, but obviously after Q2, we will come back to you, with any further directional change.

Shiv Walia: And Gaurav, on the margin's guidelines, as we called out, our revenue as well as margin guidance are for the organic business. And on top of that we will have the revenue and the margin impact of the acquisitions which we are going to do of Jasper soft and maybe later this quarter the other one. So that is outside the impact of those acquisitions.

Gaurav Rateria: Thank you, all the best.

Shiv Walia: Thank you.

Moderator: Thank you. Our next question comes from the line of Vibhor Singhal with Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi, thanks for taking my question and congrats team for a solid deal wins and a great performance in the beginning of the year itself.

CVK, just two questions from my side, and then I just have one small follow -up as well. So, in terms of verticals, I think, you explained the weakness in telecom and high -tech which was kind of expected and that is kind of leading us down. Our BFSI growth has been quite strong for past, I think, more than almost 10 quarters.

How are the clients looking at the spends in the BFSI segment in terms of their AI strategy? Earlier we had seen a lot of insourcing
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happening there, but are the client's kind of opening up to a more third-party outsourcing there, and that is what is kind of leading us to the kind of growth that we are seeing in this vertical?

And secondly on the healthcare vertical, we've fallen off a bit from let's say the run rate that we used to have almost \$500 million, and it's been a continuous kind of not a very sharp one, but a kind of a gradual decline over the past eight-nine quarters. So, what's ailing that sector, and how do you see, do you see any turnaround in this sector in the coming quarters? And then I'll just have a small follow-up for Shiv.

C. Vijayakumar: Yes, thank you, Vibhor. So financial services as you rightly called out, we've had solid momentum over last maybe 12 quarters and even the YoY growth is the highest in the industry. And it's been driven by our AI-native approach to lot of large clients. We also have been more proactive about AI adoption, so

o we have won significant wallet share in our top customers in financial services. That's number one. The second thing is we're seeing a very broad-based traction in the data and analytics space. A lot of it is preparatory work towards building enterprise AI stack. So, I think that's been a big tailwind at least in the recent quarters. Coming to the Life Sciences and Healthcare vertical, of course we had a good mix of engineering services as well in Life Sciences and Healthcare. And we had a strong traction due to certain regulatory work which was required to be done for a lot of medical devices companies, which was one of the key contributors to strong growth in Life Sciences business three years ago. And those regulatory work came to an end, and that did not get refilled with something else, so that was one reason.

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The second reason is the Healthcare segment itself is heavily stressed in the US and most of our healthcare revenue comes from US. So that has been also a cause. So, I think these are the two reasons. Otherwise, we continue to win regular business and execute well, but there have been some headwinds which we are facing. Vibhor Singhal: Got it, got it. Thanks, CVK for that detailed explanation. Just one quick bookkeeping question for Shiv. Shiv, the Jasper acquisition got completed in the first week of July. So, while it is not included in our guidance, it will still contribute to the revenues from Q2 onwards. Am I right on that?

Shiv Walia: That's correct.

Vibhor Singhal: And any indication as to how much could be the contribution from the Jasper acquisition to our full year revenue in FY27 or a recurring contribution that we could have on an annualized basis?

Shiv Walia: We're still working on it, Vibhor. I think we will possibly give maybe \$10 to \$15 million per quarter in that range, but there's a seasonality involved, so it's going to be that range, I think.

Vibhor Singhal: Okay, \$10 to \$15 million per quarter.

Shiv Walia: Yes.

Vibhor Singhal: And lastly, the CTG acquisition is yet to be closed, right? That is not yet closed.

Shiv Walia: We expect that to be closed maybe later part of this quarter, but yes, I think that's also on the card. Hopefully this quarter only, we don't know the exact details, but maybe towards the later part of this quarter, that will also get closed.

Vibhor Singhal: Got it, got it. Great, thank you so much for taking my questions and wish you all the best.

Shiv Walia: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. C Vijayakumar, CEO and MD, for closing comments. Over to you, sir.

C. Vijayakumar: Yes, thank you everyone for joining us today. We are very happy that we've started the year on a good note despite a seasonally weak Q1.

And we're also very encouraged by our bookings and also the potential bookings in Q2. We have a strong pipeline, and we continue to evolve very strongly as an AI-native and AI -amplified services player, and we look forward to your continued support as we evolve into the best AI solutions provider. Thank you and have a good evening.

Moderator: Thank you. On behalf of HCLTech, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.